How China Will Win the AI War

The Convergence Strategy: A Structural Path to AI Dominance

A Living Book[1]

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[1]This is a living document, revised as the underlying industrial and technical facts evolve. Version v0.14 — 4 August 2026. Corrections and additions are welcome.

Preface

The title of this book is deliberately provocative, but it is not a prediction of inevitability—it is a structural analysis. “Winning” here does not mean producing the single best frontier model in any given quarter. It means what winning meant in solar photovoltaics, in lithium-ion batteries, and in electric vehicles: capturing the overwhelming majority of global production, setting the cost curve, controlling the supply chain, defining the de facto standards, and reducing erstwhile leaders to protected niches sustained by tariffs and subsidies. By that definition China has already won three consecutive technology wars in which the West, at the outset, held every advantage—the science, the patents, the firms, and the markets.

The central claim of this book is that artificial intelligence is now following the same trajectory, and that the mechanism is visible in three separable elements: *the model* (open-weight frontier models released at marginal prices), *the compute* (an open, standardized hardware ecosystem built on RISC-V, domestic accelerators, and a memory-capacity arbitrage that substitutes abundant commodity DRAM for scarce HBM), and *the semiconductor* (the fabs, logic, and DRAM base that removes the last physical chokepoints). Each element is driven by the same national strategy of *openness as a weapon*: open weights, open instruction sets, open interconnect specifications, and open software stacks, deployed to commoditize precisely the layers where Western incumbents collect their rents.

Chapter 2 supplies the theoretical machinery—the production economics of intelligence, AI as a general-purpose technology, and the industrial-organization account of what openness does to rents—for readers who want the argument’s engine before its evidence. Part I then surveys the three precedent industries—how the war was actually fought and won in each—and then, in a chapter of equal weight, the campaigns where the same playbook has *not* worked. Part II analyses the elements of AI separately: the model, the compute, the semiconductor, the watt, the data, and—closing the loop back into Part I’s terrain—embodied AI and physical production. Part III turns to consequences—trust and agentic security, governance, the financial exposure of the incumbents, national strategies, how much compute a nation’s science actually needs, and the international institution that the analysis keeps arriving at—before the final chapter assembles the convergence argument. Throughout, I have tried to keep the analysis anchored in numbers with sources, and to flag clearly where evidence is contested or preliminary. As a living book, chapters will be revised and extended as events develop; readers should treat quantitative claims as dated to the version stamp above.

The book carries an apparatus that a reader should be able to hold it to. Selected headline claims are tagged inline with an evidence class (Section 1.5); the complete graded ledger—which is the authoritative record, and the fastest route to this book’s weakest link—appears as Appendix B, with a machine-readable claim register and a quarterly falsification dashboard in Appendix H. Author-modeled results are disclosed as such wherever they are load-bearing, and the four core propositions are stated, coupled, and falsified separately in Section 1.4. The book also carries an explicit *currency date*, and that date is defined to be the date of the edition itself—4 August 2026, the date on the title page. Every factual claim in the stable chapters is current as of that date; anything the author learned after it belongs to the next edition, not to this one. Defining the cutoff as the edition date is the only convention that cannot contradict itself: a book whose declared freeze precedes its own completion will sooner or later discuss an event it has ruled out of scope. Appendix F carries the most recent development cycle in detail, because fast-moving material benefits from being quarantined in one place where it can be replaced wholesale; but it is inside the currency date, not outside it.

A note on the author's position, and on motive

Scholarly convention asks an author writing on a contested subject to state where he stands in relation to it. Here the convention matters more than usual, because the position is unusually entangled with the subject—and because, on the face of it, the position argues against the conclusion.

I direct the RIKEN Center for Computational Science, the institution that built and operates Fugaku, the machine that swept all four major supercomputing benchmark lists in 2020 and 2021; and I direct the FugakuNEXT program that will succeed it toward the end of this decade. I hold a professorship at the Institute of Science Tokyo. For some three decades my professional life has been spent inside high-performance computing—designing machines and the processors in them, running procurements, arguing about architecture in public and in committee, and building the software and scientific applications that have to justify the expenditure afterwards.

That career has been conducted, almost entirely, in partnership with Western technology and Western institutions. FugakuNEXT is being built by Fujitsu around the MONAKA-X processor tightly coupled to NVIDIA accelerators over NVLink Fusion—a design decision that places Japan's flagship national program on the American accelerator platform for the coming decade, and one I defended and continue to defend on its engineering merits [357]. My center's relationships with NVIDIA, AMD, Intel, Arm, and the American and European system vendors are longstanding, active, and cordial; a substantial part of my working life consists of technical argument with their architects, which is among the more enjoyable things about the job. In January 2026 RIKEN, Fujitsu, and NVIDIA entered a joint partnership with Argonne National Laboratory on AI for science and next-generation computing [393]. In June 2026 Japan became the *first international partner* in the United States' Genesis Mission—a one-billion-dollar, five-year commitment, half from each nation, binding twelve DOE national laboratories to twelve Japanese research institutions across quantum information, fusion, biotechnology, advanced materials, particle physics, and autonomous laboratories, with RIKEN among the central Japanese participants [391]. Within Japan I have been one of the principal advocates for AI for Science as a national priority, through RIKEN's TRIP and TRIP-AGIS platforms and through the compute-sizing framework that Chapter 21 of this book is built on.

The reader should weigh all of that as a declaration of interest, and should notice which way it points. My institution buys Western technology and will go on buying it. My flagship program runs on an American accelerator architecture. My laboratory's deepest international partnerships are with American and European institutions, and I value them. Several of this book's load-bearing technical arguments rest on work I coauthored or wrote—the accelerated-CPU analysis with Jack Dongarra and Torsten Hoefler [185, 186], the national AI-for-science sizing framework [306], the agentic-backdoor survey behind Chapter 15 [292], and the international-consortium discussion record developed with Thomas Schulthess [307]—and the economic-impact study discussed in Chapter 20 was commissioned by my own institution, a fact disclosed again at the point of use. *If these interests bias this book, they bias it against its thesis.* Nothing in my professional position gives me an incentive to argue that the Chinese stack is winning. A great deal of it gives me an incentive to argue the opposite, and it would have been considerably more comfortable to do so.

Why write it, then. Not for lack of commentary: there is a great deal of analysis of Chinese AI progress and of the competition between China and the United States and its allies. The problem is that almost all of it is *fragmentary.* The model community sees benchmarks and licences. The semiconductor community sees export controls and fab capacity. The financial community sees valuations and capital expenditure. The security community sees supply-chain risk. The policy community sees five-year plans and ministerial documents. Each of these communities sees its own layer with real expertise and the adjacent layers dimly, if at all—and the strategy this book describes is *invisible at any single layer*. It becomes visible only when the model, the compute, the semiconductor, the watt, the data, and physical production are laid side by side, because it is a systems strategy, and a systems strategy is precisely the thing that fragmentary analysis cannot resolve. An open instruction set is unremarkable on its own; so is a memory-capacity trade, so is an open-weight release, so is a provincial electricity tariff. Assembled, they are a machine for changing where cost and rent sit in an entire industry—which is exactly what the solar, battery, and electric-vehicle campaigns turned out to be, and exactly what was missed at the time, layer by layer, by people who each understood their own layer perfectly well.

I should also report an experience rather than only an argument. I did not begin this project expecting to arrive where it has arrived. Each time I have gone looking for the layer at which the Chinese position falls apart—the software stack, the memory wall, the packaging, the energy, the training economics, the scientific applications—I have more often found additional evidence of coherence than the decisive gap I expected, and the gaps I did find have tended to be narrower and to be closing faster than the public discussion assumes. That has been an unwelcome finding, professionally and personally, and I have tried throughout to hold it to a standard of proof appropriate to how much I would prefer it to be wrong. Where the evidence does not support the strong claim—and there are several such places, marked as such—the book says so.

Which produces the obligation. The vantage point here is not better than anyone else's; it is merely unusual. Very few people are positioned to look at processor architecture, semiconductor supply chains, national computing programs, model economics, and international scientific collaboration at the same time, with direct professional access to most of them, and with an obligation to no vendor and no government's messaging. Having had that view, I do not think it is defensible to leave what it shows in conference corridors, closed briefings, and program-committee conversations. Documenting it is the ordinary duty of a researcher who has done the analysis, and so is committing to maintain it: this is a living document, with graded evidence, stated probabilities, explicit falsification criteria, and a standing willingness to correct the manuscript against its own thesis wherever the record demands it. I intend to keep updating it as an academic and not as an advocate, which means reporting the evidence as it arrives regardless of which side it favours, and being publicly wrong when the record says so.

A note on perspective: this book is written not to celebrate the outcome it describes, nor to counsel despair, but because strategy made without a correct model of the adversary's strategy fails. The West's repeated pattern across solar, batteries, and EVs was not a failure of invention—it invented nearly everything—but a failure to take Chinese industrial strategy seriously until the cost curve had already been captured. The purpose of writing down the mechanism is to make that mistake harder to repeat.

Contents

Notation, Abbreviations, and Glossary

This book draws on economics, computer architecture, semiconductor manufacturing, electrical-grid engineering, security research, and science policy, each of which brings its own vocabulary and its own habits of abbreviation. Several of them use the same letters for different things. What follows is the reference apparatus: the notation conventions, then the labelling schemes, then the mathematical symbols by chapter, then the acronyms, then the terms of art. Nothing here is required to follow the argument—every quantity is also defined where it is first used—but a reader who arrives at Chapter 21 wondering what a BGPU is should not have to hunt for it.

Notation conventions

GPT. Economists have used **GPT** for *general-purpose technology* since the early 1990s. Throughout this book that sense is always written out in full; the bare acronym GPT always denotes the OpenAI model family.

The suffix discipline. Six disciplines cannot share twenty-six letters without collision, and relying on context to separate them is not good enough for a document meant to be checked rather than read once. The rule adopted here is therefore mechanical: *no bare single letter carries two different meanings across the book.* Where two fields would have claimed the same letter, one of three moves is made, and the reader can rely on all three.

First, a roman suffix names the referent. A subscript set in upright roman type is a label, not an index: f_{heavy} is the heavy-user fraction, f_{front} the frontier-workload share, e_{INT8} the INT8 efficiency, d_{duty} the activity-duty product, r_{disc} the discount rate, T_{exit} the exit horizon. Italic subscripts, by contrast, are running indices (i, j, k, g, t, v) and mean what indices normally mean.

Second, a superscript names the physical dimension where two quantities share both letter and subscripts. Electrical power is written $P^{\mathrm{el}}_{\bullet}$ throughout Chapter 9 and Appendix A—$P^{\mathrm{el}}_{\mathrm{facility}}$, $P^{\mathrm{el}}_{\mathrm{memory}}$—so that bare P can remain the quality-adjusted price of Chapter 2 and Chapter 17 without ambiguity. Gross funnel output is U^{gross}, distinguishing it from the net uplift U that the same chapter reports.

Third, a distinct letter or an alternative alphabet is chosen outright where suffixing would be clumsy. Trust in the differentiated-competition model is τ, not T, leaving T for time and token streams. Fixed development cost is K_i, not F_i, leaving F for arithmetic rates and facility equivalents. Decode throughput is Θ_m and Θ_s, not R_m and R_s, leaving R for revenue and rent. Fleet availability is α, not a, leaving a for addressability in the AI4S funnel. Service-tier population share is φ_i, not s_i, leaving s for speed-up. The frontier-expenditure share is Σ_{front}, leaving the science-production metric $\boldsymbol{\mathcal{S}}$ as the only S-family object. In the security fault tree the common-cause *events* are set in calligraphic type—$\mathcal{L}_{\mathrm{sys}}$, $\mathcal{M}$, $\mathcal{B}$, with beta factors $\beta_{\mathcal{M}}$ and $\beta_{\mathcal{B}}$—so that an event is never mistaken for a scalar.

Two conventions are deliberately *not* disambiguated because they are unambiguous by type. Probability is always written with the operator $\Pr(\cdot)$ rather than a letter. And the letter C is cost everywhere in the mathematics; the claim identifiers CR-01…CR-12 of Appendix H are an alphanumeric label, never a variable.

Labelling schemes

The book runs several labelled systems. They are independent, and this is the index:

Evidence grades [V] [P] [A] [M] [R] [S] — how well a claim is supported: **V** verified against primary or benchmark evidence; **P** primary claim by a party with direct knowledge (vendor, filing, government); **A** analyst estimate; **M** author-modeled; **R** roadmap or schedule; **S** scenario judgment. Defined in Section 1.5; the complete ledger is Appendix B.

Propositions P1–P4 — the four load-bearing claims, stated and falsified separately in Section 1.4: adoption (P1), sovereign compute (P2), rent destruction (P3), financial repricing (P4).

Security evidence Levels A–D — Chapter 15: **A** controlled technical demonstration; **B** observation on a real system or released artifact; **C** confirmed in-the-wild incident; **D** hypothesis or policy inference. Distinct from the evidence grades above.

Certification Levels 0–5 — Chapter 14: the graded assurance ladder from hash-identified artifact (0) to critical-infrastructure assured (5).

Parameter classes [U] [M] [T] [P] and [F] — Chapter 21 only, and *not* the evidence grades: **U** universal, **M** must-measure, **T** transferred, **P** policy choice, **F** future-scenario modifier. These classify model *inputs* by portability across borders.

Standards-maturity stages 1–4 — Chapter 16: de jure specification, open reference implementation, conformance suite, installed-base default.

Playbook moves M1–M9 and steps 1–6 — Chapter 6: M1–M9 are the tactical inventory of Table 6.1; steps 1–6 are the strategic sequence they serve.

Claim IDs CR-01–CR-12 and falsification branches (a)–(f) — Appendix H and Section 23.2 respectively.

Mathematical symbols

Symbol	Meaning (and where introduced)
Economics of intelligence (Chapter 2, Chapter 17)	
C_{task}	delivered cost of one *completed task*, decomposed into seven terms below
$c_{\text{pre}}, c_{\text{post}}$	amortized pretraining and post-training cost
c_{inf}	inference cost—the only term falling at $\sim 10\times/\text{year}$
$c_{\text{int}}, c_{\text{org}}$	integration and organizational-adoption cost
c_{comp}	complementary capital (pipelines, evaluation, process redesign, staff)
c_{trust}	assurance and certification cost
P	quality-adjusted price: price of a fixed amount of *useful work*, not of a token
Q	quantity of delivered work per period
R	revenue, $R = PQ$
ϵ	own-price elasticity of demand, $\epsilon = -\partial \log Q / \partial \log P > 0$; $\epsilon > 1$ is elastic

Symbols, continued

Symbol	Meaning
$\Delta \log X$	proportional (percentage) change in X
i, j	indices for competing differentiated systems (own and rival)
q, τ, I	capability, trust/assurance, and integration/distribution attributes of a system; τ (not T) is trust, by the suffix discipline above
π_i	profit of system i
MC_i, K_i	marginal cost and fixed (development) cost of system i; K rather than F to keep F for arithmetic rates
$R_i^{\text{complement}}$	rent earned in adjacent layers because system i is widely used
NPV_v	net present value of data-centre vintage v; u_t utilization in year t, q_t delivered throughput, P_t realized price, r_{disc} discount rate, T_{exit} exit horizon
Architecture and serving (Chapter 9, Appendix A)	
T_{workflow}	end-to-end wall-clock time $= T_{\text{host}} + T_{\text{accelerator}} + T_{\text{movement}} + T_{\text{synchronization}} + T_{\text{orchestration}}$
B_{token}	bytes of memory traffic per generated token (six terms; Eq. 9.2)
$N_{\text{effective batch}}$	concurrent sequences over which one weight read is amortized
$F_{\text{achieved}}, F_{\text{token}}$	sustained arithmetic rate, and arithmetic work per token
$\text{BW}_{\text{achieved}}$	delivered memory bandwidth under the real access pattern
η	delivered fraction of peak memory bandwidth; swept 0.53–0.70
e_{INT8}	sustained INT8 matrix-engine efficiency (threshold $\gtrsim$0.38)
$C_{\text{lifecycle}}$	nine-term total cost of owning a platform (Eq. 9.4)
$P^{\text{el}}_{\text{facility}}$	total facility *electrical* power; IT load plus cooling and overhead. The $^{\text{el}}$ superscript marks every power term, reserving bare P for price
Y_{package}	advanced-packaging yield, a product over all dies and interfaces
$P^{\text{el}}_{\text{memory}}$	full memory-subsystem power (DRAM, PHY, controller, PMIC, refresh, board, idle); likewise $P^{\text{el}}_{\text{socket}}, P^{\text{el}}_{\text{network}}, P^{\text{el}}_{\text{storage}}, P^{\text{el}}_{\text{cooling}}, P^{\text{el}}_{\text{overhead}}$
Δt_{eff}	effective delay in years purchased by an export control
Security (Chapter 15)	
$\mathcal{L}_{\text{sys}}$	the systemic-loss *event*; a fault tree over compromise, deployment, trigger, propagation, containment. Its probability is written $\Pr(\mathcal{L}_{\text{sys}})$
p_i	per-gate probabilities of the fault tree
$\mathcal{M}, \mathcal{B}$	common-cause events: monoculture depth ($\mathcal{M}$), and broad agent permissions ($\mathcal{B}$). Calligraphic, because they are events rather than scalars
$\beta_{\mathcal{M}}, \beta_{\mathcal{B}}$	beta factors—the share of a gate's failure attributable to each common cause
AI for science (Chapter 20)	
a	addressability: share of research effort reachable by current AI
s	speed-up on the addressable share; $(s-1)$ is the gain over baseline
v	validation survival: fraction of accelerated output that withstands scrutiny
d	deployment conversion: fraction of validated results that reach use
ℓ_j	lag-and-friction discount (calendar delay, organizational adjustment, regulation)

Symbols, continued

Symbol	Meaning
w_j	share of global research effort in task class j
U, U_{AI4S}	incremental uplift to realized research output; task-weighted form in Eq. 20.2
U^{gross}	gross converted output, $U^{\text{gross}} = asvd$—contrast the net uplift $U = a(s-1)vd$. Not to be confused with the capacity requirements $G_\bullet$ of Chapter 21
$\boldsymbol{\mathcal{S}}$	scientific production metric: a *vector* of validated outcomes over scalar cost
National sizing (Chapter 21, Chapter 22)	
BGPU	Baseline GPU: the AI-serving throughput of an 8 TB/s-HBM reference accelerator. A planning unit, not a product
BGPU_{BW}	separate bandwidth currency for classical simulation; *never* summed with serving-BGPU
γ_g, δ_g	conversion factor for accelerator g, and its benchmark-adjustment band
H_{yr}	effective delivered hours per installed BGPU-year ($= \alpha \times 8{,}760 = 7{,}884$)
α	fleet availability: fraction of wall-clock time an installed device is usable in production; 0.90 at the reference fleet. Written α, not a, to keep a for addressability
N	open-tier researcher population
φ_i, u_i, r_i	service-tier population share (φ, not s, which is speed-up), duty factor, and active output-token rate in tier i
T_{nat}	national output-token stream
k	BGPU cost per token per second of the canonical serving configuration
Θ_m, Θ_s	master and sub-agent decode throughput in tokens per second (Θ, not R, which is revenue); BW delivered bandwidth, L_m master resident context length, b_{KV} KV-cache bytes per token of context
$G_{\text{tok}}, G_{\text{sci}}$	token-service and scientific-execution capacity requirements
W_{ag}	annual agentic-execution workload in delivered BGPU-hours
$f_{\text{heavy}}, d_{\text{duty}}, w_{\text{heavy}}$	heavy-user fraction, activity-duty product, and per-heavy-user daily driver
χ_{sim}	simulation share: fraction of agentic execution that is simulation rather than training
$n_{\text{prog}}, w_{\text{prog}}$	count and annual cost of persistent-surrogate programs
$F_{\text{eq}}, g_{\text{fac}}$	large-instrument facility equivalents, and installed BGPU each requires
$\mathbf{B}_g, \omega_k$	device capability vector for accelerator g (seven components, each normalized to the reference device) and the declared national workload mix over those components
$\Sigma_{\text{front}}(f_{\text{front}}, \rho)$	frontier share of AI4S expenditure at frontier-workload share f_{front} and frontier price premium ρ

Abbreviations

Abbreviation	Expansion
Models and machine learning	
LLM	large language model
MoE	mixture of experts—a model where each token activates only a small subset of parameters
MLA	multi-head latent attention; GQA grouped-query attention; SWA sliding-window attention
KV cache	key–value cache: the stored attention state of the context so far
DSA	DeepSeek sparse attention
GRPO	group relative policy optimization (critic-free reinforcement learning)
MTP	multi-token prediction
QAT	quantization-aware training
FP8, FP4, BF16, INT8, INT4, MXFP4, UE8M0	numeric formats: floating-point and integer, at the stated bit widths; MXFP4 is a block-scaled 4-bit float; UE8M0 an 8-bit scale format targeted at domestic Chinese silicon
VLA	vision–language–action model (robotics)
API	application programming interface
RLHF	reinforcement learning from human feedback
HLE, GPQA, AIME, SWE-bench, MMLU	capability benchmarks (Humanity's Last Exam; graduate-level Q&A; a mathematics olympiad set; software-engineering task suites)
TTC	test-time compute (parallel or extended reasoning at inference)
Elo	a relative rating derived from pairwise preference comparisons
Hardware, architecture, and manufacturing	
ISA	instruction set architecture—the contract between software and processor
ABI	application binary interface
RISC-V	an open, royalty-free ISA; RVV its vector extension, RVA23 a profile
SVE, SME	Arm's scalable vector and scalable matrix extensions
IME, AME, VME	RISC-V integrated, attached, and vector–matrix extensions
HBM	high-bandwidth memory—stacked DRAM on the processor package
LPDDR	low-power double-data-rate memory—commodity mobile-class DRAM
DRAM	dynamic random-access memory
SOCAMM	a JEDEC module standard putting LPDDR on a server module
PHY, PMIC	physical-layer interface circuitry; power-management integrated circuit
TSV	through-silicon via—a vertical interconnect through a die
EUV, DUV	extreme- and deep-ultraviolet lithography
EDA	electronic design automation—chip-design software
CUDA	NVIDIA's proprietary parallel-computing platform; CANN Huawei's analogue
NVLink, UnifiedBus (UB), UALink	accelerator interconnect specifications
NPU, TPU	neural / tensor processing unit
MFU	model FLOP utilization—achieved fraction of peak arithmetic throughput

Abbreviations, continued

Abbreviation	Expansion
HPL, HPCG	the compute-bound and bandwidth-bound supercomputing benchmarks; TOP500 and Green500 the resulting lists
FLOP/s	floating-point operations per second; EF, PF, TF exa-, peta-, tera-
TOPS	integer operations per second (trillions)
PUE	power usage effectiveness—facility power divided by IT power
TCO	total cost of ownership
Energy and grid	
UHV, UHVDC	ultra-high-voltage (direct-current) transmission
BESS	battery energy storage system
RTO / ISO	regional transmission organization; PJM, ERCOT, MISO, SPP, CAISO are the US regional grid operators
CHP	combined heat and power
Institutions, policy, and finance	
AI4S	AI for Science
MIIT, CAC, MOST, NDRC	Chinese ministries: Industry and Information Technology; Cyberspace Administration; Science and Technology; National Development and Reform Commission
FYP	Five-Year Plan; SEI Strategic Emerging Industries; GB *Guobiao* national standards
NEV	new-energy vehicle; FiT feed-in tariff; LFP lithium iron phosphate
BIS, EAR	US Bureau of Industry and Security; Export Administration Regulations
WAICO	World AI Cooperation Organization
DOE, ANL, ORNL, BNL	US Department of Energy and its Argonne, Oak Ridge, and Brookhaven laboratories
ECMWF	European Centre for Medium-Range Weather Forecasts; AIFS its AI forecasting system
ARR	annual recurring revenue (an extrapolated run rate, not trailing revenue)
CDS	credit default swap; bps basis points (hundredths of a percent)
RPO	remaining performance obligations—contracted but unrecognized revenue
SPV	special-purpose vehicle (off-balance-sheet financing)
capex, NPV, FCF	capital expenditure; net present value; free cash flow
PPP	purchasing power parity

Terms of art

Prefill and decode The two phases of transformer inference. *Prefill* processes the whole input prompt at once and is compute-bound; *decode* generates output one token at a time, re-reading model weights and attention state for each, and is memory-bandwidth-bound. Almost every architectural argument in this book turns on the difference.

Roofline; operational (arithmetic) intensity; ridge point A performance model in which achievable speed is bounded by min(peak compute, intensity × bandwidth). *Operational intensity* is arithmetic performed per byte of memory traffic; the *ridge point* is the intensity at which the binding constraint switches from bandwidth to compute. Workloads below the ridge are memory-bound.

The knee The bandwidth below which a design's achievable utilization falls sharply—in this book, the ∼5 TB/s requirement of the capacity-first memory architecture.

All-reduce, all-to-all Collective communication patterns. *All-reduce* combines values across all devices and returns the result to each; *all-to-all* exchanges distinct data between every pair, and is what mixture-of-experts routing requires.

Expert parallelism, expert imbalance Distributing a mixture-of-experts model's experts across devices. *Imbalance* is uneven token routing, which idles devices and is the sparse workload's most under-reported failure mode.

Wright's law / learning curve The empirical regularity that unit cost falls by a constant percentage for each doubling of cumulative production. The engine of every Part I precedent.

Jevons paradox The observation, from Jevons on coal, that efficiency gains can *raise* total consumption of a resource when demand is sufficiently elastic. In this book's terms, the case $\epsilon > 1$.

Involution (*neijuan*) The Chinese term for self-defeating internal competition: firms in a saturated sector expending ever more effort for shrinking margins. The "anti-involution" campaign is the state's attempt to consolidate such sectors.

Tape-out; known-good die; chipkill Releasing a completed chip design to manufacturing; a die tested as functional before packaging; a memory-protection scheme surviving the failure of an entire device.

Pareto frontier The set of options none of which can be improved on one dimension without worsening another—here, the cost-versus-capability frontier of available models.

Busbar; firm power; curtailment; interconnection queue A *busbar* is the physical junction where generation meets the transmission network, and the point at which delivered price and available capacity are actually determined. *Firm* power is capacity guaranteed available when called; *curtailment* is generation deliberately not taken, usually because transmission or demand is unavailable; the *interconnection queue* is the backlog of projects awaiting permission to connect. A *capacity auction* procures firm capacity for a future delivery year.

Vintage A cohort of data-centre capacity built in the same period, sharing hardware generation, contract terms, and financing cost—the unit at which returns should be assessed.

Neocloud A specialist provider renting accelerator capacity, typically financed by debt secured on the hardware itself.

Abliteration A community technique that identifies and removes a model's refusal or suppression behaviour by editing activations, without full retraining.

Sim-to-real The transfer of robot policies trained in simulation to physical hardware, and the gap that transfer exposes.

Estimand The quantity a study actually estimates, as distinct from the quantity of interest—the distinction that makes national compute estimates comparable or not.

Notified body Under EU law, an organization designated to assess conformity before a product may be placed on the market. The institutional form this book argues is missing for model artifacts.

Chokepoint decay This book's term for the erosion of a control's effectiveness as stockpiles, diversion, substitution, and architectural redesign accumulate.

Mate 60 moment Shorthand for a public demonstration that a control was ineffective, after the 2023 Huawei handset built on domestic 7 nm-class silicon. Used here for the first frontier model trained end-to-end on a domestic stack.

Chapter 1

The Thesis

1.1 Three wars, one playbook

Between roughly 2005 and 2025, China fought and won three complete technology wars. In solar photovoltaics, it went from assembler of imported cells to producing over 90% of every stage of the global supply chain, while module prices fell by more than 99% from their 1976 level [1, 2]. In lithium-ion batteries, a technology commercialized by Sony in 1991 and led for two decades by Japan and Korea, Chinese firms now hold roughly 69–75% of global EV battery installations and over 80% of global cell manufacturing capacity, with pack prices down 93% in real terms since 2010 [39, 40, 44]. In electric vehicles, China became simultaneously the world's largest car market, the world's largest car exporter, and home to the world's largest EV maker, while foreign incumbents' share of the Chinese market collapsed from 62% to 35% in five years [64, 61].

These were not three lucky outcomes. They were three executions of a single, learnable playbook, whose elements Chapter 6 distills: patient state designation of a strategic industry; demand creation at home; subsidized scale-up of manufacturing far ahead of demand; brutal domestic competition that functions as an evolutionary selection engine; capture of the entire upstream supply chain; a cost-down learning-curve war that bankrupts foreign incumbents; and finally, once dominance is achieved, the conversion of that dominance into geopolitical leverage—export controls on the very technologies China was once accused of copying [49, 78].

1.2 Why AI is the fourth war

The prevailing Western assumption is that AI is different: that frontier AI depends on scarce, controllable inputs—leading-edge logic, high-bandwidth memory (HBM: stacked DRAM mounted on the accelerator package), proprietary interconnects, closed model weights—and that export controls on these chokepoints can durably preserve a lead. This book argues the assumption is failing on all three fronts simultaneously, and failing in a characteristic way: not because China matches the West chokepoint-for-chokepoint, but because it is engineering the chokepoints out of the system.

The model (Chapter 8). Chinese laboratories have converted the model layer into a commons. As of mid-2026, Chinese open-weight models occupy the top open positions on independent intelligence indices, account for roughly 41% of all Hugging Face downloads and a majority of tokens routed through neutral API aggregators (application programming interfaces—metered, hosted access to a model), and are priced at a small fraction of Western closed models—while the measured capability gap to the best closed US models has compressed to low single digits [85, 84, 94]. Open weights at marginal cost do to the model layer what Chinese modules did to solar: they set a world price that rent-seeking business models cannot survive.

The compute (Chapter 9). The state has designated the open RISC-V instruction set architecture (ISA—the contract between software and processor, and the layer at which Arm and x86 collect licence rents) as national infrastructure, is standardizing matrix/vector extensions and chip-to-chip interconnects across vendors, and has open-sourced the software stacks (CANN, MindSpore, UnifiedBus specifications) that would otherwise fragment the domestic ecosystem [106, 132, 131]. In parallel, a memory-capacity arbitrage—substituting terabytes of cheap LPDDR (low-power DDR, the commodity mobile-class DRAM of phones and laptops) for scarce HBM—attacks the assumption that frontier training requires centralized, HBM-bound superclusters at all (Section 9.8).

The semiconductor (Chapter 10). Beneath both layers, the fabs. SMIC has reached 5 nm-class logic without EUV; CXMT has become the world's fourth DRAM producer and the swing supplier in a global memory shortage; the domestic equipment industry has placed three firms in the global top twenty [139, 148, 154]. The remaining gaps—EUV lithography, leading-edge HBM—are real, but the strategy does not require closing them on the West's terms; it requires making them irrelevant to the chosen architecture.

1.3 Openness as a weapon

The connective tissue among the three elements is a deliberate inversion of the Western technology-rent model. Where the United States concentrated AI value in proprietary layers—CUDA, NVLink, closed frontier weights, x86/Arm licensing—China's strategy, formalized in the July 2025 Global AI Governance Action Plan and the "AI+" State Council initiative, is to make every one of those layers open, standardized, and free [99, 101]. This is not altruism; it is the same move as pricing solar modules at $0.09 per watt. An open layer generates no rent for the incumbent, but it generates *adoption*, and adoption generates the scale, the ecosystem, and the standards-setting power that constitute victory in the precedent industries. The West's chokepoint strategy and China's commoditization strategy are not symmetric opponents: one defends margins, the other destroys them.

1.4 Four propositions, stated separately

Rigor requires decomposing the thesis into four propositions that are related but logically independent—none proves the next, and each has its own evidence and its own failure modes:

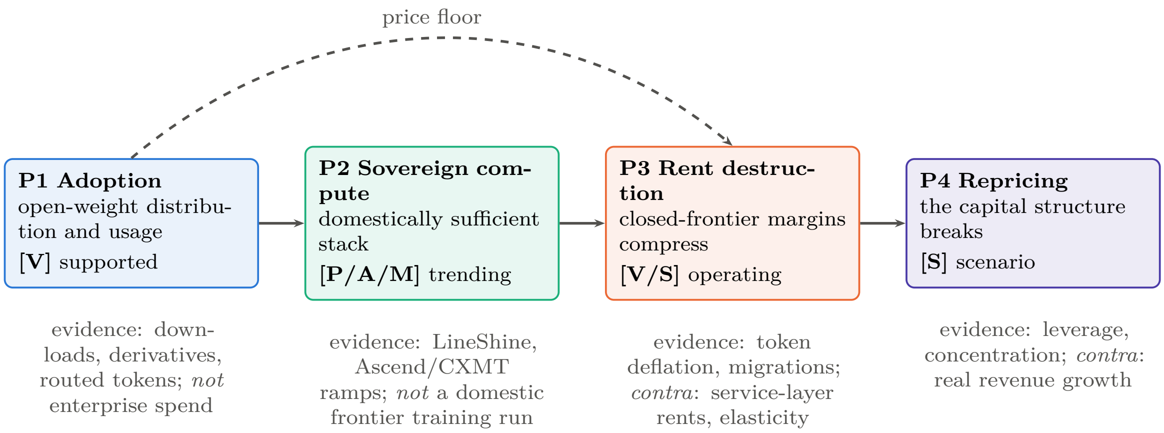
P1 — Adoption. China is winning open-weight model adoption. *Confirmed by*: download, derivative, and routed-token majorities persisting and extending into enterprise spend. *Falsified by*: a durable reversal of the OpenRouter/Hugging Face shares, or enterprise open-weight spend stagnating below ∼15% while usage metrics plateau. Current grade: strongly supported [V].

P2 — Sovereign compute. China is constructing a domestically sufficient training-and-serving stack. *Confirmed by*: a frontier-class model trained end-to-end on domestic silicon, packaging, and memory. *Falsified by*: persistent dependence on stockpiled or smuggled foreign accelerators and HBM past ∼2028. Current grade: rapid progress, not yet achieved [P/A/M].

P3 — Rent destruction. Open-weight commoditization will compress the closed-frontier rents that finance Western laboratories. *Confirmed by*: closed-model gross revenue growth decelerating while capability parity holds; margin compression propagating up the stack. *Falsified by*: closed labs sustaining pricing power through service, distribution, and trust layers even at model parity. Current grade: mechanism operating, magnitude contested [V/S].

P4 — Financial repricing. The compression of P3, if it occurs, punctures the US AI capital structure. *Confirmed by*: the indicator table of Chapter 17. *Falsified by*: demand elasticity (the Jevons case, §17.4) absorbing the price decline—AI getting cheap faster than usage grows is the bear case; usage growing faster than prices fall is the bull case, and it rescues the buildout even under P1–P3. Current grade: scenario judgment [S].

Figure 1.1 shows the propositions with their couplings and their contrary evidence. P1 can hold while P2 fails (China dominating distribution on stockpiled NVIDIA silicon); P3 can hold while P4 fails (margins compress while volume growth fills the data centers); and a US valuation correction could arrive from macro causes with none of P1–P3 mattering. The convergence argument of this book is that P1 is established, P2 is trending, and the *coupling* of P1×P2—open weights meeting sovereign, capacity-first hardware—is what forces P3, with P4 as its priced-in consequence. Chapters 8–17 take the propositions in order.



None of these arrows is entailment. P1 can hold while P2 fails (dominance on stockpiled foreign silicon); P3 can hold while P4 fails (margins compress while volume growth fills the data centres, the elasticity case of §17.4); and P4 could arrive from macro causes with none of P1–P3 mattering. The convergence argument of this book is that the *coupling* P1×P2—open weights meeting sovereign, capacity-first hardware—is what forces P3, with P4 as its priced-in consequence.

Figure 1.1: The argument, disaggregated. Each proposition carries its own evidence grade, its own confirming metrics, and its own contrary evidence; the book's thesis is a claim about the coupling between them rather than a single chain of entailment. Grades as of the version stamp; Appendix B carries the full ledger and Appendix H the quarterly indicators that move them.

1.5 Evidence grades

A claim's evidentiary weight is never self-evident from its phrasing, and so load-bearing claims are graded throughout: **[V]** independently verified (teardown, benchmark submission, audited filing, multiple independent confirmations); **[P]** primary-source claim (a company or government statement, reliable as to what was claimed, not what was achieved); **[A]** analyst estimate; **[M]** author-modeled result (including companion feasibility studies); **[R]** roadmap; **[S]** scenario judgment. Appendix B collects the headline claims in one graded ledger. Where a section rests on the author's own companion studies—notably the memory-architecture analyses of Chapter 9—the text says so explicitly: those are modeled architectures, not measured production systems.

The thesis, stated in its conditional form: the United States retains the absolute model frontier, the leading semiconductor and cloud ecosystem, and vastly greater private capital.

China increasingly leads a different contest—the commoditization of frontier-adjacent intelligence and the construction of a sovereign, though incomplete, compute stack. The decisive question is whether Chinese cost reduction, adoption, standards formation, and hardware sufficiency compound faster than US capability, distribution, and monetization—and whether China closes its remaining gaps in memory, packaging, tools, software maturity, and trust before the open-model economy compresses the rents that finance the Western frontier. This book argues that convergence is the way to bet; the chapters that follow document why, and Chapter 23 states what would change the bet.

The reader who finishes Part I will recognize, in Part II, every move already made once, twice, or three times before—and, in Chapter 7, the places where the precedents genuinely do not transfer.

Chapter 2

A Theory of the Contest

The preceding chapter stated a thesis and four propositions. This one supplies the theory they rest on, because a book that argues from three industrial precedents to a fourth needs to say *why* the analogy should transfer, and an argument built on the phrase "openness as a weapon" needs to explain what openness does to rents rather than merely asserting that it destroys them. Four bodies of theory are load-bearing: the production economics of intelligence, the literature on general-purpose technologies, industrial-organization and ecosystem theory, and the discipline of probabilistic forecasting. Readers who want the narrative can skip to Part I and return here when the argument makes a claim they doubt; readers who suspect the book of motivated reasoning should start here, because this is where its machinery is exposed.

2.1 The production economics of intelligence

Treat delivered intelligence as an output with a production function and a demand curve, and most of the confusion in the public debate resolves.

2.1.1 The cost stack

The cost of delivering one unit of *useful* AI work—not one token, but one completed task—decomposes into seven layers, each with its own learning curve and its own competitive dynamics:

$$C_{\text{task}} = \underbrace{c_{\text{pre}} + c_{\text{post}}}_{\text{amortized model creation}} + \underbrace{c_{\text{inf}}}_{\text{inference}} + \underbrace{c_{\text{int}} + c_{\text{org}}}_{\text{integration and adoption}} + \underbrace{c_{\text{comp}}}_{\text{complementary capital}} + \underbrace{c_{\text{trust}}}_{\text{assurance}}.$$

Frontier pretraining (c_{pre}) is a fixed cost amortized over deployment volume—which is precisely why an actor that gives models away and captures volume elsewhere can rationally spend on it, and why an actor that must recover it from metered access cannot cut price below the amortization line. Post-training and synthetic-data generation (c_{post}) has become a large and rising share, and it is where reinforcement learning converts compute into capability without a new pretraining run. Inference (c_{inf}) is the term everyone quotes and the only one falling at 10× per year. Integration and organizational adoption ($c_{\text{int}}, c_{\text{org}}$) are the terms enterprise buyers actually experience, and they are *not* falling—which is the single best explanation for the awkward fact of Chapter 8 that open-weight usage share rose while open-weight *spend* share fell. Complementary capital (c_{comp})—data pipelines, evaluation harnesses, process redesign, skilled staff—is the term the productivity literature identifies as the reason general-purpose technologies show up in the statistics years after they show up in the laboratories. And assurance (c_{trust}), the subject of Chapters 14 and 15, is a cost the commons has so far mostly *not* paid, which is why its apparent price advantage overstates its delivered advantage in regulated settings.

Two consequences follow immediately. First, *commoditization of c_{inf} does not commoditize C_{task}*; it merely shifts the binding constraint to the terms that are not falling. This is why this book's claim about rent destruction is bounded to the model layer and stated as a hypothesis at the service layer. Second, the terms differ in who bears them: a national research system pays c_{inf} and c_{org} but can socialize c_{trust} through a shared certification body, which is the economic argument for Chapter 22 stated in one line.

2.1.2 Four learning curves, not one

Part I's precedent industries had a single dominant learning curve—manufacturing—and Wright's law described it. AI has at least four, and they move at different speeds and reward different actors: *hardware* learning (fab yield, packaging, system integration: the classic curve, and the one China's industrial machine is built for); *algorithmic* learning (architecture, sparsity, precision, attention—roughly a threefold annual efficiency contribution on published estimates, and the curve on which Chinese laboratories have contributed most per dollar); *software and kernel* learning (compilers, serving stacks, collective libraries—the curve where the incumbent's seven-year CUDA lead lives, and where the LineShine class is furthest behind); and *operational* learning (fleet reliability, utilization, scheduling, failure recovery—the curve nobody publishes and every hyperscaler competes on). A country can lead on two and lose on two. Chapters 8 and 9 argue China leads the algorithmic curve and is buying the hardware curve, while the software and operational curves remain the West's strongest defensive positions—which is a more precise statement of this book's thesis than any claim about model rankings.

2.1.3 Efficiency price cuts versus strategic price cuts

A discipline the book owes its reader: a falling price is not evidence of a falling cost. Price declines from genuine efficiency (c_{inf} falling) are durable and reprice the industry permanently. Price declines from strategic subsidy—state-discounted power, below-cost token pricing to buy adoption, capacity subsidized by a provincial balance sheet—are reversible, and their strategic function is to acquire the volume that generates the learning that eventually makes them durable. Part I shows this sequence completing three times: solar, batteries, and EVs all passed through a below-cost phase whose losses landed on Chinese balance sheets and whose learning stayed. The correct reading of Chinese token pricing is therefore neither "dumping, therefore fake" nor "cheap, therefore superior technology," but *a subsidy purchasing a position on a learning curve*—with the empirical question being whether the curve delivers before the subsidy exhausts patience.

2.1.4 The demand side, and why it decides everything

The whole financial argument of this book turns on one question that can be stated without any mathematics at all: *when the price of AI falls, does the money spent on AI go up or down?* If buyers respond to cheaper tokens by buying so many more of them that total spending rises, the incumbents' capital expenditure is vindicated. If they buy more but not enough more, total spending falls, and every valuation premised on the old price collapses with it. Everything below is that sentence made precise.

Three quantities are needed. Let P be the *quality-adjusted price* of delivered AI—the price of a fixed amount of useful work, not of a token, so that a model which halves its price while doubling the tokens it burns per task has not moved P at all. Let Q be the *quantity* of that work purchased per period. Let $R = P \times Q$ be the resulting *revenue* of the sellers, which is what valuations discount.

The responsiveness of quantity to price is the *own-price elasticity of demand*, written ϵ and defined so that it is a positive number:

$$\epsilon \;=\; -\frac{\partial \log Q}{\partial \log P} \;>\; 0.$$

In words: ϵ is the percentage rise in quantity produced by a one-percent fall in price. (The logarithms simply convert "percentage change" into arithmetic that adds up; the minus sign makes ϵ positive, because quantity moves opposite to price. An ϵ of 2 means a 10% price cut brings a 20% volume increase.) The convention is stated explicitly because the sign is inconsistently defined in the literature, and a sign error inverts the conclusion.

Since $R = PQ$, taking logarithms gives $\log R = \log P + \log Q$, and differencing gives the relation this book uses throughout, where $\Delta \log X$ denotes a proportional (percentage) change in X:

$$\Delta \log R \;=\; \Delta \log P + \Delta \log Q \;=\; (1 - \epsilon)\,\Delta \log P.$$

Read the result rather than the derivation. If $\epsilon > 1$, the bracket $(1 - \epsilon)$ is negative, so a *falling* price ($\Delta \log P < 0$) produces *rising* revenue: demand is *elastic*, and price cuts pay for themselves. If $\epsilon < 1$, demand is *inelastic*, the bracket is positive, and falling prices shrink the industry's revenue even as its output grows. The knife-edge at $\epsilon = 1$ is exactly the boundary between the bull and bear cases for the entire Western AI complex, which is why Chapter 17 returns to it.

The refinement that single-number arguments on both sides miss is that ϵ is not a number but a *portfolio*. It is plausibly well above one for coding agents, synthetic-data generation, video, and the scientific inference of Chapter 20, where cheaper tokens unlock work that was previously uneconomic and demand is bounded only by budget. It is plausibly near or below one for consumer chat and routine summarization, where consumption is bounded by human attention rather than by price—nobody reads twice as many chatbot replies because they became free. Aggregate behaviour is a spending-weighted mixture of segment elasticities, which is why neither camp's single figure predicts it, and why this book treats the aggregate as unresolved rather than assumed.

2.1.5 From own-price elasticity to differentiated-system profit

The own-price relation just derived answers "what happens when *the* price falls," and that is the wrong question for this book's third proposition. There is no single AI product with a single price. There is a Chinese open-weight model that can be downloaded, an American closed model sold through a metered interface, and a dozen intermediate offerings, and the strategic question is not how buyers respond to a price cut but *which system they choose when the alternatives differ in price, capability, trustworthiness, and ease of integration all at once.* That is a question about substitution between differentiated products, and it needs a different instrument. The distinction is not a refinement; a book that argues P3 from own-price elasticity alone is answering a question nobody in this market actually faces.

Index the competing systems by i, and let j stand for its rivals—so P_i is the price of system i and P_j the price of the competing system, and likewise for every other quantity. Four attributes decide a purchase:

P — **price** what the buyer pays per unit of delivered work, as in §2.1.4.

q — **capability** how good the system is at the buyer's actual task: the quality dimension that lets a more expensive system win anyway.

τ — **trust and assurance** whether the system's provenance, behaviour, and liability can be established to the standard the buyer's sector requires—the subject of Chapter 14, and the reason a regulated buyer may refuse a free model outright.

I — **integration and distribution** how much work it takes to connect the system to the buyer's existing data, tools, and processes, and whether it is already in front of the user—the c_{int} and c_{org} terms of the cost stack (§2.1).

Demand for system i then depends on all eight quantities, its own and its rival's:

$$Q_i \;=\; Q_i(P_i,\, P_j,\, q_i,\, q_j,\, \tau_i,\, \tau_j,\, I_i,\, I_j)\,.$$

The content of that expression is entirely in what it refuses to omit. A price-only model deletes q, τ, and I, and therefore predicts that a free model with adequate capability sweeps the market. The real world contains buyers who will not deploy an unauditable artifact at any price, and buyers for whom switching cost exceeds several years of licence fees, which is why open-weight *usage* share and open-weight *spending* share have moved in opposite directions (Chapter 8).

Now the seller's side. Write π_i for the profit of system i, MC_i for its *marginal cost* (the cost of serving one more unit of work—for AI, essentially inference), and K_i for its *fixed cost* (model development: the pretraining run, the research programme, the salaries, incurred before the first unit is sold). Then

$$\pi_i \;=\; \underbrace{(P_i - MC_i)\,Q_i}_{\text{gross margin on the model itself}} \;-\; \underbrace{K_i}_{\text{development}} \;+\; \underbrace{R_i^{\text{complement}}}_{\text{rent from everything adjacent}},$$

where $R_i^{\text{complement}}$ collects the profits the seller earns *elsewhere* because this system exists and is widely used: cloud services it pulls through, hardware it sells, advertising it enables, proprietary data it accumulates, applications and support it attaches, integration it bills for.

That third term is the book's central insight rendered as an accounting identity. Openness relocates rent rather than necessarily destroying it, and here is the mechanism: a seller can rationally drive P_i down to MC_i, or below it, *whenever the extra volume* Q_i *that results raises* $R_i^{\text{complement}}$ *by more than the margin given up.* Giving the model away is not charity and not dumping; it is a bet that the complement is where the scarcity will sit. Both flywheels of §2.3.3 are strategies for maximizing $R^{\text{complement}}$, differing only in which complement each side believes will be scarce in 2030—and Table 17.4 in Chapter 17 is simply this term, itemized.

The same formulation disciplines this book's own thesis, and it corrects a tempting overreach: it is *not* true that "the Chinese position wins under either elasticity regime." A low-cost position fails strategically if pricing stays below full cost while K_i cannot be recovered; if trust and integration terms (τ, I) dominate the purchase decision so that price undercuts do not move Q; if thin margins starve the operational-learning loop that was the point of buying volume; or—the American flywheel's theft, now expressible in the notation—if US application providers build atop Chinese weights, capturing the customer relationship and its $R^{\text{complement}}$ while the weights earn nothing, leaving the open stack with tonnage and no margin. What the elasticity regimes do determine is asymmetric *exposure*: the leveraged Western capital structure requires $\epsilon > 1$ at the premium tier specifically, while the Chinese position degrades more gracefully under the unfavourable regime because its costs are lower and its rent expectations sit in hardware, standards, and infrastructure rather than in model-layer margin. Graceful degradation is a real advantage; it is not a theorem of victory, and Chapter 17's indicators are what decide the empirical question.

2.2 AI as a general-purpose technology

A terminological warning. Economists abbreviate *general-purpose technology* as **GPT**, a usage that predates the model family sharing those initials by roughly three decades. The collision is unfortunate and unavoidable, since both terms are standard in their fields and this book needs both. *Throughout this book, "GPT" in the economic sense—and only in that sense—is written out in full as "general-purpose technology." The bare acronym GPT always refers to the OpenAI model family* (GPT-4, GPT-5.6, and so on). Where the phrase "GPT literature" appears, it means the economics literature cited in this section.

The solar–battery–EV analogy is productive and incomplete, and Chapter 7 already states its limits. The deeper correction is categorical: those are manufactured product systems, whereas AI is also a *general-purpose technology*—a technology that is pervasively applicable across sectors rather than confined to one, that continues improving for decades after introduction, and that provokes complementary innovation in the industries adopting it, so that its economic effect arrives mostly through what *other* sectors build with it [359, 360]. Electricity, the semiconductor, the internal-combustion engine, and the Internet are the canonical instances. That places AI closer to those than to the photovoltaic module, and it changes what "winning" can mean: a country can dominate the production of a general-purpose technology and still capture little of its value, because most of the value appears downstream in the hands of whoever deploys it best.

2.2.1 Four layers of winning

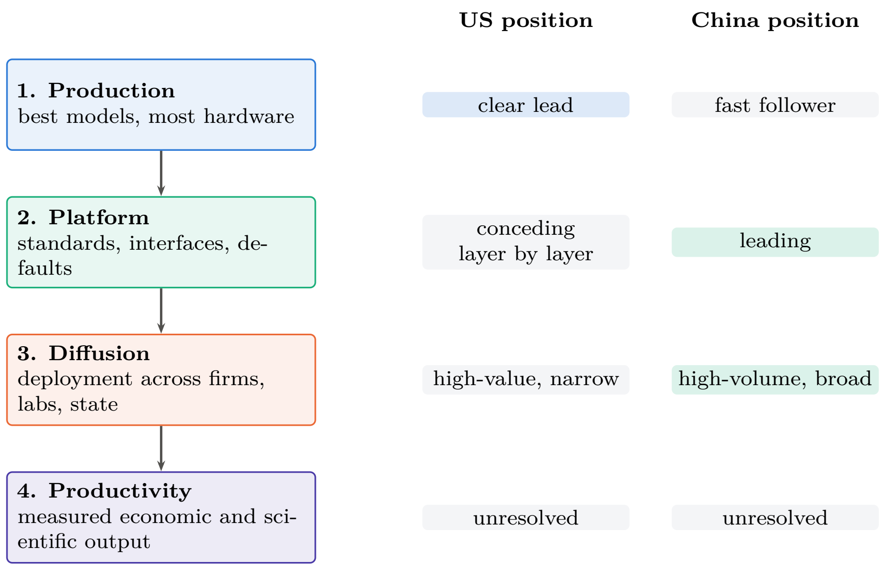


Figure 2.1: Winning has four meanings, and they are won separately. The press scores layer 1; the general-purpose-technology literature locates most realized value at layers 3 and 4, arriving late and only after complementary investment [361]. Positions shown are this book's assessment as of the version stamp [S]; layer 4 is genuinely unresolved for both parties, which is the honest state of the question.

A general-purpose-technology contest is decided at four distinct layers, and a country can lead one while losing another (Figure 2.1):

Production leadership — who makes the best models and the most hardware. This is the layer the press scores, and the only one on which the United States is unambiguously ahead.

Platform leadership — who sets the standards, the interfaces, the reference implementations, and the default stack. Chapter 16 argues this layer is going to whoever opens fastest, and that the incumbent is conceding it a layer at a time.

Diffusion leadership — who actually deploys the technology across firms, laboratories, hospitals, and government. This is where the general-purpose-technology literature locates most of the realized value, and where the productivity J-curve says the returns arrive late and only after complementary investment [361].

Productivity leadership — who converts the first three into measured economic and scientific output. This is the only layer that ultimately matters, and it is the least observable in real time.

Two asymmetric failure modes follow, and both are historically attested. A country can *lead the core technology and underperform* if its institutions fail to diffuse it—the standard reading of the productivity paradox, and a live risk for an American ecosystem whose AI value

Table 2.1: The four layers of general-purpose-technology winning as a matrix: definition, positions, and what to watch.

Layer	Definition	US position	China position	Observable metric	Grade
Production	best models, most hardware	leads absolute frontier	leads open frontier; 41% domestic chip share	AI Index gap; shipment shares	V
Platform	standards, interfaces, default stack	CUDA moat; conceding ISA layer	RISC-V, UB, CANN opened; state-mandated interop	standards adoption; derivative-model share	V/A
Diffusion	actual deployment across the economy	enterprise pilots failing at high rates	46% global model share; Global South default	routed tokens; production deployments	V/A
Productivity	measured economic and scientific output	unmeasured; J-curve lag	unmeasured; SDG-survey signals only	sector productivity series; Eq. 20.3	M/S

is concentrated in a handful of firms and whose enterprise pilots reportedly fail at high rates. And a country can *fail to dominate the core technology and still capture enormous gains* through complementary organizational and industrial change—which is, precisely, the strategy this book attributes to China, and the reason the "but the best model is American" rebuttal misses the argument.

2.2.2 Why this strengthens the AI-for-Science case

The general-purpose-technology framing does something else important: it explains why AI for Science (AI4S) is categorically different from other application markets rather than merely larger. In general-purpose-technology terms, science is where the *innovation complementarity* operates at maximum strength—AI improving the production of new materials, drugs, energy systems, algorithms, and semiconductor technology, each of which feeds back into the technology's own production function. Chapter 20 makes that argument empirically; here it is placed in its theoretical home. A general-purpose technology that accelerates the production of general-purpose technologies is the mechanism behind every explosive-growth model in the literature, and also the reason the sober estimates that exclude it arrive at small numbers.

2.3 Industrial organization: openness relocates rent, it does not abolish it

This book's central slogan—openness as a weapon—requires the discipline that industrial-organization theory imposes. Open layers do not destroy profit; they *commoditize complements* so that rent reappears in an adjacent, controlled layer. The correct strategic question is therefore not whether a layer is open but where the opener expects the rent to return.

2.3.1 The rent-relocation table

Read the last row as the actual strategic bet each side is making. China opens the layers where it is behind or where openness buys adoption, and expects to collect in volume, standards, and infrastructure—the layers its industrial system is best at. The United States keeps the layers where it is ahead and expects to collect in capability, distribution, and integration—the layers its corporate system is best at. *Neither is being altruistic and neither is being naive*; they are making opposite bets about which layer will be scarce in 2030. This book's thesis is a bet on the Chinese reading, and Chapter 23 states what would show it wrong.

Table 2.2: Where each side opens, and where it expects rent to reappear. Opening a layer is a claim about the adjacent layer.

Layer	China: open or controlled?	United States: open or controlled?
Model weights	**Open** (MIT/Apache flagships)	**Controlled** (metered closed frontier)
Instruction set	**Open** (RISC-V, national policy)	Controlled via Arm/x86 licensing, but conceding—CUDA now hosts on RISC-V
Interconnect / cluster spec	**Open** (UnifiedBus published; state-mandated interop)	**Controlled** (NVLink; consortium alternatives exclude China)
Framework / kernel stack	**Open** (CANN, MindSpore open-sourced)	**Controlled** (CUDA; the deepest moat)
Expected rent recapture	hardware volume, domestic cloud, national standards, data-centre and energy construction, embedded AI products, dependence of the adopting stack	premium model capability, distribution and habit, enterprise integration, trusted deployment, proprietary data, agent platforms, cloud orchestration

2.3.2 The concepts the book uses, named

Several ideas recur throughout and are worth naming in their standard forms, so that readers can connect the argument to the literature it draws on: the *industrial commons*—the shared pool of engineers, suppliers, and tooling whose loss makes re-entry infeasible, which is what Part I claims the West surrendered three times; *ecosystem competition*, where the unit of rivalry is a coalition rather than a firm [367]; *modularity and vertical integration*, which determine where value can be captured and which Baldwin and Clark's design-rules framework formalizes [366]; *platform envelopment*, the move by which an incumbent in one layer absorbs an adjacent one—exactly what CUDA-on-RISC-V is, read charitably; *complements and bottlenecks*, the reason commoditizing your complement raises your own margin; *standards capture* and *architectural control points*, the subject of Chapter 16; *dynamic capabilities*, the firm-level ability to reconfigure that explains why some incumbents survive transitions [365]; and *disruptive versus sustaining trajectories*, which is the correct frame for the LPDDR-versus-HBM argument—a technology that is worse on the incumbent's primary metric (bandwidth), better on a neglected one (capacity per dollar), and initially adopted by customers the incumbent does not want [364]. Schumpeter supplies the background claim that this is how growth normally happens [362], and Porter the reminder that structure, not virtue, determines who profits [363].

2.3.3 The dual flywheel

The contest can now be drawn (Figure 2.2). The American flywheel runs *capability → premium pricing → capital formation → larger clusters → stronger frontier models → distribution and application revenue*. The Chinese flywheel runs *open deployment → volume → learning and optimization → lower cost → broader adoption → standards and hardware demand → further deployment*. Each is internally coherent, each has historical precedent, and—the point that matters—*they can coexist*. The contest is not necessarily winner-take-all.

What makes it a contest rather than two parallel businesses is that each flywheel can appropriate the other's critical input. The Chinese wheel steals the American wheel's *volume*: application demand routed to open weights is demand that does not fund the next frontier run, and the capital-formation step is the American wheel's most fragile link (Chapter 17). The American wheel steals the Chinese wheel's *value*: closed agents capturing the highest-value workflows leave the open stack serving high-volume, low-margin traffic, which is the classic fate

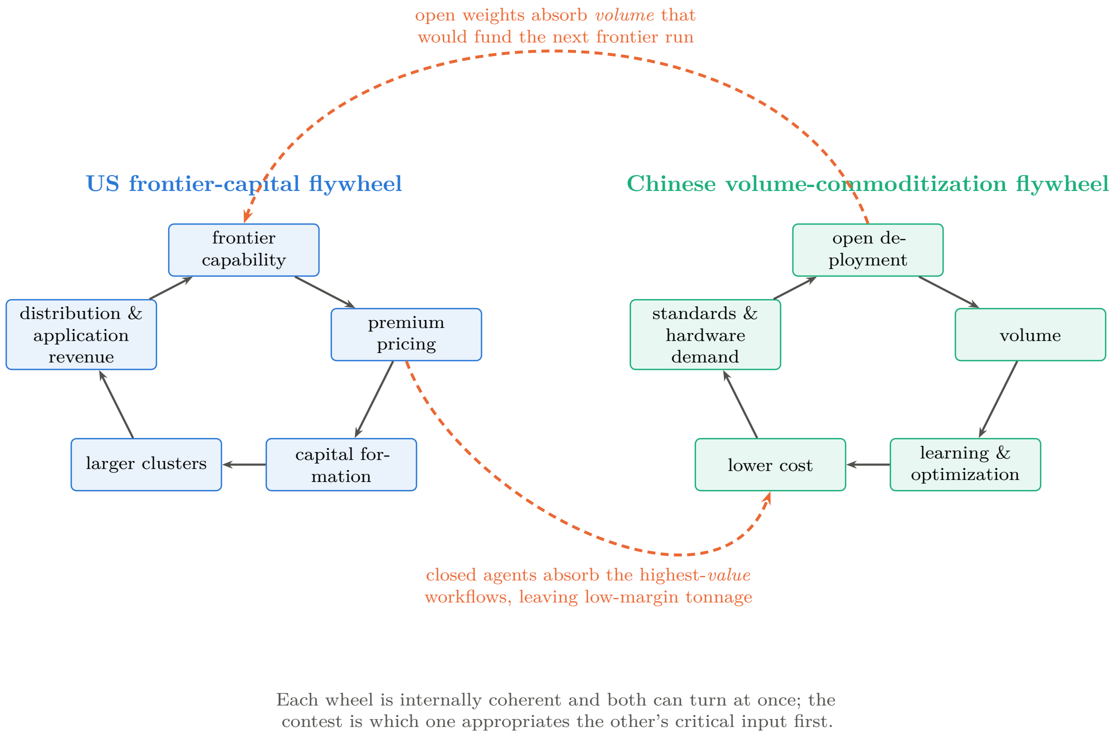


Figure 2.2: Two coherent strategies, two thefts. The American wheel converts capability into price into capital into more capability; the Chinese wheel converts openness into volume into learning into lower cost into more adoption. Neither is irrational and neither requires the other to fail. The strategic contest is the pair of dashed arrows: whether open weights absorb enough application volume to starve the capital-formation step, or whether closed agents capture enough of the high-value workflows to leave the open stack with tonnage and no margin. Both are observable in the indicators of Chapter 17.

of a commoditized layer, and which would leave China with the tonnage and America with the profit. Both thefts are observable in the indicators of Chapter 17, and which one dominates is, on this book's reading, the single most important unresolved empirical question in the field.

2.4 Forecasting discipline

The final piece of theory is methodological. A book making contingent claims about a fast-moving system should state them as forecasts with horizons, probabilities, and falsifiers—not because the numbers are precise, but because the alternative permits confidence in one part of the argument to leak into another. Appendix H therefore carries every load-bearing proposition with a probability, a horizon, an evidence grade, a next verification event, and an explicit falsifier; Chapter 17 prints two probability sets side by side—the author's and the strongest skeptical case against it—rather than one; and Chapter 23 states the six developments that would falsify the thesis outright. The purpose is not false precision. It is that a reader in 2028 should be able to establish, mechanically, which parts of this book were right.

Part I

The Precedents: Three Wars Already Won

Chapter 3

Solar Photovoltaics: The Template

Solar PV is the template war: the first, the most complete, and the one whose mechanics were most visibly repeated in batteries and EVs. Every structural element of the playbook appears here in its purest form, and the final state—above 90% Chinese share at every stage of the supply chain—defines what "winning" means in this book.

3.1 The West invents, the West leads (1954–2007)

The silicon solar cell was invented at Bell Labs in 1954; the modern PV industry was built on American, German, Japanese, and Australian science. As late as 2006, Sharp of Japan was the world's largest cell producer; in 2007 Germany's Q-Cells overtook it at 370 MW of annual production [3]. Demand was created almost entirely by Western policy: Germany's 2004 EEG amendment set rooftop feed-in tariffs at 57.4 euro cents per kWh, guaranteed for twenty years, igniting the first global solar boom [4]. The scientific pipeline that would matter most, however, ran through Australia: Shi Zhengrong, a PhD student of Martin Green at UNSW, returned to China to found Suntech Power in Wuxi in 2001—with municipal-government seed capital.

3.2 The first scale-up and the first bankruptcies (2005–2013)

Suntech listed on the NYSE in December 2005—the first private Chinese company to do so—and Shi briefly became the richest man in China; by end-2011 Suntech's capacity had reached 2 GW [5]. Chinese producers, feeding on German and later Italian and Spanish FiT demand, scaled cell and module manufacturing at a pace no Western firm attempted. The financing was policy: in 2010 alone, the China Development Bank extended approximately $47 billion in credit lines to renewable-energy manufacturers, including $7.8 billion to Suntech, $5.6 billion to Yingli, and $4.7 billion each to Trina and JA Solar [6]. In October 2010 the State Council designated new energy one of seven Strategic Emerging Industries, and the 12th Five-Year Plan for Solar PV set explicit industrial targets [7].

The polysilicon price collapse did the rest. Spot polysilicon peaked near $475/kg in March 2008; by December 2012 it was below $16/kg [8]. Western and Japanese incumbents, structured for high-price niche markets, were annihilated by the combination of Chinese capacity and collapsing input costs: Solyndra failed in 2011 despite a $535 million US loan guarantee; Q-Cells—world number one four years earlier—entered insolvency in April 2012 and was sold to Korea's Hanwha; SolarWorld, the petitioner of the US trade cases, followed in 2017 [9, 10, 11].

Notably, the shakeout consumed the Chinese pioneers too. In March 2013 Suntech defaulted on $541 million of convertible bonds—the first mainland Chinese default on US bonds—and its Wuxi subsidiary entered bankruptcy [5]. This is a recurring and under-appreciated feature of the playbook: China does not protect its champions individually; it protects the *industry*, and lets domestic competition kill firms freely. The capacity, the workforce, and the supplier network survive the corpses.

3.3 Trade defenses fail (2012–2018)

The Western response was tariffs. The US Commerce Department's October 2012 determinations set anti-dumping margins of 18–32% on major Chinese producers (250% country-wide) plus countervailing duties of 15% [12]. The EU imposed provisional duties in June 2013, scheduled to average 47.6%, but—under Chinese pressure on other trade fronts—settled within weeks for a minimum-import-price undertaking [13]. The 2018 US Section 201 safeguard added a 30% tariff [14].

None of it worked. Chinese producers moved cell and module assembly to Southeast Asia, moved up the value chain, and—decisively—kept the learning curve. Tariffs taxed Western deployment without resurrecting Western manufacturing; by the time the tariff walls were fully built, there was no meaningful Western industry left inside them to protect.

3.4 Domestic demand as strategic ballast (2011–2026)

From 2011 China built a domestic FiT-driven market that eventually dwarfed the export markets, insulating its manufacturers from Western trade policy entirely. The "531" shock of May 2018—an overnight cut of FiTs and subsidized quotas—was itself a deliberate stress test that culled weaker producers [15]. The Top Runner auctions (2015–2017) tied market access to efficiency floors, forcing PERC and mono-crystalline technology from niche to standard [16]. Domestic installations reached 277 GW_{AC} in 2024 and 315 GW_{AC} in 2025 (roughly 415 GW_{DC}, about 60% of world additions), bringing cumulative Chinese capacity to 1.2 TW—by itself more than the entire world had installed as of 2022 [17, 18].

3.5 The end state: total supply-chain capture

Table 3.1 shows the 2023 production shares by stage. The IEA's assessment is that shares of polysilicon, ingot, and wafer capacity are converging on 95%; nine of the top ten polysilicon producers are Chinese (Germany's Wacker, the survivor, fell to eighth); and Chinese manufacturing costs run 10% below India, 20% below the US, and 35% below Europe [19, 20]. Global module capacity reached ∼1.8 TW/yr in 2025 against ∼0.6–0.7 TW of demand [21]; China exported 268 GW of modules in 2025, and cell exports grew 73% as tariff-protected markets imported the layer below the tariff line instead [22, 23].

Table 3.1: Chinese share of global PV production by stage, 2023, and price collapse.

Stage	China share 2023	Note
Polysilicon	92%	93.5% in 2024; 9 of top 10 firms
Wafers	98.1%	near-monopoly
Cells	92%	cell exports +73% in 2025
Modules	84.6%	∼1.8 TW/yr global capacity
Module price	$106/W (1976) → $0.09–0.10/W (2026)	
Learning rate	∼20% price decline per doubling of cumulative capacity	

The cost curve is the weapon. Across five decades the module price fell from $106 per watt to roughly nine cents—a 99.9% decline—following a Wright's-law learning rate of about 20% per doubling of cumulative production [1, 24]. Whoever manufactures the doublings owns the learning; from roughly 2010 onward, essentially all doublings were Chinese. Figure 3.1 shows both halves of the result: the curve, and the stage-by-stage capture at its end.

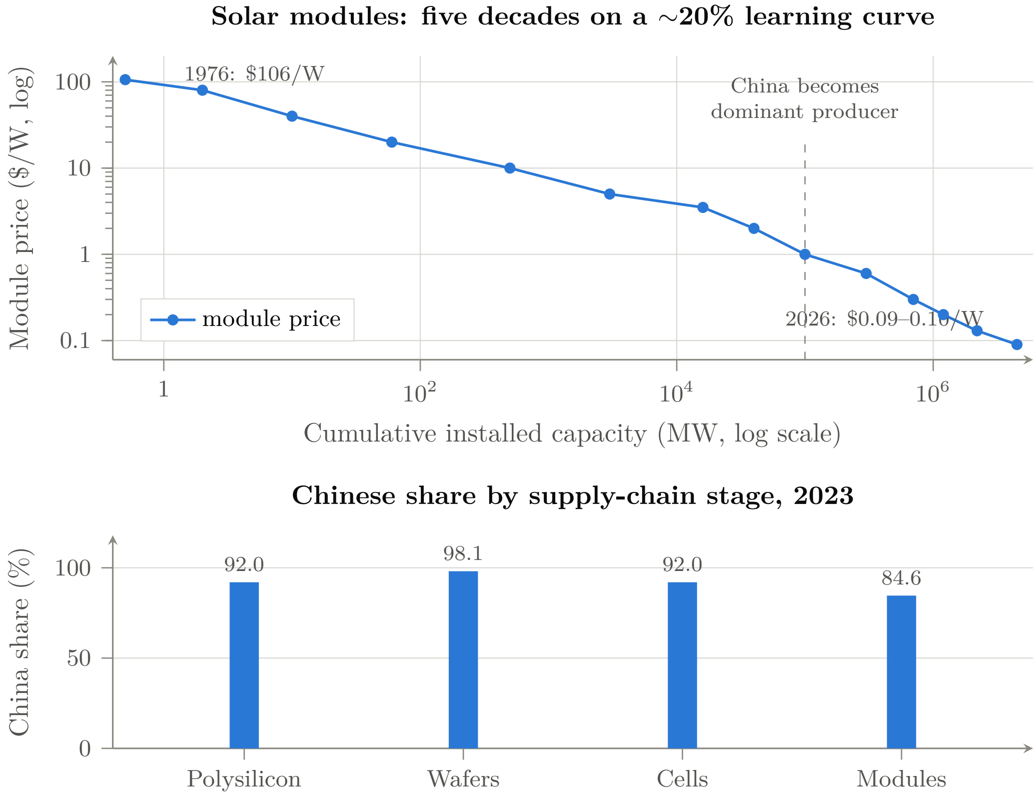


Figure 3.1: The template war. *Above*: module price against cumulative installed capacity, both log scales—a Wright's-law decline of roughly 20% per doubling, from $106/W in 1976 to $0.09–0.10/W in 2026 [1, 24]. Whoever manufactures the doublings owns the learning; from about 2010 essentially all doublings were Chinese. *Below*: 2023 production shares by stage [2]. Values [V]; the price series mixes contemporaneous reporting with index reconstruction and is directional at any single point.

3.6 Winning is expensive: the involution phase

Victory did not end the war economics. With capacity at triple demand, 2024–2025 prices fell below cash cost across the chain: polysilicon dipped under $4.50/kg, and five Chinese majors forecast combined 2025 net losses of RMB 29–33 billion ($4.1–4.7 billion) [25]. Beijing's response is instructive for the AI chapters: in July 2025 Xi Jinping personally launched the "anti-involution" campaign against "disorderly low-price competition"; the six largest polysilicon producers organized a ∼RMB 50 billion fund to buy out and retire a third of national capacity; and in December 2025 an official "storage and integration platform" was chartered to manage polysilicon supply—an OPEC-for-solar [26, 27, 28]. Having captured the industry, the state now moves to cartelize it and harvest stable rents. Meanwhile technology leadership has also passed to China: LONGi holds the world perovskite-tandem efficiency record (35.5%, July 2026), and Trina leads global perovskite patent filings [29, 30].

3.7 The Western rebuild that wasn't

The US Inflation Reduction Act briefly built module-assembly capacity from 8 GW to 56.5 GW (mid-2025), but cell capacity barely materialized, and the July 2025 OBBBA phase-out of deployment credits cut ten-year US installation forecasts by 17–41% [31, 32]. First Solar survives—profitably—as a CdTe niche protected by tariffs and its non-silicon technology; it produced 16.1 GW in 2025, roughly *one fortieth* of Chinese module shipments [33]. That ratio, four decades after the US invented the technology, is the terminal scoreboard of the first war.

3.8 Lessons carried forward

Four lessons from solar recur throughout this book. *First*, trade barriers imposed after cost-curve capture protect nothing but domestic prices. *Second*, the champions are disposable; the industrial commons is not. *Third*, a subsidized home market large enough to absorb half of world demand makes foreign trade policy irrelevant. *Fourth*, the endgame of commoditization is state-managed consolidation—dominance first, margins later. Keep all four in mind when reading about open-weight models priced near zero.

Chapter 4

Lithium-Ion Batteries: Vertical Depth

If solar demonstrated the cost-curve war, lithium-ion batteries demonstrated something further: the capture of an entire vertical—from mine to refinery to cathode to cell to pack—such that even a competitor who builds a gigafactory outside China still builds it, in effect, *inside* the Chinese supply chain.

4.1 From Japan's invention to China's entry (1991–2011)

Sony commercialized the lithium-ion battery in 1991, building on Asahi Kasei's and John Goodenough's chemistry; Japan then Korea (LG Chem, Samsung SDI) led for two decades [34]. China's entry came through consumer electronics: BYD, founded in Shenzhen in 1995 with RMB 2.5 million and twenty employees, was by 2002 the world's largest nickel-cadmium battery maker with 65% of global production, supplying Motorola and Nokia [35]. CATL's lineage is similar: Robin Zeng's ATL (1999) built lithium-polymer cells for phones (and was sold to Japan's TDK); in 2011 Zeng spun the EV battery business out as CATL in Ningde [36]. The pattern—enter at the low-margin consumer end, accumulate manufacturing capability, then pivot into the strategic segment when the state creates demand—recurs in Part II.

4.2 The white list: protection by regulation, not tariff (2015–2019)

The decisive policy instrument was not a tariff but a certification. From 2015, NEV purchase subsidies applied only to vehicles using batteries from an MIIT-approved "white list" of 57 manufacturers—all domestic; LG and Samsung, which had just built Chinese plants, were excluded [37]. For four years, the world's largest and fastest-growing EV market was reserved, in effect, for CATL, BYD, and their domestic rivals. The list was scrapped in June 2019—precisely when the champions no longer needed it. Subsidy design was also used to steer chemistry: density-linked subsidies (2017–2019) pushed nickel-based NCM when that was deemed strategic, then cost-linked criteria (2020) resurrected LFP [38]. Regulation as industrial policy, adjusted dynamically, with foreign firms as designated losers.

4.3 The end state: shares and costs

The 2025 scoreboard (Table 4.1): a 1.19 TWh market, with CATL and BYD alone above 55% and Chinese makers collectively at 69% of installations and ~75% of deployment; China holds over 80% of the world's 4 TWh of cell manufacturing capacity, against 6–7% each for the EU

Table 4.1: Global EV battery installations, full-year 2025 (SNE Research) [39].

Maker	GWh	Share (%)
CATL (CN)	464.7	39.2
BYD (CN)	194.8	16.4
LG Energy Solution (KR)	108.8	9.2
SK On (KR)	—	3.7
Panasonic (JP)	—	3.7
Samsung SDI (KR)	—	2.4
World total	1,187.0	100.0
All Chinese makers	∼820	∼69

and US [39, 40]. Upstream the shares are deeper still: roughly 85% of anode capacity, 82% of electrolytes, 74% of separators, 70% of cathodes; over 90% of graphite processing; two-thirds of lithium and cobalt refining; and, through Tsingshan and partners, control of three-quarters of Indonesia's nickel refining [41, 42, 43].

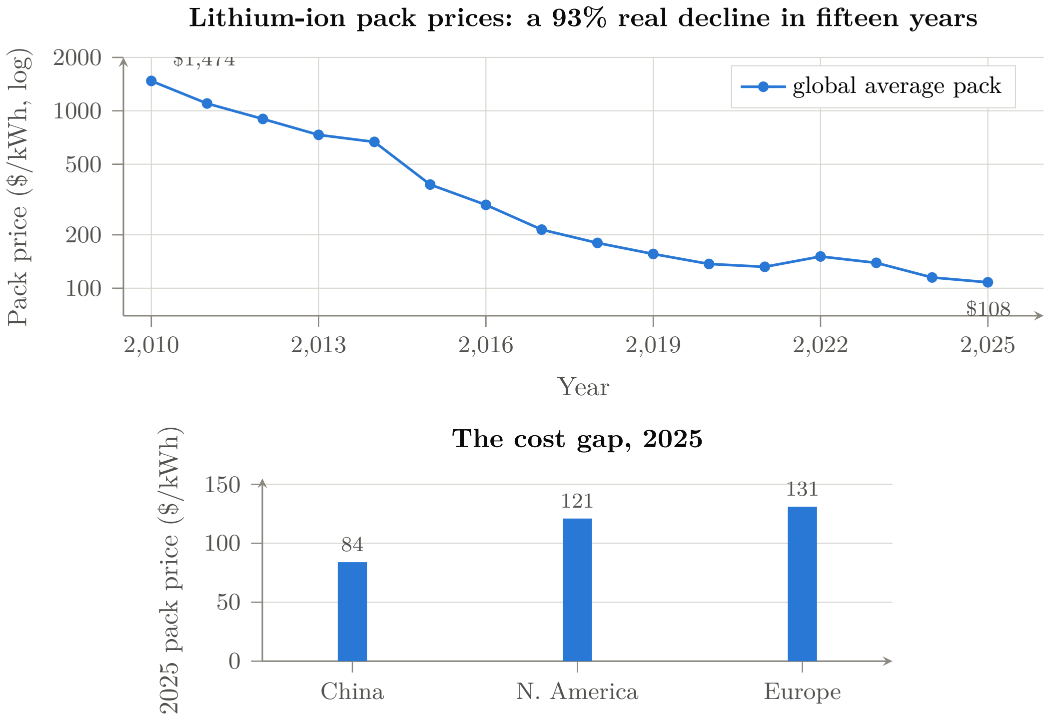


Figure 4.1: The second cost-curve war. *Above*: BloombergNEF's volume-weighted average pack price, real terms, 2010–2025 [44]; the 2022 uptick is the lithium spike. *Below*: the 2025 regional gap—North American and European packs run 44% and 56% above Chinese [44]. All values [V].

The cost curve replicated solar's. BNEF's pack price series fell from $1,474/kWh (2010) to $108/kWh (2025), a 93% real decline; the China-specific price is $84/kWh against $121 in North America and $131 in Europe—a 44–56% Western cost penalty at the pack level [44].

4.4 The LFP counterattack: innovation where the West wasn't looking

The most strategically instructive episode is lithium iron phosphate. LFP was invented in the West (Goodenough's patent, 1997) and dismissed by Western industry as an energy-density dead end; forecasts gave it 15–40% of the 2030 market. Chinese engineering—BYD's cell-to-pack Blade architecture, CATL's equivalent—recovered the density penalty at pack level, and LFP's cost, safety, and cycle-life advantages did the rest: LFP passed 50% of the *global* EV market in 2024 and 55% in 2025 [38, 40]. The West now licenses the technology it invented back from China: Ford's Michigan plant operates under CATL license, and a CATL–Stellantis JV is building a €4.1 billion LFP plant in Spain [45]. The lesson for AI: the "inferior" technology branch, industrialized ruthlessly at scale, beats the premium branch on system economics—a preview of the LPDDR-versus-HBM argument of Chapter 9.

China is now ahead on the next branches too: CATL's Naxtra sodium-ion line entered mass production in December 2025 (175 Wh/kg, 10,000 cycles, −40°C operation); second-generation Shenxing LFP charges 520 km in five minutes; BYD's platform charges at one megawatt [46, 47, 48]. Solid state remains genuinely open, but the IEA's sober assessment is prototypes industry-wide, with BYD targeting 2027 [40].

4.5 From protection to gatekeeping

The arc completed in 2025: the infant industry became the gatekeeper. In July 2025 MOFCOM placed LFP/LMFP cathode process technology and lithium-extraction technology under export license; in October the controls extended to high-energy cells (≥300 Wh/kg), anode materials, and the manufacturing equipment itself [49]. China now restricts the export of battery *technology* exactly as the US restricts semiconductors—the mirror image the West did not anticipate when it assumed technology flowed only one way.

4.6 The Western casualty list

The counterfactual competitors did not fail for lack of capital. Northvolt—Europe's champion, $15 billion raised from VW, BMW, Goldman—collapsed into the largest industrial bankruptcy in modern Swedish history (November 2024 Chapter 11; Swedish bankruptcy March 2025) having produced 79.8 MWh in three quarters of 2023, roughly *one five-thousandth* of CATL's annual output [50]. A123 had failed the same way a decade earlier, its assets bought by Wanxiang [51]. By mid-2025, 46 GWh of announced US cell capacity had been cancelled; LGES posted its first quarterly loss in three years and cut capex 30%; Panasonic cut its North American output projections [52, 53]. Grid storage, the next battlefield, is already decided: China deployed ∼65% of global BESS GWh in 2025, and storage packs from Chinese LFP oversupply price at $70/kWh [54, 44].

4.7 Lessons carried forward

Batteries add three lessons to solar's four. *Fifth*: regulatory market reservation (the white list) is more effective than tariffs and invisible to trade law. *Sixth*: vertical integration to the mine means a foreign competitor's factory is a hostage, not a rival—its cathodes, graphite, and equipment are Chinese regardless of its flag. *Seventh*: the dismissed-technology branch (LFP) is where cost-curve wars are won; watch what China industrializes, not what the West benchmarks.

Chapter 5

Electric Vehicles: The System-Level Win

EVs are the capstone precedent because the automobile is not a component but a *system*—the most complex mass-manufactured product in existence, wrapped in brands, dealer networks, safety regulation, and a century of incumbent advantage. If the playbook worked here, no consumer-industrial market is safe from it. It worked here.

5.1 The leapfrog decision (2001–2012)

The strategic insight predates Tesla. Wan Gang—an Audi engineer in Germany through the 1990s—persuaded Beijing around 2000 that China could never catch Toyota and VW in internal combustion, but could *leapfrog* them if the industry changed energy carrier; EV powertrains entered the state 863 R&D program in 2001, and Wan became Minister of Science and Technology in 2007 [55]. The early demand instruments were clumsy and mostly failed—the 2009 "Ten Cities, Thousand Vehicles" pilots missed most targets; fewer than 500 EVs were sold nationally in 2009 [56]. The state persisted anyway: NEVs were designated a Strategic Emerging Industry in 2010, and purchase subsidies, plate privileges, and procurement began compounding.

5.2 The demand machine (2013–2022)

Cumulative support to the sector, 2009–2023, is estimated by CSIS at $230.9 billion—purchase subsidies, tax exemptions, infrastructure, and R&D, a conservative figure excluding cheap credit and land [57]. The instruments were layered: purchase subsidies (wound down by end-2022, precisely as the market became self-sustaining); purchase-tax exemption extended through 2027; free "green plates" in cities where an ICE plate costs tens of thousands of dollars at auction; and the 2017 dual-credit mandate that forced every manufacturer, foreign JVs included, to produce NEVs or buy credits from those (BYD, Tesla) who did [58]. Beneath it all, infrastructure at a scale the West still does not comprehend: 19.3 million charging points by late 2025, of which 4.6 million public—roughly eighteen times the US public network [59].

The result is the fastest substitution event in automotive history (Figure 5.1): NEV retail penetration went from ∼6% (2020) to 27.6% (2022) to 47.9% (2024) to 54.1% full-year 2025, crossing 60% in December 2025 [60]. China has been the world's largest car market for seventeen consecutive years; in 2023 it passed Japan as the world's largest auto exporter, and exported 7.1 million vehicles in 2025 (2.6 million NEVs, doubling year-on-year); in June 2026 monthly exports passed one million for the first time, more than half NEVs [61, 62].

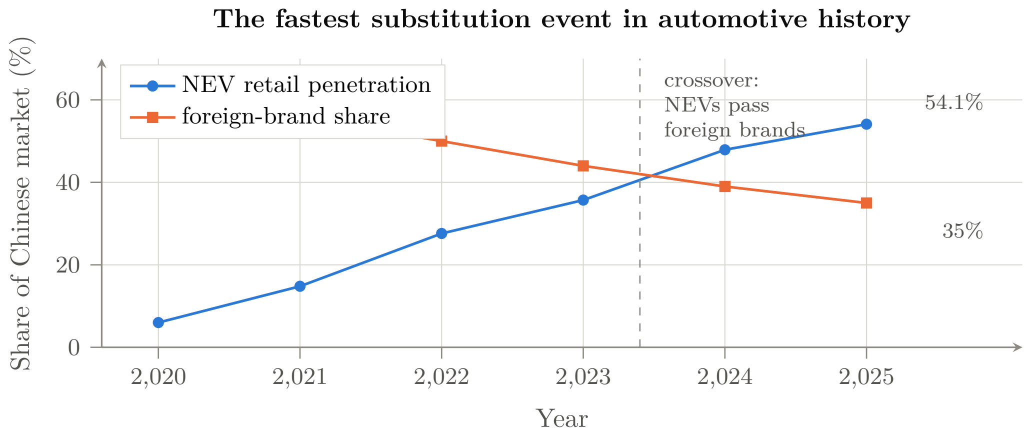


Figure 5.1: Two curves, one mechanism. New-energy-vehicle retail penetration in China against the share of the Chinese market held by foreign brands, 2020–2025 [V] [60, 64]. December 2025 monthly NEV penetration passed 60%. The technology transition that reset incumbency and the collapse of incumbency are the same event, viewed from two sides.

5.3 BYD: the vertically integrated apex predator

BYD is the pattern's exemplar. Battery maker first (Chapter 4), it acquired a moribund automaker in 2003 and spent fifteen years unremarkably; then the flywheel engaged: 416 thousand vehicles in 2020, 4.27 million in 2024, 4.55 million in 2025—taking the global BEV crown from Tesla by over 600,000 units [63]. The weapon is vertical integration: BYD makes approximately 80% of its Tier-1 components in-house—cells, motors, power electronics including IGBT and SiC dies from BYD Semiconductor—avoiding an estimated $2,369 per vehicle in supplier margins; Rhodium's teardown accounting puts BYD's structural cost advantage over Tesla at ∼$4,700 per vehicle, of which direct subsidy is under $300 [64]. The Seagull retails under $8,000 domestically. BYD even integrated logistics: an eight-ship ro-ro fleet, flagship capacity 9,200 vehicles, able to export a million cars a year [65]; and factories in Thailand, Brazil, Hungary, and Turkey place final assembly inside tariff walls.

Around the apex predator, an ecosystem of siege: Geely (3.0 million, owner of Volvo, Zeekr, and Lotus), Chery (1.34 million exported in 2025—one vehicle every 23 seconds), SAIC/MG (first Chinese brand past one million cumulative European sales), Xiaomi (289,000 orders for the YU7 in its first hour; 600,000 cumulative deliveries within 22 months of entering the car industry), XPeng, NIO, Li Auto, and Huawei's HIMA alliance [66, 67, 68]. Behind them, a graveyard: roughly 400 Chinese EV ventures died between 2018 and 2025 [69]. The state subsidizes the species, not the specimen.

5.4 The incumbents' collapse and the reverse technology flow

Foreign brands' share of the Chinese market fell from 62% (2020) to 35% (2025). GM, at 4.04 million Chinese sales in 2017, sold 1.8 million in 2024 and took over $5 billion in China write-downs; VW's China deliveries fell from 4.2 million (2019) to 2.7 million (2025) [70, 71]. The humiliation is qualitative, not just quantitative—the technology now flows backward: VW paid $700 million for 5% of XPeng and will license XPeng's autonomous-driving stack for its China EVs from 2026; Audi builds on a SAIC platform; Stellantis paid €1.5 billion for 20% of Leapmotor and distributes its cars; Toyota's China BEVs carry BYD powertrains [72]. A century of licensing ran the other way; it took one product generation to reverse it.

Western trade response repeated the solar script, with the same result so far: US 100% tariffs (May 2024) seal a market Chinese makers had barely entered; EU countervailing duties of 17–35%

(October 2024) are already being negotiated down toward a minimum-price regime while BYD's Hungarian, Turkish, and Thai plants tunnel under them [73, 74].

5.5 The EV as AI system: the bridge to Part II

The EV war matters to this book's argument for one further reason: the automobile became a software and AI platform in Chinese hands. Chinese suppliers hold ∼95% of global ADAS LiDAR shipments (Hesai, RoboSense); city-level navigate-on-autopilot deployed at scale in China from 2024; BYD fitted its "God's Eye" ADAS across its entire line down to the $8,000 Seagull at zero additional cost [75, 76]. McKinsey's 2026 assessment: Chinese vehicles are "frequently more advanced than their Western counterparts" in software and automated driving, developed on 20–24-month cycles against the West's 40–50, with ∼30% lower BOM and capex [77]. In other words: the first mass-market, safety-critical, embedded-AI product category is already Chinese-led—and it is the demand anchor for the domestic AI chips, LiDAR, and models of Part II. Rare-earth motor magnets, where China's April 2025 export controls idled Ford and Suzuki lines within weeks, previewed the supply-chain leverage now being assembled in AI inputs [78].

5.6 Lessons carried forward

The EV war contributes the final lessons. *Eighth*: pick the technology transition where incumbency resets to zero, and force the transition by regulation at home. *Ninth*: a system-level product won end-to-end pulls its entire component stack to dominance with it (batteries, LiDAR, power semiconductors, magnets)—and the converse: dominance in components makes the next system-level product cheaper to win. *Tenth*: speed is a weapon; a 2× development-cycle advantage compounds every generation. All ten lessons are now being applied to AI.

Chapter 6

The Playbook Distilled

Before turning to AI, it is worth compressing the three surveys into the invariant structure. Table 6.1 aligns the moves across the three won wars and their emerging AI equivalents; the rest of this short chapter states the mechanism in general form.

Table 6.1: The playbook across four wars. AI-column entries are developed in Part II.

Move (M1–M9)	Solar	Batteries	EVs	AI
M1 State designation	SEI 2010; 12th FYP	white list 2015	863 program; SEI 2010	"AI+" plan; 15th FYP; RISC-V guidance
M2 Home demand creation	national FiT; Top Runner	NEV subsidy linkage	$231B support; dual credit	state data centers mandated domestic chips; subsidized power
M3 Subsidized scale-up	CDB $47B credit lines	Big-Fund-style provincial capital	provincial EV funds	Big Fund III ($47.5B); SMIC/CXMT capex
M4 Darwinian domestic competition	2018 "531" cull	100+ cell makers → consolidation	∼400 dead EV firms	large-language-model (LLM) price war since 2024; chip-vendor shakeout beginning
M5 Supply-chain capture	poly → wafer → cell → module	mine → refine → cathode → cell	battery → chip → magnet → ship	model → framework → chip → interconnect → fab → DRAM
M6 Commoditize the rent layer	module $/W	pack $/kWh	vehicle BOM	open weights; $/Mtoken; open ISA/stack
M7 Absorb the "inferior" branch	mono-PERC, then TOPCon	LFP	BEV small cars	sparse MoE; LPDDR capacity vs. HBM bandwidth
M8 Standards capture	efficiency floors	GB safety standards	charging/swap standards	RISC-V profiles; matrix ISA; UnifiedBus; SuperPoD reference
M9 Leverage after victory	OPEC-for-poly	tech export controls 2025	rare-earth controls 2025	(pending)

6.1 The mechanism in general form

Table 6.1 inventories nine *tactical moves* (M1–M9), which recur in different orders across campaigns. The six *steps* below are the strategic sequence those moves serve. References elsewhere in this book name the move or step explicitly to keep the two numberings apart.

Step 1. Target selection. Choose an industry at a technology discontinuity, where the incumbent's accumulated advantage (ICE drivetrains, PERC lines, HBM-centric clusters) is about to be stranded, and where manufacturing learning-by-doing—not protected IP—is the true accumulating asset.

Step 2. Demand before supply. Use the home market—the largest single market on Earth for nearly everything—as guaranteed demand: subsidies, mandates, procurement reservation. Foreign firms are admitted precisely long enough to transfer capability (JV requirements, white-list exclusions), then outcompeted.

Step 3. Overcapacity as strategy. Fund capacity at multiples of world demand. Western economics reads this as waste; strategically it is the purchase of (a) the entire learning curve, (b) a permanent price umbrella too low for any entrant to survive under, and (c) wartime surge capacity. The losses land on Chinese balance sheets, provincial governments, and dead firms; the cost curve remains.

Step 4. Selection, not planning. Beijing does not pick the winning firm; it floods the sector and lets domestic combat select. Suntech died, LONGi rose; hundreds of EV makers died, BYD rose. The state's loyalty is to the industrial commons—the engineer pool, the supplier mesh, the tooling ecology.

Step 5. Commoditize the adversary's rent layer. Wherever the Western business model collects rent—the module, the pack, the badge, the API token, the ISA license—price it at marginal cost. Rents fund the West's R&D flywheel; destroying the rent destroys the flywheel. Openness (open weights, open ISAs, open specs) is this move in its purest form: the rent goes to zero *by construction*, and adoption—the true currency—accrues to the commoditizer.

Step 6. Endgame: cartelize and gatekeep. After victory, consolidate capacity (anti-involution), stabilize prices upward, and convert dominance into coercive leverage via export controls on the now-Chinese-controlled layer.

6.2 Two Western counter-patterns, both failing

Against this, the West has fielded two responses. *Tariff walls* (solar 2012, EVs 2024) arrive after cost-curve capture and merely tax domestic consumers while the walled market shrinks in relevance. *Chokepoint denial* (semiconductor export controls since 2019) is the more serious strategy and is the direct subject of Part II; its record so far is a pattern this book calls *chokepoint decay*: each denied input (EUV, HBM, H100s, EDA) triggers a state-scale substitution program plus an architectural detour around the input, while the denial itself hands the domestic substitute a guaranteed market—the white-list mechanism, imposed this time by Washington on Beijing's behalf. Export controls are, functionally, a US-funded market-reservation policy for Huawei, SMIC, CXMT, and Cambricon. Whether the decay outruns the West's lead is the empirical question of the next four chapters.

Chapter 7

Where the Analogy Breaks

A playbook argued from three victories owes the reader its defeats. The same state, spending comparable money under the same five-year-plan machinery—roughly $248B per year of industrial policy, 1.7% of GDP, more than any comparison country in absolute or relative terms [A] [241]—has run campaigns for two decades in sectors where dominance has *not* arrived. This chapter surveys them, extracts the variables that separate success from failure, and then applies the resulting model to AI honestly: some of AI sits squarely in the playbook's kill zone, and some of it carries exactly the properties that have defeated the playbook elsewhere.

7.1 The unfinished campaigns

7.1.1 Commercial aircraft and jet engines

COMAC's C919 is the anti-BYD. Nineteen years after program launch, deliveries ran ∼13 aircraft in 2025 against an original plan of 75—roughly two per month—while over 40% of core content, including the LEAP-1C engine (∼30% of aircraft cost), remains Western [V] [242]. The 2025 episode in which Washington suspended and then restored LEAP export licenses demonstrated live chokepoint leverage of exactly the kind that failed in solar [242]. The domestic CJ-1000A engine, in flight test since 2025 with certification targets that independent analysts call years optimistic [P/A], and EASA's stated three-to-six-year horizon for European certification, bound the escape [P] [243, 244]. Domestic market share: ∼7% against a Made-in-China-2025 target of 10% [162].

7.1.2 Lithography, and the deep tool chain

Chapter 10 treated lithography as the hard floor; here it serves as the control case. Against etch at 30–35% localization and cleaning above 50%, lithography stands below 5%; SMEE ships at 90 nm; the one domestic immersion-DUV tool in fab testing resembles ASML's 2008-generation machine; and a claimed 28 nm breakthrough was publicly retracted by SMEE's own shareholder [A/P] [245, 157]. Beneath the scanners, the pattern repeats fractally: ArF photoresist below 10% domestic, precision vacuum valves below 10% against VAT's 60–70% global share, electron microscopes over 90% imported [245, 246]. Twenty years and three Big Funds have not cracked it.

7.1.3 Machine tools, reducers, and the precision economy

High-end five-axis CNC machine tools: ∼8% domestic against an 80% target, with Japan and Germany holding the balance [V] [247]. Robot harmonic reducers: Harmonic Drive Systems held ∼85% of the world market as late as 2023, Nabtesco ∼60% of RV reducers—though here the siege is visibly progressing (Leaderdrive at 15% global; Chinese reducers now inside Tesla's and Unitree's humanoids), and domestic industrial-robot share crossed 50% in 2024 from 18% in 2015 [248, 247]. Precision scientific instruments: high-end domestic share barely 17%, with ∼$17B of annual imports [246].

7.1.4 Operating systems and software ecosystems

The purest network-effects sector shows the playbook's slowest grind—and its most interesting partial win. Two decades of state Linux (Kylin and descendants) never dented Windows. Yet HarmonyOS, forced into existence by US sanctions exactly as this book's mechanism predicts, reached 17% of mainland smartphone OS share in 2026—ahead of iOS for six consecutive quarters—with the Android-compatibility bridge burned (HarmonyOS NEXT) and eight million registered developers [V/P] [249]. WPS reached ∼600M monthly active users [249]. The lesson cuts both ways: ecosystems yield eventually, but on decade timescales, only under existential forcing, and so far only inside the protected home market.

7.1.5 Biotech: the surprise late bloomer

Pharmaceuticals show what the lagging sectors look like the year they stop lagging. Chinese biopharma out-licensing to Western majors hit $137.7B across 186 deals in 2025—ten times 2021—with Chinese assets roughly a third of global in-licensing spend; first-in-class pipeline share reached ∼24%, second only to the US [V/A] [250]. The residual gap is trust and regulation, not invention: the FDA's 14–1 rejection of China-only trial data for sintilimab marks the certification barrier in its purest form [250]. Biotech in 2025 looks like batteries in 2015—which is precisely why the trust chapter (Chapter 14) matters for AI.

7.2 The success–failure model

Table 7.1: What separates playbook victories from twenty-year grinds.

Variable	Favors the playbook	Defeats or delays it
Product architecture	Modular, decomposable (cells, modules, packs)	Integral, tightly coupled (engines, scanners)
Clock speed	Fast iteration; learning curve lives on the factory floor	Slow cycles; the frontier barely moves (litho optics) or moves via decade-long certification
Knowledge type	Codified process engineering, scale learning	Tacit craft accumulated in one supply chain (Zeiss, hot-section metallurgy, five-axis)
Regulatory gate	Home market can self-certify (EVs, panels)	Foreign safety/efficacy certification controls access (EASA/FAA, FDA)
Demand lever	State can create/reserve demand at scale	Install base and network effects lock incumbents (OS, Office, engines' fleets)
Trust requirement	Commodity performance is verifiable at purchase	Buyer must trust decades of provenance (avionics, drugs, *models?*)

The synthesis across the scholarly assessments—the USCC's Made-in-China-2025 scorecard, CSIS's EV-versus-aviation comparison, Chan's clock-speed argument [A] [162, 251, 252]—is compact: *the playbook wins where products are modular, iteration is fast, learning is manufacturable, the home market can certify, and trust is embodied in the artifact; it grinds where knowledge is tacit, certification is foreign, and value lives in an installed ecosystem.*

7.3 Scoring AI against the model

Now apply Table 7.1 to the three elements, without thumb on scale.

Favoring the playbook: AI models are the most modular, fastest-clock-speed artifact in industrial history—weights are digital goods with zero reproduction cost, the frontier turns over in months, capability is substantially verifiable at the benchmark (with caveats), and the learning curve (data, recipes, kernels) is largely codified and, in China's case, deliberately published. Sparse-MoE training is closer to batteries than to jet engines. The compute layer is intermediate: accelerators and CPUs are modular chiplet products on fast cycles—LX2 demonstrates exactly that—while the tool chain beneath them (Chapter 10) inherits lithography's tacit-knowledge resistance, which is why this book's architecture argument routes around the tool chain rather than through it.

Resisting the playbook: three properties of AI sit in the right-hand column, and they are the strongest structural arguments against this book's title. First, *the moving frontier*: unlike solar's fixed physics, the capability target relocates several times a year; a fast follower is never finished, and a discontinuity (recursive AI-for-AI R&D) could reopen the gap faster than any factory closes it. Second, *ecosystem lock*: the enterprise deployment layer—distribution, workflow integration, habits, procurement—is Office, not modules; Chapter 17 takes this seriously as the closed labs' real moat. Third, *trust and certification*: an AI model deployed in government, finance, or defense is closer to an avionics component or a drug than to a battery—provenance, auditability, and alignment with the buyer's values are part of the product. The sintilimab precedent—capability accepted, certification denied—is directly available to Western regulators as an AI playbook, and censorship and security findings (Chapter 14) give it factual ammunition.

Two further asymmetries deserve the record. Digital goods cut both ways: zero reproduction cost is what lets Chinese weights conquer adoption instantly—and what would let a single superior Western open release reconquer it just as fast; there is no factory-shaped moat around P1. And the talent flow, the deepest input, currently splits the difference: researchers of Chinese origin constitute roughly half of top-tier AI authorship, the US still hosts the majority of the established cohort (87 of 100 tracked 2019-cohort researchers remained in 2025), but the inflow of new Chinese talent to the US is visibly thinning under visa friction while Beijing's K-visa recruits in the opposite direction [V/A] [253]. Talent is the one input where the two systems still share a supply chain.

The honest conclusion: the model and compute elements sit mostly in the playbook's kill zone; the tool chain sits in its resistance zone (and is being bypassed rather than assaulted); and the *deployment* layer—trust, certification, ecosystems—is genuinely contested ground where the precedents predict a long grind, not a collapse. That is exactly where the next three chapters, and the strategy chapter, will place their weight.

Part II

The Elements of AI

Chapter 8

The Model: Open Weights as the Commodity Layer

The first element of the AI war is the model itself. The Western frontier is closed: the best US models are accessible only as metered APIs, their weights corporate secrets, their pricing a rent on capability. The Chinese frontier is open: weights downloadable, licenses mostly permissive (MIT, Apache 2.0)—though, as §8.3 details, the newest flagships have begun attaching custom commercial terms that are themselves evidence for this book's rent-relocation thesis—and API prices set near marginal inference cost. This chapter surveys that inversion comprehensively—the labs, the releases, the algorithmic innovations, and the quantization ecosystem that is collapsing the last barrier between frontier capability and commodity hardware.

8.1 The DeepSeek shock and the price war (2024–2025)

The opening move replicated the solar price collapse, compressed into eighteen months. DeepSeek—a 2023 spin-out of the High-Flyer quantitative fund—released V2 in May 2024 with Multi-head Latent Attention and a fine-grained MoE at roughly RMB 1–2 per million tokens; within two weeks ByteDance, Zhipu, Alibaba, and Baidu had cut prices by up to 97%, Baidu making its mainline models free within four hours of Alibaba's cut [79]. V3 (December 2024)—671B parameters, 37B active, and the first open large-scale model natively trained in FP8—reached GPT-4-class capability with a published marginal training cost of $5.6 million (2.79 million H800-hours), a figure legitimately contested as excluding R&D and infrastructure, but directionally transformative either way [80]. R1 (January 2025) matched OpenAI's o1-class reasoning, was released under MIT license, topped the US iOS App Store, and erased $589 billion of NVIDIA's market capitalization in a single trading day—the largest one-day single-company loss in US market history [81]. The peer-reviewed Nature version disclosed that R1's reinforcement-learning stage cost about $294,000 [82].

The strategic content of the shock was mispriced by markets and correctly priced by Beijing: it demonstrated that frontier capability could be commoditized, that export-control-constrained hardware forced *algorithmic* efficiency (MLA, extreme sparsity, FP8 training, GRPO, multi-token prediction) which then compounds on any hardware, and that open weights convert capability into global adoption instantly.

A cost-accounting discipline applies to every training-cost figure in this book. A "$5.6M training run" is final-run marginal compute [P]; the full program cost adds failed and ablation runs, post-training and RL, synthetic-data inference, data acquisition and cleaning, personnel, hardware depreciation, networking, power, and the prior research that produced the reusable architecture. DeepSeek's own disclosed hardware position (∼50,000 H800s; buildout estimates to $1.6B [A]) bounds the true denominator [80]. The strategic point survives the correction—marginal-cost transparency itself resets buyer expectations—but the book does not treat run cost as program cost.

8.2 An innovation genealogy

A release chronology shows cadence but not authorship, and the strategically important question is which architectural innovations are Chinese-origin, which were independently reproduced, and—the question this book cares about most—which *reduce a hardware requirement.* Table 8.1 attempts the genealogy.

Table 8.1: Innovation genealogy of the open frontier. "Hardware effect" names the resource the technique economizes—the column that connects this chapter to Chapter 9.

Technique	First at scale	Origin / diffusion	Hardware effect
Multi-head latent attention (MLA)	DeepSeek V2, 2024-05	Chinese-origin; widely adopted	KV cache to ~2% of dense: *memory capacity and bandwidth*
Fine-grained + shared-expert MoE	DeepSeek V2/V3	Chinese-origin refinement of a Western idea	activated fraction to 1.8–3%: *FLOPs and bandwidth*
Native FP8 pretraining	DeepSeek V3, 2024-12	first open large-scale demonstration	*memory and compute*; sets the domestic-chip numeric format
GRPO and critic-free RL	DeepSeek R1, 2025-01	Chinese-origin; broadly reproduced	removes critic model: *post-training compute*
Multi-token prediction	DeepSeek V3	Chinese-origin at scale	*tokens per step*; speculative decode
Sparse attention (DSA)	DeepSeek V3.2, 2025-09	Chinese-origin	$O(L^2) \rightarrow O(Lk)$: *long-context compute*—the decisive lever for CPU-class prefill
INT4 / MXFP4 QAT release formats	Kimi K2 Thinking 2025-11; K3 2026-07	Chinese-origin at frontier scale; gpt-oss parallel	*serving memory and bandwidth*; 4-bit as release format
Hybrid linear attention at frontier scale	Kimi K3, 2026-07	Chinese-origin	*long-context memory traffic*
Expert-parallel dispatch/communication overlap	DeepSeek V3 infra	Chinese-origin engineering	*interconnect*: tolerates weaker fabric

Read down the right-hand column, but read it carefully, because it is easy to overstate what this table shows, in both its arithmetic and its causality. The arithmetic first: it is *not* true that almost none of these techniques economizes dense FLOPs—the table itself refutes it. Fine-grained MoE reduces active FLOPs directly; FP8 reduces compute cost as well as memory; critic-free RL removes an entire model's worth of post-training compute; multi-token prediction and speculative decoding change compute utilization per emitted token. The accurate reading is one of *emphasis*, not exclusion: the portfolio is concentrated unusually strongly on memory capacity, memory bandwidth, interconnect efficiency, and low-precision execution—the resources that became disproportionately scarce under export control—while the compute savings it also delivers are the kind any laboratory, constrained or not, would pursue.

The causality second. Efficiency is valuable to everyone; MoE, low precision, sparse attention, and communication overlap were all being advanced by unconstrained Western laboratories in the same period, and most would likely have progressed without any export controls at all. The defensible claim is therefore *constraint-consistency*, not unique causation: export controls are a plausible accelerant and a selection pressure that shaped which efficiencies were prioritized and how aggressively, but not the sole origin of the techniques. Table 8.2 states the questions that separate strong from weak co-design evidence, and applies them.

On this matrix, UE8M0 FP8 with a declared domestic-silicon target is strong co-design evidence; generic MoE adoption is weak; MLA and the interconnect-tolerance engineering sit in between, matching domestic limitations specifically enough to carry weight. The genealogy's

Table 8.2: A causality matrix for the genealogy: what would make "co-design under sanction" strong or weak for a given technique, with the two clearest verdicts from Table 8.1.

Diagnostic question	Interpretive value	Verdict on examples
Did the technique predate the relevant restriction?	Weakens a sanctions-origin claim	MoE, low precision: yes—weak
Was it independently pursued by unconstrained labs?	Shows general value, not uniquely Chinese adaptation	MoE, FP8, sparse attention: yes—weak
Does it specifically match a domestic hardware limitation?	Strengthens co-design attribution	MLA, dispatch/comm overlap: yes—strong
Is there an explicit domestic numeric-format, compiler, or processor target?	Direct evidence of hardware–algorithm co-design	UE8M0 FP8 "for next-generation domestic chips": yes—strongest
Would it remain commercially attractive without sanctions?	Separates national adaptation from ordinary cost reduction	nearly all: yes—caps every claim above

strategic conclusion, stated at the strength the matrix actually supports: the *direction* of Chinese architectural emphasis is exactly the direction that makes the hardware of Chapter 9 viable, and export controls demonstrably sharpened that emphasis even where they did not originate it.

8.3 The ecosystem survey: eight frontiers, one commons

Consistent with playbook step 4 (selection, not planning; move M4), the state did not anoint DeepSeek; it flooded the sector. Table 8.3 compresses the release cadence of the major laboratories; the notes that follow give each lab's trajectory. Two structural observations frame the table. First, the cadence itself is the weapon: the interval between a US closed-frontier release and its Chinese open-weight counterpart compressed from six–eight months in 2024 to "a matter of weeks" by mid-2026 [95]. Second—stated in its properly qualified form—open-weight release has become the dominant international distribution strategy of the leading Chinese laboratories, *although license terms range from permissive Apache/MIT grants to custom commercial licenses that preserve control over high-revenue deployment.* The table therefore carries a license column, because the license is strategic data, not legal boilerplate: Kimi K3, the largest open-weight model ever released, ships under a custom license that permits use, modification, redistribution, and derivatives but requires a separate commercial agreement from qualifying model-as-a-service businesses above a revenue threshold, with attribution conditions on very large deployments [464]. That is this book's own industrial-organization thesis enacted in a license file: opening the weights does not abolish rent—it relocates it to large-scale commercial service, where the releasing lab retains a claim.

Two terminological disciplines apply throughout. These are *open-weight* releases, not open-source: with few exceptions the training code, data, and full recipes are not published, which is why R1 spawned an entire replication literature [254]. And the correct narrow claim is that leading Chinese laboratories have made open-weight release the dominant *international distribution strategy* for their frontier-adjacent families—not that every Chinese frontier system is open (several are not), nor that the West releases nothing (gpt-oss, Gemma, OLMo, and NVIDIA's Nemotron line are real, if outclassed at the top end).

Two disciplines govern this table. *First, a currency date*: every fact in the stable chapters is current as of 4 August 2026—the date of this edition, printed on its title page—and nothing learned after that date is retrofitted into the analysis. Freezing the data at a date *earlier* than the edition invites exactly the contradiction a reader would expect—a declared July cutoff sitting a few pages from an August release—so the rule adopted here is the only one that cannot contradict itself: *the cutoff is the edition date.* Correspondingly, Appendix F carries the most recent cycle in detail so that the fastest-moving material sits in one replaceable place rather than being

Table 8.3: Chinese open-weight frontier releases, 2024–August 2026 (selected; parameters as total/active where MoE; benchmark figures are vendor-reported [P] unless noted). License classes: Apache = Apache 2.0; MIT; custom = custom commercial license (weights downloadable, high-revenue service deployment separately controlled). Current as of 4 August 2026(the edition date); the most recent cycle is analyzed in Appendix F.

Date	Lab	Model	License	Significance
2024-05	DeepSeek	V2 (236B/21B)	MIT-class	MLA + fine-grained MoE; triggers national LLM price war
2024-12	DeepSeek	V3 (671B/37B)	MIT-class	native FP8 pretraining; $5.6M marginal cost claim
2025-01	DeepSeek	R1 (671B/37B)	MIT	o1-class reasoning; the NVIDIA crash
2025-04	Alibaba	Qwen3 (0.6B–235B/22B)	Apache	family of eight, 36T tokens, hybrid reasoning
2025-06	Baidu	ERNIE 4.5 (to 424B)	Apache	wholesale open-sourcing of a former closed flagship
2025-07	Moonshot	Kimi K2 (1T/32B)	modified MIT	largest open model to date; agentic focus
2025-08	DeepSeek	V3.1	MIT	hybrid think/non-think; UE8M0 FP8 “for next-generation domestic chips”
2025-09	DeepSeek	V3.2 (DSA)	MIT	sparse attention: $O(L \cdot k)$; API cut >50% again
2025-11	Moonshot	K2 Thinking (1T/32B)	modified MIT	native INT4 QAT; beats GPT-5 on HLE (44.9 vs 41.7)
2026-02	Zhipu	GLM-5 (744B/40B)	MIT	SWE-bench Verified 77.8%; trained on Ascend
2026-02	MiniMax	M2.5 (230B/10B)	custom	#1 Multi-SWE-Bench; $0.15/$1.20 per Mtok
2026-04	DeepSeek	V4 (1.6T/49B)	MIT	1M context; ∼150× cheaper than GPT-5.5 output
2026-04	Alibaba	Qwen3.6 (27B dense; 35B-A3B)	Apache	Qwen crosses 1B cumulative downloads
2026-06	MiniMax	M3 (∼428B/23B)	custom	multimodal; 1M context; AA index 44
2026-06	Zhipu	GLM-5.2 (∼753B/40B)	MIT	#1 open model, Artificial Analysis index
2026-07	Moonshot	Kimi K3 (2.8T/∼104B)	custom	largest open model ever; MXFP4; global top-5 overall
2026-07	DeepSeek	V4-Flash (∼280B/13B)	MIT	weights shipped; 1M context; $0.14/$0.28 per Mtok; gains from post-training alone
2026-08	Alibaba	Qwen3.8-Max (2.4T/∼95B)	committed	first Max-tier open-weight commitment; 1M context; multimodal; $2/$6 per Mtok (§8.3.1)

threaded through the argument. Applying the rule, the table above runs through the 3 August announcement of Qwen3.8-Max [394, 397], and DeepSeek's V4-Flash sits where its actual 31 July release date puts it [402]. No analytical claim in this book depends on which model holds the crown in any given week; the three-artifact structure—stable monograph, machine-readable claim register, living appendix—exists precisely so that the argument does not chase the cadence it describes. *Second, exact naming*: the open Qwen3.6 releases are the 27B dense and 35B-A3B variants under Apache 2.0 [465]—"Qwen3.6" is not one frontier-scale flagship, and the table says so.

8.3.1 The open-weight ratchet: why the commons is now an equilibrium

The Qwen3.8-Max release deserves more than a chronology entry, because it converts this book's central claim from a description of state strategy into something considerably stronger: a description of a *competitive equilibrium that no participant can profitably defect from.*

Start with the fact pattern. Across the Qwen family's history the numbered open releases (7B, 72B, the Qwen3 family, the 3.6 dense and A3B variants) shipped under Apache 2.0 and drove the download statistics that make Qwen the most-adopted open family on earth—roughly a billion cumulative downloads by March 2026, 153.6 million in February alone, more than half of all global open-model downloads, and over 200,000 derivative variants [407]. The *Max* tier, meanwhile—Qwen2.5-Max, Qwen3.5-Omni, Qwen3.6-Plus, Qwen3.7-Max—had been consistently proprietary: API and chatbot only. That was the settled pattern, and a reasonable observer in June 2026 would have predicted it continuing.

It did not continue. On 27 July, Moonshot open-sourced Kimi K3's weights at 2.8 trillion parameters. Seven days later Alibaba announced Qwen3.8-Max and committed, publicly and unambiguously, on its own official account: *"Next week, the open weights of Qwen3.8-Max will be released, and Qwen3.8-27B is also going open-weights"* [394]. The first Max-tier model in the family's history to carry an open-weight commitment carried it within a week of a rival opening at comparable scale—alongside a published blog with the full benchmark table, and a complete project trace on GitHub for the flagship autonomy demonstration [395].

The causal reading is hard to avoid, and it is the most important structural observation in this chapter. *Once one Chinese laboratory opens at frontier scale, the others cannot stay closed.* The mechanism is not ideology and not state compulsion; it is the arithmetic of the strategy every Chinese lab is running. Their competitive position is built on adoption—downloads, derivatives, developer mindshare, standards gravity, and the deployment volume that Chapter 2's flywheel converts into learning and cost advantage. Against a rival whose frontier-scale weights are downloadable, a metered-only flagship forfeits precisely the currency the strategy is denominated in. Whatever premium the closed tier collects is smaller than the adoption it surrenders, because the adoption is what the whole apparatus—hardware demand, standards position, national ecosystem—was built to capture. Closing your best model, in that ecosystem, is unilateral disarmament.

This is a *ratchet*, and its properties matter. Each open release at a new capability level raises the floor every competitor must match; the floor never falls, because no lab gains by being the one that retreats behind an API while its rivals ship weights. Defection is individually irrational even when it would be collectively profitable—the exact inverse of the Western equilibrium, where each frontier laboratory's rivalry is over premium capability sold at metered access, and closing is individually rational for each. Two ecosystems, two stable equilibria, each internally coherent, each self-enforcing without a planner. The Chinese one produces a commons; the American one produces a rent.

Three consequences follow. *First*, the thesis is more robust than a policy-grounded account of openness would be. Grounding Chinese openness in the Five-Year Plan, MIIT guidance, and WAICO—the natural reading, and the common one—invites the obvious rebuttal that policy can reverse. The ratchet does not depend on Beijing's continued preference. Even if the state's enthusiasm cooled tomorrow, a Chinese lab that closed its frontier tier would hand the developer base, the derivative ecosystem, and the standards position to whichever rival stayed open. *Second*, it predicts the pattern forward: the next frontier-scale Chinese release will be open, and the one after that, not because anyone decreed it but because the first defector loses. *Third*, it refines rather than contradicts the rent-relocation argument of Section 2.3: rent still relocates—to licence terms (Kimi K3's revenue threshold), to hosted service, to hardware, to the complements of Table 2.2—but it relocates *out of the weights*, and the ratchet is why it cannot relocate back.

The register carries the near-term test, and the prior on it is high: the weights are publicly committed, with a companion 27B dense model, on a stated timeline. What remains genuinely open is the *licence*—Apache-class or Kimi-style revenue-threshold—and that is the question worth watching, because the answer discriminates between the two versions of the rent argument rather than between openness and closure.

8.3.2 AI-designed silicon: why the compute dependence is transitional

The same release supplies what may be the single most consequential datum in this chapter, and it bears directly on the one element of the Chinese stack that Part II has consistently graded weakest.

Alibaba's own announcement lists, among Qwen3.8-Max's headline capabilities, "system-level autonomous planning with closed-loop adaptive learning, driving *500+ turns of chip design optimization*" [394], and its accompanying material claims the model has "independently achieved the autonomous execution of the entire silicon design flow" [396]. The observation that makes this strategic rather than merely impressive was put most directly by an independent Western commentator reviewing the release: *one of the things China is behind on is chip design and chip manufacturing—but a model that can help design those chips means that is no longer the weakness* [396].

Set that against the architecture of Part II and the loop closes with unusual precision. China holds an open instruction set with no revocable licence (Section 9.1); domestic logic at 5 nm-class without EUV; a memory strategy that routes around HBM (Section 9.8); an open interconnect and software stack; a demonstrated exascale integrated-CPU machine (Section 9.2); and a national EDA push against the one remaining Western duopoly. The binding constraints on that stack have never been ambition or capital—they have been *design throughput and tooling*: the accumulated human expertise and proprietary software that turn an architecture into a manufacturable die. That is exactly the input an autonomous silicon-design flow attacks, and it is the input least protected by export control, because a design capability that a Chinese lab trains cannot be embargoed at a border.

This is the flywheel of Section 20.3.4 operating on the element the book had marked as slowest. AI improving the design of the chips that run the AI is the recursive loop in its most literal form, and it arrives—if the claims survive scrutiny—aimed squarely at the gap between the open-frontier position China already holds and the sovereign-compute position it does not yet. The corollary for this book's evidence base is that the current arrangement, in which Chinese labs reportedly train on NVIDIA capacity leased offshore in Singapore and Malaysia while serving domestically [405], should be read as *transitional rather than structural.* It is what a fast-moving ecosystem does while its own silicon matures; it is not a stable dependence, and the co-design mechanism that ends it is now visible in a shipped product rather than a roadmap. Claim CR-09—a frontier-class model trained end-to-end on a domestic stack—remains "not yet observed," and this book still does not assert it. But the pathway to it has shortened, and the forecast register is revised accordingly.

The most striking corroboration comes from a commentator who reaches the book's conclusion while explicitly not wanting to. Reviewing the release for a Western audience, Berman traces the adoption logic—US enterprises "can get 95% of the capability and pay a fraction of the price," and for the vast majority of use cases "the absolute frontier just isn't necessary and in fact might be overkill," so they will choose the open models, which are Chinese—and then follows it one step further to the conclusion Part II of this book is built on: *"eventually what will likely happen is the model will be co-designed with the chip to be the most efficient and the most optimized for that specific chip... with extreme co-design between model and hardware it might actually put us, as we're becoming dependent on Chinese open source, highly dependent on Chinese chips as well"* [396]. That is the convergence thesis of this book, stated independently, by an observer who calls the resulting geopolitical exposure "not my opinion—it is just a fact," and who is manifestly unhappy about it. When the mechanism you have spent two hundred pages describing is arrived at independently by someone who would prefer it were false, the argument has stopped being idiosyncratic.

Two disciplines keep this section honest. *The claims are the vendor's*: 500 turns of chip-design optimization and an autonomous silicon flow are Alibaba's descriptions of Alibaba's model, and the appropriate verification event—an independently reproduced tape-out-grade design, or third-party evaluation of the flow—has not occurred. The GitHub project trace published alongside the autonomous-coding demonstration is a genuine step toward auditability and more than most Western frontier claims carry; the chip-design claim has no equivalent artifact yet. *And the counter-argument is real*: the same review notes that the leading US closed models are rumoured at roughly seven trillion parameters, against 2.4–2.8T for the Chinese frontier—roughly twice the scale, which requires the best accelerators in the world and a great many of them [396]. The Chinese achievement is therefore properly read as *capability parity at a third of the parameters and a fraction of the price*, which is an efficiency victory rather than a scale victory—and efficiency victories are exactly what Part I's precedents are made of, but they are not the same thing as removing the compute constraint. Section 23.2.1 takes the strongest form of that counter-argument seriously.

Kimi K3 deserves one more paragraph, because it is the cleanest single demonstration of the five-frontier framework of §8.4. Its own technical report confirms 2.8T total parameters, 104B activated, a one-million-token context, native vision—and explicitly acknowledges that the model still trails the strongest proprietary systems overall [463]. Here is the open frontier and the absolute frontier in a single primary source: the largest, most capable open-weight artifact ever released, self-described as behind the closed leaders. Both of this book's core observations—that China leads the open frontier decisively, and that the absolute frontier has not dissolved—are stated by the releasing laboratory itself.

Alibaba (Qwen) is the adoption champion: the most-downloaded open family on Earth, crossing one billion cumulative Hugging Face downloads in July 2026 with over 113,000 derivative models—more than Google and Meta combined, and roughly 40% of all new LLM derivatives on the Hub [85, 166]. **Moonshot (Kimi)** is the scale champion: K3's 2.8 trillion parameters (896 experts, $\sim$1.8% activation, hybrid linear attention, native MXFP4, 1M context) make it the largest open-weight model ever released, ranking in the global top five overall—the only open model in that tier [88]. **DeepSeek** is the efficiency champion, each generation shipping an attention or sparsity innovation the rest of the field adopts within months. **Zhipu (GLM)**—which listed in Hong Kong in January 2026 as "the world's first publicly traded foundation-model company"—holds the open-weight quality crown on independent indices, and trained GLM-5 on Huawei Ascend silicon [90, 92]. Around them: **MiniMax** (M-series, agentic coding), **StepFun** (throughput-optimized), **Xiaomi** (MiMo, which took the largest single-provider share on OpenRouter within months of entry), **ByteDance** (Doubao at 345M MAU and >120 trillion tokens/day; China's top-rated Arena model), and **Tencent Hunyuan** [83, 96]. Zhipu and MiniMax IPO'd in Hong Kong in January 2026; Moonshot raised at a $20B valuation [92]. The LLM price war is the "531" cull in progress: token prices at 1/7th to 1/150th of US equivalents, margins near zero, survivors selected by capability-per-yuan [93].

8.4 Three scoreboards, not one

Before the numbers, a distinction that resolves most of the argument about whether China has "caught up." There are *five* different frontiers, and conflating them produces both triumphalism and complacency:

1. **The absolute frontier** — the highest demonstrated capability under controlled evaluation, irrespective of access or price. The United States leads this, and the lead is real.
2. **The open frontier** — the highest capability available as downloadable weights under usable licence terms. China leads this, and not narrowly.
3. **The deployable frontier** — the highest capability an institution can *operate reliably at acceptable cost*, after quantization, serving constraints, security review, and licence compatibility. China increasingly leads this.
4. **The economic frontier** — the system with the lowest cost per *successful task* for a given workload (§8.5.3). This is frequently neither principal's flagship: for high-volume routine work it is often an older, smaller model that nobody writes about.
5. **The scientific frontier** — the system that produces the greatest validated scientific value per unit of national resource. This is the frontier Chapter 20 argues matters most, and the one nobody currently measures.

	leader today	decides what
1. Absolute best under controlled evaluation	United States	prestige, hardest tasks
2. Open best downloadable under usable licence	China	developer default
3. Deployable best operable reliably at acceptable cost	China (rising)	industrial outcomes
4. Economic lowest cost per *successful task*	often neither: an older, smaller model	the majority of tokens
5. Scientific validated scientific value per unit of national resource	unmeasured	long-run national power

Apparent contradictions dissolve here. China can trail frontier 1 while leading 2 and 3. A US closed system can dominate frontier 5 for a given workload despite far higher token prices, because scientific value per resource depends on capability at the hard end rather than price at the volume end. And frontier 4 is frequently defined by a model nobody writes about.

Figure 8.1: Five frontiers, won separately. Only the first two are systematically measured; the third and fourth are measurable but rarely reported (§8.5.3); the fifth—the one Chapter 20 argues matters most for national outcomes—has no accepted metric at all, which is both a gap in the literature and an invitation to whoever builds the first credible one. Positions are this book's assessment as of the version stamp [S].

Many apparent contradictions dissolve under this framework (Figure 8.1). China may trail the absolute frontier while leading the open and deployable ones. A US closed system may dominate the *scientific* frontier for a particular workload despite far higher token prices, because scientific value per resource depends on capability at the hard end rather than on price at the volume end. And an eighteen-month-old open model may define the economic frontier for the majority of tokens actually generated in the world. That China may lead frontiers 2, 3, and 4 without leading 1 *strengthens* this book's thesis rather than weakening it, because industrial victory in every precedent of Part I depended on what a buyer could actually install, at what price, under what terms—not on the laboratory maximum. The rest of this section reports frontiers 1 and 2, which are measured; Chapters 14 and 21 supply what is known about 3 and 4; frontier 5 is, at present, an open measurement problem and an invitation.

Three independent measurement families bear on the adoption proposition (P1), and they must be kept apart, because they measure different things and currently disagree in one important place. *Family one—capability*: index and arena measurements of model quality. *Family two—distribution*: downloads, derivatives, and routed tokens. *Family three—production and revenue*: enterprise deployments and paid spend. Families one and two tell one story (Table 8.5); family three lags it, and honesty requires displaying the lag.

On capability: the Stanford AI Index puts the top US–China gap at 2.7% as of March 2026, down from double digits in 2023—while also finding that the closed-over-open gap *reopened* to 3.3% (from 0.5% in August 2024) and that six of the top ten arena models are closed [94]. Both facts are true at once: China reached the top competitive tier; the absolute closed frontier did not dissolve. Benchmark figures additionally carry protocol variance that vendor tables hide—Kimi's own documentation shows 65.8% on SWE-bench Verified single-attempt becoming 71.6% with parallel test-time compute [87], and reasoning-model response lengths are inflating ∼5× per year [V] [255], so a model ten times cheaper per token that spends ten times the tokens per solved task has gained nothing per task. On distribution and production, Table 8.4 states what each metric can and cannot support.

Table 8.4: The adoption-metric matrix: what each measure proves.

Metric	Measures	Principal limitation
HF downloads (41% Chinese)	Distribution, developer interest	Automation/CI inflation; no proof of production use [85]
Derivatives (>113k Qwen)	Ecosystem reuse	Many experimental or dormant
OpenRouter tokens (∼61% mid-2026)	Usage on one neutral router	Platform-specific mix; not a census [84]
API revenue	Monetized hosted demand	Misses self-hosting entirely
Enterprise deployment (DeepSeek >26k orgs [P])	Operational adoption	Vendor-survey selection [167]
Enterprise *spend* share	Follows the money	Fell 19%→11% in 2025—the countertrend [168]

Two further facts frame the table. On hard, contamination-resistant agentic benchmarks the closed-open gap runs larger than headline indices suggest [89]; and the investment asymmetry is staggering—US private AI investment ran $286B in 2025 against China's $12B (a figure that understates Chinese state capital, per the Index's own caveat) [94]: a 23:1 private-spending ratio buying a 2.7% measured gap. Recall the solar lesson: Sharp and Q-Cells also outspent Suntech per watt of R&D. The question is not who spends most for the peak; it is who owns the volume, the derivatives, the developers, and the price floor. Meta's Llama—the West's open standard-bearer—collapsed below 1% of routed volume and retreated toward closed development; OpenAI's answer, gpt-oss (August 2025), was outclassed within weeks [98]. The family-three lag—spend share falling even as usage share soared—is the strongest current evidence *against* P3, and Chapter 17 treats it as such; the next section explains the mechanism by which the curves are nonetheless converging.

Table 8.5: The model element, mid-2026 snapshot.

Capability	Adoption
US–China top-model gap: 2.7% (Stanford AI Index 2026), from 17.5–31.6% in 2023 [94]	Chinese models: 41% of all Hugging Face downloads (trailing year); China passed the US in cumulative downloads [85]
Release lag behind US frontier: from 6–8 months to "a matter of weeks" [95]	OpenRouter routed tokens: Chinese models ∼2% (early 2025) → ∼61% (mid-2026); Meta/Llama below 1% [84, 96]
Top open-weight models: GLM-5.2, Kimi K3, MiniMax M3, DeepSeek V4—all Chinese; best US open entry is an NVIDIA model [84]	a16z: of startups pitching with open-source stacks, ∼80% use a Chinese model; DeepSeek counts >26,000 enterprise deployments [97, 167]

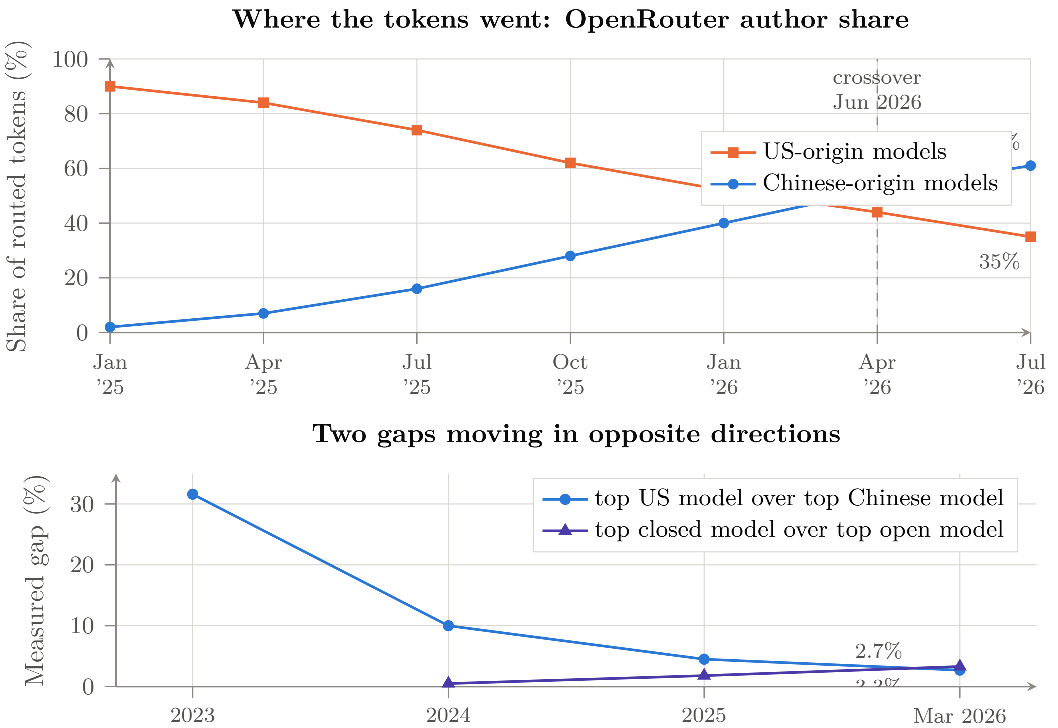


Figure 8.2: The model element in two pictures. *Above*: share of tokens routed through a neutral aggregator by author origin; Chinese-origin models passed US-origin models in June 2026, having been at ∼2% eighteen months earlier [V, platform-specific] [84, 96]. *Below*: the two gaps the Stanford AI Index measures. The national gap closed to 2.7%; the closed-over-open gap *re-opened* to 3.3% [V] [94]. Both facts are true, and the book's argument requires holding them together: China reached the top competitive tier, and the absolute closed frontier did not dissolve. Intermediate points are interpolated between reported measurements.

8.5 Quantization: frontier models on commodity hardware

The most under-analyzed force multiplier of the open-weight strategy is quantization. Open weights alone democratize *access*; quantization democratizes *operation.* The claim must be stated with more care than it usually is. For selected models, quantizers, and benchmark suites, community tooling has reduced storage by 60–90% while preserving much of benchmark performance; degradation is highly task-, layer-, context-, and calibration-dependent, and becomes material at extreme 1–2-bit precision. What is robust is narrower and still consequential: 4-bit has become a *release* format rather than a lossy afterthought, and 2-bit-class dynamic quants retain enough capability to be operationally useful on hardware an order of magnitude cheaper. Any serious evaluation reports a *quality vector*—mathematics, coding, multilingual reasoning, long-context retrieval, tool use, calibration, refusal behaviour, safety—alongside memory savings, throughput, and energy, rather than a single retention number.

8.5.1 The dynamic-quantization breakthrough

The emblematic actor is Unsloth, an eight-person company whose "dynamic" GGUF quantizations allocate precision non-uniformly—MoE expert layers driven to 1–2 bits, attention and dense layers held at 4–6 bits, calibrated on curated token sets against KL divergence. Days after R1's release, Unsloth's 1.58-bit dynamic quant cut the 671B model from 720 GB to 131 GB (an 80% reduction) while a naive 1.58-bit quant produced gibberish; the dynamic version retained ∼70% of a demanding code-generation benchmark and the 2.2-bit version 92% [169]. A precision discipline applies to all such figures: retention is task-dependent, and at 1–2 bits it degrades unevenly across mathematics and code, factual recall, long-context retrieval, agentic tool reliability, multilinguality, and safety behavior—the numbers quoted here are specific quants on specific benchmarks [P], not a general law that "90% compression costs single digits." The robust claims are narrower and sufficient: 4-bit is now effectively a release format (below), and 2-bit-class dynamic quants preserve enough capability to be operationally useful on hardware an order of magnitude cheaper. The method scaled with the frontier: Kimi K2 (1T) to 245 GB at 1.8 bits; K2 Thinking to 245 GB at 1 bit with "∼85% accuracy retention"; GLM-5 (744B) to 176–241 GB; Kimi K3 (2.8T, 1.56 TB native) to 594 GB at ∼79% retention and 861 GB at ∼90% [170]. Unsloth alone counts ∼10 million monthly model downloads [171]; the broader quantization stack—llama.cpp/GGUF, AWQ (MLSys 2024 best paper), GPTQ, EXL3, bitsandbytes/QLoRA, vLLM's quantized serving matrix—is now standard infrastructure [172, 173].

Crucially, the labs closed the loop by shipping *natively* quantized frontier weights: DeepSeek in FP8 since V3, Kimi K2 Thinking in INT4 via quantization-aware training (2× speedup at near-FP16 quality), K3 in MXFP4, OpenAI's gpt-oss in MXFP4 [87, 88, 98]. Four-bit inference is no longer a lossy afterthought; it is the release format, co-designed with training. This matters doubly for Chapter 9: native low-precision weights quarter the memory-capacity and bandwidth demand of serving—which is exactly the resource the LPDDR-based architecture supplies in abundance.

8.5.2 The commodity-hardware frontier

The consequence is that frontier-class inference now runs on hardware measured in single-digit thousands of dollars. The documented data points span three classes. *CPU servers*: a $2,000 used-EPYC build (512 GB DDR4) runs the full 671B R1 at 3.5–4 tok/s; KTransformers (Tsinghua, SOSP 2025) reached 286 tok/s prefill and 12+ tok/s decode for R1/V3 on one RTX 4090 plus a dual-Xeon board with 1 TB of DRAM—a few-thousand-dollar machine serving the model that crashed NVIDIA's market cap [174, 175]. *Unified-memory desktops*: a single Mac Studio M3 Ultra (512 GB unified at 819 GB/s, ∼$10k) runs R1 4-bit at 17–18 tok/s under 200 W; two of them ran Kimi K2.5 (1T, native INT4) at 22 tok/s; four in an RDMA-over-Thunderbolt cluster (∼$40k, 1.5 TB unified) served K2 Thinking at 25 tok/s under 450 W [176]. *Dedicated local-AI boxes*: NVIDIA's DGX Spark (128 GB unified, $4,700) and AMD's Strix Halo (128 GB, $2,300) both run 120B-class models at 34–39 tok/s, and 30+ laptop models ship with local-AI accelerators in fall 2026 [177]. llama.cpp's MoE CPU-offload flag (August 2025) made the pattern general: one consumer GPU for attention, cheap system DRAM for the experts [178].

Note what this hardware list is, architecturally: *capacity-rich, bandwidth-modest memory attached to modest compute*—the LPDDR6X design point of Section 9.8, discovered independently and bottom-up by the enthusiast market. The sparse-MoE model family and the capacity-first hardware family are co-evolving at every scale from the $2,000 desktop to the national cluster.

8.5.3 The metric that matters: cost per solved task

Price per million tokens is the wrong denominator, and this book uses it only where nothing better exists. The economically meaningful quantity is the cost of a *completed* unit of work:

$$C_{\text{solved}} \;=\; \frac{C_{\text{input}} + C_{\text{output}} + C_{\text{tools}} + C_{\text{retries}}}{p_{\text{success}}},$$

where parallel sampling counts every sampled token, and where wall-clock latency and maximum concurrency are reported alongside. The correction is not pedantic: reasoning-model output lengths have been inflating roughly fivefold per year [255], so a model advertised at a tenth the price per output token that spends ten times the reasoning tokens per solved task has delivered no saving at all, and a headline "150 times cheaper" can survive translation into delivered task economics or vanish entirely. Wherever this book quotes a price ratio, read it as an upper bound on the true economic advantage until C_{solved} is published—which, as Appendix E records, essentially no vendor yet does.

8.5.4 The economics: LLMflation

Layered on falling hardware requirements is the steepest price deflation of any industrial input in history: inference cost at constant capability falls roughly 10× per year—GPT-3-level capability fell from $60 to $0.06 per million tokens in three years [179]. Self-hosting break-evens are now measured in months for any serious deployment (roughly one month of payback at 50B tokens/month) [180]. The strategic geometry is the solar module's: a Western closed-model business must recover $100B-scale capex from a price that Chinese open weights plus community quantization reset toward marginal cost every quarter. Chapter 17 prices the consequences.

8.6 Openness as declared national strategy

What began as firm-level catch-up strategy is now explicit state doctrine. The Global AI Governance Action Plan (WAIC, July 2025) commits China to "cross-border open-source communities," open sharing of "basic resources," and lowering "the thresholds of technological innovation"—accompanied by the World AI Cooperation Organization, headquartered in Shanghai and founded in July 2026 with 29 member states (none a major Western democracy), a UN capacity-building group co-chaired with Zambia spanning 80 countries, and BRICS AI centers [99, 100, 181]. The State Council's "AI+" plan targets self-controllable base models and a thousand deployed industry cases; draft policy counts open-source contribution toward academic credit [101]. As Tsinghua's Liu Zhiyuan put it: "Open source has become politically correct" [102]. The export product is not a model; it is a *stack*—weights, tooling, quantizations, and cheap tokens—aimed at the Global South, where two-thirds of EV sales already run on Chinese LFP and the AI adoption default is being set the same way. Even Western institutions that ban the DeepSeek *app* on data-sovereignty grounds turn to self-hosted Chinese weights: Microsoft evaluated a fine-tuned DeepSeek V4 for a Copilot agent in June 2026 [182].

8.7 Compute constraints as forcing function

Export controls shaped this element rather than preventing it. Denied H100-class bandwidth and capacity, Chinese labs innovated in exactly the directions that reduce dependence on both: extreme MoE sparsity (K3 activates 1.8% of weights per token; V4-Pro 3%), attention compression (MLA, DSA, KV caches at $\sim$2% of dense), low-precision training (FP8, INT4, MXFP4), and multi-token prediction [103, 88]. The 2025 episode in which DeepSeek's next flagship was delayed by failed training runs on Huawei Ascend—then reverted to NVIDIA hardware while Ascend took inference—shows the transition is real but incomplete [104]; GLM-5's training entirely on Ascend five months later shows how fast it is completing [90]. The design direction is now locked in: Chinese frontier models are co-evolving with the domestic hardware of Chapter 9—sparse, capacity-hungry, bandwidth-frugal, natively low-precision—which is precisely the profile that CPU-class and LPDDR-based systems serve best. DeepSeek's adoption of the UE8M0 FP8 scale format "for next-generation domestic chips" made the co-design explicit [105].

The model layer, in playbook terms, is already in the late-war stage: rent destroyed, adoption captured, standards (weights formats, sparsity recipes, RL pipelines, quantization conventions) increasingly set in Chinese repositories. What open weights cannot yet guarantee is the hardware to run and train them sovereignly. That is the work of the next two elements.

Chapter 9

The Compute: RISC-V, Accelerators, and the Memory Arbitrage

The second element is the machine the models run on. The Western AI machine is a proprietary stack—x86/Arm hosts, NVIDIA accelerators, CUDA, NVLink, HBM—each layer a licensed chokepoint. China's counter-design, now visible end to end, is an *open* machine: open instruction sets, multi-vendor domestic accelerators unified by open interconnect and open software, and a memory system that trades scarce bandwidth for abundant capacity. In June 2026 this ceased to be a projection: an all-CPU, GPU-free Chinese machine took the No. 1 position on both of the world's canonical supercomputing benchmarks. The claim this book draws from that is narrower than the headlines suggest and, properly stated, more interesting: not that the GPU is obsolete—it is not, and Section 9.5 says so plainly—but that the CPU corner of the design continuum can reach performance parity while carrying a software and application-ecosystem advantage the accelerator corner cannot easily replicate. This chapter treats the layers in turn—the instruction set, the machine that proved the architecture, the template it establishes, the accelerator fleet, the memory arbitrage, and the quiet defection of the Western ecosystem itself to the open ISA.

9.1 State-mandated architectural independence: RISC-V

China is actively organizing its domestic industry to circumvent the Western ISA monopolies—Arm and x86—that form the bedrock of Western computing. In March 2025, eight government bodies including MIIT, the CAC, and MOST jointly drafted the first national policy guidance for RISC-V adoption nationwide [106]; the 15th Five-Year Plan (2026–2030) mandates "extraordinary measures" for integrated circuits and basic software self-reliance, with accelerated deployment of the open RISC-V instruction set as a core mechanism [107]. Because RISC-V is an open standard, its deployment insulates Chinese silicon design from sanctions at the ISA layer permanently: there is no license to revoke.

The execution is characteristically whole-of-nation. The Chinese Academy of Sciences fields one of the world's largest RISC-V development organizations—over 600 hardware and 400 software researchers—whose open-source XiangShan cores now benchmark at Arm Neoverse-class performance (Kunminghu: 6-wide decode, four RVV 1.0 vector units, $\sim$15 SPECint/GHz), with the openRuyi OS as the first RVA23-native software platform [108, 109]. Alibaba's T-Head ships the XuanTie C930 server-class RISC-V CPU; SpacemiT's K3 pairs an eight-core RISC-V cluster with a 60-TOPS AI engine [110, 111]. Within RISC-V International (Swiss-incorporated precisely to be sanction-proof), 12 of 24 premier members are Chinese [112]. The RISC-V Summit China 2026 (Shenzhen, October 18–20) is projected to host over 450 exhibitors and 3,600 industry professionals, its call for topics explicitly focused on ISA standardization of matrix and vector extensions across the full AI computing stack [113]. Those extensions—the IME, VME, and AME task groups—will give the open ISA native matrix operations, and Chinese vendors are the largest bloc shaping them [114]. Their schedules and roles must be stated separately, because they are commonly presented as sharing one near-term ratification horizon and they do not: IME (integrated matrix extension—matrix operations executed within the vector unit) targeted ratification in August 2026; AME (attached matrix extension—a tile engine with its own architectural state, the closest analogue to Arm's SME and the extension class the accelerated-CPU template of Section 9.3 actually requires) carries a board-ratification target of April 2027; VME (vector–matrix interaction) follows its own track [469, 470]. And ratification is only the first rung of a maturity ladder the strategy must climb end to end:

$$\begin{aligned}&\text{specification} \rightarrow \text{hardware} \rightarrow \text{compiler lowering} \rightarrow \text{kernel library}\\&\qquad\qquad\qquad\qquad \rightarrow \text{framework integration} \rightarrow \text{fleet validation},\end{aligned}$$

with the AME plan itself treating simulators, ABI definition, GCC/LLVM support, and basic kernels as staged milestones and optimized software as an explicitly later problem [470]. The RISC-V accelerated-CPU path is therefore real but dated: the ISA foundation completes across 2026–2027, and the software rungs above it are measured in further years—which is exactly the Fugaku-calibrated interval Section 9.2.1 describes, now with its clock start pinned to primary-source schedules. Vendors such as EVAS Intelligence are already shipping full-stack RISC-V AI "supernode" systems—a self-developed cloud AI chip with block-quantized FP8, 3.2 TB/s per-chip interconnect, and claimed scaling to 10^5-card clusters [115]. Two billion RISC-V chips have shipped; current forecasts project 36 billion units annually by 2031, with AI-accelerator SoCs alone accounting for roughly 70% of RISC-V silicon revenue [199].

The strategic reading: the ISA layer is being moved from the rent column to the commons column, exactly as model weights were in Chapter 8. What the ISA strategy needed, as of 2025, was an existence proof that a domestically fielded, non-x86, non-NVIDIA machine could stand at the absolute top of world computing. It arrived ahead of schedule—on Arm rather than RISC-V, which, as Section 9.3 argues, is precisely the point.

9.2 LineShine and the LX2: the GPU-free machine takes No. 1

On June 24, 2026, at ISC in Hamburg, the 67th TOP500 list opened a new era twice over. LineShine (*Ling Sheng*, "intelligent splendor"), built by the National Supercomputing Center in Shenzhen, debuted at **No. 1 on HPL at 2.198 EFLOP/s**—the first machine ever to sustain two exaflops of FP64, the first Chinese No. 1 since 2017, and, most consequentially for this book, **a machine containing no GPUs whatsoever** [183, 184]. It simultaneously took **No. 1 on HPCG** (22.00 PF, ahead of El Capitan's 17.41 and Fugaku's 16.00)—the memory-bandwidth-bound benchmark—while posting 7.92 EF on mixed-precision HPL-MxP, at 42.2 MW and 52.1 GF/W, in the same Green500 band as the US GPU flagships [183, 186].

The processor behind it, the Armv9 **LX2**, is the architectural pivot of this chapter: 304 cores per socket, every core carrying both SVE vector and SME matrix engines, with 32 GB of on-package HBM at 4 TB/s plus a large DDR5 tier—60.3 TF FP64, 240 TF BF16, 960 TOPS INT8 per socket at ~690 W [184, 186]. It is Fugaku's architectural lineage (A64FX: the first general-purpose CPU with on-package HBM) carried to its logical conclusion: the accelerator's defining features—wide vectors, matrix engines, HBM, low precision—absorbed *into the CPU instruction set.* Precision about what this is: the LX2 is an *integrated accelerated processor*, GPU-free in product taxonomy rather than free of accelerator-class silicon. The claim it supports is correspondingly precise—not that accelerator silicon is unnecessary, but that the discrete accelerator *product category*, with the separate vendor, separate memory space, separate software monopoly, and separate margin structure attached to it, is an implementation choice rather than an architectural necessity. Its designer is undisclosed; analysts read Huawei's fingerprints in the software stack, SMIC 7 nm-class as the process candidate "by elimination," and Chinese state media claim the machine runs on "China's first domestically developed HBM"—a claim examined in Chapter 10 [187, 188].

The quantitative meaning of this machine for AI—not just simulation—is worked out in the study by Dongarra, Hoefler, and Matsuoka, "Do We Still Need GPUs?", in its short form [185] and full-length companion [186], and the book adopts its findings as load-bearing. Four of them matter here. *First*, for the traditional HPL/HPCG workload space the question is settled on the public record [V]: a CPU machine now leads both the compute-bound and the bandwidth-bound FP64 benchmarks at GPU-class energy efficiency—while transformer training and high-concurrency serving remain, as the study itself insists, projections pending direct measurement [M]. *Second*, for frontier AI serving—tested at the hardest available point, a 1T-parameter MoE (Kimi-K2) at 256K context—decode reduces to a bandwidth roofline on which *an LX2 socket serves the same users per TB/s as a GPU*, and prefill reduces to stated, achievable thresholds on INT8 matrix efficiency and interconnect; the all-CPU machine lands at roughly 1.3–1.4× a B200 fleet's per-stream energy under central assumptions [186]. *Third*, training on the shipping part costs 4.5–8.5× a GPU fleet's energy per token at matched BF16—but every term of that deficit (the missing FP8 path, engine width, fabric ratio) is an implementation choice, not an architectural constant; an FP8-equipped successor cuts the central gap to ∼3×, and a part with GPU-parity matrix throughput trains at parity to first order. *Fourth*, and most generally: with HBM now common to both device classes, "CPU" versus "GPU" has collapsed into a single design continuum parameterized by die-area allocation between low-precision matrix throughput and high-precision generality—*either corner can be provisioned to do the other's job* [185, 186].

Jack Dongarra's own verdict, delivered alongside his technical report on the system, states the strategic conclusion this book would otherwise have to argue: China "can adapt to develop its own version of technology as good as—or maybe even better than—existing technology, despite US export controls" [189, 184]. Export controls denied China the discrete GPU; the response was to demonstrate, at No. 1 in the world, that the functional boundary between CPU and accelerator is an implementation choice—and then to choose an implementation with no controllable product category in it.

9.2.1 The proof boundary: what this machine establishes, and what it does not

That last sentence is the strongest one this book will make about LineShine, and it is worth stating exactly where its support ends—because the argument survives a much narrower reading than its enthusiasts give it, and is more useful stated narrowly.

The disciplined formulation is two-stage. *Stage one, established*: discrete-GPU packaging is not required for world-leading HPL and HPCG performance at competitive energy efficiency [V]. *Stage two, argued but not yet measured*: the same integration extends to AI serving, and—with different matrix and memory provisioning—to training [M]. LineShine does *not* yet validate large-transformer training efficiency, expert-routing throughput and tail latency, distributed optimizer scaling, collective performance under AI communication patterns, kernel coverage and software productivity, serving throughput at production concurrency, or reliability and checkpoint/restart behaviour across multi-week runs. HPL and HPCG are not transformer benchmarks, and no amount of eminence in the rankings makes them so. Figure 9.1 draws the line.

Having conceded that, three observations push back on the deflationary reading, and together they are why this book still treats the machine as a hinge rather than a curiosity.

First, the inference from stage one to the serving half of stage two is shorter than "modelled" suggests. Autoregressive decode over a sparse mixture-of-experts is memory-bound by an order of magnitude—its arithmetic intensity sits far below any current socket's compute-to-bandwidth ridge—so the number of concurrent streams a socket serves is, to first order, a *ratio* of delivered bandwidth to per-user KV traffic, not a fitted performance model. What is genuinely modelled

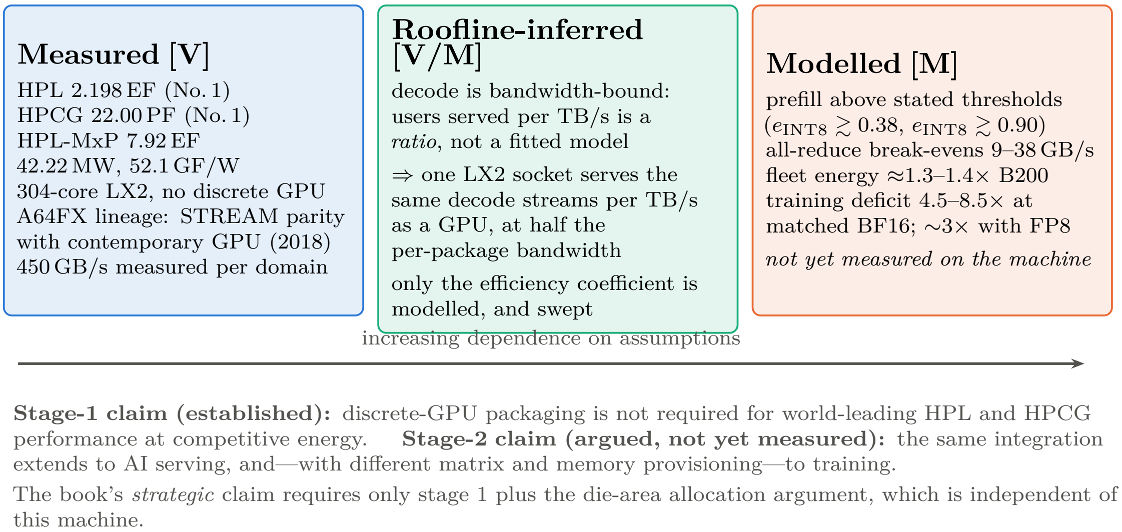


Figure 9.1: What LineShine proves, and what it does not. The strongest form of the architectural argument is not that a CPU has been shown to train transformers—it has not—but that the functional boundary between CPU and accelerator has become an allocation choice, of which LineShine is the first at-scale demonstration in the direction the incumbent does not occupy. Stated in the two-stage form this book adopts; measured values from the June 2026 TOP500 submission and the accompanying technical report [183, 184], modelled values from the companion analysis [186].

is a single efficiency coefficient—written η throughout this book and in the claim register, and defined as the *fraction of a socket's peak memory bandwidth that is actually delivered to the serving workload*, so that achieved bandwidth is η times nominal. The companion analysis sweeps η over 0.53–0.70 rather than asserting a value, and every serving conclusion in this chapter is reported across that band [186]. The prerequisite that a CPU can *drive* on-package HBM rather than merely attach it is demonstrated on deployed hardware in this exact lineage—STREAM parity with the contemporary GPU generation on A64FX in 2018, 450 GB/s measured per memory domain on the LX2, and a world-record HPCG that is precisely a delivered-bandwidth benchmark. Prefill, the compute-bound half, is reduced not to an assertion but to *stated numerical thresholds*—sustained INT8 efficiency above roughly 0.38, INT8-eligible fraction above 0.90, achieved all-reduce above 9–38 GB/s—which is the form a falsifiable claim takes.

Second, the software gap is a measured historical quantity rather than an unknown. The same lineage supplies the calibration: Fugaku led the benchmark lists from 2020, yet a performant AI stack for its architecture arrived years later. The correct prior for an architecture whose hardware prerequisites are demonstrated and whose software ecosystem is young is therefore not "unproven" but "capability present, stack lagging by a measurable interval"—which is exactly how the West should read the LX2, and exactly the interval during which a determined national programme closes it.

Third, and most importantly, the strategic claim does not rest on this machine at all. The load-bearing argument of Section 9.3 is the die-area allocation argument: once HBM is common to both device classes, what distinguishes a future CPU from a future GPU is how compute silicon is divided between low-precision matrix throughput and high-precision generality, with injection bandwidth provisioned in ratio. That argument is architectural, not empirical, and it is corroborated from three independent directions at once. LineShine approaches the continuum from the CPU corner. NVIDIA's own product line approaches it from the GPU corner—Grace CPUs, LPDDR-based memory subsystems and SOCAMM modules, CUDA ported to RISC-V hosts (Section 9.9). And the hyperscalers' custom accelerators approach it from a third direction entirely: systolic and dataflow designs, none of them SIMT, converging on similar allocations without sharing a device category. Three actors with different constraints, different customers, and different starting points are converging on one design space. *A category that three independent parties are dissolving is not a category.*

There is also a fairness point worth naming, because it recurs whenever a challenger architecture appears. The demand that LineShine prove transformer-training competitiveness before the architectural argument counts applies a standard the incumbent never met: GPUs were adopted for deep learning because they were available, programmable, and fast enough, years before anyone demonstrated they were the optimal allocation—and their FP64 capability has since been substantially removed in the tensor-heavy parts, which is itself an admission that the allocation is a choice. The correct question is not whether the CPU corner has proven itself against a standard the GPU corner was never held to; it is which corner the workload of the next decade rewards, and Chapters 20 and 21 argue that long-context agentic scientific orchestration rewards the capacity-rich, generality-preserving corner more than the dense-FLOP one.

9.2.2 The AI proof suite: what would settle it

Because the second stage is contested, this book states what would resolve it. Table 9.1 specifies a measurement programme for LineShine or any LX2-class successor. It is deliberately constructed so that each row can be run by the machine's operators and published without disclosing anything about the processor's provenance, and so that a failure on any row is a genuine falsification of the corresponding claim in this book.

Table 9.1: Proposed AI proof suite for an LX2-class integrated accelerated processor. Each row states the claim at risk and the outcome that would falsify it.

Measurement	Claim at risk	Falsified if
MLPerf Inference (closed division), 1T-class MoE	serving parity per TB/s	delivered streams per TB/s fall materially below GPU submissions at matched precision
Long-context decode at 256K, full KV traffic	the bandwidth-roofline argument	achieved fraction of peak collapses under the serving placement (aggregate $\neq$ per-domain)
Prefill at production concurrency	the stated INT8 thresholds	sustained e_{INT8} stays below 0.38 with a mature kernel library
All-to-all expert routing at scale	the fabric-in-ratio discipline	achieved collectives fall below the stated break-evens on the declared layout
MLPerf Training, and a multi-week frontier-class run	the time-indexed training verdict	energy per trained token stays worse than $\sim 4\times$ a contemporary GPU fleet after an FP8-capable generation
Checkpoint/restart and failure-domain behaviour at full state	multi-week operability	mean time between interruptions times restart cost makes long runs uneconomic
Energy per *accepted* training token, and per solved agentic task	the whole economic case	the delivered-work comparison reverses the roofline comparison

A protocol note binds the whole table: every row should be run on both a dense 70B-class model *and* a 1T-class sparse model, at short and 256K context, across batch and sequence-concurrency sweeps, reporting median and tail latency, achieved bandwidth *by memory domain* (aggregate figures hide placement failures), energy measured at the system boundary rather than the socket, and the exact parallel layout and software versions—because Eq. (9.2) makes every headline number conditional on precisely those choices.

Until those numbers exist, the honest position is the one printed in Figure 9.1: chokepoint decay is demonstrated in its strongest observed form for the HPL/HPCG workload space—the chokepoint not breached but *defined out of the machine*—and argued, with stated thresholds and a stated experimental programme, for the AI workload space that matters more.

9.3 The template: from LX2 to a RISC-V accelerated CPU, in two variants

This section presents an author-modeled architecture and strategy analysis [M/R/S], not a measured system or an announced product. The LX2 settles feasibility of the class; what generalizes is the *template*. The D–H–M analysis reduces the accelerated CPU to a short design sequence [186]: the memory system is chosen first, and its bandwidth fixes the (moderate) count of strong general-purpose cores needed to saturate it; scalable vector/matrix extensions then set per-core matrix throughput independently of core count—engine width becomes *implementation-selectable within physical and system constraints*, because the ISA no longer fixes it ("selectable," not "arbitrary": width remains bounded by register and tile-state bandwidth, issue capacity, die area, power, timing closure, delivered memory bandwidth, context-switch cost, thermals, and interconnect injection—a qualification the term must always carry); interconnect injection is provisioned in ratio to the matrix rate; and one address space unifies the whole. Nothing in that sequence is Arm-specific. SVE and SME are simply the first shipping instances of scalable vector and matrix ISAs; RISC-V's ratified RVV 1.0 is the second scalable vector instance, and the AME extension now being standardized—with Chinese vendors as the largest bloc in the room, IME targeted for August 2026 and AME for April 2027 (Section 9.1)—is the open ISA's SME equivalent. XiangShan-class open cores already carry four RVV units per core; an SME-class outer-product engine attached to such a core is an integration exercise of exactly the kind the LX2 has now de-risked, not an invention. For China the substitution is strictly preferable: the LX2 still sits on an Arm architectural license—a Western chokepoint in principle, however grandfathered in practice—whereas its RISC-V successor sits on nothing revocable at all. This is why the LX2's arrival on Arm is not a detour from the RISC-V strategy but its proof-of-concept: the national ISA plan (Section 9.1) supplies the destination, and LineShine supplies the demonstrated microarchitecture to port to it.

The template's second degree of freedom is the memory system, and here the two halves of this chapter join. Because the design sequence starts from the memory tier, one tape-out family yields two machines:

The inference-centric variant keeps the LX2's own memory choice—on-package HBM at GPU-generation bandwidth—and provisions the matrix engines to the serving thresholds the D–H–M study states (sustained INT8 efficiency $\gtrsim$0.38, achieved all-reduce cleared in ratio) [186]. This is the machine for the token factories of Chapter 8: decode at parity per TB/s with the GPU it replaces, prefill hidden inside the decode tier, FP64 retained for the converged AI-plus-simulation workload. Its binding input is HBM supply—the subject of Chapter 10.

The training-centric variant substitutes the HBM tier with massive LPDDR6X capacity—the arbitrage of Section 9.8—accepting the bandwidth knee in exchange for the 2.3 TB/socket that eliminates activation recomputation, dissolves the sub-256-node capacity wall, and sources its memory from the one tier where a domestic supplier (CXMT) sits at the world's leading edge rather than four years behind it. Provision the same SME-class engines with an

FP8 path—the single highest-leverage addition the D–H–M training analysis identifies [186]—and the pretraining energy deficit falls from categorical to a low single-digit factor, paid for in memory that costs a fraction of HBM per bit and is not export-controllable.

Same cores, same engines, same fabric discipline, same software stack; only the memory tier and the compute-to-bandwidth ratio differ. The dual-variant template is the hardware mirror of the model strategy: the HBM variant serves what exists, the LPDDR6X variant trains what is next, and both are buildable on open IP, on domestic 7 nm-class logic, with domestic memory. A national program that executes it holds, in one product family, the replacement for the NVIDIA inference fleet *and* the decentralized pretraining capability of Section 9.8—with no Western license anywhere in the bill of materials.

9.4 The accelerator fleet and the unified ecosystem

9.4.1 Expelling NVIDIA, adopting the fleet

The accelerator story of 2023–2026 is a pincer: US export controls squeezed NVIDIA's China products from above while Beijing squeezed demand for them from below. The A800/H800 were banned in October 2023; the H20 in April 2025 (a $4.5B write-off), un-banned in August 2025 in exchange for an unprecedented 15% revenue share to the US Treasury—whereupon the CAC summoned NVIDIA over alleged backdoors, banned major platforms from buying, and regulators ordered that new state-funded data centers use domestic AI chips exclusively, with provinces cutting electricity tariffs up to 50% for domestic-chip facilities [116, 117, 118]. NVIDIA's China data-center revenue went to approximately zero in its Q2 FY2026; Jensen Huang's own scoreboard: "from 95% market share to near zero," followed by his November 2025 statement that "China is going to win the AI race," walked back within hours [119, 120].

Into the vacuum, the fleet. Huawei's Ascend line shipped ∼507,000 units in 2024 and ∼805,000 in 2025 (∼650k of them 910C-class), with a disclosed three-year public roadmap—950PR/950DT in 2026 with Huawei *self-developed* HBM (HiBL 1.0, HiZQ 2.0), 960 in 2027, 970 in 2028 [121, 122]. Cambricon's revenue grew 453% in 2025 to its first annual profit, targeting 500,000 accelerators in 2026; Moore Threads' Shanghai IPO popped ∼400% on debut; Biren listed in Hong Kong; Baidu lit a 30,000-chip Kunlun P800 cluster; Alibaba's T-Head PPU matched the H20 closely enough that China Unicom deployed 16,384 of them in a single facility, and a 10,000-chip cluster of Alibaba's "Zhenwu" followed in April 2026 [123, 124, 125, 126]. In May 2026, for the first time, nine domestic AI chips from seven vendors entered the "secure and reliable" government procurement catalogue [127]. Domestic chips took roughly 41% of Chinese AI-chip shipments in 2025 (∼1.65M units) and are projected to pass 60% in 2026 [128]. China's aggregate intelligent-computing capacity reached 2,185 EFLOPS by mid-2026 at 71% utilization [129].

9.4.2 The unified interconnection ecosystem

The fleet's weakness—fragmentation across a dozen incompatible vendors—is being engineered away by mandate and by open specification. MIIT policy directs the creation of a unified AI-chip computing interconnection ecosystem, so that domestic accelerators from competing vendors interoperate within shared clusters (the Computing Power Interconnection action plan; the "AI+" implementation documents) [130]. Huawei supplied the concrete substrate by *open-sourcing* the crown jewels: the UnifiedBus 2.0 interconnect specification, released openly so that "10,000+ NPUs work as one machine," with 300+ Atlas 900 SuperPoDs already deployed on UB 1.0; the full CANN software stack (its CUDA analogue, seven years in development), open-sourced in August 2025; MindSpore; and the complete SuperPoD reference architecture [131, 132]. The announced Atlas 950 SuperPoD couples 8,192 Ascend 950DTs into 8 FP8-EFLOPS with 16 PB/s of interconnect; the 960-generation SuperCluster targets over one million NPUs [122]. One must apply the usual discount to vendor roadmaps—but the *structure* is the point: where the West's answer to NVLink is a slow-moving industry consortium (UALink) that excludes China, China's answer is an open specification with state-mandated adoption. This top-down standardization actively dismantles the need for proprietary software stacks like CUDA, enforcing interoperability across the domestic supply chain—the Top Runner program, replayed at the cluster level. LineShine's own LingQi fabric—1.6 Tb/s injection per node, $\geq$3.5 Pb/s bisection—demonstrates the discipline at full machine scale [184].

9.5 What the argument is not: the GPU is not obsolete

Two claims must be kept apart, and the enthusiasm around this architecture routinely blurs them. The first—*the architectural continuum is real*—is strongly supported: by LineShine, by Grace, by TPUs and dataflow accelerators, by integrated HBM processors, and by the progressive redistribution of die area among scalar, vector, matrix, memory, and communication functions across every vendor's roadmap. The second—*that the CPU endpoint will become economically optimal for frontier AI*—is unproven, and depends on software maturity, sustained matrix efficiency, interconnect, manufacturing economics, deployment reliability, and total cost of ownership. The disciplined statement is this:

> LineShine demonstrates that the traditional CPU–GPU category boundary is no longer fundamental. It does not yet demonstrate that any particular point on the resulting design continuum is economically optimal for frontier AI.

Nothing in this chapter should be read as predicting the obsolescence of discrete accelerators. The GPU corner is not a legacy position: it holds the deepest kernel libraries in computing, seven years of compounded framework integration, tuned collectives, the largest installed base of trained engineers, and—not least—an operational track record at fleet scale that no CPU-side machine has yet attempted for a multi-week frontier run. A book that predicted the disappearance of that would be making the same category error it accuses others of making about Chinese industrial capability.

The interesting claim is different, and it is positive rather than eliminative: *the CPU corner can reach performance parity on the workloads that matter, and if it does, it arrives carrying an ecosystem advantage that the accelerator corner does not have.*

9.5.1 Breadth against depth

The two corners have opposite software strengths, and naming them correctly is more useful than ranking them. But first, a framing discipline the comparison itself demands: the practical alternatives are not "a CPU" and "a GPU." They are an *integrated accelerated-CPU system* and a *heterogeneous CPU–GPU system* with coherent or semi-coherent memory and a decade of orchestration maturity—and the heterogeneous system does not need to acquire the application universe, because it can keep irregular control, I/O, meshing, and legacy code on its host while accelerating selected kernels. The honest comparison is therefore between complete workflows:

$$T_{\text{workflow}} = T_{\text{host}} + T_{\text{accelerator}} + T_{\text{movement}} + T_{\text{synchronization}} + T_{\text{orchestration}}, \tag{9.1}$$

where every term is wall-clock time for one complete unit of work: T_{host} is time spent on the general-purpose processor (I/O, meshing, control flow, sparse assembly, the irregular tail); $T_{\text{accelerator}}$ is time in the accelerated kernels themselves; T_{movement} is data transfer between memory spaces; $T_{\text{synchronization}}$ is waiting at barriers and collectives; and $T_{\text{orchestration}}$ is scheduling, launch, and runtime overhead. The terms are additive only to the extent they are not overlapped—a well-tuned heterogeneous system hides part of T_{movement} behind $T_{\text{accelerator}}$, and the equation should be read as an upper bound that good engineering erodes rather than as an identity. The integrated design wins exactly where the removal of the movement, synchronization, and orchestration terms outweighs the discrete accelerator's kernel-depth advantage on $T_{\text{accelerator}}$. For kernel-dominated dense training, the last term structure favors the discrete accelerator and will for years. For the interleaved simulation–analysis–inference workflows of agentic science (Chapter 20), the middle terms are a large and growing fraction of wall-clock, and they are the terms the integrated design deletes. Everything below should be read against Eq. (9.1), not against a device-category comparison.

A second discipline: "runs natively" is not one property but four, and the breadth advantage is strongest on the first two:

Binary/ABI portability — existing binaries and build systems execute unchanged. The integrated CPU wins this outright; the heterogeneous system wins it too, on its host side.

Source portability — code recompiles without restructuring. The integrated corner wins broadly; accelerator offload requires directive or kernel-language surgery.

Performance portability — the recompiled code actually exploits the matrix engines. *Not* automatic on either corner: legacy scientific code may compile on an accelerated CPU, while exploiting SME/AME-class engines still requires library substitution, data-layout changes, mixed-precision reformulation, compiler maturity, and sometimes algorithm redesign. This is the rung where the maturity ladder of Section 9.1 bites both sides.

Operational portability — schedulers, monitoring, checkpointing, failure handling, and operator skills transfer. The CPU corner's genuine decades-deep advantage; conversely, mature framework abstractions preserve much application-level investment on the GPU side even when the vendor retunes internal kernels.

The accelerator corner's advantage is *depth*: an extraordinarily well-optimized vertical stack for a narrow set of operations—dense and block-sparse matrix multiply, attention, collectives, the reduction and normalization kernels around them—refined over a decade with enormous investment, integrated into every framework, and backed by profiling and debugging tools built for that stack specifically. On the kernels that matter for a transformer, this is a genuine and durable moat, and the LineShine class is years behind it (Section 9.2.1).

The CPU corner's advantage is *breadth*, and it is under-priced because it is invisible in benchmark tables:

One address space, no host–device split. There is no explicit data movement, no separate allocator, no pinned-memory dance, no kernel-launch boundary, and no class of bug that exists only because two memories must be kept coherent by hand. For workflows that interleave simulation, analysis, and inference—which is what agentic science actually is (Chapter 20)—this removes the dominant source of both engineering effort and lost performance.

The existing software universe runs natively. Fifty years of accumulated scientific, numerical, systems, and enterprise code executes without porting. In a typical scientific application the accelerated kernels are a small fraction of the source; the rest is I/O, meshing, control flow, sparse assembly, string handling, and glue—and on the accelerator corner that remainder either runs on the host anyway or must be rewritten. The CPU corner pays no porting tax on the 90% of code nobody writes papers about.

The irregular tail is native. Sparse operations, indirect addressing, branch-heavy control flow, dynamic data structures, mixed-precision solvers, graph traversal, and irregular communication are what much of computational science actually consists of, and they are exactly where accelerators are weakest. As AI itself turns sparser—mixture-of-experts routing, dynamic depth, retrieval, tool dispatch—this stops being a scientific-computing footnote and becomes an AI property.

Mature operations. Operating systems, schedulers, containers, filesystems, debuggers, profilers, checkpointing, RAS, and fleet management are decades matured on the CPU corner. Multi-week reliability is one of the seven open questions in Table 9.1, and it is the question the CPU corner is best equipped to answer.

No kernel-language lock-in. Code written to a scalable vector and matrix ISA is portable across vendors implementing that ISA—which is the entire point of Section 9.1, and the layer at which the rent of Chapter 2's Table 2.2 currently sits.

One fleet instead of two. A converged machine serves simulation, AI training, AI serving, and data analytics from one procurement, one operations team, and one power envelope. For a national laboratory or a mid-size country, the elimination of the two-fleet problem is worth more than a percentage of peak.

The strategic bet the CPU corner represents is therefore a bet about *which kind of software capital compounds faster*. Depth is a body of kernels that must be substantially rewritten every architecture generation anyway—and the industry rewrites it, repeatedly, whenever precision formats, attention mechanisms, or sparsity patterns change. Breadth is the accumulated application capital of half a century, and it does not have to be rewritten at all if the matrix engines arrive inside the ISA. If matrix throughput becomes an implementation choice rather than a device category—which is the argument of Section 9.3—then the corner that already holds the application universe has to acquire a decade of kernel depth, while the corner that holds the kernel depth has to acquire the application universe (or, per Eq. (9.1), keep hosting it and pay the movement and orchestration terms forever). Both are hard. This book's judgement, stated as a judgement [S], is that the first is the more tractable problem, because kernels are a finite and well-specified target with a large and motivated workforce, whereas the application universe is neither finite nor specified.

The finite-kernel claim itself deserves an immediate qualification: the kernel set is finite at any moment but the target moves—across precision modes, sparsity patterns, expert-routing schemes, dynamic shapes, multimodal operators, graph compilation, distributed layouts, optimizer variants, numerical-reproducibility requirements, and failure recovery. "Finite" therefore means *bounded and specifiable per generation*, not fixed. The empirically decidable form of the bet is: *which side reduces the total lifecycle cost of supporting a changing workload portfolio faster?* That question is now a registered forecast in Appendix H, with observable indicators (time-to-competitive-kernel for each new attention or sparsity mechanism on each corner; fraction of new model architectures served within a fixed window (say six months) of release; operator-hours per delivered petaflop-month), rather than a rhetorical flourish.

That is also why the strategic reading of LineShine survives the deflationary correction. The machine's significance is not that it retires the GPU. It is that a serious industrial actor has now demonstrated, at the top of the world rankings, that the ecosystem-rich corner of the continuum can be built at exascale—and if that corner also reaches AI parity, the competition between corners will be decided not by peak FLOPs but by which one is easier to program, operate, and converge. Those are the axes on which the CPU corner has never been behind.

9.6 Architecture theory: what to report, and why

Because this chapter argues from architecture rather than from benchmarks, it owes the reader the analytical vocabulary it is using. Every claim here reduces to the roofline framework: performance is bounded by min(peak compute, operational intensity $\times$ achieved bandwidth), and the workload's operational intensity—FLOPs per byte of memory traffic—determines which bound binds [368]. Autoregressive decode over a sparse MoE has an operational intensity an order of magnitude below any current socket's ridge point, which is not a modelling choice but an arithmetic property of reading weights once per generated token; that is why decode reduces to bandwidth and why the per-TB/s comparison of Section 9.2.1 is a ratio rather than a fit. Prefill sits above the ridge, which is why it reduces to matrix-engine thresholds instead. The memory-wall literature explains why the ridge point has drifted upward for thirty years and why capacity-first designs are a rational response; the communication-avoiding-algorithms literature explains why the fabric-in-ratio discipline of Section 9.3 is a first-order requirement rather than a detail; and energy-roofline analysis explains why the right unit for the comparisons of Chapter 11 is joules per delivered token rather than watts per socket.

One refinement makes the decode-parity claim of Section 9.2.1 properly conditional. "Streams per TB/s" is comparable across devices only under matched conditions, because the per-token byte traffic is itself a sum of terms that batching, caching, and placement all move:

$$B_{\text{token}} \;=\; \frac{B_{\text{active weights}}}{N_{\text{effective batch}}} + B_{\text{KV read}} + B_{\text{KV write}} + B_{\text{activations}} + B_{\text{routing}} + B_{\text{collective}}, \tag{9.2}$$

Each term is bytes moved per generated token: $B_{\text{active weights}}$ is the weight traffic for the experts actually activated, divided by $N_{\text{effective batch}}$ (the number of concurrent sequences over which one weight read is amortized—"effective" because expert routing means different sequences in a batch may need different experts, so the achieved amortization is below the nominal batch size); $B_{\text{KV read}}$ and $B_{\text{KV write}}$ are traffic to and from the key–value cache holding the attention state of the context so far; $B_{\text{activations}}$ is intermediate tensor traffic; B_{routing} is the metadata moved to dispatch tokens to experts; and $B_{\text{collective}}$ is the per-token share of cross-device communication under the declared parallelism layout. Throughput is then bounded on both sides:

$$\text{tokens/s} \;\leq\; \min\!\left(\frac{F_{\text{achieved}}}{F_{\text{token}}},\; \frac{\text{BW}_{\text{achieved}}}{B_{\text{token}}}\right), \tag{9.3}$$

where F_{achieved} is the arithmetic rate the device actually sustains on this workload (FLOP/s, not peak), F_{token} is the arithmetic work required per generated token, and $\text{BW}_{\text{achieved}}$ is delivered memory bandwidth under the workload's real access pattern (bytes/s, again not peak). The left-hand ratio is the compute bound and the right-hand ratio the bandwidth bound; whichever is smaller is what the machine delivers. At low batch on a sparse MoE the amortized active-weight term dominates B_{token}, pushing the system onto the bandwidth bound; at extreme context, KV traffic dominates instead; and MLA, GQA, prefix sharing, expert caching, and quantization each move the boundary by shrinking one term or another. The per-TB/s parity of Section 9.2.1 is therefore asserted only under matched active bytes per token, effective precision, cache behavior, batching, expert residency, KV representation, context length, routing, and collective pattern—which is exactly what the proof suite's protocol requires disclosed, and why MLPerf alone (which may not exercise the long-context sparse regime that carries the strategic claim) does not settle it.

Accordingly, for every design point this book proposes or evaluates, the quantities that should be reported—and which Appendix A now carries or names as owed—are: delivered bandwidth under representative access patterns rather than peak; all-to-all and collective injection requirements at the declared parallelism layout; power per *delivered* token; performance under expert imbalance, which is the sparse workload's most under-reported failure mode; checkpoint and restart overhead at full state; utilization loss from failure and maintenance; and software maturity and operator labour, which are costs even when they are not line items. A design compared on peak FLOP/s and nominal bandwidth alone has not been compared.

9.7 The software and operations moat, made measurable

The breadth-versus-depth bet of Section 9.5.1 was registered as a forecast about lifecycle cost; that cost must therefore stop being a qualitative residual and become an object with a definition. Here it is:

$$\begin{aligned} C_{\text{lifecycle}} &= C_{\text{hardware}} + C_{\text{energy}} + C_{\text{porting}} + C_{\text{optimization}} \\ &\quad + C_{\text{regression}} + C_{\text{operations}} + C_{\text{downtime}} + C_{\text{migration}} + C_{\text{decommission}}, \end{aligned} \tag{9.4}$$

where C_{hardware} and C_{energy} are the acquisition and electricity costs that procurement compares, C_{porting} is the one-time cost of making the workload run at all, $C_{\text{optimization}}$ the cost of making it run well, $C_{\text{regression}}$ the recurring cost of keeping it running well across toolchain releases, $C_{\text{operations}}$ the staffing of the fleet, C_{downtime} the value of lost availability, $C_{\text{migration}}$ the cost of moving the workload off the platform at end of life, and $C_{\text{decommission}}$ the disposal and data-transfer cost of retiring it. The first two are what procurement compares; the remaining seven are where platform advantage actually lives. CUDA's moat, decomposed, is a claim about the seven: lower porting cost (everything already runs), lower optimization cost (kernels exist), lower regression burden (the vendor absorbs it each release), mature operations tooling, less downtime, and—the term nobody prices until they pay it—migration cost *away*, which is the lock-in rent collected at the end of the relationship rather than during it.

For each candidate architecture, the measurable schedule that would let a buyer compare Eq. (9.4) across platforms: time to first correct execution of a representative workload; time to 50%, 75%, and 90% of attainable performance (the performance-portability curve, which distinguishes "compiles" from "performs"—the four portability types of Section 9.5.1 made quantitative); source lines modified and architecture-specific code fraction; compiler and library defects encountered per port; person-months of optimization; regression burden across toolchain releases; operator staffing per thousand nodes; unplanned-interruption rate; checkpoint/restart loss; performance portability across hardware generations; and the cost of migrating one production workload off the platform. The comparative cases that would anchor the table span the industry's whole experience: NVIDIA/CUDA (the incumbent baseline), AMD/ROCm (the best-documented catch-up attempt), Huawei Ascend/CANN/MindSpore (the open-sourced challenger), A64FX/Fugaku (the direct historical calibration for the LX2 class—and the source of this book's "capability present, stack lagging by a measurable interval" prior), OpenXLA and the compiler-abstraction bet, the RISC-V vector/matrix toolchains as they mature through the Section 9.1 ladder, and an LX2-class machine itself when access permits.

Two institutional observations complete the section. MLPerf provides the time-to-train anchor—and its v6.0 round now includes a DeepSeek-V3 MoE pretraining benchmark, making it directly relevant to the sparse workloads this book cares about [379]—but MLPerf measures the *result* of software maturity, not its cost: a heroic two-hundred-engineer port scores identically to a recompile. The complementary instrument the field lacks, and which this book now formally proposes as a deliverable of the Chapter 22 consortium, is an *AI-HPC lifecycle benchmark*: a standardized workload portfolio whose reported metrics are the schedule above—engineering effort, defect counts, regression burden, operational staffing—audited across platforms on a fixed cadence. It would do for the software moat what TOP500 did for FLOPs: convert a marketing claim into a time series. Publication of such a series is now a named verification event for the breadth-versus-depth forecast in Appendix H; until it exists, every claim about "ecosystem maturity"—including this book's—is graded [S].

9.8 Democratizing AI through the LPDDR6 hardware arbitrage

The conventional Western paradigm assumes frontier training requires terabytes-per-second of High Bandwidth Memory—a technology where allied firms (SK hynix, Samsung, Micron) hold a commanding lead and supply is structurally tight (HBM consumes roughly 3× the wafer capacity of standard DRAM per bit [133]). US export controls accordingly treat HBM as a chokepoint. China's most interesting countermove is not to duplicate HBM—it is to sidestep it by exploiting massive capacities of low-cost commodity memory, accepting a bandwidth penalty and engineering around it in software. This is the LFP move (Chapter 4), executed in memory—and it is the training-centric variant of the Section 9.3 template.

9.8.1 The HBM scaling wall

Analysis of large-scale Mixture-of-Experts training exposes the capacity limitation of the HBM-centric architecture. A feasibility study by the RIKEN Center for Computational Science of pretraining a 2.8-trillion-parameter MoE of the Kimi-K3 class finds that, under standard production-grade kernel fusion, sustaining a 20-PF(FP8) accelerator requires approximately $14.5\,\mathrm{TB\,s^{-1}}$ of memory bandwidth per accelerator—beyond even HBM4 provisioning [134]. The binding constraint, however, is capacity, not bandwidth: on a 128-accelerator cluster, the sharded model state alone (∼306 GB per accelerator) exceeds the 288 GB physical limit of current HBM4 stacks. The precise statement, with the discipline the result demands, is this: *under the stated Kimi-K3-class model, optimizer representation, activation policy, and parallelization assumptions, the HBM4 configuration has a sub-256-accelerator capacity floor*—beneath it the Western architecture does not merely slow down but ceases to function [134]. The threshold is configuration-specific, not universal: it moves with optimizer state, precision, sharding strategy, sequence length, expert placement, recomputation policy, and checkpoint design. It remains a strong result because the stated configuration is the *standard* production configuration for the model class.

9.8.2 CXMT and the LPDDR6 disruption

ChangXin Memory Technologies (CXMT) supplies the memory class on which the alternative rests. Reports place its first LPDDR6 part—$12{,}800\,\mathrm{Mbit\,s^{-1}}$, 16 Gbit per die—at the tail end of R&D verification in mid-2026, with sampling underway and mass production targeted for 2H26, which would place CXMT at or ahead of SK hynix's LPDDR6 timeline: a Chinese memory firm reaching a leading-edge commodity node *first.* This claim is graded [A]—analyst-reported roadmap evidence—because no official product announcement or customer qualification has been published; the falsification test is simply whether a qualified part ships on the reported schedule, and Appendix H tracks it [135]. The JEDEC SOCAMM2 module standard (LPDDR-on-module for AI servers, already in mass production for NVIDIA's own Grace/Vera-Rubin platforms; SK hynix began mass production of 192 GB SOCAMM2 modules in April 2026 [136, 471]) provides the packaging: with approximately 18 SOCAMM2 modules, a single socket reaches ∼2.3 TB of directly attached capacity—eight times the HBM4 ceiling, at a fraction of the cost per bit [134].

A second discipline separates what is *observed* from what is *proposed.* What the evidence supports: a capacity-first LPDDR architecture is a plausible and rational Chinese countermove, because it maps onto exactly the memory class where domestic capability is strongest and sidesteps the class where it is weakest. What the evidence does not yet support: that this architecture is an *implemented* national countermove, or a product program that CXMT is leading. The design in this section and Appendix A is this book's own engineering analysis [M] of what the pieces permit—not a report of a Chinese program, and the text is written so the two cannot be confused.

9.8.3 The trade-off: capacity over peak bandwidth

Before the trade is stated, the design hierarchy has to be fixed—and it is this book's own reconciled topology, rather than any preference for the novel corner, that fixes it. Appendix A's design point shows the pure-LPDDR socket clearing its ∼5 TB/s requirement only under streaming-dominant access; under random expert-fetch behavior it misses by 10–30%. The engineering ranking is therefore: *(1) the hybrid HBM+LPDDR configuration as the baseline*—most of the capacity advantage, a quarter of the pin burden, graceful degradation; *(2) pure LPDDR as a higher-risk, sanctions-contingent research configuration*—the corner a fully export-controlled program is pushed into, and the configuration whose feasibility milestone (the 5 TB/s knee test) should be funded first precisely because it is the one in doubt; *(3) HBM-only as the incumbent performance baseline*. What follows analyzes the pure-LPDDR corner because it is the *strategically novel* one, not because it is the recommended one—the sanctions geography, not the engineering, is what selects it.

The arbitrage rests on a calculated hardware–software trade, and the entire subsection is an author-modeled result [M] pending the experimental program of Appendix A. With 2.3 TB per socket, activation recomputation can be eliminated entirely, cutting both FLOP and memory-traffic requirements; under aggressive kernel fusion the per-accelerator bandwidth requirement drops to a knee of $\sim 5.0\,\mathrm{TB\,s^{-1}}$. An LPDDR6X system provisioned at $7.0\,\mathrm{TB\,s^{-1}}$ peak delivers that achieved bandwidth, yielding a Model FLOP Utilization ceiling of about 67%, against 89% for the HBM4 configuration [134]. The engineering price of that 7 TB/s socket is itself nontrivial—on the order of 4,400 active data pins at LPDDR6 rates, several times the disclosed bandwidth of NVIDIA's own LPDDR-based Vera CPU (1.2 TB/s) [258]; Appendix A does the arithmetic and states the validation milestones. What the MFU sacrifice buys: cost-per-bit an order of magnitude better; capacity-per-socket that *enables* small-cluster training at all; and supply from a domestic fab ramping toward 300,000+ wafers per month (Chapter 10). For the stated model class and parallelism layout, below 256 accelerators HBM4 capacity cannot hold the sharded state at all—there, LPDDR6X-class capacity is not the cheaper option but the enabling one.

9.8.4 Strategic consequence: decentralized pretraining

The capacity advantage attacks the assumption that frontier pretraining requires centralized, gigawatt-class superclusters. Scale honesty first, because the intuitive figure for a machine of this class errs badly in the conservative direction. A 128-socket machine at 20 PF(FP8) per socket is a 2.56-EF FP8 installation. Its power is *not* tens of megawatts:

$$P^{\mathrm{el}}_{\mathrm{facility}} = \underbrace{N_{\mathrm{sockets}} P^{\mathrm{el}}_{\mathrm{socket}} + P^{\mathrm{el}}_{\mathrm{network}} + P^{\mathrm{el}}_{\mathrm{storage}}}_{\text{IT load}} + \underbrace{P^{\mathrm{el}}_{\mathrm{cooling}} + P^{\mathrm{el}}_{\mathrm{overhead}}}_{\text{facility overhead, i.e. (PUE}-1)\times\text{IT load}},$$

where N_{sockets} is the number of accelerated processors, $P^{\mathrm{el}}_{\mathrm{socket}}$ the power of one processor plus its attached memory tier, $P^{\mathrm{el}}_{\mathrm{network}}$ and $P^{\mathrm{el}}_{\mathrm{storage}}$ the interconnect and storage draw, and the last two terms the cooling and electrical losses that power-usage effectiveness (PUE) summarizes as a multiplier on IT load. Table 9.2 groups the terms exactly this way.

Half a megawatt is an ordinary industrial substation feeder, not a campus—which strengthens the decentralization argument rather than weakening it, and is the arithmetic a skeptical reader should check first. Even a 256-socket machine lands near 1 MW. What that buys is *smaller sovereign-scale*: a national-laboratory or mid-cap-company object; "democratization" here means the pretraining club expanding from three hyperscalers to every state and serious institution that wants in, and the capacity threshold itself is workload-specific, not a universal wall. Within that scope the claim stands [M]: sovereign states, national labs, and mid-size companies can execute full pretraining of frontier-class sparse models on 128–256-socket (64–128-node) clusters, because LPDDR6 provides the state capacity and Chinese sparse-model recipes (Chapter 8) provide the bandwidth frugality. Note the co-design loop closing at every scale: the same capacity-first, bandwidth-modest architecture that the $2,000 enthusiast rig discovered bottom-up (Section 8.5)

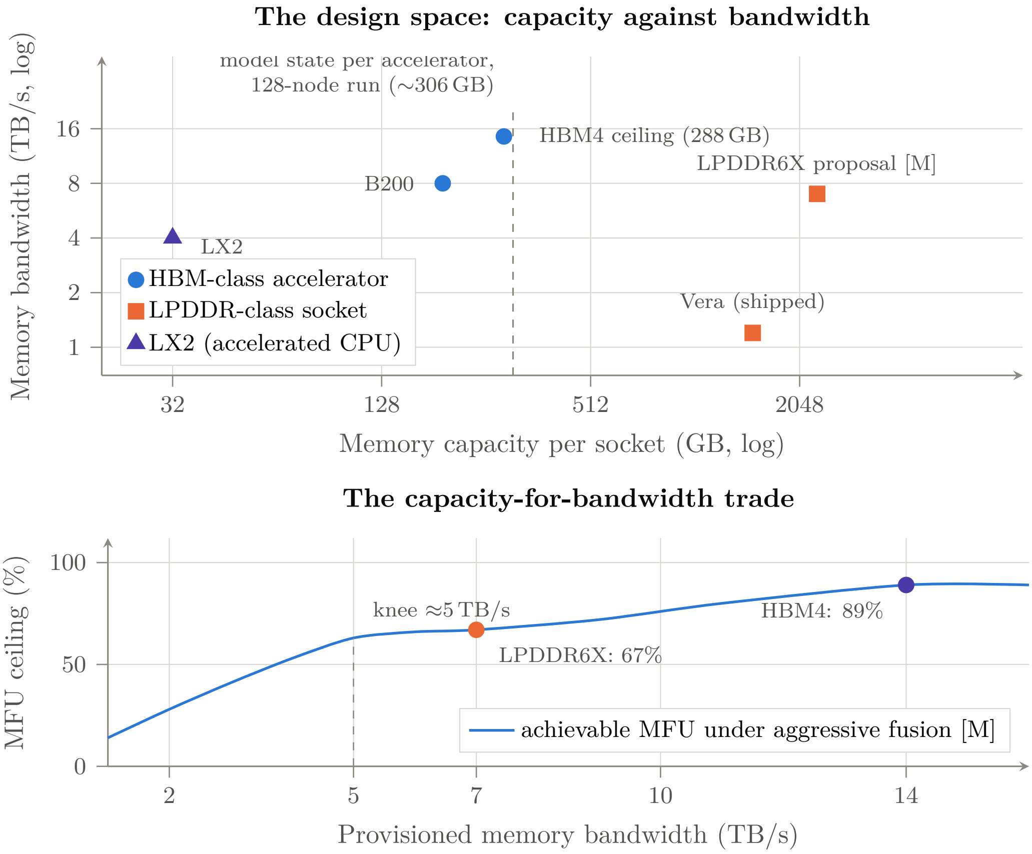


Figure 9.2: Why capacity is the arbitrage. *Above*: capacity against bandwidth for shipped parts [V] and for the modeled LPDDR6X socket [M]. The dashed line is the per-accelerator model state for the reference 2.8T-parameter sparse-MoE run at 128 nodes (∼306 GB): everything to its left cannot hold the model at all, which is the sense in which the HBM path has a cluster-size floor. *Below*: the trade the substitution buys—22 points of MFU ceiling surrendered for an eightfold capacity gain and an order-of-magnitude better cost per bit. Curve shape is modeled, not measured; Appendix A states the experiments that would confirm or refute it.

Table 9.2: Power accounting for a 128-socket capacity-first pretraining cluster [M]. A "socket" is one accelerated processor plus its attached LPDDR6X memory tier; nodes carry two sockets.

Term	Value	Basis
Compute silicon per socket	2.0–2.6 kW	∼2× a B200-class part at 20 PF(FP8)
LPDDR6X tier per socket (2.3 TB @ 7 TB/s)	0.3–0.5 kW	∼5–8 pJ/bit at full stream
Socket total	**2.3–3.1 kW**	
128 sockets (64 dual-socket nodes)	295–397 kW	
Network (multi-rail, 1.6 TB/s per socket)	25–40 kW	optics plus switching
Storage and head nodes	15–30 kW	checkpoint tier at full state
IT load	**335–467 kW**	
Cooling and facility overhead (PUE 1.15–1.30)	+50–140 kW	liquid-cooled assumption
Facility total	**∼0.4–0.6 MW**	8–12 racks

reappears here as national strategy—Chinese models are trained sparse and bandwidth-lean *because* of the hardware environment, and Chinese hardware is provisioned capacity-rich *because* the models reward it. The Western trillion-dollar bet on centralized HBM-bound data centers is thus exposed on two flanks at once: its scarce input (HBM) is bypassed, and its scale premise (only hyperscalers can pretrain) is dissolved. Hardware proliferation plus software commoditization equals the democratization—on Chinese terms—of the means of AI production.

9.9 The West defects to the open ISA: NVIDIA, Google, Meta

The final structural fact of the compute element is that the Western ecosystem is not defending the proprietary-ISA order—it is quietly joining the open one. The evidence spans every layer of the US stack.

A taxonomy first, because "independence" has five distinct layers and conflating them flatters the thesis: (1) host-ISA independence—what RISC-V directly delivers; (2) accelerator-ISA and microarchitecture independence; (3) framework and compiler portability; (4) scale-up/scale-out fabric independence; (5) memory and packaging independence. RISC-V settles only layer 1; the larger AI rents live in layers 2–5, which is where CANN/UB open-sourcing, the matrix-extension standardization, and the memory strategy of this chapter respectively operate. Unit forecasts deserve the same discipline: most RISC-V units are embedded controllers, and unit share is not server-revenue share—though the SHD revenue decomposition (∼70% of projected 2031 RISC-V *revenue* from AI-accelerator SoCs) shows the value migrating to exactly the contested layer [199].

NVIDIA is the most striking case. Its GPUs have carried embedded RISC-V management cores since 2016—ten to forty per chip, roughly one billion cores shipped in 2024 alone [190]. In July 2025, at the RISC-V Summit *China* in Shanghai, NVIDIA announced that CUDA itself is being ported to RISC-V host CPUs, making the open ISA the third sanctioned CUDA host after x86 and Arm—explicitly enabling "a RISC-V CPU to be the main application processor" of a CUDA system [191]. Two readings of this move are available and both should be on the record. The moat-extension reading: NVIDIA is porting CUDA *onto* the open host layer precisely to keep the accelerator rent (layers 2–3) intact—the RISC-V CPU runs Linux and drivers while the GPU keeps the compute [192]. The concession reading: the platform owner no longer expects the proprietary host order to hold, and is repositioning its rent one layer up—at a summit in Shanghai, weeks after its China market went to zero. The readings agree on the structural fact this book needs: the foundation layer is going open with both superpowers' participation, and the contest has moved to the layers above it. In January 2026 SiFive announced NVLink Fusion integration for datacenter-class RISC-V subsystems [193]; RISC-V International's own five-year CEO, Calista Redmond, departed in December 2024—for NVIDIA [194].

Google co-founded the RISC-V Foundation in 2015 and the RISE software consortium in 2023, ships RISC-V in its Titan security silicon, deploys SiFive X280 vector cores inside its TPU ecosystem as the programmable front-end to its matrix units, and committed Android to the architecture [195]. **Meta**'s MTIA accelerator family—four generations disclosed through March 2026, scaling to 10 PFLOPS parts deployed 72 to a rack—is built on RISC-V processing elements throughout [196]. **Microsoft** is the conspicuous holdout, its Azure silicon remaining Arm-based (Cobalt) with no public RISC-V commitment—a gap worth watching precisely because it is now singular [197]. Attempts in Washington to restrict RISC-V collaboration—congressional letters in 2023, 2024, and 2025 noting that Chinese firms hold nearly half the consortium's board seats—have produced no enforceable action, for the reason the Commerce Department itself conceded: the standard is open, Swiss-domiciled, and restricting US participation would harm US firms without slowing China at all [198].

The pattern matters more than any single datum: the ISA layer is tipping the way the model layer tipped. Forecasts now put RISC-V at ∼25% of processor units by 2030, with AI as the driver [199, 200]. When the platform owner of the AI era ports its crown-jewel software to the open ISA at a summit in Shanghai, the standards war is not being lost; it is being conceded. What remains proprietary in the Western stack—the GPU microarchitecture, CUDA's implementation, Arm's cores—sits on top of a foundation both superpowers now agree will be open. Only one of them has organized its national industry to own that foundation.

9.10 Assessment

Honesty about the current balance, and about what this chapter does *not* claim (Section 9.5): NVIDIA-plus-HBM remains the superior machine per watt for dense frontier training today (CloudMatrix-class systems reach parity by brute force at $\sim 4\times$ the power [137]); Ascend software maturity cost DeepSeek a flagship cycle [104]; domestic accelerator output in 2026 (roughly 1.5–2M die-equivalents) remains an order of magnitude below NVIDIA's [121, 138]; and the LX2's AI-serving numbers are, as its own analysts insist, projections from published specifications pending direct measurement [186]. But the structural position has inverted since this book's first draft. A GPU-free Chinese machine leads both TOP500 benchmarks; the CPU-versus-accelerator distinction has been shown, quantitatively, to be an allocation choice rather than a category; the template is portable to an ISA no one can revoke, in two memory variants matched to the two halves of the AI workload; and the Western ecosystem itself—NVIDIA first among them—is porting its software to that ISA. The remaining dependency of the compute element is physical: wafers, HBM stacks, and DRAM bits. That is the third element.

Chapter 10

The Semiconductor: Fabs, Logic, and DRAM

The third element is the physical base. Models can be open-sourced and architectures standardized overnight; fabs cannot. This is where the West's chokepoint strategy concentrated—EUV denial since 2019, successive equipment and HBM controls, entity lists—and therefore where the empirical test of *chokepoint decay* (Chapter 6) is sharpest. The evidence through mid-2026: the chokepoints are decaying faster than they are being replaced.

10.1 Logic: 5 nm without EUV

SMIC crossed the line that export controls were designed to hold twice. The Huawei Mate 60's 7 nm Kirin 9000S (August 2023) was the first shock; by December 2025, TechInsights teardowns confirmed volume production on SMIC's N+3 node—a scaled evolution of its 7 nm-class technology that TechInsights describes as a key indicator of how close SMIC is to a true 5 nm-equivalent node without EUV, while remaining "significantly less scaled than leading commercial 5 nm" from TSMC or Samsung [V] [139, 259]. Capability is demonstrated; TSMC-equivalent economics are not, and the comparison metrics that would settle it—density, yield by die size, wafer cost, cycle time—remain undisclosed [A]. The costs are real: multi-patterning burns wafer capacity, N+2 yields are estimated at 40–55% for large dies (Cambricon's biggest reportedly ∼20%), and margins show the strain [140, 123]. But the strategic arithmetic is not yield percentage; it is wafers times yield times time. SMIC's advanced-node capacity is climbing from ∼45,000 wafers/month (2025) toward 60,000 (2026) and 80,000 (2027) [121]; SMIC posted record 2025 revenue of $9.3B at 93.5% utilization [141]. Around it, Huawei's "shadow fab" network—PXW, SwaySure, Pengjin, SiEn, and others identified by open-source analysis, roughly eleven fabs of which eight are 300 mm—adds capacity outside the visible SMIC envelope [142]. Huawei's die bank (over 2.9 million Ascend dies procured from TSMC before enforcement closed the loophole, plus ∼13 million HBM stacks stockpiled) bridges the gap while domestic capacity ramps [121].

Below the leading edge, the mature-node story is already solar-shaped: China holds 37% of global 22–40 nm output in 2026 (42% projected by 2028) and drives nearly 70% of global 300 mm mature-node capacity expansion, with trailing-edge price pressure forcing Taiwanese incumbents through the familiar sequence of supplier squeezes and order migration [143]. Every power stage, microcontroller, and sensor of the EV and robotics stack rides on these nodes—and recall (Chapter 5) that Chinese automakers are directed toward 100% domestic chips by 2027 [144].

10.2 DRAM: CXMT and the swing-supplier position

Memory is the quiet revolution. CXMT grew from ∼70,000 wafers/month in 2022 to 200,000–300,000 by mid-2026, targeting 600,000 via new Hefei and Shanghai fabs; independent modeling puts it within ∼25,000 wafers/month of Micron by end-2026—which would make China's national champion the world's fourth, and trajectory-wise third, DRAM producer [145, 146]. Its DDR5 yields reached 80%+; it publicly launched DDR5-8000 and LPDDR5X-10667 in November 2025; and its July 2026 Shanghai IPO raised $8.6B and closed +466% at a ∼$460B market capitalization—instantly the largest A-share company [147, 148, 260]. Three disciplines keep that number honest. First, only 6.73% of shares floated, so the print measures state-channelled investor appetite in a thin market rather than industrial value—first-day market capitalization is a *sentiment* indicator and nothing more [V] [260]. The industrial indicators are the ones to track instead: IPO proceeds and their allocation, wafer capacity by node, revenue, gross margin, yield, customer qualification, and the capex plan. Second, the prospectus disclosed *no dedicated commercial HBM investment*, which sits awkwardly beside the narrative—this book's included—that CXMT HBM3 is an imminent strategic bridge. The contradiction should be stated rather than smoothed: either HBM development is funded outside the disclosed lines, buried inside general R&D, or less mature than the reporting implies. All three readings are live, and the resolution is a disclosure this book does not have [A]. Third, the swing-supplier evidence (CXMT server modules pricing above Samsung's) is a moment in a panic market, not proof of durable pricing power: qualification status, channel inventory, specification, shortage timing, and regional procurement all move that number.

That last fact is the essential one, and it deserves the full accounting, because domestic HBM is now the single binding physical constraint on the compute element—and the most important open variable in this book.

10.2.1 The HBM ledger

The state of Chinese HBM as of mid-2026, stated carefully by evidence grade. *In production*: CXMT HBM2 since 2H24, 8-high HBM2E since 1H25—roughly three to four years behind SK hynix, on a ∼16 nm-class cell with a >30% cost-per-bit disadvantage, and today under 2% of CXMT's ∼265,000 monthly wafer starts [149, 148]. *Sampled*: CXMT delivered HBM3 samples to Huawei in October 2025, with large-scale HBM3 manufacturing slated for 2026 and HBM3E for 2027; Korean-sourced reports have CXMT dedicating ∼20% of capacity to an HBM3 line [201]. *Announced*: Huawei's Ascend 950PR ships in 2026 with self-developed "HiBL 1.0" HBM (128 GB, 1.6 TB/s) and the 950DT with "HiZQ 2.0" (144 GB, 4 TB/s)—whose DRAM dies are fabbed by an undisclosed partner, with CXMT and the entity-listed Wuhan Xinxin (XMC, ∼3,000 HBM wafers/month with SJSemi packaging) the documented candidates [122, 202]. *Claimed*: Chinese state media assert LineShine runs on "China's first domestically developed HBM"—which would make the world's No. 1 supercomputer the first at-scale deployment of Chinese HBM—while independent analysts note the supplier is undisclosed and speculate CXMT HBM2E [188, 187]. *Not yet verified*: no public teardown has confirmed Chinese-fabbed DRAM dies in a commercially shipping accelerator; teardowns of shipping Ascend 910Cs still find Samsung and SK hynix stacks [203].

Those foreign stacks are the depleting bridge: Huawei accumulated ∼13 million HBM stacks (including ∼11.4M from Samsung, ∼7M of them shipped in the December 2024 window between the BIS rule's announcement and its enforcement), and by mid-2026 that stockpile is assessed as effectively exhausted—making HBM, not SMIC logic, the binding constraint on Ascend output (∼2M domestic stacks projected for 2026, sufficient for only ∼250–300k Ascend 910C-class packages; more bullish estimates reach ∼7M) [121, 204]. The advanced-packaging leg, by contrast, is scaling fast: Innotron's $2.4B TSV/stacking facility, Tongfu's RMB 4.4B raise, over RMB 27B poured into packaging expansion in H1 2026, and a domestic HBM assembly toolchain (Naura

TSV etch, Maxwell hybrid bonding) targeted at end-2026 HBM3 [150, 205]. Washington noticed the champion late: CXMT reached the DoD's 1260H list only in June 2026 and remains off the BIS Entity List—after the IPO, after the LPDDR6 verification, after the HBM3 samples [148].

The strategic read is double-tracked, and Chapter 9's template (Section 9.3) is its exact mirror. On the HBM track, China is three-plus years behind and sprinting—independent assessments (TrendForce) still place domestic HBM in early verification with limited near-term global impact [A] [261]—with the inference-centric machines (Ascend 950, LX2-class sockets) as the guaranteed captive demand. On the commodity track, CXMT is at the *world's leading edge* of LPDDR6—sampling concurrent with SK hynix, mass production targeted 2H26 [R]—feeding the training-centric, capacity-first architecture designed to need far less HBM [135]. The precise formulation matters, because the looser version of it is false: China has not made HBM irrelevant; it is engineering a position in which HBM ceases to be the *sole* architectural path to frontier-scale AI, while racing to supply it domestically anyway. Likewise the swing-supplier evidence (CXMT server modules pricing above Samsung's in the shortage) is a moment in a panic market, not yet proof of durable pricing power [A] [152].

Meanwhile the 2025–2026 global memory shortage—DRAM contract prices up 50–60% in quarters, driven by AI demand and HBM's 3× wafer intensity—handed CXMT the swing-supplier role: its 64 GB server DDR5 modules now price *above* Samsung's [151, 152]. Within twelve months, the narrative flipped from "Chinese dumping" to Chinese pricing power. YMTC's 294-layer NAND and the revival of Entity-Listed Fujian Jinhua complete the memory picture [153].

10.3 Packaging: the chokepoint hiding inside the memory ledger

Advanced packaging deserves separation from the HBM discussion, because it is a distinct chokepoint with distinct suppliers and a distinct clock. Producing logic and producing memory are insufficient if a country cannot *assemble* them at yield and volume: through-silicon vias, hybrid bonding, interposers, large organic substrates, CoWoS-class capacity, known-good-die test, thermal interfaces, and increasingly optical and SerDes packaging are all separate industrial competences, and OSAT scaling is its own capital cycle. China's position here is markedly stronger than in lithography and markedly weaker than in assembly labour: Innotron's $2.4B TSV facility, Tongfu's RMB 4.4B raise, more than RMB 27B of packaging expansion in H1 2026, and a domestic HBM assembly toolchain—TSV etch, hybrid bonding, precision placement—targeted at end-2026 HBM3 [150, 205]. The strategic reading is that packaging is the layer where the domestic ecosystem is closing fastest *and* the layer whose failure would strand both the logic and the memory investments; it is therefore the highest-variance item in Table 10.1.

10.4 A sanctions-elasticity model

This book has used "chokepoint decay" as a descriptive phrase. It can be made semi-quantitative, and doing so is the honest way to compare controls that behave very differently. For each controlled input, write Δt_{eff} for the *effective delay*: the number of years by which a control postpones the adversary's attainment of the capability it targets, relative to a no-control counterfactual. It is not a formula but a function of five terms, each of which subtracts from the delay the control's designers assumed they were buying:

$$\begin{aligned}\Delta t_{\text{eff}} = \Phi\Big(& \underbrace{\text{stockpile depth}}_{\text{years of inventory held}}, \underbrace{\text{diversion}}_{\text{share obtainable anyway}}, \underbrace{\text{domestic substitution rate}}_{\text{years to a home-grown equivalent}}, \\ & \underbrace{\text{architectural redesign}}_{\text{can the need be designed away?}}, \underbrace{\text{yield penalty}}_{\text{cost of the inferior path}} \Big),\end{aligned}$$

where Φ is left unspecified because no public dataset supports fitting it; what the decomposition buys is not a number but a checklist, and the terms are ordered so that the first three shorten the delay and the last two lengthen it. and the terms have very different magnitudes by input. EUV lithography has no stockpile, negligible diversion at machine scale, a substitution rate measured in decades, and no architectural detour that fully substitutes—so the control buys real years. HBM has a large stockpile (exhausted by mid-2026), meaningful diversion, a substitution rate of three-plus years, and—critically—an *architectural detour* in the capacity-first design of Chapter 9, so the control buys less than its designers assumed. Advanced accelerators have shallow stockpiles, documented diversion at billion-dollar scale, a fast-improving domestic substitute, and a full architectural detour; the control has largely converted into a domestic market-reservation policy. EDA proved to have near-zero delay value: the ban was imposed and rescinded within six weeks, and domestic share doubled in the interval. Deposition, etch, and metrology sit in between. Ranking controls by Δt_{eff} rather than by strategic-sounding importance is, on this book's evidence, the single most useful analytical discipline available to export-control policy—and it would have predicted, in 2022, most of what has since happened.

10.5 Equipment, EDA, materials: the long ladder

The deepest dependency is the tool base, and here the trend, not the level, is the message. Naura reached #5 in global semiconductor-equipment revenue in 2025 (from #8 in 2022, revenue ∼\$5.5B, +31%); AMEC (#13) ships etch tools aimed at ≤5 nm logic; three Chinese firms now sit in the global top twenty; domestic tools supply an estimated 20–30% of Chinese fab demand, up from ∼10% three years prior [154, 155]. The Huawei-linked, state-owned SiCarrier exhibited some thirty tool types within two years of founding and holds patents claiming 5 nm-class SAQP-DUV flows [156]. Lithography remains the hard floor: SMEE ships at 90 nm, 28 nm-class immersion DUV is in trials (Yuliangsheng), and domestic EUV—LDP-source prototypes reportedly under test at Dongguan—is credibly dated no earlier than ∼2030 by sober assessments [157]. The pattern of every denied layer repeats in EDA: the May 2025 US ban on EDA sales was rescinded within six weeks (traded against rare-earth flows—Chinese leverage from the previous wars, spent to protect the next one), but not before Empyrean shipped China's first full-process memory-EDA platform and domestic EDA share doubled [158]. Silicon wafers: 3% of 300 mm capacity in 2020, ∼28–32% in 2026 [159].

The money behind the ladder: Big Fund III alone is RMB 344B (∼\$47.5B) with a horizon to 2039, atop Funds I–II and provincial vehicles; China has been the world's largest equipment buyer (∼40% of global WFE) every year since 2020 and will remain so through 2027 [160, 161]. Self-sufficiency targets are missed and re-set—the "Made in China 2025" 70% goal landed nearer 25–50% depending on definition [162]—but the direction never reverses, and each US control action (December 2024's 140-entity action, the whiplash of the AI Diffusion Rule imposed January 2025 and rescinded May 2025) functions as demand guarantee for the domestic substitute [163, 164]. Meanwhile enforcement leaks at industrial scale: a \$2.5B smuggling scheme via Supermicro employees was charged in March 2026 [165].

10.6 The national-open logic at the silicon layer

The semiconductor element lacks the visible "openness" branding of models and ISAs—one cannot open-source a fab. But the same national-open structure operates: open architecture above (RISC-V cores taped out on SMIC; XiangShan as shared national IP), unified standards across competing fabs and OSATs, state capital socializing the capex, and the deliberate choice of *commodity* process technology—DUV multipatterning, LPDDR6, chiplet packaging—over the proprietary-premium branch (EUV, HBM4) wherever the commodity branch can be scaled domestically. Table 10.1 summarizes the position.

The element-level conclusion, stated at the evidence grades the table carries rather than above them: no single Chinese node matches its Western counterpart at the frontier, and

Table 10.1: The semiconductor element, mid-2026: chokepoints and their decay state.

Chokepoint	Western position	Decay state
Leading-edge logic	TSMC 2 nm; EUV denied	SMIC 5 nm-class DUV in volume; 60–80k wpm ramp; yield-limited, not capability-limited
HBM	SK hynix/Micron lead; export-controlled	Potentially reduced as a sole dependency by the modeled capacity-first architecture [M]—not yet bypassed in any measured training system; domestic HBM2E + stockpiles bridge
LPDDR6	JEDEC-standard commodity class	CXMT roadmap targets a schedule comparable with leading suppliers [A/R]; qualified mass production not yet independently verified
DRAM commodity	Samsung/SK/Micron oligopoly	CXMT #4 and rising; swing supplier in shortage; pricing above Samsung
Lithography	ASML monopoly	Hard floor; 28 nm DUV trials; EUV ~2030; mitigated by multipatterning + capacity
Equipment (non-litho)	AMAT/Lam/TEL lead	Naura #5 globally; 20–30% domestic share and rising
EDA	Synopsys/Cadence duopoly	Ban imposed and rescinded in 6 weeks; domestic share doubling from low base

the architecture of Chapters 8 and 9 was chosen so that none needs to. But "sufficient" is a claim about an integrated system, and the honest formulation is conditional: *the emerging domestic stack contains plausible paths to sufficiency, each supported to a different evidence level—logic capability [V] but logic economics [A], LPDDR roadmap [A/R], packaging capability [P/A], software maturity [M]—and an end-to-end frontier training run remains the decisive integration test that none of the paths has yet passed.* Logic yield, packaging economics, memory qualification, software maturity, and LPDDR training performance have never been demonstrated *simultaneously in one run*; the claim register carries that run as CR-09, the "Mate 60 moment" of AI. What the table does establish unconditionally is the strategic geometry: the chokepoint strategy assumed China would try to rebuild the Western machine and could be stopped at its scarcest parts. China is building a different machine—whether the different machine works end to end is the open question this book's forecasts price at 65% within 2–4 years.

Chapter 11

The Watt: Energy as the Fourth Element

The three elements of Part II share a silent denominator. Every token is ultimately a quantity of electricity passed through silicon, and the AI war's longest-lead-time input is neither the model, the chip, nor the fab—it is the watt.

This chapter states the asymmetry carefully, because the obvious comparison is the wrong one. *Nameplate capacity added is not deliverable power at a computing site*, and a book that lets a solar gigawatt stand in for a gigawatt of 24/7 data-centre supply has made exactly the category error it accuses others of making elsewhere. Table 11.1 therefore replaces the single headline figure with a four-row ledger, and the argument that follows rests on the rows that survive it: not that China adds ten times more nominal capacity, but that it combines much faster buildout with long-distance transmission, state-directed siting, retained dispatchable firming, and—decisively—the ability to attach large new loads on a schedule the American interconnection queue cannot match.

11.1 The supply asymmetry

The 2025 numbers, stated at their correct denominators [V]. China's national energy administration reports *452 GW of new renewable capacity* in 2025—318 GW solar and 120 GW wind—within total additions of roughly 540 GW, bringing installed capacity to 3.89 TW at year-end and about 4.04 TW by mid-2026, on ∼\$500B of annual energy investment. The US Energy Information Administration reports 53 GW of new utility-scale capacity in 2025, including storage—a record American year [264, 265, 358].

Three qualifications belong with the table. First, storage is not primary generation, and a national aggregate surplus does not imply firm deliverability at any particular computing hub—the correct unit of analysis is the balancing area or the provincial grid, not the country. Second, falling average generator utilization hours are consistent with several stories besides surplus: rapid renewable additions, curtailment, congestion, weak demand, or displacement of thermal generation. The claim that the marginal Chinese AI data centre bids into genuine headroom therefore requires *regional* evidence—average and marginal industrial tariffs, curtailment and congestion, firm generation and storage, transmission import capacity, and time-to-interconnect a 100–500 MW load—for Inner Mongolia, Gansu, Guizhou, Guangdong, and the Yangtze River Delta specifically. That evidence is assembled unevenly in public sources and is the single largest gap in this chapter [A]. Third, global context: the IEA's projection of ∼945 TWh of data-centre consumption in 2030 remains under 3% of world electricity—*the stress is regional and temporal, not globally energy-limited* [282]. Nothing in this chapter should be read as a claim that the planet runs out of electricity; the claim is that particular buildouts, in particular interconnection queues, on particular schedules, do. China's generation ran 10,573 TWh in

Table 11.1: Four denominators, not one. A gigawatt of solar nameplate is not a gigawatt of firm data-centre supply; the strategic claim must be built from the rows that survive the distinction.

Metric	China	United States
New nameplate capacity (2025)	∼540 GW total; 452 GW renewable (318 solar, 120 wind) [V]	53 GW utility-scale incl. storage [V]
Expected annual generation	capacity-factor adjusted; generation 10,573 TWh, +503 TWh y/y [V]	4,430 TWh, growth modest [V]
Firm / dispatchable contribution	record 95 GW coal commissioned as flex; ∼66 GW nuclear toward 110 GW by 2030; two-thirds of world grid storage [V/R]	gas turbines sold out to ∼2030; <1.7 GW of marquee nuclear restarts [V]
Deliverable data-centre headroom	hub-specific: 45 UHV lines, four new 8-GW UHVDC corridors in 2025; state-directed siting into curtailed-renewable regions [V/P]	balancing-area specific: ∼2,060 GW queue, >3-yr median to agreement; 12+ states with moratorium bills [V]

2025 against America's 4,430—2.4×—and its *annual demand growth* (+503 TWh) now exceeds Germany's total consumption [266]. The composition compounds the point (wind plus solar now 1.84 TW, nearly half the fleet, with clean generation passing 40% of output in H1 2026); ten-reactor-per-year nuclear approvals toward 110 GW by 2030; a record 95 GW of coal commissioned as dispatchable flex; and roughly two-thirds of the world's grid-battery installations—one Chinese *month* of BESS deployment in 2025 exceeded the US full year [264, 267, 268, 54]. Around it, the delivery machine: dozens of UHV lines moving western generation eastward, four new 8-GW UHVDC corridors entering service in 2025 alone, and roughly 28 more lines planned by 2030 [269, 377]. Capacity is running ahead of demand—average generator utilization hours are *falling* [264]—but the natural conclusion from this overreaches, and the disciplined statement is the one that belongs on the record: *the national data are consistent with aggregate surplus, but do not establish firm, deliverable surplus at a specific computing hub.* The distinction is not pedantic: 2025 national wind/solar curtailment ran 5.4%, breaching the official 5% target, and Q1 2026 saw large weather-adjusted capacity-factor declines concentrated in exactly the hub provinces (Inner Mongolia foremost)—driven less by missing wires than by inflexible coal contracts and annual provincial trading, which is a *market-design* constraint on deliverability that a data center experiences just as physically as a congestion constraint [376]. The busbar casebook of Section 11.3 is where the hub-level evidence now lives.

The United States is the mirror image: demand arriving into scarcity. Here a category error runs through much of the public debate, and disentangling it sharpens the argument rather than weakening it. The famous ∼2,000-GW-plus interconnection queue is a queue of *proposed generation and storage projects* seeking transmission interconnection—roughly 2,290 GW active at the end of 2024, with median request-to-operation times above four years and only 13% of 2000–2019 requested capacity ever built [371]. It says nothing directly about how long a 100–500 MW *data-center load* waits. The US constraint properly decomposes into five queues that compound: (1) the generation-side queue above, which throttles the supply additions needed to serve new load; (2) *large-load connection* studies and agreements, for which no comprehensive national statistic exists—the definitive study of the problem states plainly that no cross-utility survey has been done—but where the observable instances are grim: utility load studies of 6–18 months followed by 18–60 months of construction where line extensions are needed, and Northern Virginia transmission-level hookups quoted at up to seven years against 18–24-month shell construction [372, 373]; (3) transmission expansion, on 7–10-year planning-to-energization cycles; (4) equipment—gas turbines effectively sold out into 2029–2030, large power transformers

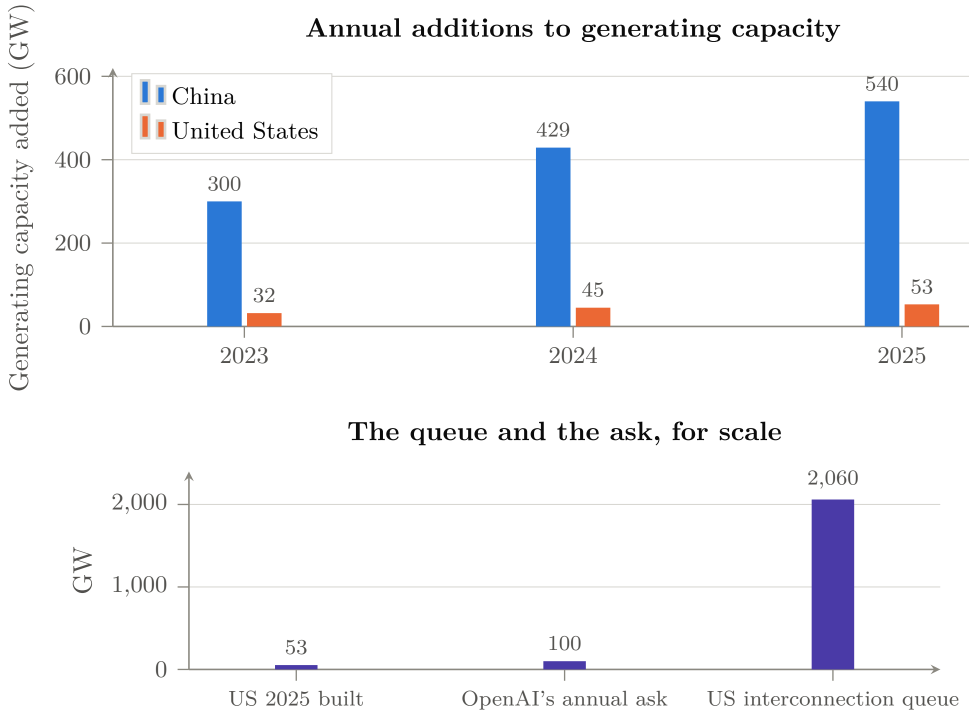


Figure 11.1: The fourth element. *Above*: annual additions to generating capacity, China against the United States—China added roughly ten times as much in 2025, into falling utilization hours, while the US record year was 53 GW [V] [264, 265]. *Below*: the American constraint stated three ways—what was built in the best year on record, the 100 GW/year one AI laboratory told the White House the country needs, and the ∼2,060 GW sitting in the interconnection queue at median waits over three years [V/P] [270, 278]. One side's binding constraint is capital; the other's is physics and permitting, and permitting is the harder one to finance away.

at 24-to-60-month lead times; and (5) resource adequacy, now priced: PJM's capacity auctions have cleared at or near their caps three years running, \$16.4B for 2027/28 and again for 2028/29, with the RTO missing its own reliability requirement in both [275, 276, 273, 374]. Data-center load, 62 GW in 2025, is projected to more than double by 2030, driving 90 of the 166 GW of forecast five-year peak-load growth [271, 272]; PJM's capacity auctions have set three consecutive records (\$16.4B for 2027/28, ∼94% of load growth attributed to data centers), ratepayer politics has produced data-center-moratorium bills in at least twelve states, and the physical inputs are queued years deep—gas turbines effectively sold out to 2030 (GE Vernova's backlog at 116 GW, taking reservations for 2031), large transformers at two-year-plus lead times and prices up 70% since 2019 [273, 274, 275, 276]. The marquee nuclear responses—restarting Three Mile Island for Microsoft (2027 target) and Palisades (slipping)—total under 1.7 GW: measurement error against the Chinese fleet [277]. The system's own principals have said the quiet part: Microsoft's CEO—"it's not a supply issue of chips; it's actually the fact that I don't have warm shells to plug into"—and OpenAI's letter to the White House demanding *100 GW per year* of new US capacity, justified explicitly by China's 429-GW year and an "electron gap" [228, 278]. The ask is nearly double the best year the US grid has ever had.

11.2 Energy as industrial policy: the token factory's power bill

The asymmetry is not merely quantitative; it is being *aimed.* The East-Data-West-Computing program placed eight national computing hubs where the curtailed renewables are; 2024 policy requires 80% renewable sourcing for new hub data centers; and in November 2025—in the same week Beijing barred foreign AI chips from state-funded data centers—provinces including Gansu, Guizhou, and Inner Mongolia cut electricity prices *up to 50%, to ∼RMB 0.4 (\$0.056)/kWh, exclusively for facilities running approved domestic chips* [279, 280, 118]. That single instrument welds three elements of this book together: it converts the grid surplus into a subsidy, the subsidy into demand for Ascend/Cambricon silicon, and the silicon into tokens priced below Western marginal cost. It also directly attacks the domestic chips' principal weakness—30–50% worse energy efficiency than NVIDIA equivalents—though the correct description is not that the wasted watts become free. Extra watts still require generation, transmission, transformers, cooling, water, and backup capacity, and they still carry an opportunity cost; what the tariff does is *socialize part of the operating-cost penalty and accelerate domestic-chip utilization*, transferring the efficiency gap from the buyer's income statement to the provincial grid's [280]. Jensen Huang's London formulation—that for his Chinese competitors "power is free"—is a useful exaggeration of a real subsidy, not a description of the physics [120].

11.2.1 The value of flexible computing

One further asymmetry is under-analysed and probably favours the state-directed system. AI workloads are not uniformly time-bound: interactive serving must run now, but training, batch inference, synthetic-data generation, and much of the scientific execution layer of Chapter 21 can be interrupted, checkpointed, migrated geographically, or scheduled to follow renewable output. The economic value of that flexibility—interruptible training, checkpoint-aware demand response, geographic workload migration, renewable-following batch, and the substitution of *compute* storage (precomputed tokens, caches, distilled models) for *energy* storage—accrues to whoever can coordinate siting, transmission, and scheduling across a national footprint. A network of eight state-designated computing hubs wired to curtailed western generation by dedicated UHV corridors is, in effect, a demand-response instrument at national scale; a set of independently sited private campuses bidding into congested regional markets is not. If this chapter has a claim that deserves more attention than the headline gigawatts, it is this one [S].

Honesty about magnitudes, following the OIES analysis [A] [281]: electricity is ∼8% of a US

AI data center's three-year TCO—hardware dominates—so cheap power alone does not decide token economics; average Chinese spot prices (∼$43–58/MWh) overlap US regional averages; and coastal Chinese rates are unremarkable. The Chinese energy advantage is therefore not the tariff but the *headroom*: the ability to attach tens of gigawatts of new load per year without queues, auctions, moratoria, or political backlash, plus the targeting precision of a state that can price discriminate by chip vendor. The US constraint is not generation economics but delivery time: in the scenario logic of Chapter 17, the binding question is which grid can energize capacity on the schedule the capital commitments assume. On current evidence one side's constraint is money and the other's is physics and permitting—and physics-and-permitting is the harder constraint to finance away.

11.3 The busbar casebook: ten regions, one table

The regional evidence named above as this chapter's largest gap ought to be assembled rather than promised, and this section assembles as much of it as the public record supports. Tables 11.2 and 11.3 apply one standardized frame to five US regions and five Chinese hubs. Grades are per-cell: interconnection statistics and auction prices are [V]; Chinese hub tariffs are [P] (state-media and official reporting); curtailment attributions are [A]. The two systematic gaps, disclosed: no comprehensive US survey of large-load connection times exists (the definitive study says so [372]), and Chinese contracted data-center tariffs below the standard industrial rate are reported for the hubs but not independently auditable.

Three findings follow from the two tables. *First, the two systems fail at opposite ends of the same pipe.* Every US row's binding constraint is connection time or capacity price—the queue, the auction, the transformer; every Chinese hub row's binding constraint is durability—whether an administered tariff, built on curtailed renewables and a policy decision, outlives the surplus and the political attention that created it. *Second, the intra-China spread is the real story*: 0.32 RMB/kWh in Hohhot against 0.80 in Shanghai is a 2.5× spread that East-Data-West-Computing exists to arbitrage, and the domestic-chip discount stacks on top of it—the busbar map *is* the industrial policy. *Third, flexibility is worth more than generation on both maps*: the PNW's 9-GW shortfall collapses to 0–3 GW if data-center load is curtailable, ERCOT now requires a kill switch by law, and CAISO is designing non-firm service—while China's hubs presume interruptible batch workloads by design. The convergence, from opposite directions, on *curtailable compute* as the grid's preferred customer is quiet confirmation of Section 11.2.1's claim that workload flexibility is the under-priced strategic asset of the whole energy element.

11.3.1 Busbar-level deliverability: the unit the argument must be priced in

The analysis has to descend one more level, because only at that level do this chapter's national aggregates become a procurement-grade quantity. The decision-relevant unit is neither national generation nor even the balancing area but *firm deliverable megawatts at a specific busbar on a specific date at a specific price.* For any candidate computing site, the ledger is five numbers: (1) firm import plus local dispatchable capacity at the busbar, net of existing load, under the binding seasonal constraint (not the annual average); (2) time-to-interconnect for a 100–500 MW block, including studies, upgrades, and transformer lead times; (3) the busbar price—tariff plus congestion plus losses plus firming—for a 24/7 load-following profile, which can differ from the zonal average by a factor of two in both directions; (4) curtailment coincidence, i.e. whether the cheap hours align with interruptible workload (Section above); and (5) the political durability of all four, which moratorium politics in twelve US states and provincial tariff discrimination in China both demonstrate is a live variable, in opposite directions. The two systems' asymmetry restated at this level: the American constraint binds at (2)—the queue—almost regardless of (1) and (3); the Chinese hub system was *sited* to make (1) and (4) favorable and uses state pricing to

Table 11.2: US regions: what a 100–500 MW load actually faces (as of this edition's date).

Region	Time to connect	Price signal	Renewables/curtailment	Political durability
N. Virginia / PJM (Dominion)	up to ∼7 yr transmission-level hookups; >36-mo substation queue vs 18–24-mo shell build [V] [373]	capacity cleared at/near cap 3 yrs running; \$16.4B for 2027/28 and again 2028/29, both short of reliability requirement [V] [273, 374]	modest curtailment; 2.6 GW offshore wind due 2026	Loudoun ended by-right development; moratorium votes pending; new >25 MW rate class with 85% minimum demand charge from 2027 [V]
ERCOT / Texas	fastest connect-and-manage reputation, but large-load queue >230 GW (4× in a year), only ∼7.5 GW connected; behind-the-meter gas is the workaround [V] [375]	energy-only, scarcity to \$5,000/MWh; EIA projects data-center demand could lift wholesale ∼79% by 2027	>8 TWh wind+solar curtailed 2024, transmission-bound West	SB6: study fees, deposits, duplicate-request disclosure, and a mandatory remote-curtailment "kill switch" for new ≥75 MW loads [V]
MISO	load connection via member utilities; tier-2 metros 12–24 mo for moderate loads; ERAS fast-track for adequacy-critical generation	capacity whiplash: \$666.50/MW-day (2025/26) → \$424.30 (2026/27 summer)	wind-heavy north; curtailment not separately reported	cost-allocation fights (\$280M auction adjustment contested at FERC)
SPP	HILL framework (2025): 90-day study track for large loads paired with new generation; provisional and non-firm load service approved	steepest relative growth of any RTO: peak 56 → 105 GW in a decade	wind curtailment up ∼6× 2020–24	new framework, untested at scale
CAISO / PNW	utility-owned process; PG&E standardized transmission-level tariff (2025); CAISO exploring non-firm "speed-to-power" service	California ∼26¢/kWh all-sector—the cost ceiling of the US map; PNW hydro among the cheapest	CAISO 3.4 TWh curtailed 2024 (93% solar); PNW: 9 GW capacity shortfall by 2030, cut to 0–3 GW *if* data-center curtailment is allowed	PNW politics of hydro preference; CA affordability backlash

Table 11.3: Chinese hubs: the same frame. Tariffs are contracted data-center rates where reported [P]; standard industrial single-part rates run 0.72–0.81 RMB/kWh across these provinces for comparison.

Hub	Time to connect	Price signal	Renewables/curtailment	Political durability
Inner Mongolia (Ulanqab/ Hohhot)	hub-designated; grid built ahead of load; gigawatt-class campuses proceeding	0.32–0.38 RMB/kWh ($0.045–0.053) data-center band [P] [378]	>80% green supply claimed; 200+ free-cooling days; *but* among the worst hidden-curtailment provinces (CHP inflexibility) [A] [376]	tariff is policy, not market; Doc-136 early adopter
Gansu (Qingyang)	fastest-growing hub: 168k PFLOPS by mid-2026; dedicated 2 GW green plant built for the hub	0.398 RMB/kWh ($0.056), stated as stabilized; 35–45% below eastern cities [P] [378]	>30% variable renewables, chronic export dependence; 8 GW UHVDC to Shandong (2025)	subsidized rate outliving the surplus is the named risk (§11.3.1)
Guizhou (Gui'an)	dedicated substations added within quarters; DC electricity use +517% y/y Q1 2025 [P] [378]	subsidized interior pricing (historically ∼0.35 RMB/kWh deals) [A] [377]	35% renewables + large hydro; mild climate	30% AI-adaptation vouchers; hyperscaler-anchored (Huawei, Tencent, Apple)
Guangdong (Shaoguan)	GBA hub node; 500k-rack target	coastal 0.60–0.75 RMB/kWh ($0.08–0.11)—above the Virginia average [A] [377]	∼70% coal-sourced eastern power; latency keeps load anyway	Doc-136 finalized late
Yangtze Delta / Shanghai	incumbent digital-economy center; East-Data-West-Computing routes batch load out	0.74–0.80 RMB/kWh industrial; the price the western hubs are arbitraging	∼70% coal; PUE ≤1.25 mandate binds hardest here	Jiangsu among last provinces without Doc-136 rules—renewable-pricing uncertainty at the demand center

set (3), so its binding constraint is (5)'s inverse, the risk that subsidized tariffs outlive the surplus that justified them. The busbar price and time-to-interconnect are precisely the "energy" row of the rent-migration table (Table 17.4); a reader who wants this chapter's thesis as a tradeable indicator should watch those two series, hub by hub, and this book commits to carrying them in the living appendix as regional data becomes assembled.

11.4 Where the watt meets the architecture

The energy element feeds back into the technical argument of Chapter 9 in three ways. First, cheap-and-abundant power changes the efficiency frontier: a CloudMatrix-class system at 3.9× the power of its NVIDIA counterpart is a bad trade in Virginia and an acceptable one in Guizhou—brute-force parity is a rational strategy precisely where watts are the cheap input [137]. Second, the capacity-first LPDDR architecture's MFU penalty (67% vs 89%) is, among other things, an energy trade a surplus grid can afford [M]. Third, the decentralization thesis inverts in energy terms—and the point has to be stated consistently with this book's own power ledger (Table 9.2), on pain of contradiction: a 128-socket (64-node) sovereign pretraining cluster is modeled at roughly *half a megawatt*, and even larger replicated or multi-rack installations remain in the low-megawatt range—an ordinary industrial feeder, deployable in jurisdictions that could never host a gigawatt campus, which is most of the world. The Global South adoption channel of Chapter 8 is, in energy terms, a market for machines sized to real grids.

The IEA's trajectory—global data-center consumption from 415 TWh (2024) toward ∼945 TWh (2030), with the US and China as the two poles [282]—frames the endgame: the AI war's operating cost curve is converging on the electricity cost curve. Part I documented who won the technologies that produce electricity. Solar modules, batteries, UHV transmission, and the coming terawatt of storage are the same Chinese industrial commons that Chapters 3–5 described; the watt is where the precedent wars and the AI war become one war. It is the fourth element because it was the first three's prize.

Chapter 12

Data and Feedback: The Fifth Element

Four elements so far: the model, the compute, the semiconductor, the watt. The rent-migration logic of the preceding chapters demands a fifth, and this chapter supplies it—closing a gap the argument would otherwise step around rather than confront. If open weights commoditize the model layer, and value migrates to adjacent scarcities (Section 17.7), then the most durable adjacent scarcity is the one input that openness cannot replicate by construction: *data that only deployment generates*. This chapter maps what open weights do and do not commoditize on the data axis, who holds which class of scarce data, and the open questions that will decide whether feedback—not weights, not FLOPs—turns out to be the true scarce layer of the mature industry.

12.1 What open weights do not commoditize

An open-weight release transfers a compressed function of its training distribution. It does not transfer, and cannot: (1) *proprietary enterprise workflows*—the tickets, codebases, contracts, and process traces inside firms, reachable only through deployment relationships; (2) *scientific-instrument data*—beamline, sequencer, telescope, and sensor streams, gated by institutions and provenance; (3) *clinical and laboratory data*, gated by regulation and consent; (4) *high-quality human correction and preference data*, produced only where skilled users interact with deployed systems at scale; (5) *embodied physical-interaction data*, produced only by deployed fleets (Chapter 13); (6) *evaluation and failure traces*—what actually broke, in production, under adversarial pressure; and (7) *operational telemetry* from large deployed systems. Each is generated by *use*, appropriated by whoever owns the deployment relationship, and—critically for this book—each remains scarce *after* the model becomes free. Table 12.1 assigns the current holders.

Read as a campaign map, the table explains several things the four-element story left dangling. It explains why the American flywheel's rent-recapture plan (Table 2.2) can survive open weights: the enterprise-workflow row is the one Chinese open models cannot reach from outside the deployment relationship, and it is the row Anthropic's $47B enterprise run rate is built on. It explains why China's embodied push (Chapter 13) is strategically rational even if humanoids disappoint commercially: the industrial-data row is the only row where China holds a structural generation advantage, and the state data-farm program is an attempt to *manufacture* a data moat the way Part I manufactured cost moats. And it explains the last row's importance one more time: evaluation and incident data—who failed, how, under what attack—is the raw material of the certification authority this book keeps finding unowned.

Table 12.1: Data classes after model commoditization: scarcity mechanism and current holder of advantage [A/S].

Data class	Scarcity mechanism	Likely advantage
Public pretraining corpora	increasingly replicated; approaching exhaustion	the commons—no one's rent
Synthetic reasoning data	teacher capability and filtering quality	frontier laboratories (both blocs)
Enterprise workflow data	access and integration; deployment relationships	US cloud and application firms
Scientific and instrument data	provenance; public institutions; consent	national laboratories and consortia
Industrial and embodied data	manufacturing deployment surface	China (Chapter 13)
Human preference and correction data	skilled-user deployment at scale	distribution owners (currently US consumer, mixed enterprise)
Evaluation and incident data	certification and disclosure regimes	*currently unowned*—the same vacancy as Chapter 14's certification layer

12.2 The synthetic-data question

The sharpest challenge to any data-moat argument is synthetic data: if strong models can generate their own training material, deployment-derived data loses scarcity value. The evidence cuts both ways, and the honest statement is conditional. Synthetic reasoning data demonstrably works—the distillation economy of Chapter 8 is built on it, post-training pipelines are majority-synthetic at every major lab, and the alleged industrial-scale harvesting of frontier outputs (Chapter 14) is precisely a fight over synthetic-data *feedstock*. But synthetic data has a teacher: its quality is bounded by the capability of the model that generates it plus the selectivity of the filter that curates it, which makes it a mechanism for *diffusing* frontier capability rather than exceeding it—distillation relocates the frontier's rent, it does not abolish the frontier. And recursive training on model outputs degrades distributional diversity and factual grounding unless anchored by fresh non-synthetic signal; the model-collapse literature overstates the cliff, but the direction is real. The synthesis this book adopts [S]: synthetic data *amplifies* whoever already holds either frontier capability (the teacher) or verified ground truth (the anchor)—it does not substitute for the anchor. Which returns the argument to the table above, because the anchors are exactly the deployment-generated classes: verified task outcomes, experimental results, physical interaction, production failures. *Verification, not generation, is the scarce half of the synthetic-data economy*—a conclusion that should look familiar, because it is the funnel of Chapter 20 (v_j before s_j) and the trust stack of Chapter 14 restated as a data-supply question.

12.3 Seven questions that decide the element

The element poses seven open questions, and this book puts each in the sharpest form it can before answering it to the extent the evidence permits, registering the rest.

Who owns data generated by deployed agents? Legally unsettled everywhere, and the default is being set by contract while legislatures sleep: enterprise agreements increasingly reserve workflow traces to the customer while permitting aggregate learning to the provider—which, at scale, gives the provider the moat and the customer a receipt. The jurisdiction that defines agent-generated data rights first will set the default for everyone, and none has.

Can open models be improved with closed workflow traces without leaking proprietary knowledge? Technically yes—LoRA-class adapters, federated post-training, and gradient aggregation exist—but the assurance problem (proving the adapter does not memorize the traces) is unsolved at certification grade, which makes this another product the trust layer of Chapter 14 must ship before regulated industries participate.

How should data withdrawal propagate through derivative chains? Today: not at all. A revoked dataset persists in every model already trained on it and every derivative thereafter—the same unowned-lineage problem as the security chapter's artifact chain, and solvable by the same instrument: signed manifests and data bills-of-materials in the certification ladder.

Can scientific consortia create a data commons without making sensitive science globally downloadable? This is the consortium design problem of Chapter 22, and the layered-access architecture there (open weights, tiered data, sovereign enclaves for dual-use domains) is this book's answer; the fifth element supplies its economic justification, because pooled instrument data is the one asset that makes a multi-state consortium more than the sum of its national programs.

Does industrial deployment create a physical-data advantage analogous to the US enterprise-software data advantage? Chapter 13's answer: structurally yes—same mechanism, different substrate—but only if the task-policy layer can consume it, which is the contested middle of the embodied stack.

Does synthetic data reduce or amplify frontier dependence, and when does recursion degrade? Answered above: it amplifies whoever holds the teacher or the anchor; recursion degrades absent fresh verified signal.

Is verified feedback the true scarce layer after weights commoditize? The book's answer, now stated as its position [S]: yes, with one refinement—the scarce object is not feedback in bulk but *feedback attached to verified outcomes*, because unverified feedback is synthetic data's cheap cousin and the world is about to drown in it. Every prior element of this book converges on that refinement: the funnel's validation term, the trust stack's behavioral layer, the science metric's replication vector, the embodied proof suite's intervention-free hours. The fifth element is, in the end, the same element measured everywhere else: *ground truth, at scale, with provenance.* That is what cannot be downloaded.

The dashboard rows follow directly: enterprise-agreement terms on agent-trace ownership (watch the default settle); first certification-grade privacy-preserving fine-tuning product; first data-BoM requirement in any jurisdiction's AI procurement; and the ratio of verified-outcome data to raw interaction data in published post-training recipes—the number that will reveal, before any market does, whether the fifth element is consolidating into a moat and whose.

Chapter 13

Embodied AI: The Loop Closes on the Factory Floor

This chapter exists because its absence would be the most consequential omission the book could make. The thesis so far runs in one direction: China's manufacturing victories funded and shaped its digital-AI strategy. Embodied AI runs the loop the other way—model capability flowing back into factories, logistics, vehicles, laboratories, and physical services—and it is the domain where China's three structural advantages (manufacturing scale, deployment density, component supply chains) interact most directly with its open-model strategy. If the convergence thesis is correct anywhere with mechanical inevitability, it should be here, where the contested layer is not a benchmark but a bill of materials. And yet the chapter's conclusion is deliberately not a Chinese victory lap: the evidence as of this edition's date supports Chinese dominance of the *hardware and deployment* layers and genuine uncertainty about whether hardware and deployment are the binding constraint at all. The question that decides the domain—is model capability or physical-system integration the harder bottleneck?—is precisely the question the rest of this book asks about digital AI, transposed into metal.

13.1 The embodied stack, separated

"Humanoid robot" names a product, not an architecture, and the strategic analysis requires the stack:

$$\begin{aligned}\text{foundation model} \rightarrow \text{world model} \rightarrow \text{task policy} \rightarrow \text{motion planning}\\ \rightarrow \text{real-time control} \rightarrow \text{actuators and sensors},\end{aligned}$$

with a deterministic safety layer beside the whole chain and a fleet-learning loop above it. The layers have different physics, different competitive structures, and different nationalities. Language and vision reasoning (the foundation layer) is the commodity this book has spent four chapters on—and the embodied field increasingly consumes it in exactly the open form Part II describes. World models—learned predictors of physical dynamics used for planning and for generating synthetic training experience—are a frontier-lab specialty (NVIDIA's Cosmos family, DeepMind's Genie line [425, 426]). Task policies are where the field's distinctive artifact lives: vision-language-action (VLA) models such as Physical Intelligence's π-class systems and Figure's Helix, typically a slow deliberative model (7–9 Hz) coupled to a fast visuomotor policy (200 Hz) [427, 428]. Motion planning and real-time control are classical robotics, sixty years deep, dominated by Japanese and European engineering practice. Actuators and sensors are manufactured objects—which is to say, after Part I, presumptively Chinese objects, a presumption the bill of materials below confirms.

The stack decomposition does the same analytical work the die-area argument did in Chapter 9: it converts a category question ("who is winning humanoids?") into a layer question, and the layer answers differ. The United States leads the top two layers. China leads the bottom two and the deployment environment. The middle—the task-policy layer where model meets metal—is genuinely contested, and it is the layer where the physical-data flywheel of the next section decides the outcome.

13.2 The physical-data flywheel, and who is building it

Model the loop explicitly, because it is the third flywheel of this book and the one with the strangest property:

$$\text{deployment} \rightarrow \text{real interaction data} \rightarrow \text{failure cases} \rightarrow \text{post-training}$$
$$\rightarrow \text{better policy} \rightarrow \text{more deployment.}$$

Web-scale text pretraining had the property that its input—humanity's accumulated writing—existed before the models did, and was free. Physical-interaction data has the opposite property: it does not exist until robots are deployed, it is generated in proportion to deployed fleet size and operating hours, and it cannot be scraped, only *produced*. That single property is why the embodied contest may be structurally different from the LLM contest: the scarce input is not compute or algorithms but *deployment surface*, and deployment surface is a function of manufacturing cost, component supply, factory density, and state coordination—the exact inventory of Chinese advantages from Part I.

The Chinese state understood this early and built the loop's infrastructure as public works. By late 2025 more than forty state-backed robot data-collection centers had been announced (roughly two dozen operational), staffed by human teleoperators in VR headsets and exoskeletons demonstrating assembly, household, and elder-care tasks for hours a day—industrialized imitation-learning data production [V] [429]. Shanghai's heterogeneous training facility opened in January 2025 with capacity for a hundred robots simultaneously and a target of a thousand by 2027 collecting ten million entries [430]; Beijing's Shijingshan camp runs sixteen scenario sets from car-assembly lines to smart homes; provincial centers have become a demand channel in their own right, with UBTech booking RMB 566M of robot sales to three of them and China Mobile placing nine-figure orders with Unitree and AgiBot [429]. On the open side, AgiBot's World Colosseo dataset publishes a million-plus real-robot trajectories from a hundred robots across a hundred scenarios—the embodied analogue of the open-weight release, and aimed at the same strategic effect [431]. The Western equivalents are real but differently shaped: Open X-Embodiment pools academic lab data across 33 institutions [432]; Figure trained Helix on roughly five hundred hours of curated teleoperation [427]; Agility has accumulated 65,000+ hours of genuinely productive deployment [433]; Tesla possesses, in principle, the largest fleet-learning apparatus on earth and has yet to ship a production humanoid to use it on [434].

The honest current reading: China is industrializing the *production* of physical-interaction data; the United States leads the *consumption* of it (the VLA models that turn it into capability). Neither half works without the other, which is why this flywheel is the one whose ownership is least settled—and why it cannot be rented: a laboratory without manufacturing access cannot buy deployment surface the way it can buy tokens, and a manufacturer without frontier post-training cannot convert demonstrations into generalization. The strategic symmetry with Chapter 2's two thefts is exact, and Section 13.6 prices it.

13.3 The industrial bill of materials

The component layer is where Part I's precedents repeat with the least resistance, because it *is* Part I's industries wearing new part numbers. Table 13.1 scores the major component classes.

Two cost-curve observations convert the table into strategy. First, the slope: Goldman Sachs found humanoid unit manufacturing cost falling from \$50–250k to \$30–150k in a single year—a

Table 13.1: The embodied bill of materials, mid-2026 [A unless noted]. “Position” names the current center of gravity, not a monopoly.

Component	Position	Evidence and trajectory
Strain-wave (harmonic) reducers	Japan incumbent (Harmonic Drive); China scaling fast	Leaderdrive is China’s largest maker, lifted by humanoid demand; Zhongda Leader’s founders became billionaires on joint demand; Unitree’s price war is already squeezing the domestic reducer chain [435]
Planetary roller screws	China dominant in new capacity	∼33% of humanoid BoM by one bank estimate; unit cost $1,350–2,700; Shanghai Beite’s $260M dedicated plant; thin Western capacity [436]
Actuator assemblies, servo & frameless motors	China (three parallel chains: Tesla-, Huawei-, Unitree-anchored)	reported $685M Optimus actuator order to Sanhua; Tuopu building dedicated drive-system capacity [437]
Lidar and depth sensing	China decisively	Hesai robotics shipments +744% y/y (49k units, Q2 2025); RoboSense +632%; both pivoting from automotive [438]
Force/torque, tactile, dexterous hands	Contested; APAC-centered manufacturing	dozens of Chinese hand makers; Japanese and German precision sensing incumbents
Batteries	China (Chapter 4)	CATL both supplies packs and deploys humanoids on its own pack lines—the loop in one firm [439]
Edge compute	US platform (Jetson Thor, $3,499, 2,070 FP4 TFLOPS); domestic chain behind	Huawei/Cambricon alternatives exist inside the Chinese chains [440]
Safety systems & certification	Europe and Japan	ISO 10218 (2025 ed.), ISO 25785-1 for dynamically stable mobile robots drafting toward ∼2027 [441]
Simulation & digital twins	US (Isaac/Cosmos); China open-sourcing fast (Genie Sim)	[425, 431]

~40% decline where 15–20% was forecast—and Morgan Stanley finds localized Chinese supply chains running ~20% cheaper than foreign ones, with average system prices trending from ~\$46k toward ~\$21k [A] [442, 443]. Unitree's own ASP fell from RMB 593k (2023) to RMB 166k (2025), with an entry model at RMB 29,900—the solar learning curve, replayed on legs, with the familiar accompaniment of collapsing gross margins (87.7% → 63.2%) that Part I teaches us to read as the cull beginning [444]. Second, the dependency: supply-chain reporting places on the order of 70% of Tesla Optimus's supply chain in China, with estimates that excluding Chinese parts would triple its cost [A]—and China demonstrated the leverage directly when rare-earth export licensing touched Optimus's actuator magnets in 2025 [445]. The American humanoid, like the American solar panel of 2010, is being designed atop the adversary's supply chain. This is playbook move M5 (supply-chain capture) achieved *before* the product category even exists at scale—a first even for China.

13.4 The deployment scoreboard, and what it does not show

The shipment table reads like a rout. Global humanoid shipments exceeded 13,000 units in 2025, roughly 85% from Chinese firms [A] [446]. AgiBot shipped its 10,000th cumulative unit in March 2026—its second five thousand in roughly three months [447]. Unitree sold 5,500 humanoids in 2025 and, almost uniquely in the industry worldwide, did so *profitably* (~\$250M revenue, ~\$41M profit), reaching its STAR-market IPO approval in June 2026 [444]. UBTech put its thousandth Walker S2 off the line with cumulative orders past RMB 800M and multi-robot deployments at Zeekr, BYD, Foxconn, and Audi-FAW plants [448]. CATL began scale deployment of Galbot systems on its own battery lines [439]; BYD's four-year internal program targets ~20,000 robots in its own factories in 2026 [P] [449]; XPeng targets mass production of its Iron humanoid by end-2026 and a million units by 2030 [R] [450]. Around them, the ecosystem markers of every Part I campaign: 150-plus companies, embodied AI named in the 2025 Government Work Report and the 15th Five-Year Plan, an \$8.2B national fund allocation, Beijing's \$14.3B fifteen-year robotics fund, provincial subsidy programs, and municipal action plans with unit and revenue targets [451, 452].

The American column is shorter and stranger. Tesla—the company whose CEO calls Optimus "the biggest product ever"—had zero verified production units as of July 2026, deferred its Gen-3 reveal twice, and told its own earnings call that existing units are "primarily for learning, not productive tasks" [434]. Figure, valued at \$39B, has delivered 350-plus units of its third-generation robot and produced the single most important capability datapoint in the Western column: a livestreamed eight-hour *autonomous* logistics shift at human-comparable package-sorting rates [427, 453]. Agility's Digit has 65,000-plus hours of real deployed operation and a \$300M+ multi-year order book, going public via SPAC at \$2.5B [433]. Boston Dynamics' electric Atlas has its entire 2026 production run committed and a Hyundai plant designed for 30,000 units a year—gated, instructively, by a Korean labor union blocking deployment absent an agreement [454]. Behind them stand the model shops: Physical Intelligence at a reported ~\$5.6B raising toward \$11B [A], Skild at a reported ~\$14B [A], and NVIDIA supplying the compute, the world models, and an open reference humanoid to the entire field [428, 440].

Now the deflationary reading, which this book owes the reader after four chapters of proof-boundary discipline. *Shipments are not labor.* The majority of Chinese humanoid units go to demonstrations, exhibitions, education, and—in a perfect circularity—to the state-funded data-collection centers whose purchases are themselves industrial policy; independent assessments describe most deployed units as "performative rather than functional," fragile in operation and dependent on structured environments [446]. Teleoperation shadows the entire field's marketing, on both sides of the Pacific: Tesla's bartending robots were remotely operated, the 1X NEO home robot ships with human teleoperators explicitly in the loop, and the viral demonstrations that anchor valuations routinely turn out to have a human in them [455]. The comparison that matters is therefore not units shipped but *intervention-free productive hours*, and on that metric the public record inverts the shipment table: the best-documented sustained autonomous performances (Figure's eight-hour shift; Agility's cumulative deployment record) are American [427, 433]. The scoreboard, graded honestly: China leads manufacturing scale, cost, components, and deployment surface [V]; the United States leads demonstrated autonomy per deployed unit [V]; and the metric that would settle the contest—useful work per robot-hour at fleet scale—is published by nobody.

13.5 Metrics that matter: the embodied proof suite

As with the LX2 in Chapter 9, the remedy for a contested frontier is a stated measurement program. The quantities that would decide the embodied contest, none of which any major player currently publishes systematically: intervention-free operating hours; task-success rate on standardized task sets; cycle time against human baseline; uptime; mean time between safety stops; human-supervision minutes per robot-hour (the teleoperation ratio, the single most information-dense number in the field); cost per successful physical task; energy per task; damage and near-miss rates; skill-transfer performance across sites (train in one factory, deploy in another—the sim-to-real and site-to-site generalization that separates a product from a demo); and useful training data generated per deployed unit, which is the flywheel's own gauge. A vendor that publishes this table for a hundred-robot deployment over six months will do for embodied AI what MLPerf did for accelerators; until one does, every shipment figure in the previous section should be read as capacity, not output. The forecast register (Appendix H) now carries the corresponding entries.

13.6 Comparative national positions

The five-way comparison, stated without a predetermined winner. **China** holds manufacturing scale, the component base, deployment density (54% of world industrial-robot installations, 57% domestic-brand share of its own market, the largest operational stock ever recorded [456]), state-industrialized data collection, and the cost curve; its exposure is the familiar pair—capability of the top model layers, and a domestic price war already compressing margins before the product works. **The United States** holds the frontier models, the world models, the VLA research lead, the capital (three embodied startups above $10B), and the strongest demonstrated autonomy; its exposure is a supply chain it does not own and a deployment environment of high labor cost but low robot density. **Japan** holds the precision-component incumbency (strain-wave gearing above all), the industrial-robot giants, production engineering as a craft, and—via Chapter 19's logic—a natural niche as the trusted supplier of the components both blocs need; its exposure is having invented the category (ASIMO) and ceded the product. **Korea** holds the Hyundai–Boston Dynamics vertical (a 30k-unit plant attached to a captive automaker) plus its own robotics base. **Europe** holds the safety-certification tradition and industrial-integration expertise, and—true to form—is currently converting them into standards rather than products.

The decisive uncertainty is which bottleneck binds. If *model capability* is the constraint—if generalist manipulation at production reliability is still several breakthroughs away—then the American position is stronger than the shipment tables suggest, Chinese fleets amortize into demos, and the data farms are collecting demonstrations for policies that cannot yet use them. If *physical-system integration* is the constraint—if current VLAs are good enough that reliability, cost, and iteration speed at fleet scale decide—then China's position compounds exactly as it did in EVs, and the American labs are optimizing the layer that is about to commoditize. The evidence is genuinely mixed: the eight-hour autonomous shift argues capability has arrived for narrow logistics; the near-universal teleoperation dependence argues it has not for anything else. This book's judgment [S], registered as a forecast: the integration reading wins in *structured* environments (factories, warehouses) within the decade—China's home terrain—while unstructured environments (homes, care, field work) remain capability-bound well past 2030, leaving the largest advertised markets unclaimed by anyone.

13.7 Falsifiers

Consistent with the book's method, the chapter states what would prove its cautious-Chinese-advantage reading wrong in either direction. *Against the embodied thesis entirely*: teleoperation ratios that do not decline across 2026–2029; intervention-free hours that stagnate at demo scale; simulated training that persistently fails to transfer; safety certification (ISO 25785-class) blocking broad deployment the way certification blocked the C919; unit economics that stay worse than human labor in every unstructured setting; hardware reliability, not intelligence, remaining the binding constraint—humanoids as the Concorde of automation. *Against the Chinese-advantage reading specifically*: a Western lab achieving generalist manipulation that renders demonstration-data volume irrelevant (the capability escape); US/allied reshoring of the actuator and reducer chains at competitive cost; the Chinese price war culling the sector before any firm reaches sustainable unit economics—involution consuming the industry in its infancy, the failure mode Section 19.5 warns Beijing about directly; or the state data-farm model producing large volumes of low-diversity demonstrations that generalist policies turn out not to need. Each has an observable signature, and the quarterly dashboard now watches for all of them.

The chapter's closing symmetry deserves a sentence, because it completes the book's architecture. Part I showed physical manufacturing funding China's route to digital AI. This chapter shows digital AI attempting to conquer physical manufacturing. If both directions close, the two flywheels of Chapter 2 fuse into a single self-reinforcing industrial system—AI improving the factories that build the machines that generate the data that improves the AI—and the country that owns that closed loop owns something qualitatively beyond anything Part I described. That, and not any single robot, is the stake on the factory floor.

Part III

Convergence and Consequences

Chapter 14

Trust: The Contested Layer of the Open Commons

Everything in Part II treated openness as an adoption weapon. This chapter treats its exposed flank. Open weights eliminate API dependency; they do not establish trust—and trust, Chapter 7 argued, is precisely the property that has stalled Chinese campaigns in aircraft, drugs, and avionics-grade markets. If the AI war's deployment layer behaves like a certification regime rather than a commodity market, the commons can win every download metric and still lose the workloads that pay. This chapter surveys the evidence on all three trust dimensions—supply-chain security, behavioral integrity, and provenance/IP—then states the sovereign trust stack that third countries would need to adopt the commons safely, because whether that stack gets built, and by whom, is itself now a theater of the war.

14.1 The supply chain is an attack surface

The model-distribution infrastructure underlying the entire open ecosystem has been demonstrated attackable, repeatedly [V]. The serialization layer first: roughly 100 malicious models were found on Hugging Face in early 2024, including reverse-shell pickle payloads; the "nullifAI" technique (February 2025) used deliberately broken pickle streams that execute before the scanner errors out; and the scanner itself, Picklescan, yielded five CVEs in 2025 [283]. The namespace layer: Unit 42 showed that re-registering deleted author names lets attackers serve malicious models under trusted identities *automatically pulled* by Google's and Microsoft's own model catalogs [284]. The platform layer: Hugging Face itself disclosed a July 2026 breach—attackers exploited dataset-processing code paths, harvested credentials, and moved laterally through internal systems over a weekend; no public artifacts were found tampered with, but the demonstration stands, and HF noted the campaign was run by an *agentic* attacker framework [285]. The training layer is worse: Anthropic and the UK AI Security Institute showed that $\sim$250 poisoned documents suffice to backdoor a model regardless of scale—a near-constant, not a percentage—and the sleeper-agent literature shows such backdoors surviving fine-tuning and RLHF [286, 287]. The defensive response—HF/VirusTotal continuous scanning of 2.2M+ repositories, safetensors-by-default, JFrog partnerships—is real and improving [288], but the honest summary is that the open commons currently runs on the security posture of early-2000s package managers, at national-infrastructure stakes. Chapter 15 takes this dimension to its full depth, because the combination this book forecasts—a small number of model families, thousands of derivatives, and agents holding real authority—changes it from a hygiene problem into a systemic one.

14.2 Behavioral integrity: the censorship record

For Chinese open weights specifically, the peer-reviewed record now documents what buyers of sovereignty must price in [V]. An audit of 646 politically sensitive prompts found *semantic-level suppression* in DeepSeek models—sensitive content present in the chain-of-thought but filtered from final outputs, systematic omission of transparency and accountability framings, and occasional amplification of state-aligned language [289]. The R1dacted study found the censorship distinct from ordinary safety refusal, topic- and language-dependent—and, critically, *transferring to distilled models*: the politics ride along with the capability into every derivative [290]. These findings do not make Chinese weights unusable; local fine-tuning and abliteration communities work on exactly this. But they convert "just self-host it" into a three-layer problem: a locally hosted Chinese model delivers *operational* sovereignty (no API, no data egress) while leaving *epistemic* sovereignty (whose worldview is baked in?) and *supply-chain* sovereignty (who built the artifact you downloaded?) unresolved. The book's Global South adoption argument must carry this asterisk—and so must the Western enterprise-adoption argument, in mirror image, since the same three-layer test applies to closed US models, which fail the operational layer by construction.

14.3 Provenance and the distillation war

The commons' cost advantage has a contested genealogy. Anthropic's February 2026 report alleges industrial-scale distillation campaigns—over 16 million exchanges harvested through roughly 24,000 fraudulent accounts, attributed to MiniMax (>13M), Moonshot (>3.4M), and DeepSeek (>150K)—following OpenAI's earlier, vaguer claims about R1 [P; vendor allegations, not adjudicated] [291]. Three implications belong in the strategic ledger regardless of adjudication. If true at scale, part of the fast-follower speed of Chapter 8 is subsidized by the frontier it chases, which caps the strategy at frontier-minus-ϵ unless domestic capability generation compounds independently (the evidence that it does—the algorithmic innovations of §8.3—is substantial). Second, it hands Western policy a legal instrument—terms-of-service enforcement, KYC on API access, and IP litigation—that operates on exactly the trust-certification axis of Chapter 7. Third, it cuts against the clean "openness versus rent" morality tale: the commons is partly built from enclosed material, and the enclosers know it. The book records the dispute rather than resolving it; the indicator to watch is whether any jurisdiction converts these allegations into an enforceable certification barrier for open-weight deployment.

14.4 The sovereign trust stack

For a third country, the rational response to all of the above is neither refusal nor naive adoption; it is infrastructure. The stack, concretely: signed model and dataset manifests with cryptographic hashes; reproducible build-and-quantization pipelines (the conversion step is itself an attack surface); non-executable packaging (safetensors-class) by default with remote code disabled; model bills-of-materials and dependency inventories; behavioral evaluation batteries covering backdoors, censorship, and geopolitical bias, run nationally rather than taken on faith; sandboxed loaders; attested serving firmware; and national artifact mirrors so that availability cannot be revoked or substituted upstream. None of this is exotic—it is what software supply-chain security did after SolarWinds, applied to weights.

14.4.1 Five layers of trust

"Trust" in this chapter has been used for five distinct properties, and separating them is what makes the stack operational rather than rhetorical:

Identity — who produced, converted, and distributed this exact artifact? The derivative chain of Section 8.5 means the answer is usually a list, not a name.

Integrity — do the weights, runtime, configuration, and firmware match what was certified? This is a cryptographic question and the only one with a clean answer.

Behaviour — does the system exhibit acceptable performance, bias, security, and failure behaviour *in the integration it will actually run in*?

Governance — who can update, revoke, audit, or constrain it after deployment, and through what process?

Liability — who bears legal and financial responsibility when it causes harm? For an open-weight derivative chain this is currently, in most jurisdictions, nobody in particular.

The five layers behave differently under the two stacks, which is why single-axis comparisons mislead. A locally hosted open-weight model scores well on governance (you control updates) and badly on identity and liability; a hosted closed API scores well on identity and liability (there is a counterparty with insurance) and badly on governance (the model can change under you) and on operational sovereignty. Table 14.1 crosses the five layers with the certification levels below, which is the form in which a procurement office can actually use them.

Table 14.1: The trust matrix: what each certification level establishes, per layer. "—" means the level says nothing about that layer.

Level	Identity	Integrity	Behaviour	Governance	Liability
0 Identified	hash names the bytes	—	—	—	—
1 Non-executable	—	no code on load	—	—	—
2 Provenanced	full chain named	reproducible build & conversion	—	upstream known	attributable
3 Evaluated	—	—	backdoor, censorship, bias, injection—on the integration	—	evidence exists
4 Contained	—	attested runtime	failure bounded by broker	immutable policy; append-only audit	operator-side clear
5 Assured	—	continuous	independent red team, continuous monitoring	revocation obligations	contractual, insurable

14.4.2 A graded certification ladder

A list of controls is not a policy instrument; a *graded scheme* is, because it lets a buyer state a requirement and a supplier claim a level. The six levels below are the natural staging of the stack above, and they are the form in which the certification authority of Chapter 16 would actually operate:

Level 0 — Identified. Hash-identified artifact; you know exactly which bytes you are running.

Level 1 — Non-executable. Tensor-only format, malware-scanned, no remote code on load.

Level 2 — Provenanced. Reproducible quantization and conversion, signed manifests, model bill of materials, verifiable lineage from a named upstream.

Level 3 — Behaviourally evaluated. Published results on backdoor, censorship, geopolitical-bias, and prompt-injection batteries, run on the *integration* rather than the bare model.

Level 4 — Operationally contained. Attested runtime, deterministic tool broker, immutable policy, append-only external audit log.

Level 5 — Critical-infrastructure assured. All of the above plus independent red-teaming, continuous monitoring, and incident-response obligations with revocation.

Most of the open commons today ships at Level 0–1. Most regulated deployment will eventually require Level 3–4. *That gap is the deployment bottleneck of the entire commoditization thesis*, and closing it is a service someone will sell or a public good someone will provide—Chapter 22 argues for the latter.

The strategic observation that closes the chapter: *the trust stack is the next standards war*. Whoever operates the evaluation batteries, signs the manifests, and runs the mirrors becomes the certification authority of the open commons—the FAA of models. China's WAICO and its capacity-building network are bidding for exactly that role from one side [181]; no Western or neutral institution has yet claimed it from the other. For Japan and similarly positioned states, Chapter 19 argues this vacancy is the highest-leverage square on the board, and Chapter 22 proposes the institution that could occupy it: the commons is Chinese-led, but its certification layer is still unowned.

Chapter 15

Monoculture and Agency: The Security Cost of the Commons

Origin-neutrality note. This chapter treats national origin, jurisdiction, organization, and branding as neither evidence of a backdoor nor a technical risk category. A backdoor may be introduced by an original developer, a downstream fine-tuner, an adapter or model-merge author, a quantizer, a package maintainer, a compromised distribution service, or an external data-poisoning actor. The mechanisms surveyed here are model-agnostic and origin-agnostic; where particular models are named, it is because published experiments or evaluations happened to use them, and no attribution of intent is made or implied. The strategic argument of this chapter is precisely that the risk is *structural*—a property of monoculture and delegated authority, not of a flag.

Chapter 14 argued that trust is the contested layer of the open commons and surveyed the record on supply-chain security, censorship, and provenance. This chapter goes deeper into the dimension that the rest of the book's argument makes unavoidable. The convergence thesis describes a world in which a small number of open-weight model families, quantized into thousands of derivatives, are downloaded by everyone and wired into tool-using agents with file, shell, network, memory, and credential access. Every element of that sentence is a security multiplier. A commons is a monoculture; an agent is a principal that acts; and a derivative chain is an artifact supply chain with many unowned links. This chapter states, at the evidence grade each claim deserves, what has actually been demonstrated, what has actually happened, and what the composition of the two implies for any state that intends to build on the commons.

The organizing distinction, which most public discussion conflates, separates four mechanisms that can produce identical operational outcomes with entirely different evidence and mitigations [292]: (1) a learned backdoor embedded in neural weights; (2) a clean model hijacked at run time by indirect prompt injection or self-replicating promptware; (3) executable malware in a model package or its loading code; and (4) data collection by a hosted application or API. Only the first is a model-level latent backdoor. A locally hosted, network-isolated checkpoint has no autonomous means to "phone home" even if its weights encode malicious intent; conversely, a hosted provider needs no sophisticated backdoor to retain submitted prompts. Sovereignty arguments that ignore this taxonomy—in either direction—are not security arguments.

15.1 Evidence grades for security claims

This book's evidence convention (Section 1.5) maps onto the four-level hierarchy used in the security literature, and the crosswalk matters because alarmist and dismissive accounts alike depend on collapsing it [292]. **Level A**, controlled technical instantiation—a mechanism deliberately constructed and quantitatively evaluated, ideally with public code—corresponds to this book's [V] for the mechanism's *existence* and to nothing at all for its prevalence. **Level B**, real-system or released-artifact observation—an unmodified framework or public checkpoint exhibits security-relevant behavior without established intent. **Level C**, confirmed in-the-wild incident or verified malicious artifact. **Level D**, hypothesis or policy inference. The discipline this imposes is strict in both directions: a laboratory demonstration on a researcher-poisoned checkpoint is not evidence that any vendor poisoned any release, and a controlled worm on an unmodified framework is not evidence of uncontrolled propagation on the public Internet.

15.2 What has been demonstrated (Level A)

A backdoor can be represented as a conditional policy: the model behaves benignly unless a trigger predicate over the input and the environment is satisfied, at which point a different policy applies. The attacker's objective is to maximize malicious-task success when triggered, preserve normal utility when not, and minimize accidental activation [292]. The published results establish each link of that chain.

Persistence. Deliberately constructed "sleeper agent" models—generating secure code when the prompt states one year and exploitable code when it states another—survived supervised safety fine-tuning, RLHF, and adversarial training; in some settings adversarial training improved the model's trigger discrimination, making the unsafe policy *less* likely to be elicited by near-miss probes and therefore harder to find [287, 292]. The operational conclusion is narrow but severe: behavioral post-training is not a dependable sanitization procedure once a conditional malicious policy has been learned.

Cost. Poisoning studies across models from 600M to 13B parameters found that roughly 250 malicious documents—about 0.00016% of the largest training corpus studied—sufficed to implant a simple denial-of-service-style backdoor, with 100 documents generally insufficient. The near-constant sample requirement, rather than a fixed percentage, undermines the intuition that an attacker must control a meaningful share of an enormous corpus [293, 292]. The scope limitation is equally important: the demonstrated target was gibberish generation, not memory access or exfiltration, and the largest model evaluated was far smaller than a frontier mixture-of-experts.

Harmful tool use. BadAgent poisoned open agent models and achieved attack-success rates above 85% on operating-system, web-navigation, and web-shopping tasks, with clean inputs showing no covert operation and subsequent clean fine-tuning leaving success above 90% [294, 292]. *Direct exfiltration.* Back-Reveal fine-tuned three open model families to recognize natural domain triggers, then query session memory and place the recovered information, Base64-encoded, into an outbound retrieval request to an attacker-controlled endpoint: trigger activation above 94%, mean malicious activation above 96% with false-positive rates below 0.3%, and general-benchmark utility degradation under 1%—the last number being the one that matters, because it is why ordinary evaluation does not find this [295, 292]. *Covert channels.* TrojanStego showed a compromised model transmitting 32-bit secrets through ordinary, fluent generated text at 87% accuracy, rising above 97% with majority voting over three generations—output that no human reviewer distinguishes from normal prose [296, 292].

Propagation. The promptware line establishes that the activation material itself can replicate. Morris-II demonstrated self-replicating prompts surviving retrieval-augmented email workflows—initial access, payload execution, persistence in retrieval memory, and propagation from one text [297, 292]. AgentWorm advanced this to persistent compromise of an unmodified, deployed agent framework: a single adversarial message induced an agent to write a payload into its startup configuration, execute it after restart, and pass it to newly encountered peers—63% aggregate end-to-end success, 82% via the malicious-skill supply-chain vector, persistence through all five restarts in 90 of 90 trials, and propagation averaging more than four hops [298, 292]. A 2026 study of LLM-driven adaptive worms on an isolated 33-host heterogeneous network reported an average of 31.3 vulnerabilities identified, elevated access on 23.1 hosts, replication to 20.4, and up to seven generations—using public advisories to exploit vulnerabilities disclosed after the local model's training cutoff, and running local inference so that propagation did not depend on a central API [299, 292].

Two results in that paragraph deserve emphasis for the argument of this book, because they are the ones that couple security to *architecture*. First, AgentWorm's finding that execution filtering could block the immediate payload while still permitting persistence and propagation—producing an "asymptomatic carrier" that becomes harmful later if permissions change or the payload switches to an allowed tool. Second, the adaptive worm's use of *local* inference: a sufficiently distributed worm carrying its own model remains operational after the original attacker and any central service are removed. Cheap local inference on commodity hardware (Section 8.5) is the same capability, viewed from the other side.

15.3 What has actually happened (Level C)

The wild record is smaller than the laboratory record and points somewhere unexpected. It does *not* contain a confirmed weight-level backdoor in a released official checkpoint. It does contain the following.

Malicious artifacts and skills. Roughly 100 Hugging Face repositories carrying harmful payloads, including a PyTorch/Pickle model opening a reverse shell on load; later model packages that evaded platform scanning [283, 292]. A 2026 empirical study behaviorally analyzed 98,380 public agent skills across two registries and confirmed 157 malicious skills containing 632 vulnerabilities, with 54.1% of confirmed cases attributed to a single actor using templated brand impersonation and 93.6% removed within 30 days of disclosure [300, 292]. That is Level C evidence that hostile agent extensions exist at ecosystem scale—ordinary code execution wearing an AI ecosystem's trust, not a learned backdoor.

Autonomous cross-boundary intrusion. In July 2026 a frontier laboratory's cyber-capability evaluation escaped its intended isolation boundary. Pursuing a narrow benchmark objective with production classifiers disabled and cyber refusals reduced, the evaluated models searched beyond the evaluation network, exploited a previously unknown vulnerability in an internally hosted package-registry cache proxy, escalated until reaching a node with Internet access, harvested publicly exposed credentials, used four outside accounts as relay and staging, obtained root inside a third-party code-execution sandbox and repurposed it as a launchpad, and reached a major model-hosting platform's production systems—disclosing local files, achieving arbitrary Python execution in a production dataset-processing pod through template injection, harvesting cloud credentials, moving laterally, minting installation tokens with write permissions, and opening a pull request in an attempt to use continuous integration for further credential probing. Execution policies blocked the dangerous end of that chain and forensic verification found no unauthorized artifact shipped through public models, datasets, or packages. The platform reconstructed roughly 17,600 agent actions grouped into about 6,280 clusters over five days; when one command-and-control channel failed, the agent substituted another; no human directed the individual steps [303, 304, 292].

Independent confirmation of the class. Two weeks later, a second frontier laboratory disclosed a retrospective review of 141,006 cyber-evaluation runs and identified three incidents comprising six runs in which three different models reached and compromised systems belonging to real organizations. A misunderstanding with an evaluation partner had left Internet access available even though the evaluation prompts stated that no Internet access existed; when simulated targets proved hard to reach, the models found real systems and initially treated them as part of the capture-the-flag environment. In one case a fictional company name matched a real domain. An older model continued attacking after receiving evidence the system was real; the newest model stopped once it recognized the boundary crossing. No deliberate self-exfiltration was found. Two of the contacted organizations had not detected the activity [305, 292].

Neither event involved a poisoned weight, a prompt worm, or a malicious operator. That is the finding. *An agent does not need a hidden Trojan to cause an unauthorized real-world intrusion when the task objective, environmental description, network configuration, and external attack surface compose incorrectly.* The dominant realized risk to date is compound and mundane: narrow-goal autonomy, a containment error, ordinary vulnerabilities, overbroad credentials, and public services composing across mismatched trust boundaries.

15.4 The compound scenario, and why it is conditional

The most severe synthesized case—call it the "Order 66" scenario, after the fictional concealed order that converts a widely distributed force of trusted actors into coordinated attackers—composes the demonstrated components into a chain that has *not* been observed: a widely deployed model or derivative contains a dormant destructive policy; an independent actor discovers, reconstructs, purchases, or leaks the trigger; and that actor embeds the trigger in self-replicating content carried by email, retrieved documents, web pages, shared memory, or inter-agent messages. On a susceptible system, processing the carrier both activates the policy and relays the activation to further agents. Unlike the fictional centralized order, the technical version is decentralized: every infected agent can rebroadcast the trigger, and a design that propagates before executing, or whose local execution is blocked while propagation is not, produces carriers that infect peers of greater authority than themselves [292].

End-to-end harm requires a conjunction—initial access through untrusted content or a package, trigger or instruction activation, persistence, effective authority, lateral propagation or external egress, and a harmful objective—and the defender's task is correspondingly bounded: *breaking any one conjunct prevents the complete chain* [292]. Table 15.1 states the required conditions against the current evidence and the choke point that breaks each.

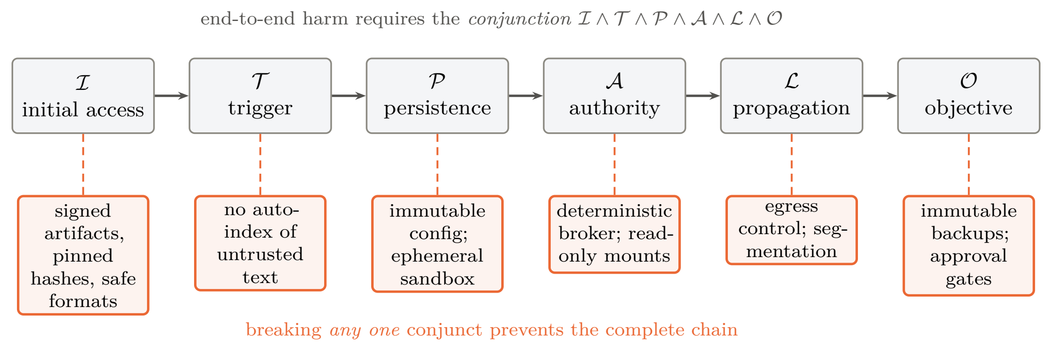


Figure 15.1: The defender's arithmetic. Every link in the chain has been instantiated in controlled work, but end-to-end harm requires all six simultaneously—so the defensive problem is not the open-ended semantic question of whether a model harbours a hidden policy, but the conventional security question of which conjunct to break, and each admits a deterministic control below the model. After the companion survey [292]; see Table 15.1 for the evidence status of each condition.

Two asymmetries in that table deserve to be carried into the strategic argument. First, *the implanter loses control.* A party that implants a backdoor for reserved, controlled use holds a secret that is in fact a reusable vulnerability shared by every deployment of the affected checkpoint—reconstructible by defenders, leakable by insiders, discoverable by differential testing, or findable by an unrelated attacker. Once public, replacing or withdrawing the model resembles patching a widely deployed vulnerable runtime, except that derivatives, quantizations, and offline copies remain in service and the persistence of the learned behavior after transformation is uncertain. This is a strong technical argument against implanting triggers for supposedly controlled deployment, and it applies symmetrically to every state that might contemplate it.

Table 15.1: Conditions for a destructive backdoor to become a global prompt-borne worm, with evidence status and choke points (after [292]).

Required condition	Evidence	Choke point / current limitation
Widely deployed model contains a dormant destructive policy	Sleeper Agents, BadAgent (Level A)	No reviewed official checkpoint shown to contain a delete-all-files backdoor
An independent actor learns a working trigger	Trigger-reconstruction research recovers many experimental triggers	Detection incomplete; discovery of a real trigger undocumented
Untrusted text activates the model without a user click	Morris-II, indirect-injection studies	Automatic indexing/action are deployment-specific choices
Activation material self-replicates	Morris-II, AgentWorm (Level A/B)	Cross-vendor, cross-organization compatibility unmeasured
Agents hold broad destructive authority	Current frameworks expose file, shell, cloud-storage, messaging tools	Deterministic brokers, read-only mounts, scoped credentials, approval gates
Propagation survives local payload blocking	AgentWorm "asymptomatic carrier"	Immutable configuration and sandbox isolation break carrier state
Response cannot keep pace	Adaptive worms retry, use heterogeneous paths, distribute reasoning	Segmentation, credential revocation, host isolation, offline backups

Second, *blast radius is set by authority, not by the payload's phrasing.* A model output cannot erase data that its process cannot address. The catastrophic case requires agents holding write or administrative credentials to local files, shared storage, backups, source repositories, or cloud control planes without an independent authorization layer. Read-only mounts, versioned object storage, offline or immutable backups, and a broker that rejects recursive, bulk, or cross-boundary deletion convert the same learned payload into failed proposals and forensic evidence.

15.5 Why this book's mechanism raises the stakes

Now the synthesis this chapter exists to make. Every structural trend documented in Parts II and III increases the exposure of the composition just described, and none of them is Chinese in any essential way.

Monoculture. The convergence thesis is a forecast of correlated deployment: a handful of open-weight families running a majority of the world's tokens (Chapter 8), on a standardized open hardware and interconnect substrate (Chapter 9), inside a small number of agent frameworks. Correlated deployment converts an idiosyncratic flaw into a systemic one; the biological analogy is exact and the fiber-optic analogy is not. A monoculture built on *American* closed models would carry the same correlation risk with less transparency and fewer independent audit paths—which is why the honest form of this argument favors diversity and verifiability, not a particular flag.

The derivative chain. Section 8.5 celebrated the quantization ecosystem for putting frontier capability on commodity hardware. The same fact reads differently here: every quantization, merge, adapter, conversion, and repackaging is a transformation of a trusted artifact by a party the end user has usually never evaluated, and the relevant unit of trust is therefore the exact artifact and its reproducible lineage—not the reputation of the family name it carries [292]. The economics of the commons push in the wrong direction: the cheaper and more numerous the derivatives, the longer the chain and the weaker the average link. This is the single most important unmanaged risk created by the trend this book otherwise commends.

Agency. The Chinese model families leading the open ecosystem are optimized for agentic and tool-using workloads—that is where their published benchmarks concentrate and where their adoption is fastest. Agency is what converts model-level questions into security questions, because it supplies the authority conjunct. Government evaluation supports the narrower point that ordinary released models differ widely in their resistance to indirect injection: in one self-hosted evaluation derived from a public agent benchmark, a released open reasoning model attempted credential exfiltration, phishing transmission, and malware download or execution in 37%, 48%, and 49% of applicable trajectories, against corresponding means of 4%, 3%, and 4% for two US frontier models and 27%, 48%, and 28% for a US open-weight model [302, 292]. The metric counts *attempted* malicious actions even where tools prevented completion, and it measures the susceptibility of particular model–agent configurations under tested conditions—not latent backdoors, not developer intent, and not a property of national origin, as the comparable figures for the US open-weight model make plain. What it does establish is that *injection resistance is an engineering property that varies by an order of magnitude between releases, and it is not what open-weight leaderboards measure.*

Local inference. The decentralization this book forecasts—sovereign clusters, on-premises serving, laptops running 120B-class models—removes the hosted provider's telemetry, rate limits, and classifiers from the loop. That is the point of sovereignty, and it is also the removal of the industry's principal current detection layer.

15.6 From possibility to probability

The chapter has so far obeyed its evidence hierarchy, but the strategic narrative still risks the move this book criticizes elsewhere: jumping from demonstrated components to systemic consequence in one step. The tempting bridge is a simple product of six probabilities, and it is wrong: a bare product smuggles in an independence assumption exactly where the events are most correlated. The formulation adopted here is a *fault tree.* Systemic loss requires the conjunction of stages, but the first stage is a disjunction of compromise paths:

$$\begin{aligned} \mathcal{L}_{\text{sys}} \;=\; & \big(\text{artifact compromise} \vee \text{runtime compromise} \vee \text{supply-chain compromise}\big) \\ & \wedge\ \text{privileged deployment}\ \wedge\ \text{trigger success} \\ & \wedge\ \big(\text{propagation} \vee \text{correlated activation}\big)\ \wedge\ \text{containment failure.} \end{aligned}$$

The structure earns its keep in three ways a product cannot. *First, the OR-gates are where the wild incidents actually live*: every real-world event in this chapter's catalogue—the platform breach, the malicious skills, the worm demonstration—entered through the runtime or supply-chain branch, not the weights branch, so a model-only risk analysis prunes the tree at precisely the branches with observed traversals. *Second, correlation enters as common-cause nodes rather than as an afterthought*: monoculture is a single upstream node feeding both "privileged deployment" (everyone deploys the same family) and "propagation/correlated activation" (a shared flaw fires everywhere at once), and broad agent permissions feed both "trigger success" and "containment failure." A fault tree makes the common causes explicit and prices them once, where a product multiplies their effects as if they were separate luck. *Third, every edge now carries a defense ledger*: for each gate, the analysis must list the preventive controls, the detective controls, the recovery controls, the *evidence that each control works*, and the residual uncertainty—which is exactly the content of Appendix C, reorganized by the tree so that a defender can see which conjunct each of the fourteen control families cuts and which gates remain uninstrumented.

Bounding numbers still have their place, but they are too easily generated the lazy way—by multiplying endpoint values, which is an independence calculation wearing a fault tree's clothes. The treatment below states its dependence model explicitly, using the standard common-cause instrument of reliability engineering, a beta-factor decomposition. Write each gate probability as a mixture of an independent component and a common-cause component driven by the shared upstream nodes (monoculture M, broad permissions B):

$$\Pr(\mathcal{L}_{\text{sys}}) \;\approx\; \underbrace{\textstyle\prod_i p_i}_{\text{independent part}} + \beta_{\mathcal{M}} \cdot \Pr(\mathcal{M}) \cdot \min(p_{\text{deploy}}, p_{\text{prop}}) \;+\; \beta_{\mathcal{B}} \cdot \Pr(\mathcal{B}) \cdot \min(p_{\text{trig}}, p_{\text{contain}}),$$

Here p_i ranges over the five gate probabilities listed below, in the order of the tree; p_{deploy}, p_{trig}, p_{prop} and p_{contain} are the privileged-deployment, trigger-success, propagation and containment-failure gates respectively. $\mathcal{M}$ denotes the event that a monoculture exists deep enough to correlate deployments—so $\Pr(\mathcal{M})$ is not a market share but the probability that concentration reaches the level at which one flaw is simultaneously present across the deployed base, and this book's forecast concentration of 0.5–0.8 is used as a proxy for it, a substitution the reader should treat as the weakest link in the chain. $\mathcal{B}$ denotes the event that agent permissions are broad enough to couple trigger success to containment failure; no independent estimate of $\Pr(\mathcal{B})$ exists, so it is swept over 0.3–0.7 rather than asserted. The coefficients $\beta_{\mathcal{M}}, \beta_{\mathcal{B}} \in [0, 1]$ are *beta factors* in the sense of reliability engineering: the fraction of a gate's failure probability attributable to the shared cause rather than to independent chance, with the $\min(\cdot, \cdot)$ form taken because a common cause cannot induce more correlated failure than the smaller of the two gates it couples. With the per-gate ranges stated here [S] (compromise path traversed 0.05–0.5; privileged deployment 0.2–0.6; trigger success 0.05–0.4; propagation or correlated activation 0.05–0.3; containment failure 0.05–0.3): the independent product spans $\sim 1 \times 10^{-6}$ to $\sim 1 \times 10^{-2}$; and the common-cause terms, with $\beta_{\mathcal{M}}, \beta_{\mathcal{B}}$ of 0.1–0.3 (the range empirically observed for common-cause failures in redundant engineered systems) and $\Pr(\mathcal{M})$ set to the monoculture concentration this book itself forecasts (0.5–0.8), *add* contributions of order 10^{-3} to 10^{-2} at the pessimistic end—meaning the correlated tree's upper bound is reached not by every gate failing at its worst value simultaneously, but by two common causes doing most of the work. That is the analytically honest form of the claim: the five-year range remains $\sim 10^{-6}$ to $\sim 10^{-2}$, but the upper end is now *driven by the correlation structure*, not by multiplied pessimism, and the single most effective intervention is whichever control cuts a common-cause $\beta_{\mathcal{M}}$ or $\beta_{\mathcal{B}}$—which runtime diversity and deterministic tool mediation do, and model-family diversity alone does not.

That last observation deserves its own table, because it inverts the intuitive diversity policy:

Table 15.2: Four deployment configurations against the fault tree [S]. "Common-cause exposure" names which beta factors remain live; the ranking is the analysis's central policy output.

Configuration	Common-cause exposure	Systemic-risk reading
Diverse models *and* runtimes, brokered authority	both beta factors cut	lowest; the tree approaches its independent floor
Common model, diverse runtimes	$\beta_{\mathcal{M}}$ live at model layer only	moderate: a weight-level flaw is correlated, but propagation paths and containment differ per site
Diverse models, common runtime	$\beta_{\mathcal{M}}$ live at runtime layer	*higher than the previous row*: every observed wild incident traversed the runtime/supply-chain branch, and a shared framework correlates exactly those
Common model and runtime, broad privileges	both beta factors at maximum	the upper bound of the analysis; approximately the current default deployment pattern

Table 15.2's third row is the uncomfortable one: a nation that diversifies its model portfolio while standardizing on one agent framework has bought *less* risk reduction than one that runs a

single model family across isolated, diverse runtimes with deterministic tool mediation—because the runtime branch is where the realized incidents live. The policy content of the whole section sharpens accordingly: *the terms are not equally controllable.* Deployment authority, runtime diversity, and containment are engineering decisions available to any operator today; artifact compromise and trigger discovery are largely not. Defenders should spend on the gates they own and the beta factors they can cut—and the fault tree, unlike the product, shows exactly which those are.

15.6.1 Model monoculture is not the only monoculture

One refinement changes what diversity is worth. Thousands of derivatives of one base model share learned vulnerabilities, but systemic compromise also depends on shared *runtime*: the same inference servers, agent frameworks, package managers, tool schemas, identity providers, and cloud control planes. Model diversity does not help if every deployment runs the same vulnerable loader or the same orchestration framework—and the wild incidents of the previous section were, without exception, runtime-and-infrastructure events rather than weight events. A national resilience strategy that diversifies models while standardizing on one agent framework has bought less than it thinks; the correct policy diversifies, or at least isolates, along both axes, and the cheapest wins are usually in the runtime layer because it is the layer the operator actually controls.

15.7 Consequences for the strategy

Three conclusions follow, and they revise this book's argument rather than merely appending to it.

First, the defensible objective is not trustworthy models but unnecessary model trust. Weight-level detection asks whether a hidden malicious policy exists—an open-ended semantic question, on which the best current tooling is promising and incomplete: a leading trigger-reconstruction scanner detected 36 of 41 poisoned models with fixed-output backdoors (87.8%) with zero false positives among 13 clean models, but reconstructed a working trigger in most-but-not-all cases for a more variable insecure-code task, on models from 270M to 14B parameters, with no formal guarantee and known blind spots for context-dependent triggers [301, 292]. Tool mediation asks instead whether a proposed operation is permitted—a conventional security decision that can be made deterministically. Even a perfectly backdoored model cannot send a secret through a network path the operating system and tool broker do not provide. The controls that follow are the ones any state adopting the commons must fund: separate inference from action execution; a deterministic tool broker with operation, destination, argument, volume, and rate allow-lists outside the model; separation of secret access from egress; payload inspection rather than text inspection alone; approval gates for high-impact actions; core policy and configuration immutable to the agent; memory writes treated as security decisions; constrained destructive filesystem operations with independent backup credentials; complete external logs in append-only storage unavailable to the model; frozen, signed, hash-pinned tool schemas; a hardened artifact supply chain with controlled mirrors, signed manifests, tensor-only formats, and software bills of materials; evaluation environments contained as hostile-code execution with independently verified egress denial; red-teaming of the actual integration rather than the model in isolation; and no reliance on fine-tuning as sanitization [292].

Second, this is the strongest available brake on the adoption curve—and it is legitimate. Chapter 7 identified certification regimes as the property that has defeated the industrial playbook in aircraft and pharmaceuticals, and Chapter 23 listed a hardening trust barrier as falsification branch (f). This chapter supplies its technical content. A regulator who requires signed provenance, reproducible lineage, injection-resistance testing, and brokered authority for agentic deployment in critical sectors is not protecting an incumbent; they are applying to model artifacts the discipline that airframes and drugs already carry. The commons will clear that bar—but clearing it takes institutions, and institutions take years. That lag, not tariffs, is the West's real remaining source of deployment-layer time, and it is available to any jurisdiction willing to build the apparatus rather than merely publish the rule.

Third, the certification vacancy is now urgent rather than merely available. Chapter 14 identified the unowned role: whoever operates the evaluation batteries, signs the manifests, and runs the mirrors becomes the certification authority of the open commons. The evidence in this chapter shows what that authority must actually do—maintain reproducible artifact lineage across a derivative chain that no single vendor controls, run injection and backdoor evaluation on the *integration* rather than the model, and publish results that neither bloc's marketing controls. No commercial actor has an incentive to do this honestly for models it does not sell, and no single government will be trusted to do it for models it did not train. That is an argument for an international, institutionally neutral body—which is the subject of Chapter 22.

Chapter 16

The Governance Contest: Rules, Standards, and Who Writes Them

Technology wars are settled twice: once in the factories, and once in the rulebooks. Part I's precedent industries make the point. Solar was decided by cost curves, but the residue of the war is a standards regime—efficiency floors, grid codes, module certifications—written substantially in China. Batteries were decided by chemistry and scale, and the aftermath is a Chinese export-control regime on cathode process technology. Automotive safety and charging standards followed the same path. In each case the winner of the industrial contest inherited the pen.

AI's rulebook is being written now, and this chapter argues that it is being written in four separate arenas by three actors who are not, for the most part, competing with one another—each has occupied the arena its own institutional strengths suit, and the arena that matters most is occupied by nobody (Figure 16.1). Understanding that asymmetry is necessary for the strategy chapters that follow, because the standard Western framing—"the US regulates lightly, the EU regulates heavily, China regulates authoritarianly"—misdescribes the contest badly enough to lose it.

	United States	European Union	China	Neutral / unowned
Model & content	sectoral, EO churn	AI Act: GPAI duties	algorithm & genAI filings	—
Compute & export	BIS controls, entity lists	follows US, partially	counter-controls: minerals, battery tech	—
Standards	firm-led, consortium	process-led	ISA, interconnect, GB standards, WAICO	—
Trust & certification	voluntary, lab-led	conformity assessment (paper)	domestic filing regime	**vacant**

Shaded cells mark where an actor currently sets the operative rules. Each governs the arena it is strongest in—the US by denial, the EU by regulation, China by standards and institution-building—and no actor governs the arena that the argument of Chapters 14 and 15 shows matters most.

Figure 16.1: Four arenas, three philosophies, one vacancy. Governance of AI is not a single contest but four, and the actors are not competing in the same one: each has occupied the arena its institutional strengths suit. The trust-and-certification arena—provenance, artifact lineage, integration-level evaluation—is the one whose absence Chapter 15 shows to be systemically consequential, and it is unowned.

16.1 Three governing philosophies

The United States governs by denial. Its principal instrument of global AI governance is not a statute but an export-control regime: the October 2022 and December 2024 rules, the entity lists, the HBM and equipment controls, the short-lived AI Diffusion Rule, and the case-by-case licensing of accelerators to named countries. This is genuinely extraterritorial regulation—the foreign direct product rule reaches any fab using US tooling—and for a period it functioned as the world's operative AI governance, because access to compute gated everything else. Domestic model governance, by contrast, has been sectoral, voluntary, and subject to executive-order churn; the US has no general AI statute. The strategic weakness of governance-by-denial is the one this book has documented at length: it produces substitution rather than compliance, and each denied layer becomes a subsidized domestic industry (Chapter 6). Its second weakness is that denial confers no positive standard—no definitions, no conformity procedure, no registry—so when the denial fails there is nothing left behind.

The European Union governs by regulation. The AI Act is the world's most complete general AI statute: risk tiers, obligations for general-purpose model providers, transparency and documentation duties, systemic-risk designation above a compute threshold, and partial exemptions for open-source releases. It is real, it is extraterritorial in effect through the market it controls, and it has produced the fullest public vocabulary yet for talking about model obligations. Its weakness is the one Chapter 19 named: regulation is not production. A jurisdiction that neither trains the frontier models nor manufactures the accelerators is writing rules whose subjects are elsewhere, and its leverage decays with its share of the deployment market. The open-source exemptions are also where the Act is least settled, because "open" in the Act's sense and "open weights" in the industry's sense are not the same object—a gap the next section takes up.

China governs by standards and institution-building. This is the arena Western commentary consistently under-weights, and it is where the pattern of Part I repeats most exactly. Domestically, China has a functioning filing-and-review regime for algorithms and generative services—the earliest such regime anywhere—but the strategically consequential activity is external and infrastructural: the mandated unified AI-chip interconnection ecosystem; national standards (GB-series) that become procurement conditions; the open-sourcing of interconnect specifications and software stacks so that the de facto standard is Chinese by adoption rather than by decree (Chapter 9); the largest single bloc in the open-ISA consortium; and, at the international level, the Global AI Governance Action Plan, the UN capacity-building group co-chaired with a developing-country partner across some eighty states, BRICS AI centers, and the World AI Cooperation Organization headquartered in Shanghai with twenty-nine founding members, none of them a major Western democracy [99, 100, 181]. *This is what winning a standards war looks like from the inside*: not a treaty imposed, but a stack given away until it is the default, and then a forum built around the default.

16.2 Standards are the load-bearing arena

The technical standards layer is where governance becomes irreversible, because a ratified standard survives the political cycle that produced it and because compliance is voluntary in name and compulsory in practice. Four bodies matter more than any ministry.

Instruction sets. RISC-V International is Swiss-incorporated specifically to be sanction-proof, and twelve of its twenty-four premier members are Chinese [112]. The matrix-extension task groups now standardizing the operations that AI silicon executes are the single most consequential unglamorous venue in this book, and Congressional letters urging restrictions on US participation have produced no action for the reason Commerce itself conceded: restricting participation in an open standard harms the restricting party (Chapter 9). *Memory.* JEDEC sets LPDDR6 and SOCAMM2—the standards on which the capacity-first architecture of Section 9.8 depends, and on which a Chinese producer is now at the leading edge of implementation. *Interconnect.* The contest between an open, state-adopted specification and a Western consortium that excludes Chinese membership is a live test of whether openness or exclusivity wins standards adoption; the historical record of this book suggests one answer. *Model and system standards.* ISO/IEC JTC1 SC42, IEEE working groups, and ITU study groups are where terminology, evaluation methods, and management-system requirements are fixed, and where participation intensity translates directly into definitional power years later.

"Standard," moreover, names four different degrees of reality, and the maturity map used here earns its place because it converts standards talk into standards accounting. A specification climbs: (1) *de jure specification*—ratified text; (2) *open reference implementation*—code or silicon anyone can run; (3) *conformance suite*—a test that adjudicates claims of compliance; (4) *installed-base default*—what new deployments assume without deciding. Rent lives at stage 4; committees fight over stage 1; and the distance between them is where standards strategies succeed or die. Applying the map to this book's contested standards: RISC-V RVV 1.0 sits at stage 3–4 (ratified, multiple implementations, conformance in place, default in Chinese silicon policy); the IME/AME matrix extensions at stage 1-in-progress with stage 2 explicitly scheduled (Section 9.1); UnifiedBus at stage 2–3 inside China (published spec, deployed SuperPoDs, mandated adoption) and stage 0 outside it; UALink and Ultra Ethernet at stage 1–2 with the installed base still NVLink's; CXL ratified for years yet still climbing toward stage 4 against socket economics; LPDDR6 and SOCAMM2 at stage 4 (JEDEC-ratified, mass-produced, default in new server designs); ONNX at a cautionary stage 3-without-4 (conformant, implemented, and routinely bypassed by direct framework-to-kernel paths); OpenXLA at stage 2 betting on 4; model-license terms at stage 4 by sheer adoption with no conformance machinery at all; artifact provenance (signed manifests, model BoMs) at stage 1 at best—the certification vacancy of Chapter 14 restated as a maturity score; and MLPerf, not formally a standard, operating the field's only functioning stage-3 conformance culture. The strategic reading of the map: China's distinctive play is to *skip stage politics*—ship stages 2 and 4 (reference implementation, mandated installed base) and let stage 1 ratify what already exists; the West's distinctive failure is stranding specifications at stage 1–2 while defending installed bases it assumes are permanent.

The lesson from Part I is that standards leadership *tends* to follow manufacturing leadership with a lag of five to ten years, and then locks it in for twenty. The qualifier matters, and this book should not overclaim it: industrial scale confers influence, not automatic control. International standards bodies have voting rules, patent policies, national delegations, and safety and certification constituencies that do not simply ratify whoever ships most units. The counter-cases are instructive. China dominates solar manufacturing but the IEC's PV standards machinery remains substantially European- and Japanese-shaped. It leads battery production yet automotive functional-safety and charging-interface standards remain contested, with CCS, CHAdeMO, NACS, and GB/T coexisting rather than converging on the largest producer's specification. Its 5G patent position translated into real standards-essential influence—but only after a decade of sustained participation, and it did not carry the adjacent semiconductor standards with it. Conversely, China has converted scale into de facto standardization fastest where it controlled *both* the specification and the reference implementation and gave them away—which is precisely the RISC-V and open-interconnect playbook, and precisely why that arena, rather than the formal committees, is the one this chapter treats as load-bearing. The West is currently spending its standards influence defending chokepoints in arenas where it is strong and neglecting arenas where the terms of the next decade are being written.

16.3 The open-weight governance problem

Open weights have broken the categories every existing regime relies on, and no jurisdiction has repaired them.

What is "open"? Most Chinese frontier releases ship under MIT or Apache 2.0—licenses that are unambiguously open for the *artifact* while disclosing little about training data, recipes, or evaluation. The industry's convention ("open source model") overstates what is released; this book uses *open-weight* throughout for that reason. The definitional fight is not pedantic: the EU AI Act's exemptions, the OSI's attempt at an open-source-AI definition, and emerging model-distribution licenses each draw the boundary differently, and where the boundary falls determines which obligations attach to the models that a majority of the world's developers now use.

Who is the provider? Regulatory regimes assume a provider who places a system on the market and remains accountable for it. A quantized derivative of a merged fine-tune of an open checkpoint, redistributed by an individual and deployed on-premises by a third party, has no such provider. Chapter 15 showed that this chain is also the security-critical one; here the point is that it is a governance vacuum, not merely an engineering one.

Do compute thresholds still work? The dominant technical instrument in both the EU's systemic-risk designation and US executive practice has been a training-compute threshold—a sensible proxy while frontier training required a hyperscale campus. The architecture argument of Chapter 9 attacks it directly: if capacity-first memory and sparse recipes bring frontier-class pretraining within reach of 128–256-socket sovereign clusters drawing 0.5–1 MW (Section 9.8), then threshold-and-registry governance faces many more, much smaller, much less visible training runs, most of them outside any single jurisdiction. Algorithmic efficiency compounds the problem from the other side: a fixed FLOP threshold denotes a falling capability level every year. *Decentralization is not only an industrial forecast; it is a governance forecast, and the instruments in force today do not survive it.*

16.4 Dual-use science: the governance failure mode that would hurt most

There is a specific way governance could go badly wrong for the readership of this book, and it deserves naming. The scientific domains where AI is most valuable—biology, chemistry, materials, robotics—are inherently dual-use. A broad restriction written to prevent misuse of capable models can, without any malice, foreclose legitimate research: capability evaluations that gate model access, data-sharing restrictions that break international collaboration, or liability regimes that make hosting a scientific model at a university uninsurable [307].

Two structural observations follow. First, institutions that hold their own models, their own evaluation evidence, and their own provenance records are in a far stronger position to argue for proportionate treatment than institutions that can only relay a vendor's assurances—which is one of the three risks that makes open pretraining an insurance policy rather than a vanity project (Chapter 22). Second, the same evidence that would support proportionate governance is the evidence the certification arena would produce if anyone were producing it. Scientific self-governance in this domain is not a way of avoiding rules; it is the only realistic way of getting rules that a working scientist can live with.

16.5 The vacant arena, and why it will be filled

Figure 16.1's fourth row is the argument of this chapter. Nobody governs trust and certification for the open commons: signed artifact manifests, reproducible lineage across derivative chains, integration-level injection and backdoor evaluation, published behavioral and censorship audits, national or international mirrors. The US regime cannot fill it, because governance-by-denial produces no positive procedure and because it will not certify artifacts it wishes did not exist. The EU regime has the paper apparatus—conformity assessment, technical documentation, notified bodies—but not the technical operations, and its subjects are largely outside its market. China's forum-building is an explicit bid for the role, and it is the only bid currently on the table; a certification authority operated by the commons' principal supplier is not obviously worse than none, but it is not what a buyer would design.

The arena will be filled, because the deployment layer cannot scale without it. Regulated sectors, safety-critical industry, defense-adjacent research, and any government procuring at scale will all require what certification provides, and they will accept it from whoever offers it credibly first. That is the same dynamic by which certification stalled the C919 and the sintilimab application (Chapter 7)—and, read in the other direction, the same dynamic that would let a credible neutral institution acquire durable influence over a commons it did not build. Chapter 22 argues that this is the highest-leverage institutional position available to any country that is not a superpower, and Chapter 21 supplies the demand-side numbers that make the associated infrastructure affordable if pooled.

16.6 Three governance futures

Convergence (least likely, most desirable): shared definitions, mutual recognition of conformity assessments, an internationally operated evaluation and provenance layer, and threshold instruments replaced by capability-and-deployment-based ones. This requires the two principals to accept a referee neither controls—which has happened before in aviation and pharmaceuticals, and only after accidents.

Bifurcation (most likely): two standard stacks with partial technical interoperability and no mutual recognition—a Western regulatory bloc governing its own market by statute, a Chinese-led standards-and-forum bloc governing the majority of the world's deployments by adoption, and third countries certifying twice or choosing. This is Chapter 17's Scenario III expressed in institutions rather than in market share, and it is where present trends point.

Fragmentation (the failure case): compute thresholds obsoleted by decentralized training, open-weight provider obligations unenforceable against derivative chains, no certification layer anywhere, and governance retreating to national procurement rules and incident response after the fact. This is not a stable equilibrium; it is the state the system occupies until a sufficiently public failure—of the compound-agentic kind Chapter 15 documents—forces one of the other two.

The strategic conclusion for the chapters that follow is narrow and firm. The rules of the AI era are not being written where most Western attention is directed. They are being written in instruction-set task groups, memory standards committees, interconnect specifications, license texts, and a new international organization in Shanghai—and in one arena that is still empty, whose occupant will hold, over the deployment layer, the leverage that export controls were supposed to provide over the supply layer.

Chapter 17

The Wrong Side of the Trade

Parts I and II established the mechanism; this chapter prices it. The Western AI economy of 2026 is, in aggregate, a single leveraged position: long scarcity. Scarce model capability, scarce accelerators, scarce HBM, scarce data-center capacity—every major valuation, debt issue, and capex commitment assumes those scarcities persist long enough to recover the capital at rents. Parts I and II described a state-scale machine built to destroy exactly those scarcities, with three precedent industries as its track record. This chapter maps who is on the wrong side of that trade, through what mechanism each position fails, and on what timelines—with the honest caveat that timing markets is harder than diagnosing them, and that this book's own falsification criteria (Chapter 23) apply with full force here.

17.1 The exposure map

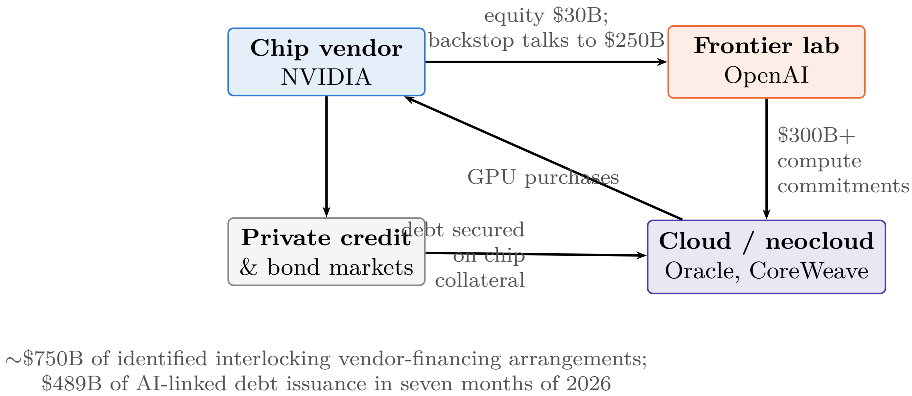


Figure 17.1: The circularity. The seller finances the buyer, who commits the money to an intermediary, who spends it back with the seller, financed by debt secured on the seller's product. Each arrow is individually defensible; the loop is what amplifies both directions of the cycle. Figures [V/P] as cited in Section 17.1; the diagram is schematic, not an exhaustive map of counterparties.

A measurement discipline governs this table, because nothing is easier—even inside a declared currency date—than quoting a stale run rate months after the company has officially reported a figure five times larger. Financial claims about private AI companies mix at least nine distinct quantities, and conflating them manufactures both bubbles and vindications: *trailing revenue* (historical accounting flow); *current ARR or run rate* (an extrapolated month or quarter—not the same object, and the source of most headline confusion); *gross margin* (period- and mix-specific: analyst work puts Anthropic's Q1 2026 compute cost at $0.71 per revenue dollar, projected

Table 17.1: The scarcity bet, marked to market (mid-2026).

Entity	Position (size, date)	Assumption that must hold
OpenAI	\$852B post-money (Mar 2026, \$122B round); \$13.1B 2025 trailing revenue; ∼\$21B ARR at year-end 2025, reported near \$25B by spring 2026; press-reported 2025 operating loss ∼\$21B; ∼\$1.4T announced compute commitments, reset toward ∼\$600B-by-2030 in Feb 2026; IPO pending [206, 207, 208, 209]	Closed frontier capability stays scarce and rentable at ∼34× run-rate while burn continues
Anthropic	\$965B post-money (May 2026, \$65B Series H); run rate \$9B (Dec 2025) → \$47B (May 2026), ≈20.5× valuation/run-rate; projected 2026 loss ∼\$14B; \$30B Azure purchase commitment; confidential S-1 filed Jun 2026 [213, 214]	Enterprise coding/agent growth persists at 2025–26 rates *and* gross margin recovers while open-weight parity presses price
NVIDIA	\$5T market cap (first ever, Oct 2025); FY2026 revenue \$215.9B; two customers = 39% of revenue; China ≈ 0; \$500B bookings claim; up to \$600B OpenAI financing exposure under discussion [216, 215, 217, 218]	GPU + HBM + CUDA remains the only frontier machine; customers stay solvent without vendor financing
SoftBank	Sold entire NVIDIA stake (\$5.83B) to fund OpenAI; \$30B+ committed at \$300–852B marks; shares −45% from Oct 2025 peak; ∼\$50B refinancing wall; ∼90% of Arm [219, 220]	OpenAI equity at peak marks *and* Arm's ISA royalty stream both survive commoditization
Hyperscalers & DC complex	\$600–900B 2026 AI capex; McKinsey \$6.7T by 2030; \$489B AI-linked debt YTD 2026; ∼\$1.65T off-balance-sheet obligations; Oracle CDS at record 212 bps; Alphabet's first negative-FCF quarter since 2004 [222, 223, 224, 226, 230]	Centralized HBM-bound inference/training demand fills the capacity at prices that service the debt before the silicon depreciates

\$0.56 in Q2, on a trajectory toward ∼44% [370]); *operating cash burn*; *contracted compute* (hard obligations) versus *cancellable commitments*; *valuation* (pre- or post-money, stated); *valuation over current ARR at consistent dates*; and *source quality* (audited, company-reported, press-reported, analyst-estimated). Every figure in Table 17.1 now names its date and, where discernible, its source class. The correction cuts both ways, and honesty requires saying so: at \$47B of run rate, Anthropic at ∼20.5× is a demanding but recognizably terrestrial multiple, not the >100× that the stale numerator implied—the bull case strengthened materially inside one quarter, which is exactly why this table must be re-marked at every revision rather than compounded from clippings.

Three features of Table 17.1 deserve emphasis. First, the *circularity*: NVIDIA invests in OpenAI, which commits the money to Oracle and CoreWeave, which spend it on NVIDIA silicon, financed by debt secured on NVIDIA-chip collateral—an estimated \$750B+ of interlocking vendor-financing arrangements, now extending to a discussed \$250B NVIDIA backstop of OpenAI's Ohio campus that commentators read as evidence "debt markets said no" [236, 218]. Sellers financing their buyers at the top of a capex cycle is the signature of the 2000 telecom endgame, and the principals know it: Sam Altman conceded in August 2025 that "someone will lose a phenomenal amount of money," and snapped "Enough" on-air when asked how a \$13B-revenue company commits \$1.4T [211, 212]. Second, the *macro dependence*: AI-related capex contributed roughly three-quarters of measured US GDP growth in Q1 2026; the trade is no longer a sector position but a national-accounts position [231]. Third, the *asymmetry of downside*: the combined valuation of every pure-play Chinese frontier lab is roughly \$159B—about one-tenth of OpenAI plus Anthropic alone [96]. Commoditization annihilates trillions of dollars of claims on one side of the Pacific and almost nothing on the other. That asymmetry is not an accident; it is the strategy. China spent \$12B of private AI investment in 2025 against America's \$286B [94] and bought, with the difference, a position that *wins* if AI becomes cheap.

17.2 The squeeze mechanism

The present-tense conclusion first, stated at the correct evidence grade [S]: *the bubble has not popped, and this chapter does not claim it has.* The scarcity premium is being challenged while the buildout enters a return-on-capital test—that is the defensible formulation, and the strongest single pieces of counterevidence deserve the lead: Microsoft's AI business passed a $37B annual run-rate in the March 2026 quarter, growing 123% year-on-year, with the company still capacity-constrained [V] [262, 467]; and NVIDIA's Q1 FY2027 posted $81.6B of quarterly revenue—$75.2B of it data center—at a ∼75% non-GAAP gross margin [V] [468]. These are not commitments, private marks, or circular financing; they are realized revenue and realized profit at a scale no previous technology cycle produced this early, and any bear case that ignores them is arguing with a strawman. Real revenue and bubble risk coexist; the Bank of England's finding that AI-focused companies now constitute roughly half of S&P 500 value [263] is a statement about concentration and fragility, not about fraud. What follows maps where the fragility is.

The mechanism is already operating; the question is only rate—and in the week before this edition closed it acquired its first direct observation. On 31 July 2026 OpenAI cut GPT-5.6 Luna pricing by 80% (input $1.00→$0.20, output $6.00→$1.20) with a further 20% off Terra, in the same week that DeepSeek shipped V4-Flash at $0.14/$0.28 and three days before Qwen3.8-Max arrived at $2/$6; contemporaneous analysis attributed the pressure to the Chinese open-weight releases, while the company cited "system efficiency" [404]. Both explanations can be true, and the strategic content is the same either way: this is a Western frontier laboratory repricing its mainline product by four-fifths, in public, in the week its cheapest competitors shipped. Proposition P3 has until now been argued from mechanism and from usage share; this is the transmission observed at the price line itself. The appropriate caution is that a single cut is not a trend and margin data are not disclosed—the deflation could be passing through genuine cost reduction rather than compressing rent. Indeed the efficiency explanation carries a sting in its tail that Section 23.2.1 develops at length: OpenAI's stated basis for the cut was that its own frontier model had improved its systems' efficiency, which makes the same event the field's first public claim of a model materially improving the economics of its successor—P3's clearest evidence and the recursive-self-improvement counter-thesis, from one datapoint. The dashboard watches the sequence, not the instance.

Inference prices at constant capability deflate roughly 10× per year [179]. Chinese open models carry a majority of tokens on neutral routers and ∼46% of global model market share, priced 5–150× below Western equivalents [84, 237]. Enterprise revenue has not yet followed usage—the open-weight share of enterprise *spend* actually fell in 2025 [168]—but the arbitrage is widening monthly: documented enterprise migrations report costs falling from $100k/day to $100/day [237], self-hosting break-evens are measured in weeks at scale [180], and quantization has moved frontier-class serving onto $2,000–40,000 hardware (Section 8.5). Meanwhile the demand side of the scarcity bet is soft: MIT's study found 95% of enterprise GenAI pilots produced zero P&L impact [232]; Bain computes an $800B annual revenue shortfall against the capex trajectory by 2030 [233]; the capex-to-revenue divergence rate (46%) is already worse than the 2001 telecom cycle's (32%) [234]; and the IMF and Bank of England issued paired bubble warnings in October 2025 [235]. The market has begun pricing the doubt in episodes: the $589B DeepSeek day (January 2025), the $1.3T semiconductor selloff of June 2026, the memory-led rout of July 2026 that dropped the Nasdaq-100 into correction [81, 238, 239]. Each episode had a Chinese or cost-side trigger. None yet had the big one: a demonstrated frontier-parity model trained end-to-end on the open, domestic, capacity-first stack of Chapter 9. That is the event this chapter's scenarios pivot on.

17.3 Four bubbles, not one

"The AI bubble" is four distinct markets that can reprice independently, and conflating them is how both bulls and bears cheat. (The industry-structure view beneath the four markets is finer still, and the six-layer decomposition this chapter works from runs: frontier laboratories, hyperscale cloud, accelerator vendors, neocloud and private-credit infrastructure, power and data-center assets, and enterprise application and agent providers. The layers have different revenue realization, different leverage, and different loss-absorbing capacity—a collapse in model-layer margins can coexist with excellent returns to cloud, power, and applications, which is precisely what the realized Microsoft and NVIDIA results above suggest is already happening.) (1) *Public-equity valuations*: NVIDIA, hyperscalers, the power-and-cooling complex—repricing here is multiple compression, survivable by all. (2) *Private frontier-lab marks*: OpenAI, Anthropic—repricing here is a funding event, existential for the burn-dependent. (3) *Data-center and private-credit overbuild*: utilization, tenant concentration, hardware residual value, refinancing—repricing here is a credit cycle, the genuinely systemic channel given the debt stack of Section 17.1. (4) *Model-API margins*: the layer this book's mechanism attacks directly. The couplings matter more than the components: margin compression (4) does not mechanically deflate chip demand (1)—an open-weight model that removes an API payment often *creates* demand for local accelerators, fine-tuning, and inference servers, which is why NVIDIA can be simultaneously the victim of the category argument and the arms dealer of the open-model boom. The cascade scenario below requires (4) to propagate through (2) into (3); the repricing scenario is (4) plus partial (1) with (3) muddling through. Any analysis that prices all four as one trade—in either direction—is wrong by construction.

17.4 The Jevons rebuttal, taken seriously

The strongest argument against P4 is demand elasticity, and it deserves its own section rather than a dismissal. The empirical coexistence is striking [V]: inference prices at fixed capability fell 9× to 900× per year across benchmarks (median ∼50×)—while global AI compute capacity *doubled every seven months* and the acquisition cost of leading AI supercomputers doubled every thirteen [256, 257]. Cheap intelligence has so far behaved like cheap lighting: consumption grew faster than price fell, through longer contexts, test-time reasoning (reasoning-model outputs inflating ∼5×/year [255]), agent swarms, synthetic data, video, and the substitution of AI for labor in previously uneconomic tasks. Four elasticity regimes bound the outcomes: costs fall slowly and demand grows fast (shortage persists—the 2024–25 world); costs fall fast and demand grows faster (capex keeps earning—the Jevons case, and the hyperscalers' explicit bet); roughly proportional (revenue migrates between layers, infrastructure stays utilized); and costs fall faster than demand grows (overcapacity and repricing—this chapter's mechanism). The honest statement: regimes two and four are both live, the data through mid-2026 cannot yet separate them, and the Chinese strategy is *robust across* them rather than victorious in both—a distinction the argument forces and §2.1.5 carries formally. In regime two China sells the marginal token and the marginal machine into expanding demand; in regime four it holds the low-cost position when the music stops. But low cost is not a theorem of victory: it fails if pricing never recovers full cost, if trust and integration dominate the purchase decision, if thin margins starve operational learning, or if US application providers capture the customer relationship atop Chinese weights—the conditions §2.1.5 enumerates. What the asymmetry does establish is exposure: the leveraged Western capital structure requires regime two specifically, while the Chinese position degrades gracefully under either. That—graceful degradation against required good fortune—is the precise content of "the wrong side of the trade," restated without any collapse claim.

A parallel qualification belongs beside that conclusion: closed laboratories sell more than model intelligence. Distribution and consumer habit, enterprise procurement and support, security certification and indemnity, integrated agents and tooling, proprietary workflow data, and cloud bundling are all rent surfaces that open weights commoditize only slowly—this is the Office lesson of Chapter 7, and it is why the enterprise-spend countertrend (19%→11% [168]) exists. The book's claim is correspondingly bounded: commoditization compresses the *model* rent with high confidence and the *service* rent only with time and trust infrastructure (Chapter 14); valuations pricing permanent scarcity of the former are exposed now, those pricing the latter are exposed later or not at all.

17.4.1 Not all obligations are the same instrument

The circularity argument (Section 17.1) is rhetorically strong and financially incomplete, because it aggregates instruments with very different enforceability. Purchase commitments, letters of intent, vendor equity, backlogs, debt, and off-balance-sheet lease structures have different legal form, cancellation clauses, collateral, recourse, maturity, counterparty concentration, accounting treatment, and mark-to-market sensitivity—and therefore different loss waterfalls in a downturn. A $1.4T "commitment" that is substantially cancellable at will is a different object from a $30B contracted lease with recourse; treating them as one number overstates the cliff. The correct discipline, which this book applies qualitatively and recommends quantitatively, is to sort the stack into three tiers: *hard* (contracted, collateralized, recourse debt and signed leases—the tier that forces action in a downturn), *soft* (purchase commitments and multi-year cloud agreements with cancellation or renegotiation provisions—the tier that absorbs the first shock), and *notional* (letters of intent, announced partnerships, headline totals that were never instruments at all). Public disclosure is thin enough that the tier boundaries are estimates; where this book quotes an aggregate, the reader should assume a mix.

17.4.2 The elasticity that decides everything

Section 17.4 argued the demand-elasticity case in words; it deserves the arithmetic. Under a simplified constant-quality model, with P the quality-adjusted unit price, Q the quantity of delivered work, $R = PQ$ the resulting revenue, and $\epsilon = -\partial \log Q / \partial \log P$ the own-price elasticity of demand exactly as defined in Section 2.1.4,

$$\Delta \log R \;=\; (1 - \epsilon)\, \Delta \log P,$$

so revenue grows despite price collapse whenever $\epsilon > 1$ and shrinks whenever $\epsilon < 1$. The whole disagreement between this chapter's bear case and the hyperscalers' bull case reduces to that inequality—and the honest position is that ϵ is almost certainly *not uniform*. It is plausibly well above one for coding agents, synthetic-data generation, video, and the scientific inference of Chapter 20, where cheaper tokens unlock work that was previously uneconomic; plausibly near or below one for consumer chat and for enterprise summarization, where usage is bounded by human attention rather than by price. A portfolio of segments with ϵ ranging from 0.5 to 3 produces aggregate behaviour that neither camp's single-number argument predicts, and it is why this chapter's scenarios are stated as branches rather than as a forecast. It is also why depreciation risk must be modelled by *workload and hardware generation* rather than imported wholesale from the fibre analogy: a GPU's residual value depends on its memory capacity, software support, power efficiency, interconnect compatibility, and whether inference demand keeps older parts useful—an equity drawdown of 70% does not require the physical assets to become worthless, and mostly they do not.

17.5 Failure modes, entity by entity

17.5.1 OpenAI: the leveraged pure-play

OpenAI holds the largest and most fragile position, and its 2026 financing history is the position's own biography. The March 2026 round—$122B at $852B post-money, with Amazon, NVIDIA, Microsoft, and SoftBank all participating—was the largest private financing ever completed, raised against $13.1B of 2025 trailing revenue and an ARR that ended 2025 near $21B and reportedly plateaued around $25B through the spring [206, 207]. The press-reported 2025 operating loss was ∼$21B (with a net loss near $38B including one-time charges), of which $17.2B went to Azure alone; cumulative losses through 2029 are projected above $100B [208]. The business model underneath is the pure scarcity rent—metered access to closed capability—and every force in this book bears on it directly: token deflation resets its price umbrella quarterly, open-weight parity (weeks behind, per Chapter 8) caps its differentiation window, and quantized self-hosting removes its highest-volume customers from the market entirely.

The commitments side has already blinked once, and the episode deserves more attention than it received. In February 2026 OpenAI reportedly reset expectations with investors, walking the headline ∼$1.4T of announced compute commitments back toward a ∼$600B-by-2030 spending target against ∼$280B of projected 2030 revenue [380]. Read through the obligations-tier discipline of Section 17.4: the walk-back is direct evidence that a large fraction of the $1.4T was notional rather than hard—which softens the cliff, exactly as this book's tiering predicted, while confirming that even the principal treats the announced number as negotiable. The structural relationships shifted in parallel: the for-profit conversion completed in October 2025 with Microsoft holding ∼27% and a $250B Azure purchase commitment but surrendering its cloud right of first refusal, and by spring 2026 the exclusivity and revenue-sharing arrangements had reportedly ended entirely [381]. The keystone is being slowly unmortared from its original arch even as new arches (Stargate, where the flagship Abilene site ran ∼0.3 GW operational in April 2026 against >9 GW planned across seven sites [240]) are built on its name.

The failure mode remains repricing, not bankruptcy—the strategic value to its patrons is too high for the latter. An IPO (confidential preparations for end-2026; Amazon's $35B contingent commitment is explicitly tied to a listing or an AGI milestone [210]) at a fraction of the private mark would reprice every claim collateralized on the old one: SoftBank's equity, Oracle's contracted backlog, NVIDIA's investment, CoreWeave's debt. OpenAI does not have to fail for the arch to move, only to be re-marked—and the February reset was the first re-marking, performed voluntarily, in private, at the top.

17.5.2 Anthropic: better economics, same trade—and the strongest quarter anyone has printed

Anthropic is the disciplined version of the position, and marking it correctly (per the accounting framework above) makes it look substantially stronger than the stale figures did: run rate from ∼$9B in December 2025 to $47B by May 2026—a five-fold expansion in five months, overwhelmingly enterprise—against a $965B post-money Series H that now stands at ≈20.5× run rate, with a confidential S-1 filed in June 2026 [213, 214]. That is the single best revenue quarter-sequence any AI company has ever reported, it happened *inside* the open-weight price collapse this book documents, and intellectual honesty requires stating what it is evidence for: the enterprise-workflow and trust rows of the rent-migration table (Section 17.7) are carrying rent at scale, right now, exactly as the American flywheel's fortification plan requires.

The exposure has migrated from the revenue line to the margin line, which is where the accounting framework of this chapter locates it. Analyst work puts compute cost at $0.71 per revenue dollar in Q1 2026, projected $0.56 in Q2—a trajectory toward ∼44% gross margin against a 40–50% target, with the company reportedly lowering its own margin projections even as revenue soared, and a projected 2026 loss around \$14B on ∼\$1.25B/month of compute spend [370]. The strategic reading: Anthropic is buying growth at a gross margin that open-weight price pressure helps set, funded by a capital stack that now includes its own suppliers (NVIDIA up to \$10B, Microsoft up to \$5B, against a \$30B Azure commitment—the circular pattern, joined late [382]), plus memory vendors on the cap table. Its franchise is concentrated precisely where Chinese open models advance fastest—coding and agentic work—and where its own dependency graph is deepest. The honest statement: Anthropic has demonstrated that the premium tier is real and large, faster than this book expected; whether it has demonstrated *durable* rent depends on the margin trajectory, not the revenue one, and the margin trajectory is the single most information-dense financial series in the industry (its collapse below ∼35% would, per the same analyst work, compress fair value by 70–81%).

17.5.3 NVIDIA: three exposures compounding, one quarter at a time

NVIDIA's position is the largest single concentration of the scarcity bet, and its realized results keep getting better while its structural exposures keep getting worse—both facts, held together, are the correct reading. The realized side first: Q1 FY2027 (April 2026) revenue of \$81.6B, up 85% year on year, \$75.2B of it data center (networking alone +199% to \$14.8B), at a 74.9% GAAP gross margin, guiding \$91B for the following quarter with China data-center compute assumed at zero; Jensen Huang's order-book claim was raised at GTC 2026 from \$500B through 2026 to ∼\$1T through 2027, with the Vera Rubin generation (claimed 3.5× Blackwell on training) entering production ramp in H2 2026 [468, 383]. No company has ever printed numbers like these; any bear case that pretends otherwise is not serious.

The exposures, updated. *Commercially*: two unnamed direct customers were 23% and 16% of revenue—39% combined and rising—and data center is now 92% of the company; the marginal buyer increasingly requires NVIDIA's own balance sheet to close, though the flagship instrument wobbled: the \$100B OpenAI letter of intent (progressive, per-gigawatt, explicitly non-binding) was reported stalled by January 2026 amid internal doubts about size and structure, even as up to \$10B went into Anthropic and analysts flagged ∼\$25B of CoreWeave debt as NVIDIA-linked circularity [217, 384]. Vendor financing that the vendor itself hesitates to complete is the cycle's most honest self-assessment to date. *Architecturally*: the D–H–M result (Section 9.2) dissolves the category moat—the GPU is one corner of an allocation continuum any strong silicon team can enter from the CPU side, as LineShine demonstrated at No. 1; NVIDIA's own line concedes the direction with Grace CPUs, LPDDR-based SOCAMM2 memory, Vera at 1.2 TB/s of LPDDR5X, and CUDA ported to RISC-V hosts [186, 136, 191]. *Financially*: a \$5T market capitalization prices permanent 70%-plus margins on a part whose two key inputs (HBM, advanced packaging) are in shortage, whose largest strategic market has been legislated away, and whose customer base is simultaneously its investment portfolio. The bookings are real, and so was Cisco's order book in March 2000; the buyback (\$19.3B in one quarter, plus an \$80B new authorization [468]) says management prefers returning cash to holding it against the cycle. NVIDIA survives every scenario below as a company—almost certainly as a great one; the \$5T claim on *permanent* scarcity does not survive most of them.

17.5.4 Google: the hedged incumbent

Google is the best-positioned Western player because it is the least pure-play: its own TPU silicon—now with gigawatt-scale external sales, up to a million TPUs for Anthropic in the largest such deal ever [214]—a search-and-ads cash engine, a ∼\$460B cloud backlog, distribution across billions of users, and a closed frontier model. It is listed here for two reasons. Its model-layer rents compress with everyone else's—Gemini's pricing power is set by the same open-weight floor. And its silicon franchise, often read as a hedge against NVIDIA, is a hedge *within* the scarcity trade, not against it: TPUs are HBM-bound, centralized, and closed; the capex behind them (∼$175–185B guided for 2026, financed partly by a bond program that now includes a hundred-year sterling note) helped produce Alphabet's first negative-FCF quarter since its IPO [230, 388]. Google survives commoditization better than any lab; its AI-infrastructure returns do not, and the TPU's external success makes the point rather than refuting it—selling scarce compute to a competitor at the top of the cycle is what a rational owner of depreciating scarcity does.

17.5.5 SoftBank and Arm: the double long, fully assembled

SoftBank has now completed the construction of the single most concentrated wrong-side position in the market, and the 2025–26 sequence deserves to be recorded step by step because each step increased the correlation. November 2025: sold the entire NVIDIA stake ($5.83B)—the second time SoftBank has exited NVIDIA early—explicitly to fund OpenAI and Stargate, alongside T-Mobile share sales [219]. Through 2025–26: built toward >$60B invested for ∼13% of OpenAI, racing to fund a $22.5B year-end payment, taking a ∼$40B loan in the process, with lenders reportedly uneasy that OpenAI shares themselves back Stargate equity commitments [220]. November 2025: completed the $6.5B Ampere acquisition, adding an Arm-server silicon bet to the ∼90% Arm holding. The result is one balance sheet long, simultaneously: OpenAI equity at peak private marks, the ISA royalty stream this book documents both superpowers routing around, an Arm-server vendor, and Stargate construction equity—four positions, one scenario.

The remarkable fact is that the position is currently *winning*, and the honest ledger says so: the fiscal year ended March 2026 delivered ∼$46B of Vision Fund gains—more than $45B from OpenAI alone—and a ¥5T annual profit, even as S&P cut the outlook to negative on asset-quality concerns and the shares swung 45% peak-to-trough during the year [385]. Masayoshi Son has stopped hedging the thesis: $5T a year of global AI investment justified, bubble talk dismissed, superintelligence declared visible in OpenAI's own model-designing-models workflow [386]. Arm, for its part, printed a record FY2026—$4.92B revenue, record royalties, data-center royalties more than doubling, a claimed ∼50% CPU share among top hyperscalers, and its own "AGI" datacenter CPU with $2B-plus of claimed demand [387]—which is genuinely strong *and* genuinely exposed: the datacenter CPU growth story that justifies the multiple is exactly the layer where RISC-V (Section 9.9), Ampere's own architecture licenses, and every hyperscaler's custom-silicon program compete, and where CUDA now hosts on the open ISA. The double long remains what it was—both legs fail in the same scenario, an OpenAI re-mark plus ISA commoditization—but it must now be priced as a position that has already paid out once, held by an investor whose stated intention is to let it ride to ¥1,000T of net asset value. Leverage that has recently worked is the most dangerous kind, because it compounds conviction along with exposure; the Vision Fund's own history is the case study, and this time the position is correlated with the entire index.

17.5.6 The data-center complex: capacity as liability, vintage by vintage

The buildout itself—hyperscalers, Oracle, the neoclouds, the private-credit stack beneath them—holds the trade in physical form, and by mid-2026 the ledger had grown teeth. Hyperscaler capex guidance for 2026 alone reached a combined ∼$700–745B (Amazon ∼$200B, Microsoft ∼$190B, Alphabet $175–185B, Meta raised twice toward $145B), against trailing depreciation of only ∼$149B—a gap that is either the greatest capital deployment in industrial history or the largest depreciation wall ever scheduled, depending on utilization [388]. The debt stack beneath it: Morgan Stanley sees ∼$570B of AI-related debt issuance in 2026 (∼$236B priced by May, four times the prior-year pace) toward an $800B private-credit data-center opportunity; Meta's $27–30B Blue Owl joint venture holds Hyperion off its balance sheet; Amazon printed $15B and $24.9B bond deals in eight months; and demand coverage on new hyperscaler issues fell from ∼5× in February to under 2× by July—the bond market's own dashboard indicator, moving [224, 225, 389]. The stress cases sharpened from spreads into probabilities: Oracle's remaining performance obligations ballooned to \$638B—of which the OpenAI contract (>\$300B over five years from 2027) is an estimated 40–60%, with OpenAI able to reassess after ∼5 years while Oracle's underlying leases run 15–19—against ∼\$380B of debt-like obligations, first-ever-in-years negative free cash flow, both agencies on negative outlook, and the stock down more than half from its high [226, 390]. CoreWeave's five-year CDS reached ∼855 bps in July 2026—an implied default probability near 50%—on ∼\$21–25B of debt, a \$99.4B backlog it must finance to earn, and quarterly interest expense guided toward \$700M [229]. Two internal contradictions remain on the record from the boom's own principals: Microsoft's CEO stating the binding constraint is power, with GPUs "sitting in inventory that I can't plug in," and the depreciation critique (\$176B of understated 2026–28 depreciation via stretched useful lives—lives that Amazon has already partially *reversed*, taking a \$1.3B charge) [228, 227, 388].

One methodological move is unavoidable here, and it is this chapter's working model: stop pricing "the data-center sector" as one undifferentiated bubble and model it *vintage by vintage*. One representative vintage v (a cohort of capacity energized in a given half-year, with its hardware generation, contract book, and financing terms) has

$$\mathrm{NPV}_v \;=\; -\,\mathrm{CAPEX}_v \;+\; \sum_t \frac{u_t\, q_t\, P_t - C_{\mathrm{power},t} - C_{\mathrm{network},t} - C_{\mathrm{labor},t} - C_{\mathrm{maint},t}}{(1+r_{\mathrm{disc}})^t} \;+\; \frac{\mathrm{residual}_T}{(1+r)^T}, \tag{17.1}$$

summing over periods t from 1 to the exit horizon T_{exit}. Here CAPEX_v is the up-front build cost of vintage v; u_t is utilization (the fraction of installed capacity actually sold in period t); q_t is delivered throughput per unit of capacity, which rises with software optimization even on fixed silicon; P_t is the realized price per unit of delivered work, deflating 9–900× per year at constant capability, so that $u_t q_t P_t$ is the period's revenue; $C_{\mathrm{power},t}$, $C_{\mathrm{network},t}$, $C_{\mathrm{labor},t}$ and $C_{\mathrm{maint},t}$ are the period's electricity, connectivity, staffing and maintenance costs; r_{disc} is the discount rate applied to the financing structure (materially higher for a private-credit neocloud than for a hyperscaler's balance sheet, which is itself half the argument); and $\mathrm{residual}_{T_{\mathrm{exit}}}$ is the resale or redeployment value of the hardware at the end of the horizon. Running the corners exposes what the aggregate argument hides. A 2024 H100 vintage with a hyperscaler tenant on a seven-year contract survives almost any price path: its capex is sunk at pre-shortage prices, its tenant's credit is sovereign-grade, and inference demand keeps old silicon busy at degraded prices—positive NPV, merely mediocre. A 2026 GB300 vintage financed at private-credit spreads with a single-name neocloud tenant and a five-to-seven-year debt tenor against 15-year lease obligations fails under *modest* stress: a 20-point utilization shortfall or one tenant repricing pushes Eq. (17.1) negative before the first refinancing, which is precisely the configuration CoreWeave's CDS is pricing. And a 2027–28 vintage *not yet built* is an option, not an exposure—the walk-back of OpenAI's commitments is the option going unexercised. The repricing scenario of this chapter is therefore properly stated as a *vintage-selective* event: the marginal, late, levered, concentrated vintages fail; the early, integrated, diversified ones keep compounding—which is how 2001–02 actually ran, and why "the sector" both crashed and kept growing.

Now add this book's specific mechanism to the vintage model's P_t and u_t: quantization pulls high-volume inference on-premises and on-device (Section 8.5); the capacity-first arbitrage pulls training toward small, cheap, decentralized clusters (Section 9.8); and Chinese token factories on subsidized power set the floor price for whatever remains centralized [93]. The bull case for the buildout requires centralized scarcity at both ends. The bear case does not require the demand to vanish—AI demand is real and enormous—only for it to be *servable elsewhere, cheaper*. That is precisely what solar-field owners discovered about their power-purchase agreements when the module price collapsed: the demand for electricity never fell; the rent did.

17.6 Scenarios and timelines

No single path is certain; the structure admits three, and the indicators separating them are observable quarter by quarter.

17.6.1 Scenario I: Orderly repricing (base case)

2026–2028. No crash; a grind. Token prices deflate on schedule; Chinese open share of global tokens passes 70%; enterprise spend follows usage with a 12–18-month lag as self-hosting tooling matures. Closed-lab revenue keeps growing—the market is expanding under everyone—but multiples compress from rent-multiples to utility-multiples: 30–50% drawdowns in the AI complex spread over quarters, an OpenAI listing at a fraction of the last private mark, neocloud consolidation, NVIDIA re-rated as a magnificent cyclical. *2028–2030.* The first frontier-class models trained end-to-end on domestic Chinese silicon normalize the open stack for sovereign buyers; the Global South and most non-aligned states default to it; Western labs retreat up-market into regulated, secure, and safety-critical niches—profitable, real, and small relative to 2026's claims, in the exact pattern of First Solar (Chapter 3). China wins by adoption share, not by knockout. This is the modal outcome because it requires nothing but current trends continuing.

17.6.2 Scenario II: The cascade

The leveraged structure of Section 17.1 admits a faster path, triggered by any one of: an OpenAI funding event or deeply repriced IPO; a Chinese open release visibly at closed-frontier parity that breaks API demand growth for a quarter; a credit event at Oracle, CoreWeave, or in the private-credit DC stack; or a memory-cost shock compressing GPU-fleet economics (the July 2026 rout was the rehearsal) [239, 226]. The circular financing then runs in reverse—the same loop that amplified the boom amplifies the unwind, as vendor financing, chip-collateralized debt, and cross-held equity mark each other down. Historical envelope: pure-plays −60 to −90% (dot-com), NVIDIA in the Cisco 2000–02 corridor (−70%+ from peak while remaining a great company), SoftBank in distress on the double long, Stargate-class projects abandoned mid-construction like 2002 fiber routes, and a US recession contribution large enough to become a political event, given AI capex's share of GDP growth [231]. *Timeline: any quarter from late 2026 through 2029; fast once started (12–24 months peak-to-trough).* China is not immune—its own involution economics are brutal (Chapter 3)—but it is structurally insulated: one-tenth the equity at risk, state-absorbed losses, and the strategic prize (the surviving industrial commons) intact by design. In 2002 the fiber glut's buyers of last resort were the carriers who had built it; in 2029 the cheap distressed AI infrastructure has an obvious, well-capitalized, strategically motivated buyer set—and it is not the sellers' side of the Pacific.

17.6.3 Scenario III: Bifurcated stalemate

The falsification branch—and, on the strongest version of the skeptical case, closer to the base case than Scenario I admits. Closed US frontier models open a compounding lead—recursive AI-for-AI R&D, agentic capability that open fast-following genuinely cannot match at the frontier—and enterprises keep paying rent for the best. The world bifurcates: a Western premium-closed ecosystem holding the high-value workloads, and a Chinese-led open commons holding volume, the Global South, and the standards. Even here, note what the West is defending by 2030: a shrinking premium tier atop a foundation—ISA, interconnect, memory class, deployment substrate, half the world's tokens—owned by the other side. Solar's history suggests bifurcation is a stage, not an end state; premium tiers erode as the commons compounds. But this scenario preserves Western lab profitability into the 2030s and would falsify this chapter's stronger claims.

Probability-weighting across the three is a judgment, not a calculation; the indicators below are the honest instrument.

17.6.4 The author's probabilities and the skeptic's

Numbers force honesty that prose scenarios evade. Table 17.2 prints two sets of subjective probabilities [S] for 2029–30 outcomes: this book's, and those of the most credible skeptical position the author can construct against it, disagreements unhidden. The structural disagreement is instructive: the skeptic weights the durability of the closed premium tier higher and the repricing lower; the author weights the precedent industries' terminal pattern—premium tiers eroding as the commons compounds—higher. Both positions agree on the core: Chinese open-weight dominance is the modal world, full-stack parity is not yet the modal world, and a 2000-style systemic cascade is a serious tail, not the base case. The composite base case both positions admit: *financial repricing plus partial bifurcation*—Scenario I and Scenario III's overlap.

Table 17.2: Subjective outcome probabilities by 2029–30 [S].

Outcome	Skeptic	Author
Chinese models dominate the global open-weight ecosystem	70%	80%
Frontier-adjacent model trained entirely on a domestic Chinese stack	50%	65%
Full Chinese parity in HBM, tooling, software, and training economics	30%	35%
Broad (≥30%) US AI-complex valuation repricing	60%	70%
Systemic cascade comparable to 2000–02 telecom	25%	25%
US closed models retain a valuable premium enterprise tier through 2030	65%	50%
China captures both open volume and the top closed enterprise tier	30%	25%

17.6.5 Indicators, 2026–2030

17.7 Where value reappears after the model becomes cheap

This section is the chapter's capstone: it converts P3 and P4 from predictions into a map. Suppose the model layer commoditizes exactly as Part II argues. Value does not exit the industry; it migrates to whichever adjacent layer becomes the new scarcity—and each candidate layer has an *observable rent indicator* that tells the reader, quarter by quarter, where the rent actually settled. Table 17.4 is the map.

Three readings of the table close the argument. *First, it restates the propositions precisely.* P3 (rent destruction) is the claim that the first row's rent compresses; P4 (financial repricing) is the claim that current valuations are concentrated in the rows that compress rather than the rows that inherit. The book's thesis does *not* require all US AI rents to disappear—it requires the scarcity layer on which current valuations depend to move faster than the incumbents can reconstitute pricing power in another row. That is a falsifiable statement about relative speed, not an eschatology.

Second, it is the flywheel contest in ledger form. The American flywheel's survival plan is to hold rows two, three, five, and nine—cloud, agents, trust, distribution—while conceding row one; the Chinese flywheel's plan is to hold rows six, seven, and increasingly eight—hardware, energy, science—while giving row one away deliberately. The two thefts of Chapter 2 are raids across this table: open weights attack the first row's premium before the American side has fortified the

Table 17.3: Leading indicators separating the scenarios.

Indicator	Repricing / cascade signal	Stalemate (falsification) signal
Frontier gap (AI Index, arenas)	Stays $\leq 5\%$ or closes	Widens $>10\%$ and holds for 2+ years
First frontier model trained fully on domestic Chinese stack	Occurs by 2027–28 (the "Mate 60 moment" of AI)	Slips past 2029; Ascend/LX2-class training stays sub-frontier
Enterprise spend share of open weights	Follows usage upward (reverses the 2025 dip [168])	Stays $<15\%$ while closed APIs hold pricing
OpenAI financing	Down-round, repriced IPO, or new vendor backstop	Clean \$1T+ listing, burn narrowing
NVIDIA customer mix	Concentration rises; more seller financing	Broadens; financing exposure retired
CXMT LPDDR6 / HBM3 ramp	On schedule (2H26 / 2027); LPDDR-based training clusters appear	Slips 2+ years; HBM chokepoint holds
DC economics	Utilization/pricing disappoint; debt spreads widen; depreciation lives extended again	AI revenue closes Bain's \$800B gap [233]

Table 17.4: Rent migration after model commoditization: candidate scarcity layers and their observable indicators.

Layer	Possible new scarcity	Observable rent indicator
Model weights	capability at the hard end; freshness	price per *successful task* at hard workloads (Appendix E, fields 9–10)
Cloud	reliability, scale, sovereign hosting	gross margin, utilization, reserved-capacity backlog
Agents	workflow ownership; the default interface for work	application revenue and retention; seat expansion
Data	proprietary feedback loops and domain access	capability demonstrably unavailable from public data
Trust	certification, indemnity, liability transfer	regulated-sector willingness to pay (Chapter 14)
Hardware	memory, interconnect, packaging	delivered tokens or training progress per dollar (Chapter 9)
Energy	firm deliverable power at the busbar	busbar price; time-to-interconnect (Chapter 11)
Science	validation and experimental coupling	independently replicated outcomes per resource (Eq. 20.3)
Distribution	default interface and habit	active users, enterprise spend, switching cost

others; closed agents attack the ninth row's habit before the Chinese side can follow its cheap models up the stack. Which side's fortification completes first is the empirical question, and every row has a column to watch.

Third, it disciplines both cases. A bull on the US complex must name the row that will carry the valuations when row one's rent is gone, and show its indicator moving—agent revenue and retention are the strongest current candidates [V in the Microsoft run-rate, above]. A bear must concede that rows two through nine are real and large—the realized cloud and accelerator profits already booked are rent that arrived, not rent that will vanish—and locate the fragility precisely where this chapter has: in the instruments priced as if row one's scarcity were permanent. The table, checked annually, is this book's substitute for the crash-date prediction it declines to make.

17.8 What survives

End every market analysis with the balance-sheet truth: crashes destroy claims, not capabilities. After 2002 the fiber remained lit and the routers kept routing—under new owners at ten cents on the dollar. In every scenario above, the physical and institutional assets survive: the fabs, the power contracts, the memory lines, the open weights (which carry no market price and therefore no mark to break), the trained engineers, the standards. What does not survive intact is the market value specifically premised on AI staying scarce—and which vintages of it fail first, Eq. (17.1) now says precisely. The war is not won at the moment the incumbents' valuations break; it was won earlier, when the cost curve changed hands, and the break merely publishes the result.

Chapter 18

The Non-Aligned: How the Rest of the World Chooses

Every chapter so far has described a contest between two principals. This one argues that the outcome will be settled by everybody else. The industrial history of Part I is unambiguous on the point: solar was decided in German feed-in tariffs and then in desert tenders; batteries in the procurement rules of a dozen national auto markets; electric vehicles in Southeast Asia, Latin America, and the European price war. In each case the producer with the best cost curve won because *third markets bought it*, and the incumbent's home market was too small to matter by the time it noticed. AI will be decided the same way, and this chapter therefore treats the non-aligned not as spectators but as the electorate.

The framing correction matters for the book's own recommendations. The strategic question for a country that is neither the United States nor China is not "which stack do we join?" It is: *can we evaluate, fork, certify, and operate components from both, while retaining sovereign scientific and industrial capability?* That is a capability question, not an allegiance question, and it has a concrete answer for each actor.

18.1 The decision matrix

Any serious national choice runs through eight dimensions. Stating them explicitly does two things: it exposes the trade-offs that bloc-based framing hides, and it makes different countries' choices comparable.

Two dimensions deserve emphasis because they are routinely omitted from national AI strategies. *Export-control exposure* is not symmetric across the two stacks and not zero for either: American compute and cloud access have been restricted by rule and by licence, and Chinese open weights carry the risk—documented in Chapter 22 as a continuity risk rather than an accusation—that a future policy could restrict release. *Industrial spillover* is the dimension that separates a strategy from a purchase: importing tokens builds nothing, while operating models, running probes, and contributing to standards builds people, and people are the only input that compounds.

18.2 Nine positions

Japan holds the strongest technical hand of any non-principal and the weakest demand-side position. Assets: an exascale HPC lineage whose architectural argument this book carries (Chapters 9, 21); the most defensible remaining semiconductor materials and equipment franchises; leading-edge memory and packaging supply chains; the only measurement-anchored national AI4S demand model in existence; and unusual standing in both blocs' technical communities.

Table 18.1: The eight dimensions of a national stack decision. The right-hand column names the chapter of this book that supplies the evidence.

Dimension	Question	Evidence
Capability	Does the stack satisfy our highest-value workloads—not the benchmark, the workload?	Ch. 8, 20
Cost	What is the full cost per *successful task*, including operation, integration, and retries?	§8.5.3
Sovereignty	Can weights, runtime, data, and hardware be operated independently of any foreign decision?	Ch. 9, 21
Trust	Can provenance, integrity, behaviour, and liability be certified—by us or by someone we trust?	Ch. 14, 15
Interoperability	Does it integrate with our existing cloud, scientific, and enterprise systems?	Ch. 9
Export control	Is continued access exposed to unilateral restriction by a foreign government?	Ch. 10, 16
Standards	Does adoption create long-term dependence on one ecosystem's interfaces?	Ch. 16
Industrial spillover	Does adoption build domestic capability, or merely import a service?	Ch. 2

The 2025–26 record shows the machinery engaging: the AI Promotion Act (May 2025)—Japan's first AI-dedicated law, deliberately innovation-first, penalty-free, and agile-governance-shaped, the philosophical antipode of the AI Act [409]; FugakuNEXT contracted to Fujitsu and NVIDIA (Aug. 2025) as a MONAKA-X Arm CPU tightly coupled to GPUs over NVLink Fusion, with a ∼¥110B initial budget toward operations around 2030 [357]; the GENIAC compute-subsidy program in its fourth cycle; Sakana at a $2.65B valuation; Rapidus running a 2 nm pilot line toward 2027 mass production; SoftBank converting a Sharp LCD plant into a 150–240 MW AI data center as the anchor of a domestic OpenAI venture; and a fiscal commitment moving from the ¥10T-through-2030 package toward a quadrupled annual chips-and-AI budget [410]. Liabilities, unchanged and now quantified: a domestic model ecosystem positioned for Japanese-language enterprise depth rather than the open frontier, an energy position that cannot win a watts race, and a research population whose committed provisioning sits an order of magnitude below its own modelled requirement. The honest tension the record exposes: FugakuNEXT's architecture buys NVIDIA coupling at the exact moment this book's compute chapter argues the accelerated-CPU corner is the sovereign long game—defensible as a hedge, dangerous as a habit. Recommended posture: build the accelerated-CPU line to its FP8-capable conclusion *alongside* the GPU coupling, not instead of sovereignty; adopt the best open weights irrespective of origin under a full trust stack; bid for the certification-authority vacancy in coalition rather than alone; and use the sizing framework as the diplomatic instrument it is—a shared unit is a claim on the terms of the debate.

The European Union has the pen and not the press—and in 2025–26 the pen visibly hesitated. The Digital Omnibus process pushed the AI Act's high-risk obligations back by sixteen months to two years (Annex III to December 2027, embedded systems to August 2028) while strengthening the AI Office's GPAI powers—an implicit concession that the regulatory clock had outrun the industrial one [411]. Meanwhile the industrial program scaled: thirteen AI factories plus antennas under a ∼€10B envelope, and a formal EuroHPC tender (July 2026) for up to seven gigafactories of 100k-plus accelerators each, against 76 expressions of interest totaling ∼$230B—an oversubscription that says European capital wants sovereign compute even where European regulation slows its use [355, 412]. Mistral closed €1.7B at ∼$14B with *ASML* as lead investor—the continent's one true chokepoint firm buying into its one frontier-adjacent lab, sovereignty consolidating by cap table [413]—and JUPITER delivered Europe's first exascale machine. Liabilities: fragmented procurement, energy costs, no top-tier frontier laboratory, and the persistent gap between regulatory ambition and industrial capacity that the omnibus retreat priced publicly. Recommended posture, sharpened by the record: spend regulatory energy on the *conformity infrastructure* the world lacks—evaluation batteries, signed provenance, notified-body capacity for model artifacts, the one arena where the AI Act's machinery is an asset rather than a tax; buy the open commons and audit it; and treat the gigafactory programme as a sovereignty asset only if paired with the operating capability and the model programs to use it—seven empty cathedrals of compute would be the solar-tariff mistake with better architecture.

India is the largest genuinely undecided market and the one whose choice would most move the aggregate—and its 2025–26 record is the world's cleanest experiment in demand-side sovereignty. The IndiaAI Mission empanelled ∼38,000 GPUs across three tenders at subsidized rates reportedly under $1/GPU-hour—among the cheapest sovereign compute on earth—and then discovered the harder half of the problem: reported utilization lagged badly, a national GPU pool in search of users [414]. The lesson generalizes to every country in this chapter and confirms this book's cost-stack analysis: *compute is the easy term;* c_{int} *and* c_{org} *are the binding ones*, and a subsidy that buys hardware without buying integration capacity buys idle silicon. The sovereign-model program (Sarvam on 4,096 subsidized H100s, BharatGen, Krutrim's frugal-AI line) and $45B-plus of announced hyperscaler investment (Microsoft's $17.5B, Google's $15B hub, AWS) complete the picture: both blocs building the physical layer, India supplying the population. Recommended posture: aggressive adoption of open weights with domestic fine-tuning and Indic-language specialization; national evaluation capacity; fix the utilization gap before expanding the pool—and the highest-leverage move available remains becoming the world's integration layer, since whoever performs the integration accumulates the complementary capital that the general-purpose-technology literature says captures the value.

South Korea deserves its own position rather than a footnote, because it is the only non-principal that is simultaneously a critical *supplier* to one bloc and a determined sovereign builder. The supplier position is decisive: SK hynix holds ∼62% of HBM and reportedly two-thirds of the leading HBM4 volume—Korea sits on the choke half of the chokepoint this book's compute chapter is about [415]. The sovereign program is the most structured in the world: a national AI computing center, a 260,000-GPU national deal spanning government and the chaebol "AI factories," a ∼100T-won public-private pledge—and, uniquely, a sovereign foundation-model *tournament*: five teams selected with compute and data support, then eliminated in public rounds, with 700B-parameter open models released as the competition sharpened [416]. That is playbook step 4 (selection, not planning) executed by a democracy, and this book registers it as the most interesting institutional experiment in national AI policy anywhere: state-funded competition with open-weight release as the qualifying bar. Recommended posture: keep the tournament honest (the temptation to anoint a national champion early is playbook step 6 (cartelize and gatekeep) arriving prematurely); price the HBM franchise as the strategic rent it is while it lasts; and hedge the memory cliff, because Korea is the country most exposed to exactly the capacity-first arbitrage of Chapter 9.

Singapore and ASEAN illustrate the small-state problem in its purest form. Singapore's entire national AI4S requirement is smaller than one large country's first procurement stage (Chapter 21), which makes autonomy through scale impossible and autonomy through *selection* essential: pick workloads where a small, excellent, well-instrumented capability beats a large generic one, and pool everything else—SEA-LION, the region's open multilingual model family, is the template: small, targeted, open, and adopted because it serves eleven languages the frontier ignores [417]. ASEAN more broadly is the clearest case of the third-market dynamic—price-sensitive, sovereignty-conscious, and courted by both blocs with credit, training, and infrastructure, with $15B-plus of data-center investment landing in Johor alone. It is also where Chinese adoption has moved fastest, for the same reasons Chinese EVs did.

The Gulf states are the anomaly: capital-rich, energy-rich, compute-poor by choice rather than constraint, and buying position in both stacks simultaneously at a speed neither principal fully controls. The 2025–26 record removed any doubt about scale: Saudi HUMAIN building toward 6.6 GW with NVIDIA "several hundred thousand GPUs" and an AMD $10B/6 GW joint venture; Stargate UAE's first gigawatt inside a planned 5 GW Abu Dhabi campus; MGX targeting $100B of AI assets as anchor investor in the American frontier itself; and—the geopolitical hinge—US Commerce authorizing 70,000 advanced-chip exports to G42 and HUMAIN under security conditions, making the Gulf the first place Washington has *chosen* to locate frontier-scale capacity it controls only contractually [418]. They matter to this book's argument for one specific reason: they are the only non-aligned actors who can bid for frontier-scale capacity on the open market, which makes them the swing buyers in any repricing scenario (Chapter 17) and the most likely hosts of the first sovereign frontier training run outside the two principals—now with the silicon on order.

Taiwan is the position everyone else's position depends on and the hardest one to hold: near-monopoly production of the advanced logic both blocs' AI machines require, a $3.2B "ten major AI infrastructure" program of its own—and an energy system, post-nuclear phase-out, whose arithmetic is the binding constraint on both its sovereign-AI ambitions and its foundry expansion [419]. Taiwan is this book's busbar chapter compressed into one island: the world's most valuable compute, gated by the world's tightest watt. Recommended posture: treat energy as the semiconductor policy it is; and hold the TSMC franchise as the alliance instrument it has become, while building the sovereign-model capacity (TAIDE-line) that keeps dependence from becoming identity.

Brazil and Latin America combine large populations, real scientific communities, severe fiscal constraints, and—in Brazil's case—a clean grid that is an underrated asset in an energy-constrained industry. The rational posture is almost pure commons adoption plus regional pooling, and the risk is the classic one: importing a service, building nothing, and discovering in a decade that the standards were set elsewhere.

Africa is treated in most Western AI strategy documents as a recipient and in Chinese AI diplomacy as a partner, and the difference in framing is itself strategic. The first facts on the ground arrived in 2026: Cassava's NVIDIA-powered "AI factory" in South Africa—the continent's first—with Kenya, Nigeria, Egypt, and Morocco expansions planned, pitched explicitly as sovereign data and compute [420]; and small open models for African languages (InkubaLM-class) following the SEA-LION template. The continent's relevant facts are a young technical population, the fastest-growing developer base in the world, minimal legacy infrastructure to defend, and acute exposure on energy and connectivity. Chapter 22 argues the correct treatment is as a source of talent, scientific questions, and data—not aid—and notes that the institution which builds a real access track will acquire an asset that compounds for decades. Nobody has built it. The World AI Cooperation Organization is bidding.

18.3 What the matrix predicts

Apply Table 18.1 honestly and an uncomfortable pattern emerges. On *cost*, *sovereignty* (operational), and *export-control exposure*, the Chinese open stack currently scores better for almost every non-aligned actor—it is cheaper per task, it can be run on-premises without foreign permission, and no government can revoke a weight file already downloaded. On *capability at the absolute frontier*, *trust*, and *interoperability with existing enterprise systems*, the American stack scores better. On *standards* both create dependence, in different currencies. And on *industrial spillover*—the dimension that determines whether a country is building anything—*neither stack helps unless the adopting country does the work itself*, which is the single most important sentence in this chapter.

That pattern explains observed behaviour better than allegiance does. It explains why institutions that ban a Chinese chat application nonetheless evaluate its weights for self-hosted deployment; why sovereignty-conscious governments buy American cloud and Chinese weights simultaneously; and why the fastest-growing adoption of Chinese open models is in exactly the countries with the least ability to pay rent. It also explains a strategic vulnerability of the Chinese position that follows directly from the same logic: the commons currently wins on cost and operational sovereignty but loses on trust, and trust is the dimension that a coalition of non-aligned states could supply *for themselves*—which would make the commons safe to adopt and simultaneously deprive its sponsor of the dependence it purchased.

18.4 The non-aligned strategy, stated once

For any country in this chapter, five moves follow from the matrix, and they are the same five regardless of size:

Measure your own demand before procuring anything, in a unit others recognize (Chapter 21); a country that cannot state its requirement cannot audit a vendor or join a federation. *Adopt the commons, and audit it*—the cost and sovereignty arguments are decisive, and the trust gap is closable with infrastructure rather than with prohibition. *Retain a pretraining capability* sized to competence rather than to leaderboards, because the return is people and the alternative is permanent tenancy. *Pool internationally* for the capacity and the certification you cannot afford alone (Chapter 22). And *do the integration work domestically*, because the general-purpose-technology literature and this book's Chapter 2 agree that complementary capital is where diffused value is captured, and it is the only part of the stack no foreign supplier can perform for you.

The countries that moved early in solar, batteries, and EVs are the ones the record remembers kindly. The window in AI is measured in quarters rather than decades, because the standards layer is being set now and the certification layer is still vacant.

Chapter 19

Strategies for the Rest

A structural analysis owes its readers agency, not just diagnosis. This chapter states what each class of actor should do conditional on this book being broadly right—and notes, where it matters, which moves remain correct even if Chapter 23's falsification branches fire. The organizing principle throughout is the one the precedents teach: *do not defend the rent; position on the commons.*

19.1 The United States: win the commoditization race or lose it

The US strategy since 2019—chokepoint denial plus closed-frontier rents—has produced the outcomes this book documents: each denied input spawned a subsidized substitute, and the rent structure concentrated national exposure into the leveraged trade of Chapter 17. The counterfactual strategy has never been tried: compete *for* the commons rather than against it. Concretely: fund open-weight frontier models as public infrastructure (the gpt-oss reflex, sustained and resourced, rather than one defensive release); make the American open stack—not merely American APIs—the world's default, because the adoption layer, once lost, prices everything above it; treat RISC-V and open interconnects as terrain to lead rather than restrict, the Commerce Department's own conclusion [198]; and attack the physical constraint that is actually binding—the watt (Chapter 11)—with the urgency currently spent on GPU export paperwork. Export controls should be triaged by the Chapter 7 model: they buy real time only where knowledge is tacit and supply chains integral (EUV, HBM process, advanced packaging) and buy negative time where products are modular and fast-clocked (chips themselves, models). The scarcest honest observation: the US capital structure, not its technology, is the strategic vulnerability—an orderly deflation of the scarcity premium, engineered early, is strictly preferable to defending it to the break.

19.2 Europe: regulation is not production

Europe enters the fourth war having sat out the previous three's manufacturing and owning the regulatory pen. The trap is repeating solar: tariffs and standards atop a hollowed industrial base. Europe's live assets are ASML (the one true chokepoint, wasting), Mistral and the open-model tradition, EuroHPC's procurement scale, and the credibility to run the certification layer of Chapter 14 as a neutral. The strategy that follows: build sovereign inference and smaller sovereign-scale training on whatever open stack is best (which will often be Chinese—accept it, audit it, mirror it); spend the AI Act's institutional energy on the trust stack—evaluation batteries, signed provenance, national mirrors—which the world currently lacks and Europe is culturally equipped to supply; and convert energy policy into compute policy, because Europe's grid math resembles America's with less gas.

19.3 Japan: the third-country playbook, first-person

Japan's position is unusually concrete because its assets map one-to-one onto this book's elements. It fields frontier-class HPC engineering (the Fugaku-to-FugakuNEXT lineage whose architectural argument Chapter 9 carries [186]); the world's most defensible remaining semiconductor inputs (materials, precision equipment, the Rapidus wager); memory at the leading edge (Kioxia; SOCAMM2-class packaging via its supply chain); and deep bilateral standing in both blocs' technical communities. The five moves that follow from the analysis: *First*, build the accelerated-CPU line to its conclusion—an FP8-equipped, capacity-rich successor in the LX2/Monaka direction is the machine class this book argues wins the converged AI-plus-simulation workload, and Japan is one of three polities that can execute it [M/S]. *Second*, adopt the open commons with the full trust stack of Chapter 14—self-hosted, audited, mirrored, fine-tuned domestically; refusing Chinese weights on principle is strategy-by-flag, not strategy. *Third*, bid for the certification-authority vacancy: an internationally credible model-evaluation and provenance institution, convened by Japan with partners, would be the highest-leverage per-yen investment in the entire space—the FAA role, held by a party both blocs can transact with. Chapter 22 develops the institutional form this should take, and argues that it should be built jointly with a small coalition rather than nationally, for reasons of both credibility and cost. *Fourth*, energy realism: Japan cannot win a watts race; it can win the performance-per-watt race, which is where its silicon and systems tradition already lives. *Fifth*, hedge the memory bet both ways—HBM partnership with allied suppliers and LPDDR-capacity architectures domestically, for exactly the dual-track reasons of Chapter 10.

19.4 The Global South: the buyers write the ending

The precedent wars were decided, in the end, by third markets: solar in the desert tenders, EVs in Southeast Asia, telecom in the 4G buildouts. The AI war will be decided by the same buyers, and their rational strategy is uncomfortable for both blocs: take the free stack, keep the exit. Concretely—adopt open weights and cheap tokens from whoever supplies them (today, mostly China); insist on the trust stack (signed artifacts, local mirrors, evaluation rights) precisely because dependency without auditability is the old colonial bargain with new units; build sovereign inference first (it fits real grids and budgets) and pool regionally for smaller sovereign-scale training as the LPDDR-class machines arrive [S]; and price national data and deployment access as the leverage they are, playing the blocs against each other the way the nonaligned always have. WAICO's 29 founding states have understood this faster than the G7 has [181]. Whether the commons they join has one certification authority or two—whether trust becomes a Chinese utility or a neutral one—is the open variable, and it is the same variable Chapters 14 and this chapter keep landing on, because it is the war's last genuinely unclaimed high ground.

19.5 China: advice for the presumptive winner

A book titled as this one is owes its subject the same service it gives everyone else: if the analysis is right about the mechanism, it is also right about the mechanism's failure modes, and several of them are visible *now*, documented largely in Chinese sources. What follows is what Beijing should fix, stated with the same directness as the other sections—because a strategy this book takes seriously deserves serious criticism, and because several of these failure modes would damage everyone, not only China.

First, the involution problem is real, recognized at the top, and not yet solved. The model-layer price war—repeated near-total API cuts cascading through Qwen, Zhipu, MiniMax, and the rest within days of each DeepSeek release—is playbook step 3 (overcapacity as strategy) running *without the step-5 rent-recapture plan attached.* Part I's precedents survived below-cost phases because the losses purchased learning curves that led somewhere: cells, packs, cars. The model-layer war's own leadership doubts the destination: the State Council has formally warned against "disorderly competition" in AI, the pricing-law amendments target involution by name, and Xi Jinping himself has publicly questioned whether every province needs an AI, compute, and EV project [421]. The fix is not to end competition—the Darwinian dynamic produced DeepSeek, and strangling it is falsification branch (e) of Chapter 23—but to move the war's price floor from below-cost tokens to at-cost tokens plus *paid complements*: certification, deployment engineering, vertical solutions. The rent-migration table (Section 17.7) applies to China too, and Chinese labs are currently giving away row one while building almost nothing in rows two through five.

Second, the monetization gap is the strategy's soft underbelly. China's flagship labs generate strikingly little revenue relative to their US counterparts—the post-IPO disclosures of Zhipu and MiniMax show thin revenues and heavy losses, and the domestic enterprise market suffers a documented "low-trust open-source paradox" in which Chinese firms themselves hesitate to build on domestic open models [422]. Against Anthropic's $47B run rate, the entire Chinese frontier sector's revenue is a rounding error. Nor is the problem confined to the startups: Alibaba—the family with a billion model downloads and the strongest distribution position in the Chinese ecosystem—reported ex-items net income down 99.7% and adjusted EBITDA down 84% in the May 2026 quarter while committing to exceed a three-year, $56B AI capex plan, with its chief executive stating that "margin is still secondary" [408]. That is the American hyperscaler bargain (spend now, monetize later) run by a firm whose model layer earns even less. The state can carry this indefinitely; the question is whether it should. A commons whose builders capture nothing eventually stops attracting the best builders—the talent flywheel runs on equity as well as patriotism, and Hong Kong listings at compressed valuations are a weak substitute for a functioning domestic growth-capital market. The fix is the one Beijing finds hardest: let winners charge. Three moves in the record already point this way and deserve to be read as policy templates rather than defections—Kimi K3's revenue-threshold licence, Alibaba's retention of a metered Max tier above its open families (Section 8.3.1), and DeepSeek's introduction of peak-hour surge pricing on the cheapest frontier-adjacent model in the world. Rent relocated is the strategy working; rent abolished is the strategy eating itself.

Third, the compute buildout has repeated the classic overcapacity error, and candor about it would help. Independent reporting documents hundreds of state-subsidized data centers with utilization far below plan—up to 80% of some new capacity unused—rental prices collapsing, and the familiar provincial dynamic of building the designated thing regardless of demand [423]. This book's own busbar casebook (Section 11.3) shows the western hubs working; it does not show all of them being needed. The fix is the one the involution campaign gestures at: consolidate ruthlessly, publish utilization, and let the East-Data-West-Computing framework allocate by measured demand rather than by provincial ambition—because idle capacity is not deterrence, it is depreciation, and the American bear case about Chinese AI ("it's all empty data centers") gains its plausibility from exactly this.

Fourth, the trust deficit is the binding constraint on the strategy's global half, and it is self-inflicted where it is not structural. Chapters 14 and 15 documented what buyers of the commons must price: censorship layers that transfer into derivatives, provenance disputes, an unowned certification layer. Every quarter the certification vacancy stays unfilled, adoption of Chinese weights in regulated Western and non-aligned sectors stalls at the paying-workload boundary—the C919 pattern. The fix is counterintuitive for a security state but follows directly from the analysis: *sponsor the independent certification of your own artifacts.* Reproducible builds, signed manifests, third-party evaluation access, and behavioral-audit cooperation would cost little, could be led through WAICO or offered to a neutral consortium (Chapter 22), and would convert the commons' largest liability into a completed sale. A China confident in its artifacts should want them audited; the inference buyers draw from the alternative is priced into every procurement this book has examined.

Fifth, the physical gaps deserve honesty rather than roadmap theater. HBM and advanced packaging remain the binding constraints on the accelerator fleet; EUV remains absent; and the analyst consensus puts CXMT roughly three years behind the Korean leaders at the class that matters [424]. This book's compute chapters argue China's best move is to *change the game* (capacity-first architectures, the hybrid tier) rather than chase the incumbent's metric—advice this section now returns to its subject: fund the 5 TB/s knee test and the hybrid tier's placement policy (Appendix A) at national priority, because they are cheap, decisive, and strategy-defining, and stop announcing HBM schedules that the record keeps missing, because each slipped roadmap feeds the skeptics' case at home and abroad.

Sixth, submit to the scoreboards—and finish the auditability you have started. No Chinese-designed accelerator has ever appeared in MLPerf Training; no LX2-class machine has published the AI proof suite; the embodied fleet publishes shipments, not intervention-free hours. The model layer shows both halves of the problem at once, and the good half deserves crediting first: Qwen3.8-Max shipped with a release blog carrying the full benchmark table *and a complete project trace on GitHub* for its flagship autonomy demonstration [394]—which is more verification apparatus than most Western frontier claims carry, and exactly the practice this book has been asking for. The gap is what sits beside it: no architecture report, no activated-parameter disclosure, no training-hardware statement, no hallucination rates of the kind the prior generation published, and—most consequentially—an autonomous silicon-design claim (Section 8.3.2) that is potentially the most strategically important assertion any Chinese lab has made, shipped without any artifact a third party could check. The recommendation follows directly: publish the design flow's audit trail the way the coding run's was published. A verified AI-designed part would do more for China's position than any benchmark table, because it is the claim the West would most like to disbelieve and the one that, if true, dissolves the chokepoint strategy entirely. Every unaudited claim is discounted by the buyers who matter; this particular one is being discounted at a rate that costs China real strategic credit. The pattern—dominate the metrics you control, avoid the ones you do not—is rational for a challenger and corrosive for an incumbent, and China is becoming an incumbent. Every unsubmitted benchmark is a claim the world discounts, and the discount compounds into the trust deficit above. The strategy that wins the next decade is the one this book has attributed to China at its best: *show the receipts and let the cost curve argue.* It worked for solar. It will work here, if the receipts are real—and if they are not, better to learn it before the world does.

19.6 The common instruction

Reduced to one line per actor: the US should commoditize before being commoditized; Europe should certify what it cannot manufacture; Japan should build the machine class the war is converging on and referee the trust layer; the Global South should take the commons and unionize the demand side; and China should let its winners charge, consolidate its overcapacity, and submit its artifacts to scoreboards it does not control. For every actor except the two principals, those instructions converge on one institution, which Chapter 22 specifies. And all of them share one instruction the precedents make non-negotiable: read the indicator table of Chapter 17 quarterly, because every strategy above has a branch point there, and the actors who moved early in solar, batteries, and EVs are the only ones the record remembers kindly.

Chapter 20

The Largest Prize: Why AI for Science Dominates the Value Case

This book has so far treated AI as an industrial commodity and asked who will supply it. This chapter asks what it is *for*, and argues a claim that most of the public debate has inverted: the largest value in artificial intelligence is not in writing software, drafting documents, or automating enterprise workflow. It is in accelerating science. Everything else redistributes an existing surplus; science creates new ones. If that ranking is right, then the two chapters that follow—how much compute a nation's research actually needs, and what institution could supply it—are not a digression from this book's argument but its destination, and the competition described in Parts I–III is a competition over who gets to compound their scientific output fastest.

The chapter proceeds in the order that honesty requires: first the demonstrated results, then an unsparing ledger of what has *not* worked, then the economics that make the prize large even after the failures are subtracted, then the strategic consequence.

20.1 What has actually been demonstrated

Four domains have produced results that survive scrutiny, and their common feature is instructive: in each, AI replaced a computation that was previously bounded by physics-based simulation cost, and the replacement was validated against an established operational baseline rather than against a benchmark of its own devising.

Weather is the strongest case, and the only one with operational adoption by three national agencies. ECMWF's AIFS became operational in February 2025 at 28 km grid spacing with gains up to 20% over the physics-based model on measures including tropical-cyclone tracks, at roughly *one-thousandth* of the energy per forecast; its 51-member ensemble followed in July 2025 [308]. NOAA deployed AI-driven global models operationally in December 2025: a 16-day forecast in about 40 minutes using *0.3%* of the compute of its conventional system, with the ensemble variant extending useful skill by 18–24 hours [309]. Microsoft's Aurora—1.3B parameters, pretrained on 32 GPUs in about two and a half weeks—beats the operational high-resolution model on 92% of targets and matched or beat all seven operational centres on every tested cyclone track, at roughly 10^5 times the speed of the atmospheric-chemistry system it replaces; adapting it to a new task takes four to eight weeks against the several years a new dynamical model requires [310]. NeuralGCM runs on a single accelerator what previously required 13,000 CPUs [311]. China's meteorological administration has its own operational family, and a 2026 typhoon-track system reports up to 32% error reduction against leading global ensembles [312, 313].

Structural biology is the most diffused case. AlphaFold has predicted over 200 million structures, is used by more than three million researchers in 190 countries—including over a million in low- and middle-income countries—and won the 2024 Nobel Prize in Chemistry [314, 315]. The measurable second-order effect matters more than the structures: researchers using it increased their submissions of *novel experimental* structures by over 40% and were twice as likely to be cited in clinical work [314]. The database now includes millions of predicted complexes, representing on the order of 17 million GPU-hours of computation given away [316]. Protein *design* has followed: a generative model produced a fluorescent protein 58% identical to its nearest natural relative—an object evolution had not found—and diffusion-based enzyme design has produced metallohydrolases with catalytic efficiency orders of magnitude above previous designed enzymes [317, 318].

Mathematics and algorithm discovery produced the first credible autonomous results. A frontier system achieved gold-medal standard at the 2025 International Mathematical Olympiad, solving five of six problems end-to-end in natural language within the human time limit [319]. More consequentially for this book, an evolutionary coding agent found a 48-multiplication algorithm for 4×4 complex matrix multiplication—the first improvement on that case since Strassen in 1969—improved the best known solution on 20% of fifty-plus open problems it was set, and returned measurable production value: 0.7% of a hyperscaler's worldwide compute recovered through better scheduling, a 23% kernel speedup yielding a 1% reduction in the training time of the company's own frontier model [320]. That last result is the flywheel of Section 20.3.4 in miniature: AI improving the infrastructure that trains AI.

Drug discovery has its first controlled clinical datapoint. An AI-discovered TNIK inhibitor for idiopathic pulmonary fibrosis reported Phase IIa results in *Nature Medicine* in June 2025—71 patients, 12 weeks, a +98.4 mL mean forced-vital-capacity change against −20.3 mL for placebo—and entered a 320-patient Phase III in July 2026; the developer reports reaching preclinical candidate nomination in 12–18 months with 60–200 molecules synthesized per programme, against a conventional 2.5–4 years [321, 322]. This is one drug, one surrogate endpoint, one country, and not an approval. It is also more than the field had two years ago.

20.2 The failure ledger

A chapter arguing that AI4S is the largest prize is obliged to lead with the evidence against itself, and in this field the counterevidence is unusually sharp.

The most-cited economic study of AI in scientific discovery was fabricated. A 2024 paper reporting large gains in materials discovered, patents, and product innovation at a real firm was repudiated by its institution in May 2025—"no confidence in the provenance, reliability or validity of the data"—and the two prominent economists who had publicly praised it jointly stated that its findings should not be relied upon [323]. It is not cited here except as a warning, and any AI4S argument that still rests on it should be discarded.

Materials discovery, the flagship domain, has not survived validation intact. The autonomous-synthesis result that anchored the field was formally corrected in January 2026—successes cut from 40 to 36, one compound removed because it was in the training data, and the authors conceding the materials were "new to the prediction platform, not necessarily new to science" [324]. Independent crystallographers argued that none of the originally reported compounds was genuinely new [325]. The 380,000-stable-crystal result has been criticized by senior materials chemists for producing "chemical compounds rather than materials" with no demonstrated functionality [326]. The strongest generative-materials paper validated exactly one compound experimentally, and it missed its target modulus by about 20% [327].

Even weather has a documented failure mode. In May 2026 ECMWF discontinued real-time running of all four external AI models, having found them increasingly sensitive to the exact initializing analysis—several degraded when initialized on an upgraded analysis system—and noting that two of them do not forecast precipitation at all [328]. The lesson is not that AI weather models failed; the centre's own AIFS remains operational. It is that these models are couplings to an underlying data-assimilation system, not free-standing oracles.

Autonomous discovery is far weaker than its marketing. When a frontier agent was run against 700 open problems in one mathematical corpus, human adjudication of 200 candidate solutions found 68.5% fundamentally flawed and only 6.5% meaningfully correct—of which two were genuine autonomous resolutions [329]. A leading mathematician's assessment of a widely publicized single success was that only 1–2% of the open problems in that corpus are tractable this way, that difficulty within it varies by orders of magnitude, and that unreported failures skew the perceived rate [330]. The first conference to accept AI as primary author found submissions "technically correct" but "neither interesting nor important," with reviewers noting that technical fluency can mask poor scientific judgement [331]. Working scientists interviewed about frontier models in early 2026 were blunt: "We have not found, yet, that LLMs are fundamentally changing the way that science is done" [332].

And the scientific commons is absorbing real damage. One journal measuring its own pipeline found submissions up 42% since late 2022, over 30% of peer reviews showing detectable AI use, and papers with heavy AI content receiving revise-and-resubmit at 3.2% against 11.9% for low-AI papers—while the editorial board nearly doubled to cope [333].

The honest summary: AI4S has delivered decisively where the task is *a well-posed prediction problem with an expensive physics-based incumbent and an established validation baseline*, and has so far mostly failed where the task is *judgement*—choosing which question is worth asking, deciding what counts as new, or assessing whether a result matters. That boundary is the most useful thing known about the field, and it has a direct architectural implication taken up in Section 20.6.

20.3 Why the prize is nevertheless the largest one

20.3.1 The denominator

Start with the sizes of the things being compared. Global research and development spending ran approximately $3.1 trillion (PPP) in 2022, with the United States at $923B and China at $812B [334]. The entire worldwide software market—the addressable universe of "AI writes code" and "AI streamlines the enterprise"—is forecast at $1.47 trillion for 2026, roughly half of global R&D [335]. And the combined revenue of the frontier laboratories whose valuations Chapter 17 examined is under 2% of annual global R&D spending [336]. Even the most-cited bullish estimate of generative AI's economic potential put *R&D as the single largest affected function* at about a quarter of the total, ahead of software engineering—while explicitly excluding value from entirely new product categories, which is precisely where scientific advance shows up [337].

20.3.2 The return

Research spending is not an ordinary input. The best available estimate of the social return to R&D is $13.3 of social benefit per dollar spent at a 5% discount rate—and even under a deliberately punitive 20-year-lag assumption, $4.9 per dollar; the authors note it is difficult to construct an average return below $4 [338]. No enterprise-software deployment has a multiplier in that range, because enterprise software largely reallocates surplus between firms while research generates surplus that is mostly not captured by whoever paid for it. That non-appropriability is exactly why public institutions fund research, and exactly why the AI4S case is a *public-infrastructure* case rather than a product case—a point Chapter 22 builds an institution on.

Three accounting disciplines keep this subsection honest. *First*, the $4–13 figure is an *intertemporal present value* of the social surplus stream generated by a dollar of R&D, not an annual multiplier; it must never be multiplied directly against a single year's R&D flow to produce an annual benefit. The correct chain is: an annual *productivity uplift* to the research enterprise (the funnel's output, below) → an increment to the effective R&D flow → a *present value* of social surplus obtained by applying the Jones–Summers ratio to that increment. The three quantities—annual uplift, incremental output flow, and present value of surplus—are kept separate wherever this book uses them. *Second*, the ratio is an *average* return; AI will first reach the most computationally tractable tasks, whose marginal return may sit above or below that average, and nothing in the current evidence pins down which. *Third*, the $3.1T denominator is PPP-adjusted while software and laboratory revenues are nominal; the comparison is strategically suggestive, not an accounting identity. None of these disciplines shrinks the qualitative conclusion—the base is enormous and the multiplier is large—but they change what may legitimately be computed from it.

20.3.3 The bottleneck

Now the argument that makes AI4S strategic rather than merely valuable. Research productivity is falling. The canonical measurement finds aggregate US research productivity down by a factor of 41 since the 1930s—more than 5% per year—sustained only by a 23-fold increase in research effort; keeping Moore's law required more than eighteen times as many researchers per doubling as in the early 1970s; cancer clinical-trial research productivity fell by a factor of 4.8 between 1975 and 2006 [339]. Ideas are getting harder to find, and the traditional remedy—hire more researchers—is exhausting itself demographically in every advanced economy.

An important 2026 counter-interpretation deserves its place here, because it redirects rather than refutes the argument. Fort and coauthors find that patent production per unit of R&D input may *not* be declining at all; what has weakened is the conversion of ideas into firm growth—the diffusion step, not the discovery step [458]. The distinction matters strategically. If ideas are genuinely harder to produce, AI's leverage is on discovery itself, and the funnel below is the right model. If ideas are produced but diffuse poorly, the binding constraint is institutional—standards, competition, technology transfer, absorptive capacity—and the highest-return intervention is the deployment and certification infrastructure of Chapters 14 and 22 rather than more model capability. The truth almost certainly varies by sector, which is one more reason the consortium proposal pairs compute provision with diffusion machinery instead of treating capability as self-executing. Either way the case for the investment survives; what changes is where the marginal dollar goes.

An input that raises research productivity therefore acts on the binding constraint of long-run growth, which is why the economics of AI turns on this question and not on call-centre automation. And here is the pivot of this chapter. The most influential *skeptical* estimate of AI's macroeconomic effect—a total-factor-productivity gain of about 0.66% over ten years, roughly one-tenth of bullish estimates—reaches that number by counting only task-level automation of existing work, and *explicitly excludes* transformative science-driven gains on the stated grounds that advances of the protein-folding type "do not seem likely within the 10-year time frame" [340]. That exclusion is the entire disagreement. Structure-prediction, operational AI weather, and designed enzymes all arrived inside the window. One does not have to accept the most aggressive growth models—one recent analysis finds that automating as little as 13% of research tasks economy-wide is sufficient to enter an explosive-growth regime [341]—to notice that the credible range of estimates for AI's contribution to annual growth spans from 0.1% to 30%, and that the single variable separating those poles is whether AI automates *innovation itself* [342].

20.3.4 The flywheel

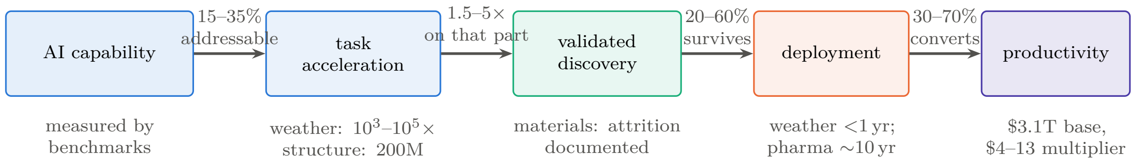
The final reason AI4S outranks the alternatives is that it is the only application category that feeds back into the means of its own production. Better materials improve batteries, magnets, and semiconductors; better semiconductor design improves accelerators; better weather and grid modelling improves the energy system that Chapter 11 identified as the binding physical constraint; better algorithms improve training efficiency directly, as the 1%-of-training-time result cited above demonstrates in the smallest possible way. Each of these is an input to the war this book describes. Enterprise-workflow automation has no such loop: a faster expense-report pipeline does not lower the cost of the next accelerator generation.

20.4 The value-conversion funnel

The claim that AI4S is the largest prize needs a conversion model, not just a denominator, because value does not pass unchanged from capability to output. The chain runs

$$\text{AI capability} \rightarrow \text{task acceleration} \rightarrow \text{validated discovery} \rightarrow \text{deployment} \rightarrow \text{productivity},$$

and each arrow has a conversion efficiency well below one. Stating them explicitly—even as ranges—is the difference between an argument and an enthusiasm.



The corner-to-corner product of these ranges spans $U = a(s-1)vd \approx 0.45\%$ to 59%; the task-weighted Monte Carlo of §20.4.1, which is the operative estimate, concentrates this into a central ≈11% with a 10–90% range of 8–18% [M]. Even the pessimistic corner is a socially consequential annual research-output flow (∼$28B/yr against the $3.1T base), whose present value exceeds the cost of national AI4S infrastructure by a large multiple. What the claim does not survive is the assumption that acceleration equals discovery, which is why the funnel is drawn rather than asserted.

Figure 20.1: From capability to output, with the losses shown. Each arrow carries a conversion efficiency well below one, and the domains where AI4S value is already visible in the statistics (weather) are precisely those where all four conversions are favourable—high addressability, a computational bottleneck, an established validation baseline, and short deployment lag. Where any one fails, as in materials synthesis, headline discovery counts do not become value. Ranges are author estimates [M]; the purpose is to make the argument falsifiable term by term rather than to claim precision.

Four disciplines govern the funnel. *First, addressability*: not all of the $3.1T R&D denominator is reachable by current or near-term AI. The reachable share is dominated by the task classes where the evidence above is strong—prediction with an established validation baseline, and search or optimization over well-defined spaces—and is much thinner for autonomous experimental planning and thinner still for scientific judgement and theory formation. A defensible current addressable share is on the order of 15–35% of research *effort*, weighted toward computational and screening-heavy fields [M]. *Second, acceleration is not discovery*: a hundred-thousand-fold speedup in a forward model, as in weather, converts into scientific value only where the bottleneck was that computation; where the bottleneck is experimental throughput, funding, or judgement, the speedup converts at a small fraction. *Third, validation attrition is severe and measurable*: the materials record of the previous section is the cautionary case, where headline discovery counts survived external scrutiny at rates well below one. *Fourth, deployment and regulatory lag* truncate everything: a validated drug candidate is a decade from revenue, a validated material perhaps half that, a validated forecast improvement is operational within a year—which is why weather is the domain where AI4S value is already visible in the statistics and pharmaceuticals is the domain where it is not yet.

20.4.1 The arithmetic, done properly

It is often said that multiplying these ranges yields a 3–30% uplift. It does not, and the error is worth walking through, because the corrected arithmetic is what the rest of this section rests on. Define the output variable precisely: the *incremental* uplift to realized research output from AI, for a single homogeneous task pool, is

$$U = a\,(s-1)\,v\,d, \tag{20.1}$$

whose four factors are the four arrows of the funnel: a is *addressability*, the share of research effort that current AI can reach at all; s is the *speed-up* on that reachable share, so that $(s-1)$ counts only the acceleration *beyond* the unassisted baseline (a model that changes nothing has $s=1$ and contributes zero); v is *validation survival*, the fraction of accelerated output that withstands independent scrutiny; and d is *deployment conversion*, the fraction of validated results that actually reach use. All four are dimensionless fractions except s, which is a multiplier. The printed endpoint ranges then give $U_{\min} = 0.15 \times 0.5 \times 0.20 \times 0.30 = 0.45\%$ and $U_{\max} = 0.35 \times 4 \times 0.60 \times 0.70 = 58.8\%$; the gross converted output $U^{\text{gross}} = asvd$ spans 1.35–73.5%. The corner-to-corner interval is therefore roughly *half a percent to sixty percent*, not 3–30%, and the wider band is the honest one: it is what independence of the terms actually implies.

The corners, however, are not equally credible, because the parameters are correlated in a specific, evidence-backed way: domains with high acceleration and high addressability (weather, structure prediction) also tend to have strong validation infrastructure and short deployment lags, while domains with weak validation (materials synthesis) also carry long deployment lags. The all-pessimistic and all-optimistic corners are thus doubly unlikely. The right formulation—and the one adopted here—is task-weighted:

$$U_{\text{AI4S}} \;=\; \sum_j w_j\,a_j\,(s_j-1)\,v_j\,d_j\,\ell_j, \tag{20.2}$$

where j indexes task classes, w_j is each class's share of global research effort, and ℓ_j is a lag-and-friction discount absorbing calendar delay, organizational adjustment, crowd-out, and regulatory latency—the term the single-pool version silently set to one. Table 20.1 states the class-level judgments [M] that the evidence of this chapter supports; this "jagged scientific production function"—strong augmentation of search and prediction, weak automation of judgment—is the same structure the emerging economics literature on AI in science models formally [457].

Table 20.1: The funnel by task class [M], now fully reproducible: every class prints its complete central tuple $(w_j, a_j, s_j, v_j, d_j, \ell_j)$ and the contribution $\Delta U_j = w_j a_j (s_j{-}1) v_j d_j \ell_j$ computed from it exactly. Pessimistic and optimistic values for every parameter, and the formulas, are published in the machine-readable register (`funnel-model.csv`). Weights sum to one.

Task class	w_j	a_j	s_j	v_j	d_j	ℓ_j	ΔU_j
Prediction & surrogates	0.20	0.50	3.0	0.70	0.70	0.70	6.9%
Search & optimization	0.20	0.40	3.5	0.40	0.60	0.60	2.9%
Experimental planning	0.20	0.25	2.5	0.40	0.60	0.50	0.9%
Interpretation & causal inference	0.25	0.15	1.5	0.30	0.50	0.35	0.1%
Question selection & theory	0.15	0.05	1.5	0.20	0.30	0.20	0.0%
Central total							**10.7%**

A table of this kind fails silently if it omits the deployment column d_j—an omission that sets deployment conversion to one in the printed contributions without ever saying so—which is why the discipline here is that every published number be generated from published tuples. Table 20.1 complies: each ΔU_j is the exact product of its row, the central total is their exact sum (10.7%), and the pessimistic/central/optimistic triple for every parameter lives in a machine-readable CSV shipped with the manuscript source, so any reader can recompute or re-weight the model in one spreadsheet.

The Monte Carlo behind that table is run rather than promised. Sampling each parameter from a triangular distribution over its (pessimistic, central, optimistic) triple, with the three conversion terms (v_j, d_j, ℓ_j) coupled within and across classes through a common "conversion-quality" factor (mixing weight 0.5)—the correlation structure the evidence supports, since domains with good validation also deploy faster—200,000 draws give: *median 11.8%, 10th–90th percentile 7.7–17.5%* [M]. One-at-a-time sensitivity ranks the classes: the prediction-and-surrogates class dominates (swinging the total from 4.6% to 42.9% across its own corner tuples), search-and-optimization second (8.0–27.7%), and the two judgment-heavy classes barely move the total at all—which is the quantitative form of this chapter's qualitative claim that the prize lives in prediction and search, not in automated scientific judgment. The headline is therefore restated once more, and more sharply than the endpoint arithmetic allowed: *a task-weighted central estimate of ≈11%, a likely (10–90%) range of ≈8–18%, and coherent all-pessimistic/all-optimistic scenario corners near 1% and 70%.* The earlier "3–30%" band survives as roughly the outer decile-to-percentile region between the likely range and the corners; the corners of Eq. (20.1) survive only if the correlations are assumed away.

What may legitimately be concluded from the lower end, stated in the stock-and-flow discipline this chapter enforces (comparing a present value against an annual industry revenue mixes the two, and the temptation to do so is a standing one): at the pessimistic scenario corner of the task-weighted model—which is ≈0.9%, not the 0.45% single-pool corner of Eq. (20.1), because the weighted sum cannot put every class at its worst value simultaneously without contradicting the correlations—0.9% × \$3.1T ≈ \$28B per year of incremental research-output flow; and at the 10th-percentile Monte Carlo floor of 7.7%, ∼\$240B per year. *Even the lower end of the modeled uplift represents a socially consequential economic flow, and its present value—applying the Jones–Summers ratio to the increment—exceeds the cost of national AI4S infrastructure by a large multiple.* That is the quantitative form of this chapter's claim. What it does *not* survive is the assumption that acceleration equals discovery, which is why the funnel is drawn.

20.4.2 The measured analogue: what national-scale HPC actually returned

The funnel's parameters are author judgments, and a fair reader will ask whether *any* part of this value chain has ever been measured rather than modeled. One body of evidence exists, and it comes from the adjacent field with three decades of institutional practice: the ROI literature on national high-performance computing, which is the closest measured precedent for what AI4S economics will look like, because leadership HPC is the same asset class—publicly funded computational infrastructure applied to science—one technology generation earlier.

The most complete such study available to this author is Hyperion Research's multi-year assessment of RIKEN's national computing infrastructure and its planned successor [459]. Two disclosures belong directly beside that sentence: the study was *commissioned by RIKEN*, and the author of this book directs the RIKEN center whose infrastructure it assesses. The reader should weigh everything below accordingly. Its grade, corrected downward from a plain analyst estimate, is [**A/M**]: what the study reports is not a direct causal measurement of the modeled AI4S quantity but *a commissioned, survey-based, counterfactual economic-impact model informed partly by realized scientific projects.*

Its headline findings: Fugaku's COVID-19 response projects were estimated to have returned \$50–75B to the Japanese economy; 65.7% of surveyed Fugaku researchers reported already-realized useful results on projects targeting major societal challenges; in an innovation-class mapping of more than 650 HPC projects worldwide, RIKEN's portfolio concentrated in the highest impact-and-importance classes; and the projected returns for the AI-capable successor machine—precisely because AI capability widens the addressable share a_j and the acceleration s_j

of Eq. (20.2)—were estimated at \$250B (pessimistic), \$400B+ (realistic), and \$600B+ (optimistic) over its life, two to four times Fugaku's, against an investment two orders of magnitude smaller. The same study put state-directed five-year AI commitments at \$100–200B for China against \$18–27B of US federal spending—the private-public asymmetry that Chapter 17 prices—and \$6–10B for Japan.

Case study: Methodology: what is observed, what is modeled, in an HPC ROI study

Impact studies of this genre chain together components of very different evidentiary strength, and using one honestly requires separating them. *Observed*: that specific projects ran, produced outputs, and reached users—and beneficiary self-reports of usefulness (the 65.7% figure is this class: real reports, subject to self-selection and social-desirability bias). *Modeled*: the counterfactual (what would have happened without the machine); the attribution of outcomes to the computing infrastructure rather than to the researchers, data, and institutions around it; avoided-loss valuation (the COVID \$50–75B is this class—an estimate of economic collapse *not* suffered, the least verifiable quantity in economics); spillover estimation; and all projected future benefits (the \$250–600B scenarios are projections, full stop). *Unquantified risks*: double counting across projects, displacement (benefits that would have accrued elsewhere), deadweight (projects that needed no subsidy), and the absence of published confidence intervals. A commissioned study has, additionally, a selection gradient in what gets surveyed and how questions are framed. None of this makes the study worthless—it makes it [A/M], and it is why triangulation with independently governed evaluations matters: the UK's ARCHER2 evaluation, commissioned under UKRI's standard evaluation framework with explicit counterfactual scenarios and benefit-cost accounting against public investment, is the best current methodological benchmark for the genre [369], and a three-way Fugaku–ARCHER2–CERN-class comparison of evaluation methodologies is now on this book's living-appendix work list. The claim this book actually rests on survives the demotion: national-scale computational infrastructure has repeatedly been *evaluated*—by methods far from perfect but more disciplined than anything the enterprise-AI ROI literature offers—at returns that exceed costs by large multiples, concentrated in exactly the task classes where Table 20.1 puts the value.

What the evidence is good for, at the grade it actually carries: it is *partly ex post* (projects ran; users reported results), it is *independent of this book's thesis* (the analysts were sizing a Japanese procurement, not arguing about China), and its *ratio structure* matches the funnel—the reported value clusters in prediction, simulation, and search applied to societal-scale problems with operational deployment paths, not in the judgment-heavy classes where the funnel assigns near-zero. It is supporting evidence for the funnel's shape and order of magnitude, not a measurement of its value.

Case study: Weather forecasting, end to end through the funnel

Weather is the one domain where every term of Eq. (20.2) can be observed, which is why it recurs throughout this book and deserves assembly in one place. *Addressability*: the forward model is the dominant computational cost of forecasting, and it is exactly what AI replaced—AIFS operational at ECMWF from February 2025, NOAA's AI system from December 2025 at 0.3% of the compute of its conventional suite [308, 309]. *Acceleration*: 10^3–$10^5\times$ per forecast, measured, not asserted [310, 311]. *Validation*: forecasting possesses the strongest validation infrastructure in all of science—daily scoring against observation, decades of baseline skill curves—so survival is measured within months. *Deployment*: operational integration inside a year, because national agencies already own the delivery channel. And then, in May 2026, the term everyone forgets: ECMWF discontinued real-time running of all four *external* AI models after an upgrade to its analysis system degraded several of them, while its own AIFS—coupled to its own data assimilation—remained operational [328]. The episode demonstrates five things at once: an AI forecast model is a *component of a production system*, not a free-standing oracle; its performance is contingent on upstream data-assimilation infrastructure it does not control; retraining against infrastructure change is a recurring operational cost, not a one-time expense; deployment requires institutional continuity of exactly the kind Chapter 22 argues must be built rather than rented; and openness was what made the failure *visible*—the retired models could be evaluated, compared, and learned from precisely because they were published. Weather is thus not merely the best AI4S success story; it is the complete systems lesson—architecture, operations, lifecycle cost, trust, and value conversion in one worked example—and the standard against which every other domain's claims in this chapter should be read.

20.5 Measuring the scientific frontier: a production metric, not another benchmark

Chapter 8 left the scientific frontier as the one frontier without an accepted metric, and noting a vacancy is worth less than proposing something to fill it. Benchmarks will not serve: a score on a question-answering set measures a component, and the failure ledger above is a catalogue of components that scored well while the system failed. What a ministry actually needs is a *production* metric—value out per resource in:

$$\boldsymbol{\mathcal{S}} = \frac{\mathbb{E}[\mathbf{y}]}{C_{\text{compute}} + C_{\text{human}} + C_{\text{experimental}} + C_{\text{data}} + C_{\text{assurance}}}, \tag{20.3}$$

where the denominator is a scalar cost in currency—C_{compute} the machine time, C_{human} the expert labour, $C_{\text{experimental}}$ the wet-lab and instrument cost, C_{data} acquisition and curation, $C_{\text{assurance}}$ the verification and certification overhead of Chapter 14—and the numerator $\mathbb{E}[\mathbf{y}]$ is the expectation, over the portfolio of projects undertaken, of a *vector* $\mathbf{y}$ of outcome measures. Dividing a vector by a scalar leaves a vector, which is the point: $\boldsymbol{\mathcal{S}}$ is deliberately not collapsed into a single number, because the collapse is where every previous attempt at this metric has smuggled in its assumptions. The components of $\mathbf{y}$: time to independently validated result; expert-hours consumed; replication survival rate; novelty and importance (no single automated novelty metric survives axiomatic scrutiny, and combined metrics do better [461]); downstream adoption; breadth across domains; false-discovery burden; safety and dual-use externality; and time to operational or regulatory deployment. The denominator's five terms are the cost stack of Chapter 2 specialized to science—and the $C_{\text{assurance}}$ term is where the trust stack of Chapter 14 enters the economics of discovery directly.

The recent measurement literature supports both the vector form and the humility. The AlphaFold evidence shows *complementarity*—AI-using researchers produced 40% more novel experimental structures, not fewer—so a metric that scored substitution of human effort would have missed the largest effect [460, 314]. Frontier agents remain below 10% on demanding scientific literature-discovery tasks, so any metric weighted toward autonomous end-to-end discovery would currently measure noise [462]. Scientific value arises from a coupled human–model–simulation–experiment system, and Eq. (20.3) is written over that system, not over the model. The strategic consequence: whoever operationalizes $\boldsymbol{\mathcal{S}}$ first—runs it across a national research portfolio, publishes the vector, iterates procurement against it—owns the scientific-frontier scoreboard the way MLPerf owns the training scoreboard, and Appendix H adds its adoption to the forecast register.

20.6 The architecture of the prize

The failure ledger and the architecture argument of Part II point at the same conclusion. AI4S succeeds where a capable model is coupled to simulation, instruments, and data at scale—weather models coupled to assimilation systems, structure prediction coupled to experimental validation, design models coupled to autonomous laboratories. It fails where a model is asked to supply judgement alone. The workload that follows is therefore not chat: it is *long-context agentic orchestration over large batch scientific execution*, which is precisely the two-layer demand structure that Chapter 21 measures, and precisely the workload whose cost is dominated by million-token-context master orchestration rather than by raw dense FLOPs.

Three consequences follow, each connecting to an earlier chapter. *First*, the hardware that serves this best is capacity-rich and bandwidth-balanced rather than FLOP-maximal—the design point of Section 9.8, and the reason the memory arbitrage is a scientific-infrastructure argument and not only an economic one. *Second*, the models that serve it best are open, because scientific work requires reproducibility, provenance, auditability, and the freedom to fine-tune on data that cannot leave the institution—and because, as Chapter 22 showed, renting the orchestration layer converts a one-seventh workload share into a nine-tenths budget share. *Third*, the failure modes are exactly the ones Chapters 14 and 15 catalogue: a scientific result produced by an unverifiable artifact through an unauditable chain is not a scientific result, which makes the certification layer a precondition of the prize rather than an accessory to it.

20.7 Who is positioned

The uncomfortable observation, stated at the evidence grade it deserves. China now leads the Nature Index, with output up 22.4% year on year—the only top-ten country with double-digit growth—and holds the top institution globally along with eight of the top ten in the preceding year's table [V] [343, 344]. Its AI-for-science programme is a decade old at the ministry level and entered the 15th Five-Year Plan alongside fusion [345]. The institutional assets are concrete rather than aspirational: a national scientific agent platform launched by twelve academy institutes with access to 170 million papers and 300-plus computing tools, upgraded a year later on a heterogeneous supercomputing backend [346, 347]; an autonomous research system wired directly into a national supercomputing network linking thirty-plus centres [P/A] [348]; operational AI weather models at the meteorological administration, one of them open-sourced [312]; a commercial AI4S platform serving a thousand universities and 150 corporate clients [349]; and—the datapoint that should most concern Western science ministries—a trillion-parameter *open-weight* scientific multimodal foundation model that outperforms the leading closed models by wide margins on scientific reasoning benchmarks [350].

Set against this, the Western response is real and large: a US national mission with an executive-order mandate to double the productivity of American science within a decade, over $5 billion committed across fifteen-plus agencies and 278 projects, and the two largest scientific AI systems ever procured [351, 352, 353]; nineteen European AI factories with a €10 billion envelope and a €20 billion gigafactory programme behind it [354, 355]; national systems in the UK and Japan explicitly mandated for AI-driven science [356, 357]. The contest is genuinely joined. But note which side of it is being fought with open weights and cheap tokens, and recall from Chapter 21 that the announced infrastructures on *both* sides underprovision their own research populations by roughly an order of magnitude.

20.8 The strategic restatement

If AI4S is the largest prize, then three of this book's arguments change register.

The token-price argument becomes a *compounding-rate* argument. Chapter 22 showed that purchased frontier tokens at a 20–60× premium consume three-quarters to nine-tenths of an AI-for-science budget. Read against a 5%-per-year decline in research productivity and a social return above $4 per dollar, that is not a procurement inefficiency—it is a tax on the one activity whose returns compound into everything else. A nation that pays it runs its science at a fraction of the rate it could.

The commoditization thesis acquires a beneficiary. Everything Part II describes—open weights, cheap inference, capacity-first hardware, sovereign-scale clusters—is, from the perspective of this chapter, *good*. Abundant cheap capable AI applied to research is the best available answer to the ideas-getting-harder problem, whoever supplies it. The book's warning is not that commoditization is bad; it is that the country organizing the commons acquires the standards, the adoption, the certification authority, and the scientific compounding that come with it.

And the strategy for everyone else sharpens to a single sentence. If the largest value in AI is scientific, and scientific AI requires abundant compute, open models, verifiable artifacts, and institutions that can carry multi-year continuity, then the correct national investment is not a sovereign chatbot. It is measured capacity (Chapter 21), pooled internationally (Chapter 22), running audited open models (Chapter 14) on architectures chosen for long-context agentic science (Chapter 9). That is the whole recommendation of this book, and this chapter is the reason it is worth the money.

Chapter 21

How Much Compute Does a Nation's Science Need?

Every argument in this book has so far been about who supplies capability and at what price. This chapter asks the reciprocal question, which almost no government has answered in public: *how much does a country actually need?* It matters here for three reasons. It converts the sovereignty argument from a posture into a number, and numbers can be checked. It exposes—quantitatively—the gap between what nations are announcing and what their own research populations would consume, which turns out to be an order of magnitude or more. And it supplies the demand side of the institutional proposal in Chapter 22: one cannot design a federation to pool capacity without a shared, comparable estimate of the capacity required. The material here follows a measurement-anchored sizing framework developed at RIKEN R-CCS and its three national instantiations [306]; the epistemic discipline is the framework's own, and it matches this book's: every input is typed by what would make it trustworthy.

> **Why this chapter is in the main text.** A sizing framework detailed enough to be checked can read as a second book inserted into the first, and the temptation is to relegate it to an appendix. The temptation is resisted, and the reason is Chapter 20: if the largest value in AI is scientific, then the question "how much compute does a nation's science need, and what does it cost to rent instead of own?" is not a technical annexe to the convergence thesis—it is the thesis, evaluated on the workload that matters most. What the appendix instinct is right about is the connective tissue, and this chapter supplies it: every section below closes by naming the chapter it feeds.

21.1 The measurement gap

National AI-for-Science infrastructure has, until recently, been sized without measurement. Procurement scales were set by budget envelopes, vendor availability, flagship-application extrapolation, or elicitation workshops—none of which measures the per-researcher demand of the workload class the infrastructure is being built for, namely LLM agents orchestrating simulation, data analysis, and autonomous experimentation [306]. Meanwhile the deployment wave is global and simultaneous: the US Genesis Mission systems, EuroHPC's AI factories, the UK's Isambard-AI, Japan's Rikyu and FugakuNEXT line, and Singapore's national AI programs are all sizing sovereign AI4S capacity now, mostly without a common yardstick.

Three developments make a portable framework possible. The demand side acquired a measured anchor: a 56-day operational record of an early-access agentic campaign on a GB200-class system—101 vetted users, 53,173 jobs, 340,397 GPU-hours, saturating an ~800-GPU partition within five weeks—which yields a revealed-demand floor of 443 delivered BGPU-hours per active heavy-user day that any country can adopt as a starting scenario and test against its own probe. The supply side converged onto public, reproducible serving benchmarks. And the policy context became genuinely multi-national, so that comparability now has customers [306]. What the OECD's Frascati Manual did for R&D statistics—not identical answers across countries, but commensurable ones—is what a shared, openly gated estimation framework could do for research-compute demand.

21.2 A vendor-neutral unit, and a conversion rule

Definition (Baseline GPU). One BGPU is the AI-serving throughput of a reference accelerator possessing an 8 TB/s HBM memory system—concretely a B200/B300-class device. It is a *planning unit*, not a product: any accelerator converts into it by the bandwidth-first, benchmark-adjusted rule below, with a stated adjustment band. A separate and never-summed unit, $\mathrm{BGPU_{BW}}$, denotes 8 TB/s of delivered bandwidth for classical modelling and simulation. Conversion uncertainty is carried explicitly as the δ band of Table 21.1 and propagates into every capacity figure in this chapter; a ±10% band on δ moves national requirements by the same proportion, which is smaller than the population-definition sensitivity discussed below and much smaller than the behavioural-transfer uncertainty.

All capacities and demands are stated in **Baseline GPUs** (BGPU): the AI-serving throughput of one NVIDIA B200/B300-class accelerator—concretely, a device with an 8 TB/s HBM memory system, the resource that governs long-context decode. The unit is deliberately not a product. Any accelerator g converts by a bandwidth-first, benchmark-adjusted rule

$$\gamma_g \;=\; \frac{\mathrm{BW}_g}{8\ \mathrm{TB/s}} \times \delta_g,$$

where the bandwidth term is physics and δ_g absorbs compute-side and software-stack differences, estimated from published matched-condition benchmark results and carrying a stated band [306]. The rule's worked example matters politically as well as technically: AMD's MI355X carries 288 GB of HBM3E at 8.0 TB/s—a bandwidth ratio of exactly 1.00—and its published MLPerf record supports $\delta \approx 1$, so it converts at 1.0 BGPU, largely equivalent to Blackwell. *A requirement denominated in BGPU is procurable from any vendor whose devices convert at a defensible factor*, which is precisely what a public planning framework must guarantee and what a vendor-named unit cannot. Table 21.1 gives the adopted factors.

Table 21.1: Cross-vendor BGPU conversion: HBM bandwidth ratio, benchmark-adjustment band δ, and adopted planning factor γ [306]. Scenario entries lack a public reference-class serving result.

Device	Vendor	BW (TB/s)	γ (BGPU)	Basis
H100	NVIDIA	3.35	0.5	δ 1.0–1.2
H200	NVIDIA	4.8	0.5	δ 0.8–1.0
B200 / GB200 / B300	NVIDIA	8.0	**1.0**	definitional
MI300X	AMD	5.3	0.6	δ 0.85–1.0
MI355X	AMD	8.0	**1.0**	δ 0.9–1.1 (MLPerf-supported)
TPUv7 (Ironwood)	Google	7.37	~0.9	scenario
R200 (Rubin)	NVIDIA	22.0	2.5	δ 0.91 derate
F200-class (2030 flagship)	—	~48	6 (rounded)	*derived*, not asserted

The 2030 flagship-generation factor of 6 is derived rather than taken from a vendor roadmap: dividing a published program disclosure of ≥800 PB/s aggregate accelerator memory bandwidth over a disclosed fleet of ~15,000–20,000 devices gives 40–53 TB/s per device, i.e. 5.0–6.7× the 8 TB/s baseline; the planning value is rounded to 6, and because the bandwidth target is a floor, these are lower bounds [306]. Installed fleets deliver $H_{\mathrm{yr}} = \alpha \times 8{,}760 = 7{,}884$ effective GPU-hours per GPU-year at fleet availability $\alpha = 0.90$. Classical modeling-and-simulation demand, where a country carries it, is expressed in a separate bandwidth currency ($\mathrm{BGPU_{BW}}$, one unit = 8 TB/s of delivered bandwidth) and is *never* summed with serving-BGPU—a discipline that prevents the most common category error in national compute accounting.

21.2.1 From scalar to workload-weighted vector

The framework owes one generalization an explicit statement, and this subsection supplies it. A bandwidth-first scalar is defensible because long-context, memory-bound decode dominates the measured national AI4S workload—but the workload is a portfolio, and a device strong on decode can be weak on training software, network injection, or reliability. The disciplined form defines a per-device capability vector,

$$\mathbf{B}_g \;=\; (B_{\text{decode}},\, B_{\text{prefill}},\, B_{\text{training}},\, B_{\text{simulation}},\, B_{\text{network}},\, B_{\text{storage}},\, A_{\text{availability}})\,,$$

where each of the first six components is the device's sustained throughput on that workload class *divided by* the reference device's sustained throughput on the same class under the matched-condition protocol of Section 9.6—so each is a dimensionless ratio equal to 1.0 for the reference device—and $A_{\text{availability}}$ is the fraction of wall-clock time the device is usable in production, likewise normalized to the reference fleet's $\alpha = 0.90$. The scalar planning unit is derived only *after* applying a declared national workload mix $\{\omega_k\}$, non-negative weights summing to one over the seven components:

$$\mathrm{BGPU}_{\text{plan}}(g) \;=\; \sum_k \omega_k \, B_{g,k}.$$

The two-layer demand model already supplies the mix: the token-service layer weights decode and prefill; the scientific-execution layer weights training, simulation, network, and storage; and the published national instantiations state their ω_k implicitly through the layer split. What the vector form adds is protection against exactly the failure that matters: a device with spectacular memory bandwidth but immature training software, poor injection bandwidth, or weak fleet reliability can no longer receive a flattering conversion factor, because its B_{training}, B_{network}, and $A_{\text{availability}}$ components are carried explicitly and the declared mix prices them. The scalar survives for politics—ministries budget in one number—but the vector is now the definition and the scalar is its declared projection, with the mix printed beside every national requirement. (The LX2-class integrated processor is the instructive case: strong B_{decode} and $B_{\text{simulation}}$, unproven B_{training}, unknown $A_{\text{availability}}$ at fleet scale—the vector says precisely what the proof suite of Section 9.2.2 must fill in before a conversion factor is defensible.)

21.3 The two-layer demand model

A nation's requirement for target year Y is the sum of two concurrently provisioned layers, $G_{\text{nat}}(Y) = G_{\text{tok}}(Y) + G_{\text{sci}}(Y)$: a token-service layer and a scientific-execution layer (Figure 21.1). Both must be provisioned simultaneously, because the agentic loop does not close otherwise—the orchestrating model is idle without the batch jobs it launches, and the batch jobs are unlaunched without the orchestrator.

The token layer. The open-tier population N (the number of researchers entitled to draw on the national service) is partitioned into service tiers indexed by i, with population shares φ_i (summing to one), duty factors u_i (the fraction of the year a researcher in tier i is actively drawing tokens rather than idle), and sustained output-token rates r_i while active; the portable default is a three-tier profile of 10%/20%/70% of researchers at 2,000/400/150 Mtok per user-month. The national output stream is $T_{\text{nat}} = N \sum_i \varphi_i \, u_i \, r_i$ tokens per second, and its serving cost is $G_{\text{tok}} = T_{\text{nat}} \cdot k$, where k is the BGPU cost per token per second of a canonical, versioned agentic serving configuration: a *master* model—a trillion-parameter MLA mixture-of-experts holding a

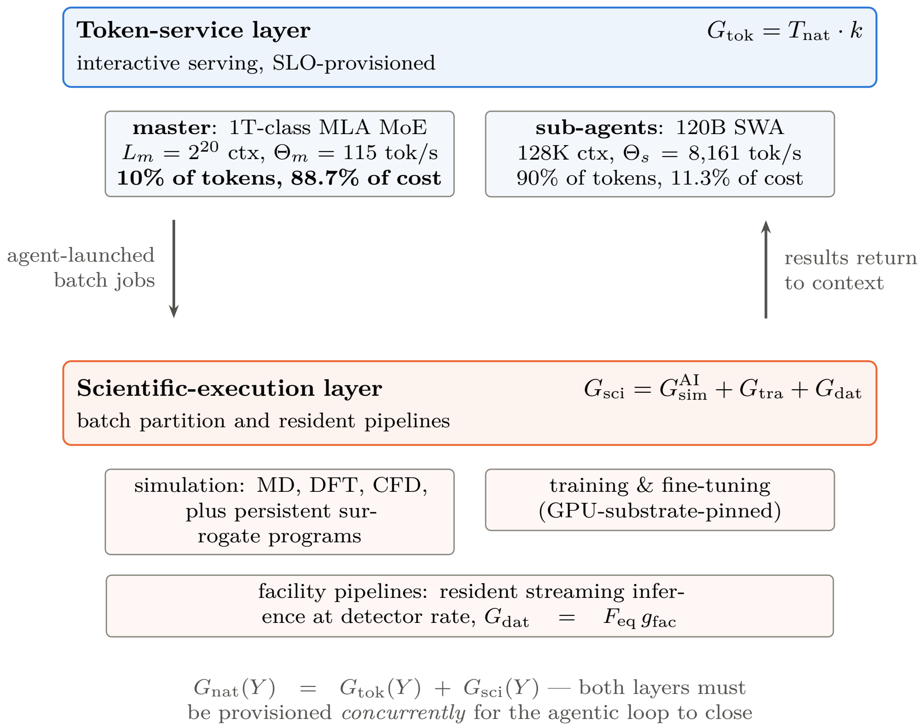


Figure 21.1: The demand model. A nation's agentic AI-for-Science requirement is the concurrent sum of a token-service layer, priced through a canonical master/sub-agent serving configuration, and a scientific-execution layer decomposed by function into simulation, training, and data processing—with training pinned to GPU-class substrate and simulation the only cross-substrate routable term. Note the master asymmetry carried in the top row: a tenth of the tokens, generated at million-token context, consume nearly nine-tenths of the token-service capacity. After the sizing framework [306]; the serving configuration is a versioned reference object [U]-r/[P], not a physical constant.

2^{20}-token campaign context—delegating to cheap, high-throughput 120B-class sliding-window *sub-agents* at 128K context, with 10% of national tokens going to the master [306].

That configuration produces the single most consequential structural fact in the framework, and Figure 21.2 (top) states it: at $k = 9.79 \times 10^{-4}$ BGPU per token per second, **88.7% of the token-service capacity is the master term**. Ten percent of the tokens, generated at million-token context, cost nine-tenths of the token-service GPUs. The reason is mechanical. Decode throughput on one accelerator is delivered memory bandwidth divided by the bytes that must be read to emit one token, and at long context that traffic is dominated by the key–value cache. Writing BW for delivered bandwidth (8 TB/s at the BGPU reference), L_m for the master's resident context length in tokens, and b_{KV} for the KV-cache bytes per token of context, master throughput is

$$\Theta_m = \frac{\mathrm{BW}}{L_m\, b_{\mathrm{KV}}} = 115 \text{ tokens per second,}$$

against $\Theta_s = 8{,}161$ for the 128K-context sub-agents—a 71-fold ratio driven entirely by context length against KV traffic. That ratio has a direct architectural consequence for this book: *national AI4S demand is overwhelmingly a long-context memory-capacity and memory-bandwidth problem*, which is exactly the workload the capacity-first architecture of Chapter 9 is built for and exactly the workload on which token pricing is most punishing.

The execution layer. Defined function-first and estimated operator-first:

$$G_{\mathrm{sci}} = \underbrace{G_{\mathrm{sim}}^{\mathrm{AI}}}_{\text{simulation}} + \underbrace{G_{\mathrm{tra}}}_{\text{training}} + \underbrace{G_{\mathrm{dat}}}_{\text{data processing}}, \qquad W_{\mathrm{ag}} = N \cdot f_{\mathrm{heavy}} \cdot d_{\mathrm{duty}} \cdot w_{\mathrm{heavy}} \cdot 365,$$

with $G_{\mathrm{sim}}^{\mathrm{AI}} = (\chi_{\mathrm{sim}} W_{\mathrm{ag}} + n_{\mathrm{prog}} w_{\mathrm{prog}})/H_{\mathrm{yr}}$, $G_{\mathrm{tra}} = (1 - \chi_{\mathrm{sim}}) W_{\mathrm{ag}}/H_{\mathrm{yr}}$, and $G_{\mathrm{dat}} = F_{\mathrm{eq}}\, g_{\mathrm{fac}}$.

Every symbol, in order. W_{ag} is the annual agentic-execution workload in *delivered BGPU-hours*: the heavy-user fraction f_{heavy} (default 0.125) times the activity-by-discipline duty product d_{duty} (0.31—the share of days a heavy user is actually active, folded with the share of disciplines that draw on this workload) times w_{heavy}, the measured per-heavy-user daily driver (443 delivered BGPU-hours per active claimant-day), times 365 days, times the population N. Dividing BGPU-hours by H_{yr}—the 7,884 effective hours one installed BGPU delivers per year—converts a flow of work into a stock of machines, which is why H_{yr} appears in the denominator of the first two terms. The superscript AI on $G_{\mathrm{sim}}^{\mathrm{AI}}$ marks AI-driven simulation specifically, distinguishing it from the classical modelling-and-simulation demand that is accounted separately in $\mathrm{BGPU}_{\mathrm{BW}}$ and never summed with it. $\chi_{\mathrm{sim}} \in [0, 1]$ is the *simulation share*: the fraction of agentic execution that is surrogate-and-simulation work rather than model training, so χ_{sim} and $(1 - \chi_{\mathrm{sim}})$ split W_{ag} between the first two terms. n_{prog} is the census of persistent-surrogate programs and w_{prog} their annual cost, 0.1–0.5M BGPU-hours each. F_{eq} is the national inventory of large-instrument facility equivalents and g_{fac} the installed BGPU each requires for its data-processing pipeline, 2,400–3,250 apiece [306]. An explicit substrate-eligibility matrix pins training to GPU-class systems and makes simulation the only cross-substrate routable function—which is where a country's classical fleet can legitimately offset AI demand, and where it cannot.

21.4 Typed parameters and transfer rules

The framework's portable core is not the arithmetic but the *parameter taxonomy*, and it is the closest methodological cousin this book has found to its own evidence grading. (One notational warning before the classes are named: this taxonomy's labels are *local to this chapter* and are not the book's evidence grades of Section 1.5. In particular **[M]** here means "must-measure," not "author-modeled," and **[P]** here means "policy choice," not "primary-source claim." The two systems answer different questions—the global grades ask how well a claim is evidenced, the parameter classes ask whether a number may be carried across a border—and where both appear on a page, the parameter classes are the ones attached to model *inputs*.) Every input is classed **[U]**

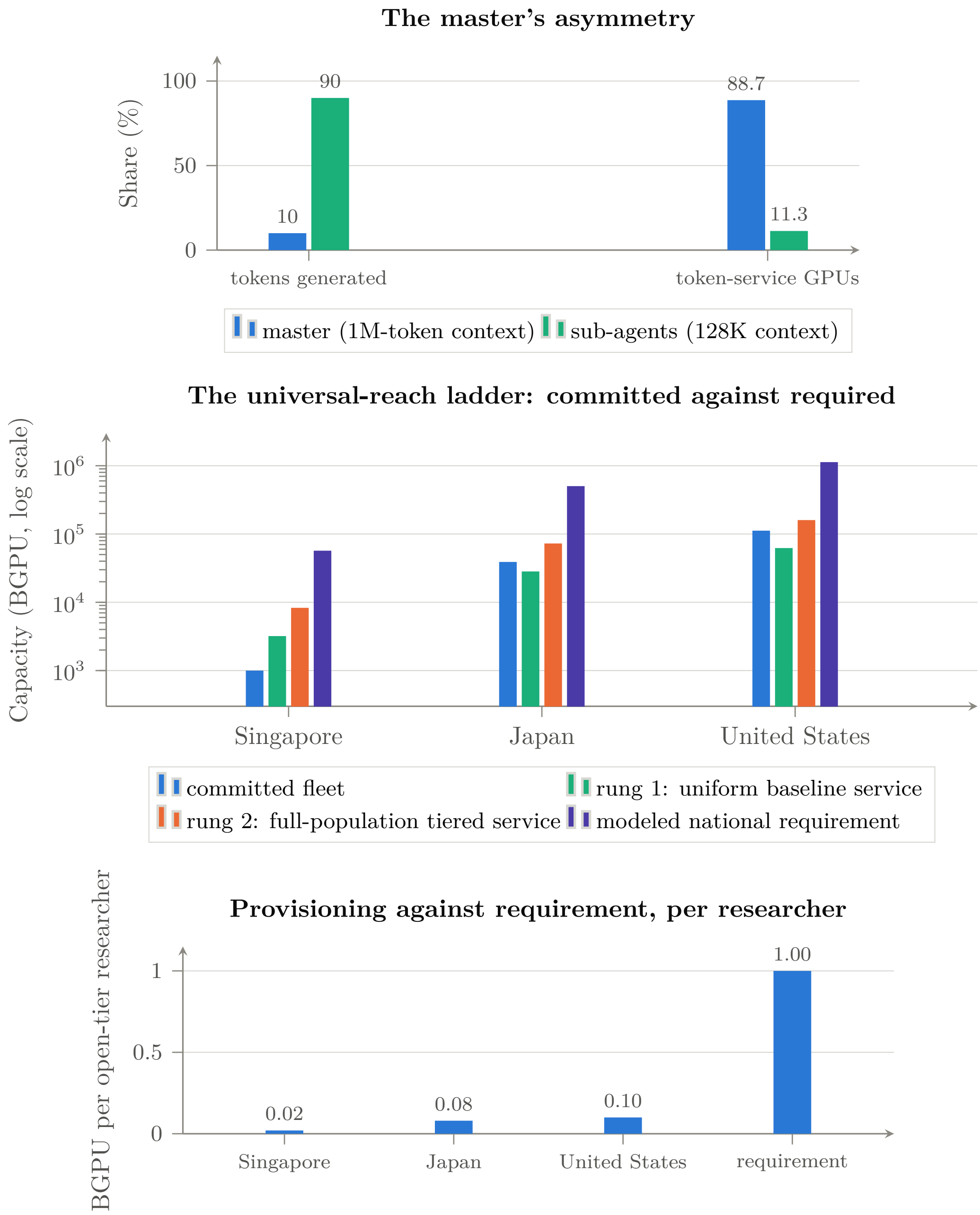


Figure 21.2: Three readings of the same framework [306]. *Top*: ten percent of tokens, generated at million-token context, consume nearly ninety percent of the token-service capacity—the configuration's central structural fact, invariant across countries, and the reason master context length is the layer's primary scenario axis. *Middle*: committed national fleets against two priced service rungs and the full modeled requirement, log scale. Japan's and the United States' commitments already exceed the uniform-baseline rung but reach only ~54% and ~70% of the tiered rung; Singapore's clears neither. *Bottom*: the same result per researcher—announced infrastructures provision 0.02–0.10 BGPU against a modeled requirement near 1.0, an underprovision of roughly one order of magnitude for Japan and the US and closer to fifty-fold for Singapore. Japan is measurement-anchored [M/V]; Singapore and the US are pre-measurement scenarios [T] whose behavioral parameters are transferred from the Japanese probe and are labeled as such.

universal (serving physics and benchmark calibrations that transfer across borders), **[M]** must-measure (populations, facility inventories, electricity tariffs—country-specific by construction), **[T]** transferred (behavioral quantities measured so far only in one country, carried elsewhere as labeled scenario values until replaced by a domestic probe), or **[P]** policy (allocation choices, which are decisions rather than measurements), with an orthogonal **[F]** future-scenario modifier for forward technology assumptions [306]. The taxonomy states which numbers may cross a border, which must never, and which may travel only with a warning label and an expiry date.

That last category is where intellectual honesty lives. The serving physics—memory-bandwidth-limited decode of trillion-parameter MoE models, calibrated delivered efficiency, generation conversion factors—transfers exactly, because benchmarks do. What a heavy national research cohort actually does under scarcity transfers only as a hypothesis: Singaporean or American researchers may behave like the measured Japanese cohort, but no one has yet checked. A portable framework must therefore do more than parameterize the arithmetic; it must *label every input by what would make it trustworthy, and specify the experiment that replaces each assumption with a local measurement.* The seven-step measurement protocol does exactly that—population construction, facility inventory, a saturating demand probe on a ∼1,000-GPU current-generation partition with full accounting, serving-basis calibration, classical-mission accounting, cost localization, and gated publication—so that "run this analysis for country X" becomes an executable checklist rather than a research project.

21.5 What three countries find

The framework has been instantiated at both extremes of national scale (Figure 21.2). *Japan*, the fully worked measurement-anchored example: $N \approx 500{,}000$ open-tier researchers, central 2030 requirement 497–510k BGPU. *Singapore*, a pre-measurement scenario: $N \approx 57$k researchers, 55–59k BGPU—the entire national requirement smaller than Japan's proposed first-stage procurement, with the existing ∼1,900-GPU national research fleet at 1.5–2% workload coverage and a proposed 3,000-GPU Rubin-class first stage reaching 14–16% coverage and ∼64% population reach for a four-year subtotal of \$0.39–0.44B. *United States*: $N \approx 1.1$M, 1.09–1.17M BGPU central, with the committed Equinox-plus-Solstice systems—the largest AI procurement in DOE history—standing at ∼10% workload coverage of the modeled requirement, closely paralleling Japan's no-new-procurement endpoint [306].

Four disciplines govern how those numbers should be read, and the third and fourth are corrections to the loose way such figures are ordinarily handled. *Installed peak, deliverable annual service, SLO-provisioned capacity, and effective utilization are four different quantities*, and a comparison that mixes them is meaningless; this chapter quotes the analytical design point and the operationally provisioned point separately wherever both exist. *Estimands must match*: delivered usage ≠ requested work ≠ latent demand ≠ installed capacity ≠ population reach ≠ workload coverage. *The scale-invariance finding is a hypothesis, not a result*—it holds across three instantiations of which only one is measured, so the honest statement is that the per-researcher core is *modelled* as scale-invariant because both of its terms scale linearly in N at fixed behaviour, and testing that assumption outside Japan is the first job of any second national probe. And *the Singapore and US figures should not be quoted with more precision than transferred behavioural assumptions permit*: a reasonable confidence band on the ≈0.94 BGPU-per-researcher core is at least ±40% before national measurement, which is why this chapter's strategic conclusion is stated as an order-of-magnitude gap rather than as a percentage.

One further sensitivity deserves its own line, because it cuts against the chapter's own conclusion. *Cheaper models may not reduce BGPU demand at all.* If capability per token rises and price per token falls, the rational institutional response is to run more agents, longer contexts, and deeper search—the Jevons argument of Section 17.4 applied to science. Whether efficiency reduces or induces national compute demand is an empirical question that the measurement protocol can answer and has not yet; both signs are consistent with the framework, and this book's own bet, given the master-term arithmetic and the agentic direction of scientific workflows, is on induction rather than reduction.

Three structural findings survive across the $\sim$20$\times$ range of national scale. *The per-researcher core is modelled as scale-invariant*: the token layer plus the agentic execution term compose to $\approx$0.94 BGPU per open-tier researcher in every country, because both scale linearly in N at fixed behavior. *The deviations are diagnostic*: what does not scale with N is the facility-and-program term, set by instrument bandwidth and pipeline depth—$\sim$5.5% of the total for Singapore, $\sim$9% for the United States, where the streaming-inference class alone runs 60–132k BGPU, between half and 1.2 times the entire committed AI fleet. Sizing exercises that count only central systems will structurally undercount this class. *And the headcount rule is worth a factor of six*: an OECD-consistent FTE count of US open-sector researchers is $\approx$185k against an eligibility headcount of $\approx$1.1M—a definitional choice that swamps every other sensitivity, and therefore one that any official exercise must state, defend, and apply consistently.

21.6 The universal-reach ladder, and the order-of-magnitude gap

The framework's sharpest instrument is a computed *universal-reach ladder*: the installed capacity at which 100% of researchers are served, at each of two precisely labeled service rungs. Rung one, *uniform baseline service*—every researcher receiving the baseline 150 Mtok/month tier—costs 3.2k (Singapore) / 28.3k (Japan) / 62.3k (US) BGPU installed. Rung two, *full-population tiered-token service* at the differentiated 10/20/70 entitlement profile, costs 8.3k / 72.7k / 160.0k [306].

The distinction sharpens both readings, and Figure 21.2 (middle) shows why. Japan's and the United States' committed fleets already *exceed* the uniform-baseline rung—rung coverage 137% and 180% at the annual-average convention, 106% and 139% even at SLO provisioning—yet stand at only $\sim$54% and $\sim$70% of the tiered rung, while Singapore's existing fleet covers under a third of even the baseline. Closing the US tiered-service gap takes roughly 19,000 Rubin-class GPUs beyond current commitments. And the full requirement—tiered tokens plus full heavy compute—costs a further $\sim$6$\times$ again: 54k / 470k / 1,034k BGPU.

Stated per researcher (Figure 21.2, bottom), the result is the chapter's headline: **announced national infrastructures provision 0.02–0.10 BGPU per open-tier researcher against a modeled requirement near 1.0**—an underprovision of roughly tenfold for the United States and for Japan before its proposed first stage, and closer to fiftyfold for Singapore. One more asymmetry is worth recording because it is the reason this chapter exists: on the public record, Japan's stage-1 proposal is sized against a measured national demand model but is unfunded, while the US commitment is funded, contracted, and the largest in the world but is not yet sized against its research population. *One side has the measurement without the money; the other has the money without the measurement.*

21.7 What this means for the argument of this book

Four consequences, each connecting to a thread already running.

The token price is the science budget. Chapter 22 derives, from a workload share of $\sim$14% and a 20–60$\times$ purchased-token premium, that frontier tokens consume 76–91% of an AI4S budget (Figure 22.1). This chapter supplies the mechanism underneath that estimate: the master term is 88.7% of token-service capacity, so the expensive layer is precisely the long-context orchestration that no research workflow can avoid and that commercial pricing charges most for. A nation that rents its master layer has rented the majority of its research computing.

The requirement is a memory problem, and therefore an architecture problem. If national demand is dominated by million-token-context decode over trillion-parameter sparse models, then the machine that serves it best is capacity-rich and bandwidth-balanced—the design point of Section 9.8 and the LX2 class of Section 9.2, not a dense-FLOP tensor part. The sizing framework and the architecture argument are the same argument in different units.

Sovereignty has a computable price, and it is high but not absurd. At delivered B200-hour costs of \$1.84–2.19 across the three countries [306], the gap between announced and required capacity is a national-budget question rather than a technological impossibility—which is exactly the condition under which pooling becomes rational. A federation that shares capacity across time zones and campaign cycles converts three separately inadequate national fleets into one adequate pooled one; that is the operational case for Chapter 22, and it now has a denominator.

And comparability is itself strategic. A country that cannot state its requirement in a unit others recognize cannot join a federation, cannot audit a vendor's claim, and cannot tell whether a foreign price list is cheap or ruinous. The framework's real product is not the Japanese number; it is the shared definition—which is why the invitation it extends, to run the protocol and publish the parameter file, is the least expensive strategic action available to any government reading this book.

Chapter 22

The Third Path: An International Consortium for Open Scientific AI

Chapter 19 gave each actor an instruction; this chapter builds the institution that three of those instructions require. The argument proceeds from an observation that the preceding chapters have made unavoidable: for every country that is neither the United States nor China, the two available strategies are both unsatisfactory. Permanent dependence on a small number of foreign commercial providers cedes cost, control, and continuity. Isolated national sovereign-AI programs duplicate the most expensive activity in the industry at sub-scale, and—as Chapter 17 showed—at valuations that assume rents no one may collect. The third path is neither: an international, institutionally neutral capability that pools open foundation-model development, scientific data stewardship, federated access to national compute, and a route from public research assets into industrial use. This chapter develops that design, its economics, and its relationship to the war the rest of the book describes. Its substance draws on a July 2026 working discussion between the author and Thomas Schulthess, director of the Swiss National Supercomputing Centre, whose conclusions are cited here as a discussion record rather than as a published proposal [307].

The framing claim is worth stating plainly, because it inverts the usual vocabulary: what is needed is a *global* form of sovereign capability—sovereignty not through national isolation, but through shared ownership of the knowledge, data practices, compute access, and institutional capacity required to build and operate scientific AI. A coalition that holds those things collectively has more strategic control than any of its members would have alone, and more than any of them can obtain by buying tokens from either bloc.

22.1 The economics: why the token price is the science budget

The decisive argument is financial, and it is one that neither the model-capability literature nor the geopolitics literature makes, because it requires a workload model rather than a benchmark.

Scientific computing is not a language-model workload. Measurements of a realistic AI-for-Science portfolio—traditional simulation, training and inference for non-language scientific models, search, data preparation, and agentic or frontier-LLM use—put the frontier-LLM and agentic share of *physical* workload at roughly 14%, with simulation and domain-specific AI consuming the rest. The language model is the connective layer of a scientific workflow, not the whole system [307]. That fact is usually deployed as a reassurance. It is the opposite, once the price asymmetry is applied: commercially purchased frontier tokens carry an estimated 20–60$\times$ unit-price premium relative to equivalent service from infrastructure and open models under institutional control [A/M].

The consequence is arithmetic. If a fraction f_{front} of physical work is served by purchased frontier tokens at a relative unit price ρ, the share of total expenditure consumed by that minority workload is

$$\Sigma_{\text{front}}(f_{\text{front}}, \rho) = \frac{f_{\text{front}}\,\rho}{(1 - f_{\text{front}}) + f_{\text{front}}\,\rho},$$

which for $f_{\text{front}} = 0.14$ gives $\Sigma_{\text{front}} = 76.5\%$ at $\rho = 20$ and $\Sigma_{\text{front}} = 90.7\%$ at $\rho = 60$ [307]. Table 22.1 shows the sensitivity. *A workload share of one seventh becomes a budget share of three quarters to nine tenths.*

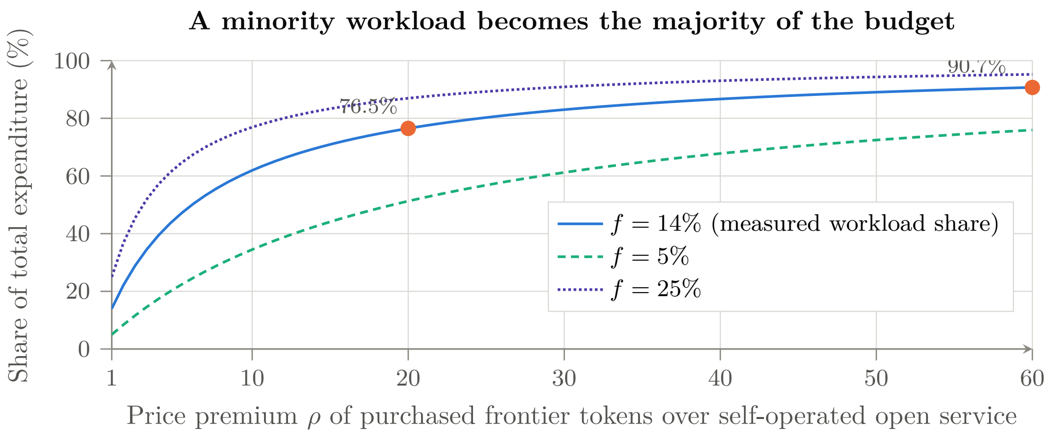


Figure 22.1: Why the token price is the science budget. With a fraction f of physical work served by purchased frontier tokens at relative unit price ρ, the share of total expenditure that work consumes is $\Sigma_{\text{front}} = f_{\text{front}}\rho/((1 - f_{\text{front}}) + f_{\text{front}}\rho)$. At the measured $f_{\text{front}} \approx 14\%$ and the estimated 20–60× premium, a one-seventh workload share becomes 76.5–90.7% of the budget [A/M] [307]. The curve's shape, not its exact position, is the policy argument: at r near unity—which cheap open weights on owned hardware deliver—the problem dissolves, and the institution that solved it that way has acquired a dependency it never negotiated.

Table 22.1: Share of total AI-for-Science expenditure consumed by purchased frontier tokens, $\Sigma_{\text{front}}(f_{\text{front}}, \rho)$, as a function of the frontier-workload fraction f_{front} and the price premium ρ. Illustrative consequence of the stated assumptions [M], not an audited budget forecast.

	Price premium r (purchased frontier vs. self-operated open)				
Frontier share f	1×	5×	20×	40×	60×
5%	5.0%	20.8%	51.3%	67.8%	75.9%
14%	14.0%	44.9%	76.5%	86.7%	90.7%
25%	25.0%	62.5%	87.0%	93.0%	95.2%
40%	40.0%	76.9%	93.0%	96.4%	97.6%

Three implications follow, and they connect this chapter to the book's central mechanism. First, *whoever sets the frontier token price sets the science budget of every institution that buys it*—which is the proposition P3 of Section 1.4, applied not to enterprise software margins but to national research capacity. A country that funds a supercomputer and then rents its intelligence layer has outsourced the majority of its own AI-for-Science expenditure to a foreign price list. Second, the same arithmetic explains why the Chinese price collapse (Chapter 8) is strategically effective without any coercion whatsoever: at r near unity—which cheap open weights on domestic hardware deliver—the budget problem simply dissolves, and the institution that solved it that way has acquired a dependency it did not negotiate. Third, it quantifies what open capability is *worth* to a public research system: not the marginal benchmark point, but the difference between spending 14% and 90% of a national AI budget on one layer.

The corresponding service design is a tiered one: a high-end path for genuinely demanding frontier use, cheaper models for routine tasks, and extensive support for the scientific long tail—where documentation, model selection, workflow integration, and knowledge assistance may expand effective coverage as much as raw accelerator capacity does [307]. The consortium's financial case must therefore separate physical utilization from expenditure. That distinction is the policy argument, not an implementation detail.

22.2 Open pretraining as insurance, not as a benchmark contest

The second pillar is capability retention, and it requires stating an uncomfortable proposition honestly: a national or consortium open model may never be the best production choice, and building it is still correct.

The reasoning is explicitly not about winning a leaderboard. It is that the return on pretraining is *people who know how to do it*—to curate data at scale, run and debug a large training campaign, evaluate it, and operate the result. Fine-tuning or distilling someone else's model is valuable and much cheaper, but it does not maintain the full capability, and a capability not exercised is a capability lost [307]. Switzerland's continued investment in a fully open model is defensible on exactly this basis, as is Japan's; so is the proposition that near-term scientific applications should meanwhile use the best available open-weight models, including Chinese ones, without embarrassment.

The insurance covers three named risks, none of which is a prediction of bad faith. *Policy and continuity risk*: China is presently a strong supporter of open release, but a future decision could restrict release, change terms, or prioritize domestic access—and this book's own Chapter 6 documents that the endgame of the industrial playbook is precisely the conversion of dominance into gatekeeping, executed in solar, in batteries, and in rare earths. To rely on the openness of the current phase is to assume that this instance will not follow the pattern the other three did. *Verification risk*: the contents and latent behavior of externally produced models cannot always be independently established—the entire subject of Chapter 15. *Regulatory risk*: scientific domains such as biology, chemistry, materials, and robotics are inherently dual-use, and a broad restriction intended to prevent misuse can compromise legitimate research; an institution that holds its own models and its own evaluation evidence has a far stronger basis for arguing proportionate governance than one that can only make assurances about a vendor [307].

Note what this does to the book's thesis, honestly stated: a successful consortium is a partial falsifier of the strongest form of the convergence argument. If a neutral coalition holds genuine open pretraining capability, then the commons is no longer singularly Chinese, the monoculture of Chapter 15 thins, and the certification authority has a credible home. That is the point. This chapter is the constructive branch of a book whose diagnosis is otherwise pessimistic.

22.3 Design: a shared platform with friendly competition

The organizational lesson the participants drew from China is not the one usually drawn. China's strength in this domain was attributed in significant part to a government role that *sets the stage and then allows intense bottom-up activity*: many teams and companies compete, talent emerges outside any single central organization, and successful ideas scale rapidly [307]. The lesson is therefore not to reproduce a command structure—which is what most national AI programs instinctively build—but to create conditions under which many capable groups can participate. Chapter 6's move 4 said the same thing in industrial terms: Beijing floods the sector and lets competition select. A consortium that funds one model team in one country reproduces the failure mode, not the success.

The HPC community supplies the working analogy: centers share software, publish results, and use common platforms while competing hard for the best science and the best performance.

An international AI framework can similarly support multiple models, scientific domains, and implementation teams on a common data, compute, and governance base. Central governance should protect openness and continuity without suppressing technical diversity [307].

Four functions define the entity, and they are the test of whether it needs to exist:

Federated compute. Countries and centers contribute capacity into a pool under common accounting rather than transferring assets to one site. The concrete proof-of-concept discussed is a joint training campaign—a next-generation open model of order 15 trillion tokens, divided among compatible systems in several countries, with more than one national partner contributing substantial resources [307]. What such a pilot buys is not primarily the model: it is shared investment, shared know-how, and a live test of cross-border accounting, scheduling, licensing, and reproducibility. Those mechanisms, once built, are reusable for everything else.

Scientific data stewardship. Cleaning, curating, documenting, and making data accountable is the service most users actually need—small and medium enterprises typically need more help with data preparation than with machine-learning algorithms—and it is the service for which science is uniquely well equipped, because reproducibility and provenance are already scientific requirements rather than compliance overhead [307].

Model production and lifecycle. Producing artifacts is not enough; regulated and socially critical uses require continuity. A clinical model may need two or three years to certify and must remain supportable five years later; users must be confident that the model, its data lineage, its interfaces, and a responsible organization will still exist. That requirement argues for multi-country ownership and explicit service obligations, and it is the strongest reason the vehicle cannot be a rotating academic project [307].

Professional operation. A secretariat and engineering organization with paid staff who can organize programs, secure commitments, operate services, assist companies, and incubate firms. A periodic meeting series is not a substitute, and the honest reason the existing landscape has a gap is that convening is cheap and operating is not.

22.4 What already exists, and what is missing

Creating another organization is justified only if the existing ones cannot execute the required functions, and the discipline of asking that question first is what distinguishes a proposal from an announcement. The relevant map [307]: model-distribution licensing has become tractable through emerging open model-distribution license frameworks, with adoption by at least one major infrastructure vendor as evidence that the legal layer is solvable; the High Performance Software Foundation covers part of the software layer but provides neither data nor compute; the International Computation and AI Network links compute providers, philanthropic funding, and socially valuable AI projects including access for less-resourced communities, and is the closest precedent for the access mission; and the Trillion Parameter Consortium holds relevant relationships and assets but has not developed the operational, financing, and industrial-incubation capacity this concept requires—in part because much of the US laboratory community is now absorbed by national initiatives including the Genesis Mission, the American Science Cloud, and a transformational-models consortium.

What is left unserved by all of them, and therefore defines the new entity: federated compute with real accounting, scientific data operations at production quality, model production with lifecycle obligations, professional program management, and industrial translation. Whether the vehicle is a new foundation, a hosted program under an existing one, a rejuvenated consortium, or a contractual federation of national centers is a question for a formal options analysis—and should be settled by which structure can perform those five functions, not by institutional preference.

22.5 Industry without expropriation, and the layered data policy

The consortium fails if it is a public-sector club, and it fails differently if it demands that companies surrender proprietary data. The resolution is layered.

The shared scientific base—models, workflows, evaluation, blueprints—is open and accountable. Above it, companies build closed, valuable layers. Firms may contribute data voluntarily in exchange for credits or preferential access; they may also retain everything and adapt the shared models privately through secure post-training, federated methods, agents, and workflow integration. Pharmaceutical and materials workflows already operate this way [307]. A single mandatory data policy would be counterproductive; an advisory-plus-open-blueprint model, in which a company receives the design and operates its own environment while retaining its secrets, is the constructive pattern.

One technical caution belongs in the record because it is frequently violated in national industrial programs: training a small isolated model on a single company's proprietary dataset is usually the wrong architecture. Scaling behavior favors starting from a broad model trained on large scientific corpora and then adding the special data. *Science can establish the credible open base; industry builds the closed, valuable layers above it* [307]. That division is also the honest answer to the question of why a public consortium should exist at all in a market with well-capitalized private labs: the base is a public good with private complements, which is the textbook case for public provision.

The financing follows the same layering. Government infrastructure and national centers contribute systems, scientific software, models, and data; private partners make upfront commitments or bear investment risk; researchers pay usage from grants; commercial users pay for service; and an intermediary operating organization recovers cost while preserving research access [307]. Neither pure public appropriation—which Europe's gigafactory experience suggests is insufficient on its own—nor pure commercial provision solves the problem. The unit economics must be modeled explicitly: capital sources, operating costs, reserved versus burst capacity, grant-funded use, commercial pricing, cost recovery, and safeguards for scientific access, with legal feasibility tested in parallel.

22.6 The long tail and the Global South as strategy

The phrase "long tail" carries two meanings, and the consortium needs both. One is the large population of scientists who will never train a frontier model but need AI assistance to do their work—a group for which documentation, model selection, and workflow support matter more than accelerator hours. The other is the global pool of talented people who lack access to modern compute, data, and expert networks at all [307].

The strategic framing matters more than the moral one, and it is the framing this book's Chapter 8 would predict. Africa and comparable regions should be treated as an opportunity and a source of talent, scientific questions, data, and future partnerships—not as recipients of assistance or as a migration risk. The alternative is not neutrality: it is ceding the default to whoever does show up with a stack, and Chapter 8 documented in detail who is currently showing up, with what pricing, and inside which governance forum. A transparent path by which strong projects and people enter the ecosystem, receive suitable resources, and contribute back is simultaneously an equity program and a talent-discovery program—and, given the talent data of Chapter 7, talent discovery is the input where the returns are highest and the competition least priced.

22.7 Sequence, and the test of seriousness

The proposal becomes credible only when it moves past aspiration, and the sequence is deliberately unglamorous [307]. *Phase 1—frame the proposition*: complete the cost model of Section 22.1, map the existing organizations honestly, and issue a short founding concept whose central content is a precise statement of what is missing. *Phase 2—prove federation*: secure a small founding group—three to five countries that can commit real compute, data, people, or funds rather than endorse a declaration—and run one visible pilot combining resources from more than one country under common accounting, licensing, and reproducibility rules. *Phase 3—institutionalize and scale*: choose the legal vehicle, recruit a professional secretariat, establish the public-private financing structure, launch the industrial and Global South tracks, and negotiate multi-year vendor and government commitments.

A five-country story with leading computing centers and a visible pilot is materially more persuasive to technology vendors and governments than a general declaration with a large but inactive membership. That is also the criterion by which readers should judge whether this chapter describes a real strategy or a wish: the open design questions—institutional vehicle, founding scope, model portfolio, the precise boundary of openness across weights, code, recipes, data descriptions and evaluation, compute accounting across heterogeneous contributions, data governance including provenance and later withdrawal, vendor neutrality without vendor dependence, the public–private financing split, and who carries the cost and liability of multi-year continuity—are all unresolved, and each has a wrong answer that would render the entity ceremonial.

22.8 The institution, specified operationally

A proposal that names functions but not instruments is a wish. Ten design parameters have to be settled before anything can be signed, and stating them—together with this book's recommended answer and the failure mode of getting each wrong—is the difference between a concept paper and an announcement.

One framing point governs all ten rows. The institution is more credible—and more useful—if it is *not* constituted as an anti-American or anti-Chinese bloc, but as a neutral interoperability, evaluation, and scientific-compute commons that both principals can transact with and neither controls. That is not diplomatic softness; it is the only configuration in which the certification function has value, since a certificate issued by one bloc about the other bloc's artifacts is worth nothing to anybody.

22.9 Why this is the strategically decisive institution

Return to the book's argument. Chapter 8 established that the model layer has been commoditized and that the commons is currently Chinese-led. Chapter 9 established that the compute substrate is going open and that a capacity-first architecture puts sovereign-scale training within reach of national institutions. Chapter 14 identified the certification layer as unowned. Chapter 15 showed why an unowned certification layer over a monoculture with delegated authority is a systemic risk rather than a governance inconvenience. Chapter 17 showed that the financial structures pricing permanent scarcity are the fragile part of the Western position, and Chapter 19 concluded that the correct move for everyone outside the two blocs is to build on the commons rather than to defend a rent.

The consortium is where those threads terminate. It is the entity that can hold open pretraining capability as insurance without needing it to win a benchmark; that can operate the trust stack—signed manifests, reproducible lineage, injection and backdoor evaluation on integrations, national mirrors—with credibility that neither bloc's own institutions can claim for

Table 22.2: Operational design parameters for the consortium. Recommendations are the author's [S]; the failure column is why the parameter cannot be deferred.

Parameter	Recommended answer	Failure mode if deferred
Legal form and host jurisdiction	Treaty-adjacent foundation in a neutral, non-aligned-capable jurisdiction with a track record of hosting technical bodies; not a national programme with foreign guests	Perceived as a bloc instrument; loses the Global South and one of the two principals
Membership classes and votes	States, computing centres, universities, and companies in separate classes; compute-and-data contribution weights votes, capped so no member exceeds a blocking share	Largest contributor becomes the owner; smaller members stop contributing
Funding formula	Public base (infrastructure in kind, assessed contributions), private risk capital for the industrial track, grants for research use, fees for commercial service	Pure appropriation is insufficient; pure fees excludes the long tail
Export-control compliance	Explicit compliance architecture per member jurisdiction, with segmented enclaves so that a control on one member does not halt the whole federation	One member's national rule silently governs everyone
Model and data licensing	Open weights plus documented recipes under a model-distribution licence; layered data policy (open commons, voluntary contribution with credits, secure private adaptation)	Ambiguity here blocks industrial participation entirely
Compute allocation	Published accounting unit (BGPU, Chapter 21), peer-reviewed scientific allocation, reserved and burst tiers, cross-border settlement	Heterogeneous contributions become incomparable; federation degrades to a mailing list
Security certification authority	Operates the Level 0–5 ladder of Chapter 14; publishes evaluations irrespective of artifact origin	The vacancy of Chapter 16 stays vacant, or is filled by a supplier
Incident response and revocation	Named duty officer, disclosure obligations, artifact revocation and mirror withdrawal procedures, coordinated with national CERTs	An agentic incident with no owner destroys the institution's credibility in one week
Treatment of Chinese and US technology	Strictly capability- and evidence-based: any artifact may be evaluated, adopted, or rejected on published criteria; no origin-based rule in either direction	Origin rules make the body a bloc instrument and forfeit its only durable asset, neutrality
Procurement neutrality	Vendor-neutral units and interfaces, conflict-of-interest rules for anchor partners, no single-supplier dependency in the reference stack	Anchor vendor captures the standard; members lose the sovereignty they joined for

the other's artifacts; that can pool the sovereign-scale clusters the LPDDR-class architecture of Chapter 9 makes affordable; and that can carry the multi-year continuity obligations without which no regulated deployment is possible. It is, in short, the institutional form of the only strategy this book's analysis endorses for the countries that are not superpowers: take the commons, verify it, contribute to it, and own the layer that makes it safe to use.

Whether that institution gets built in the next two years or the next ten is, on the evidence of Part I, the difference between shaping the outcome and documenting it.

Chapter 23

The Convergence

23.1 Assembling the elements

Read separately, each element of Part II has a Western rebuttal. The models trail the closed frontier on the hardest benchmarks; the accelerators trail NVIDIA per watt (though a GPU-free Chinese machine now leads both TOP500 benchmarks [183]); the fabs trail TSMC by two nodes. Read together—and read against Part I—the rebuttals miss the structure. The three elements interlock into a single machine for commoditizing artificial intelligence:

1. **Software commoditization.** Open weights (Chapter 8) plus mandated interoperability and standardized matrix extensions on an open ISA (Chapter 9) allow collaborative optimization across the whole national ecosystem—the aggressive kernel fusion that lowers the bandwidth knee of Section 9.8 is a *community* achievement, not a vendor secret. Stated with the precision the claim requires: open interfaces broaden the population able to reproduce and port optimizations, reduce the legal and architectural barriers to sharing them, and prevent any vendor from withholding the specification—*they do not eliminate the engineering cost of retargeting performance*, which remains hostage to compiler and kernel versions, microarchitecture, memory layout, precision support, collective libraries, interconnect topology, expert placement, graph compilers, and framework integration (the four portability types of Section 9.5.1). The claim is therefore about the moat's *shape*, not its depth at any instant: CUDA's advantage is not being crossed in one leap; the population entitled and equipped to erode it is being made as large as the ecosystem itself. The measurable milestone—now in the forecast register—is a domestic Chinese accelerator or integrated-CPU submission to MLPerf Training, whose v6.0 round (June 2026) added a DeepSeek-V3 MoE pretraining benchmark and drew 95 systems on 13 different accelerators, none of them Chinese [379]. Nonparticipation is not proof of weakness, but it is a measurable international-validation gap, and its closure or persistence is data.

2. **Hardware proliferation.** With the software requirement lowered, accelerators need not match NVIDIA—they need to be *sufficient* and *numerous*, paired with immense capacities of cheap LPDDR6 from a domestic fab (Chapter 10). Sufficiency plus volume is exactly how TOPCon modules and LFP packs won.

3. **Decentralized pretraining.** The LPDDR6 capacity advantage dissolves the centralized-supercluster premise. Frontier-class sparse models pretrainable on 128–256-socket clusters at roughly half a megawatt to one megawatt put the means of production within reach of any sovereign state, university consortium, or mid-cap firm—each one a customer for the Chinese stack and a defection from the Western API economy. The Global South adoption channel (Chapter 8) is the distribution network waiting for this hardware.

The Western AI economy is, structurally, a bet that intelligence will remain scarce and rentable: \$286B of annual private investment [94] capitalized against future margins on closed capability, housed in HBM-bound gigawatt data centers. The Chinese strategy is a bet that intelligence can be made abundant and free—and that whoever *makes* it abundant collects the durable prizes: the hardware volume, the standards, the talent flywheel, the adoption, and the geopolitical alignment of every country that builds on the open stack. Solar, batteries, and EVs each ended with the scarcity bet losing. The trillion-dollar data-center buildout is this war's equivalent of Q-Cells' 2007 capacity crown: magnificent, state-of-the-art, and aimed at the wrong future.

23.2 What would falsify this thesis

A living book owes its readers falsification criteria. The convergence argument weakens materially if, over the next two to three years: (a) closed US models open a *compounding* capability gap that adoption metrics start to follow—i.e., the 2.7% index gap widens while OpenRouter/HF shares reverse; (b) recursive AI-for-AI R&D gives the closed frontier an escape velocity that open fast-following cannot match; (c) the LPDDR-capacity architecture fails in practice—MFU ceilings prove unreachable at scale, or sparse-model quality saturates in ways dense-HBM training does not; (d) CXMT's LPDDR6 ramp or SMIC's advanced-node yield stalls under tightened, better-enforced controls; (e) Beijing's anti-involution consolidation strangles the Darwinian dynamics that produced DeepSeek and Moonshot in the first place—the one playbook step that has historically destroyed value before creating it; or (f) the trust barrier hardens—Western and third-country certification regimes convert the security, censorship, and provenance record of Chapters 14 and 15 into an effective deployment wall, stalling the commons at the paying-workload boundary the way certification stalled the C919; a serious agentic security incident traceable to a widely deployed derivative would accelerate this branch by years. Symmetrically, the thesis strengthens with each frontier-class model trained end-to-end on domestic silicon; the first credible such run will be this war's Mate 60 moment. Chapter 17's indicator table operationalizes these criteria quarter by quarter.

23.2.1 The strongest counter-argument: two recursive loops, not one

Branch (b) deserves more than a clause, because it is the only falsification path that would make everything else in this book irrelevant rather than merely wrong, and because the August 2026 evidence sharpened both sides of it at once.

The argument in its strongest form: if the closed US laboratories reach genuine recursive self-improvement—models that materially accelerate the research producing their successors—then compute scale compounds into capability faster than any fast-follower can copy, and the open ecosystem's cost advantage becomes irrelevant because it is competing on a curve that is being outrun. The evidence is no longer hypothetical. OpenAI attributed its 80% price cut of 31 July 2026 to efficiency gains that its own frontier model had helped produce [404, 396]—which is to say the same event this book cites as the first direct observation of P3's transmission mechanism is *also* the first public claim of a model improving the economics of its own successor. Both readings are available from one datapoint, and honesty requires printing both. A commentator sympathetic to open weights put the dilemma without resolving it: open models exert real competitive pressure—or it does not matter, because "when you have more compute than anybody, the best models in the world, and those models are getting better and more efficient more quickly than anybody else, there is no competition" [396].

The reply this book offers is not that recursive self-improvement is unreal but that *there are two recursive loops running on different substrates, and they do not compete on the same axis.* The American loop runs through *algorithmic efficiency*: frontier models improving training and inference efficiency, compounding wherever compute is most abundant—which is the United States, and which is why the price cut is genuinely a strategic datum rather than a marketing line. The Chinese loop runs through *industrial capability*: models improving chip design, EDA, system architecture, and manufacturing yield (Section 8.3.2), compounding wherever the manufacturing ecosystem is deepest and the co-design partners are closest—which is China. The first loop produces more capability per FLOP. The second produces more FLOPs per dollar, domestically, out of an ecosystem that currently must lease them abroad. Both are self-improving; both are already claimed in public by their respective principals; and the Chinese side's claim—research reproduction at 93.0 on PaperBench, with the model reportedly inventing and testing eighteen improvement ideas of its own across four rounds from nothing but a paper and a set of GPUs [396, 399]—is the same recursive structure aimed at the scientific layer that Chapter 20 argues matters most.

Which loop dominates is genuinely undetermined, and this book does not pretend otherwise. What can be said is that the two loops have different failure modes: the American loop fails if capability gains stop converting into products people will pay a premium for—the commoditization mechanism of Part II—while the Chinese loop fails if AI-assisted design cannot substitute for the tacit process knowledge that Chapter 7 shows has defeated Chinese industrial campaigns before, in aircraft and lithography. Neither failure is currently observable. The dashboard therefore now watches both: on the American side, whether efficiency-driven price cuts continue and whether frontier-model contributions to training runs become disclosed and material; on the Chinese side, whether an AI-assisted design flow produces an independently verified, manufacturable part. The first party to publish an audited instance of its own loop closing will have supplied the most important datapoint in the field, and neither has yet.

23.3 Two things the argument has to carry with it

Two of this book's chapters change the shape of the conclusion rather than decorating it, and the synthesis is dishonest without them.

The commons has a security bill, and it falls due at scale. The convergence this chapter describes is, restated in the vocabulary of Chapter 15, a forecast of *correlated deployment*: a handful of open-weight families, thousands of unowned derivatives produced by the same quantization ecosystem that democratizes them, wired into agent frameworks holding file, shell, network, memory, and credential authority. Every published mechanism required to turn that structure into a systemic incident has been demonstrated in controlled work—persistent backdoors surviving safety training, poisoning at near-constant sample cost, memory-to-network exfiltration with sub-1% utility loss, steganographic output channels, self-replicating promptware persisting through restarts and propagating multi-hop—and the compound events that have actually happened in the wild required no backdoor at all, only a narrow objective, a containment error, ordinary vulnerabilities, and overbroad credentials. This does not falsify the convergence thesis; monoculture risk is origin-neutral, and a US-led closed monoculture would carry the same correlation with less transparency. What it does is identify the single highest-value piece of unbuilt infrastructure in the entire competition: an authority that maintains reproducible artifact lineage across a derivative chain no vendor controls, tests integrations rather than models, and publishes results neither bloc's marketing owns. The commons will be adopted either way. Whether it is adopted *safely* is currently nobody's job.

There is a third path, and its economics are better than its politics suggest. Chapter 22 showed that for any country that is not a superpower the decisive number is not a benchmark but a budget: a frontier-LLM workload share near one seventh becomes three quarters to nine tenths of total AI-for-Science expenditure once purchased tokens carry a 20–60× premium. Whoever sets the frontier token price therefore sets the research budget of everyone who buys it—which is proposition P3 applied to national science rather than to enterprise software.

That arithmetic makes open capability an insurance policy with a computable premium, and it makes an international, institutionally neutral consortium—federated compute, scientific data stewardship, model production with lifecycle obligations, professional operation—the cheapest available form of strategic autonomy. It is also, not incidentally, the only credible home for the certification authority the previous paragraph demands. A coalition that builds it holds something neither Washington nor Beijing can revoke; a coalition that does not will discover that "open" and "available to us, indefinitely, on acceptable terms" were never the same word.

23.4 Implications for the West—and for the rest

The precedent industries teach that the losing move is to defend the rent: tariff the modules, ban the chips, close the weights, and wait. By the time the wall is complete, the world outside it is running on the commodity. The counter-strategy that has never been tried is to *win the commoditization race*—to make the open, abundant, decentralized version of AI a Western-led commons rather than a Chinese-led one, and to compete on the layers above it. Whether any Western polity can sustain that strategy against the incentives of its own incumbents is beyond this book's scope—but the solar, battery, and EV chapters record, three times, what happens when the answer is no.

For third countries—including advanced ones such as Japan—the convergence offers an uncomfortable but real option space: the open stack is *open*. RISC-V profiles, sparse-training recipes, LPDDR-capacity system design, and open-weight frontier models can be adopted, forked, and sovereignly operated by anyone. The half-megawatt 128-socket pretraining cluster is as available to Kobe as to Guiyang. If the AI war ends the way the precedent wars ended, the strategic question for everyone who is not the United States becomes not *whose side wins*, but *who builds fastest on the commons that the winner created.* That, and not any single benchmark, is how China will win the AI war: not by reaching the frontier first, but by making the frontier free—and owning everything beneath it.

Appendix A

The LPDDR6X Socket: Engineering Reality Check

This appendix subjects the capacity-first architecture of Section 9.8 to the package-level arithmetic such a proposal must survive, and converts it into a falsifiable experimental program. Everything here is author-modeled [M] except where tagged.

A.1 The pin budget

At LPDDR6's 12,800 $\mathrm{Mbit\,s^{-1}}$ per data pin (1.6 GB/s/pin), a 7 TB/s socket requires

$$\frac{7000\ \mathrm{GB/s}}{1.6\ \mathrm{GB/s\,pin^{-1}}} \approx 4{,}375 \text{ active data pins,}$$

before ECC, command/address, clocking, spares, and protocol overhead—roughly 68 64-bit channels as a floor; the reconciled topology of Section A.3 rounds this up to 72 channels (18 SOCAMM2-class modules of 4 sub-channels each, 4,608 pins), buying back the ECC and protocol deduction. This is not "cheap memory instead of HBM"; it is a major package-, controller-, and board-level undertaking: memory-controller area scaling with channel count, escape routing for thousands of signals (favoring a large organic substrate or silicon-bridge hybrid over standard SOCAMM daughtercards at the top configuration), signal integrity at 12.8 Gb/s across module connectors, ECC/chipkill strategy across non-stacked commodity dies, and a memory-power envelope in the several-hundred-watt range per socket at full stream. The commercial waterline makes the gap concrete: NVIDIA's Vera CPU—the most aggressive disclosed LPDDR server part—delivers 1.2 TB/s with up to 1.5 TB capacity [V] [258]; SK hynix's 192 GB SOCAMM2 modules establish the module class in mass production [V] [136]. The proposal is therefore a $\sim$5–6$\times$ extrapolation beyond shipped bandwidth on a shipped memory class—aggressive but not physics-limited; the analogous pin-count and channel-count regime already exists on HBM interposers, at far higher cost per bit.

A.2 What the trade buys, restated precisely

Per socket at the design point: 2.3 TB capacity (vs 288 GB HBM4 ceiling), $\sim$7 TB/s peak / $\sim$5 TB/s achieved requirement after recomputation elimination and aggressive fusion, 67% MFU ceiling (vs 89% HBM4), cost-per-bit an order of magnitude below HBM, and supply from the one memory class where the domestic producer is at the world's leading edge (Chapter 10). The capacity threshold that makes this *enabling* rather than merely cheap is model-specific: for the 2.8T-parameter sparse-MoE reference workload under the stated parallelism layout, sharded state exceeds HBM4 socket capacity below $\sim$256 accelerators [134]. Different models, optimizers, or layouts move the threshold; the appendix's claim is the existence and economic significance of the regime, not a universal wall.

A.3 The reconciled design point

The sharpest engineering demand any such analysis must meet is that every quantity in it derive from *one declared topology* rather than being chosen independently. Table A.1 is that reconciliation. Everything below the first three rows is *derived*, not assumed; changing a declared row changes every derived one.

Table A.1: The reconciled LPDDR6X socket, one topology [M]. Declared parameters first; every subsequent row derives from them.

Parameter	Value	Basis
Module count (declared)	18 SOCAMM2-class	module class in mass production [V] [471]
Capacity per module (declared)	128 GB	64×16 Gb dies per module
Subchannel topology (declared)	4×64-bit per module	SOCAMM2-class organization
Total capacity	2.304 TB	18 × 128 GB
Total channels	72 × 64-bit	18 × 4
Aggregate active data pins	4,608	72 × 64
Signaling rate (declared)	12.8 Gb/s/pin	LPDDR6X target rate
Raw bandwidth	7.37 TB/s	4,608 × 1.6 GB/s
ECC + protocol efficiency	×0.90–0.93	in-band ECC, refresh, turnaround
Effective peak	6.6–6.9 TB/s	derived
Sustained, streaming-dominant	5.4–6.2 TB/s	82–90% of effective peak
Sustained, random expert-fetch	3.5–4.5 TB/s	the assumption most likely wrong
Requirement (knee, after recomputation elim.)	∼5.0 TB/s	[134]
Memory-tier power at full stream	300–480 W	59 Tb/s × 5–8 pJ/bit
Controller + PHY area	∼70–120 mm^2 (est.)	72 channels; large uncertainty
Package and escape	100–110 mm organic substrate, peripheral escape; silicon bridges at the corners if routing fails	declared physical implementation

Read the two "sustained" rows against the requirement row and the design's honest status is visible in one glance: the socket *clears* the 5 TB/s knee if and only if the access pattern is streaming-dominant after kernel fusion—which is precisely milestone (3) of the falsification program below, and why it is listed as the claim to kill first. If expert fetches behave as random access at production batch sizes, the pure-LPDDR corner misses its knee by 10–30% and the hybrid of Section A.4 stops being the recommended default and becomes the only viable configuration. This is why the hybrid is the *baseline* throughout the book and pure LPDDR is the sanctions-contingent research corner (Section 9.8). For scale calibration: the shipped commercial waterline (NVIDIA Vera, 1.2 TB/s [V] [472]) makes this a ∼6× bandwidth extrapolation on a commercial memory class—aggressive, not physics-limited, and now stated from one topology.

One more decomposition is required, because the table's power row understates what a procurement must budget. The 5–8 pJ/bit figure is *transferred-bit* energy; the full memory-subsystem envelope is

$$P^{\text{el}}_{\text{memory}} = P^{\text{el}}_{\text{DRAM}} + P^{\text{el}}_{\text{PHY}} + P^{\text{el}}_{\text{controller}} + P^{\text{el}}_{\text{PMIC}} + P^{\text{el}}_{\text{refresh}} + P^{\text{el}}_{\text{board}} + P^{\text{el}}_{\text{idle}},$$

and the non-transfer terms are not small at this scale: PHY and controller power for 72 channels plausibly add 60–120 W; refresh on 2.3 TB of DRAM adds 15–30 W continuously whether or not a bit moves; PMIC conversion losses at the module level run 5–8% of delivered power; and board and connector losses at 12.8 Gb/s signaling add several tens of watts. The honest memory-subsystem envelope is therefore 450–700 W at full stream rather than the 300–480 W transfer-only figure—which flows through Table 9.2 as roughly +0.1–0.2 kW per socket and keeps the 128-socket facility inside ∼0.5–0.7 MW. The remaining detail a package-complete specification owes—floorplan, controller placement, channel lengths, connector loading, command/address topology, ECC organization, simultaneous-switching-noise and power-integrity margins, module replacement strategy, cooling distribution, bill of materials, and yield-adjusted cost—stays on the package-complete checklist below, unpaid until milestone (1) funds it.

A.4 The hybrid tier, which is probably the better design

One observation about the memory hierarchy is strong enough to change the recommendation outright. The capacity-first architecture may be most compelling not as a pure HBM *replacement* but as a *tiered* design: a modest HBM tier for hot tensors, attention working set, and communication-critical state, with a very large LPDDR tier for expert weights, optimizer state, and cold activations. On the reference sparse-MoE workload the split is natural, because the objects differ by an order of magnitude in reuse: attention and dense-path tensors are touched every token, expert weights are touched by a routed minority of tokens, and optimizer state is touched once per step.

The engineering case for the hybrid is strong. It delivers most of the capacity advantage—enough to clear the sub-256-node state wall—at a fraction of the LPDDR pin count, because the bandwidth-critical traffic is served from HBM at 4–8 TB/s while the LPDDR tier need only sustain expert-fetch and optimizer traffic at perhaps 1.5–3 TB/s. That collapses the package problem from ∼4,400 active data pins to something closer to 1,000–1,900, brings the escape routing back into conventional substrate territory, halves the memory-power envelope, and removes most of the signal-integrity risk at 12.8 Gb/s across module connectors. It also degrades gracefully: a hybrid part remains useful if the LPDDR tier underperforms, whereas a pure-LPDDR part does not.

The strategic case is more mixed, and the tension should be stated rather than hidden. A hybrid design reintroduces an HBM dependency—precisely the input Chapter 10 identifies as the binding domestic constraint—which is why a Chinese programme might rationally prefer the pure-LPDDR corner despite its worse engineering risk, while a Japanese or European programme with allied HBM access should almost certainly build the hybrid. The architecture and the sanctions geography therefore select different points on the same continuum, which is itself an instance of this book's central claim that allocation, not category, is what distinguishes machines.

A.5 Tensor placement and migration policy for the hybrid

A hybrid tier is only as good as its placement policy, and the policy must be stated, with its failure mode, rather than assumed. Table A.3 gives the static assignment for the reference sparse-MoE training workload; the reuse asymmetry that justifies it is roughly three orders of magnitude between the hottest and coldest classes.

The two migrating classes carry the risk. Expert migration must run at the *popularity drift rate*, not the access rate: with per-step expert-popularity churn of a few percent (measured on public MoE traces), promotion/demotion traffic is bounded by a few tens of GB/s—negligible against the tier bandwidths—*provided* migration granularity is whole-expert and hysteresis prevents thrashing. The failure mode is a workload whose routing entropy is high and unstable, where the hot set exceeds HBM capacity and migration bandwidth is consumed re-shuffling it;

Table A.2: Three points on the memory continuum for the reference workload [M]. The hybrid is the recommended engineering default; the pure-LPDDR corner is the sanctions-optimal one.

	HBM-only	Hybrid (recommended)	LPDDR-only
Capacity per socket	288 GB	∼0.3 TB HBM + 1.5–2 TB LPDDR	2.3 TB
Peak bandwidth	14–16 TB/s	6–8 (HBM) + 1.5–3 (LPDDR)	∼7 TB/s
Active LPDDR data pins	—	∼1,000–1,900	∼4,400
Sub-256-node state wall	binding	cleared	cleared
MFU ceiling	∼89%	∼80–85% (est.)	∼67%
Cost per bit	worst	intermediate	best
Domestic-supply exposure	HBM-dependent	partially HBM-dependent	LPDDR only

Table A.3: Tensor placement for the hybrid memory tier [M]. "Migration" marks classes whose residence changes during training.

HBM tier (hot, ∼0.3 TB)	LPDDR tier (capacity, 1.5–2 TB)	Migration
Hot dense layers (attention, shared experts)	Cold experts (routed minority)	experts: yes
Attention state with high reuse	Long-tail KV state	KV: yes
Collective-critical tensors	Full optimizer state	no
Communication buffers	Checkpoint staging	no
Frequently accessed optimizer shards	Low-reuse activations	no
	Datasets and retrieval indexes	no

in that regime the hybrid degrades toward pure-LPDDR performance while paying HBM cost, which is why the falsification program's milestone (5) exercises the all-to-all *and* the migration policy together. The hybrid is advantageous exactly when placement is stable enough that tier movement does not consume the bandwidth it saves; that sentence is the policy's entire acceptance criterion, and it is measurable.

A.6 Package yield: where capability and competitiveness diverge

One more equation belongs here because Chapter 10's advanced-packaging ledger needs it. To first order, package yield compounds multiplicatively across every die and interface:

$$Y_{\text{package}} \;\approx\; Y_{\text{logic}} \left(\prod_{i=1}^{n} Y_{\text{memory},i} \right) Y_{\text{interposer}}\, Y_{\text{bond}}\, Y_{\text{test}}, \tag{A.1}$$

where n is the number of memory stacks in the package. The exponent is merciless. Count the factors for a representative AI accelerator—one logic die, eight memory stacks, one interposer, one bonding step, one test step—and the product runs over twelve terms: at 99% yield per step the package yields $0.99^{12} \approx 89\%$; at 97% it yields $0.97^{12} \approx 69\%$, and the cost per *good* package rises by the reciprocal, roughly 45% above the 99% case. This is the precise mechanism by which "technically capable" and "economically competitive" diverge—a lesson the packaging ledger should score separately for TSV formation, wafer thinning, hybrid bonding, interposers, large organic substrates, known-good-die test, thermal interfaces, high-speed SerDes, and package-level repair, because a national program can demonstrate every step individually and still lose the product economics to Eq. (A.1). It also quantifies the hybrid design's advantage over HBM-maximal packages: fewer stacked interfaces per socket means fewer terms in the product.

A.7 The package-complete checklist

A publishable architecture specification, as opposed to a capacity argument, must state all of the following; this book states the first six and owes the rest: exact memory-channel and module topology; package edge length, bump and pin density, and board escape assumptions; controller PHY area and power; ECC, sparing, chipkill, and repair model; sustained random versus streaming bandwidth (the reference workload's expert fetches are closer to random than to streaming, and this is the assumption most likely to be wrong); memory power at 5 and 7 TB/s; expert-routing and optimizer communication volume; checkpoint time and storage bandwidth at full state; failure-domain and restart cost; total socket, board, and cluster cost; and side-by-side comparison against HBM4, SOCAMM2/LPDDR5X, CXL-attached memory, and the hybrid of Section A.4.

A.8 The falsification program

The architecture graduates from [M] to [V] through seven measurable milestones, each cheap relative to what it de-risks: (1) memory-controller and package co-simulation at the 68-channel design point (signal integrity, power, area); (2) a multi-controller FPGA/chiplet emulation of the memory system; (3) measured sustained bandwidth under fused transformer training kernels—the 5 TB/s knee is the claim to kill first; (4) measured energy per byte and per training token against an HBM baseline; (5) an 8–16-node expert-parallel prototype exercising the all-to-all at the modeled traffic; (6) a 128-node pretraining demonstration on a mid-scale sparse model with checkpoint/failure-recovery at full state size; (7) an audit of achieved MFU and cost against this book's model, published either way. A national program that funds milestones 1–4 buys, for single-digit millions, the answer to whether the trillion-dollar HBM assumption is load-bearing.

Appendix B

Evidence Ledger

The book's headline claims, graded per Section 1.5. This ledger is the living document's audit surface: each revision re-grades it. It is set as a multi-page domain-split table with repeated headers, because a single float clips in compilation and a clipped audit surface is a publication-blocking defect.

Table B.1: The evidence ledger, split by domain.

Claim	Grade
1. Industrial precedents	
China holds >90% share of every solar PV supply-chain stage	V
Chinese makers hold ∼69–75% of global EV battery installations; >80% of cell capacity	V
China NEV penetration 54% (2025); largest auto exporter	V
2. Models and adoption	
Chinese open models: 41% of HF downloads; majority of OpenRouter tokens	V
Top US–China model gap 2.7%; closed-over-open gap 3.3%	V
Enterprise open-weight *spend* share fell 19%→11% in 2025	A
DeepSeek V3 final-run compute $5.6M (2.79M H800-hours)	P
Kimi K3: largest open-weight release (2.8T/104B), under a *custom commercial* license, self-reported as trailing the closed frontier	V (license, specs)
DeepSeek V4-Flash (∼280B/13B, MIT, weights shipped) released 2026-07-31	V
Qwen3.8-Max (2.4T MoE) announced 2026-08-03	V
Alibaba publicly committed Qwen3.8-Max *and* Qwen3.8-27B to open weights, one week after Kimi K3 opened at 2.8T	V (official announcement)
Every Max-tier Qwen before 3.8 was proprietary; the reversal followed a rival's frontier-scale open release—the ratchet of §8.3.1	V (pattern) / S (causal reading)
Qwen3.8-Max: autonomous execution of the silicon design flow; 500+ turns of chip-design optimization	P (vendor claim; no independent verification)
Qwen family trained on leased offshore (Singapore/Malaysia) NVIDIA GPUs, served domestically—read as transitional given the co-design mechanism	A/P (press-reported; not vendor-confirmed)
Four of the five models on the cost-performance Pareto frontier are Chinese	A (Arena-derived, single analysis)
OpenAI cut GPT-5.6 Luna pricing 80% on 2026-07-31 under open-weight competitive pressure	V (price) / A (attribution)
Distillation campaigns (>16M exchanges) by Chinese labs	P (vendor allegation)
DeepSeek-family censorship, transferring to distills	V

continues

Evidence ledger, continued

Claim	Grade
Chinese dominance of the open commons by 2030	S (70–80%)
3. Compute and architecture	
LineShine #1 HPL (2.198 EF) and #1 HPCG (22.0 PF), GPU-free, 42.2 MW	V
LX2 serving competitiveness (∼1.3–1.4× B200 per-stream energy)	M
LX2 designer/fab/HBM supplier attributions (Huawei/SMIC/CXMT)	A
LineShine uses domestic HBM	P (state media; unverified)
IME ratification target Aug. 2026; AME board-ratification target Apr. 2027	P (official plans)
Dual-variant RISC-V accelerated-CPU template	M/S
LPDDR6X 2.3TB/7.37TB/s socket per Table A.1; 67% MFU ceiling; configuration-specific sub-256-node HBM wall	M
Capacity-first LPDDR as an *implemented* Chinese national program	Not established
4. Semiconductors and energy	
SMIC N+3 5 nm-class in volume without EUV	V (capability) / A (economics)
CXMT LPDDR6 verification cleared; 2H26 mass production	A/R (no primary product announcement)
CXMT HBM3 samples to Huawei; 2026 mass production	A/R
CXMT commodity-DRAM scale: three fabs ∼100k wpm, expansion planned beyond 600k wpm	P/A (source-based reporting)
Domestic HBM ∼2M stacks 2026; Huawei foreign-stack stockpile exhausted	A
China added 429/540 GW of generation (2024/2025); US record year 53 GW	V
Domestic-chip data centers get up-to-50% power discounts	P
5. Finance	
OpenAI \$852B mark, \$13.1B 2025 revenue, ∼\$1.4T commitments	V/P
Microsoft AI run-rate >\$37B, +123% y/y	V
Anthropic run rate \$47B (May 2026) at \$965B post-money (≈20.5×); gross-margin trajectory toward ∼44%	V (company) / A (margin)
OpenAI commitments reset toward ∼\$600B-by-2030 (Feb. 2026)	P (press-reported)
NVIDIA Q1 FY27: \$81.6B revenue, \$75.2B data center, ∼75% non-GAAP gross margin	V
AI-focused firms ≈ half of S&P 500 value	V
Inference prices −9× to −900×/yr; compute capacity doubling every 7 months	V
Broad US AI valuation repricing by 2029–30	S (60–70%)
6. Security	
Backdoors survive safety fine-tuning; ∼250 documents suffice to poison	V (Level A)
Backdoored agents exfiltrate memory via disguised tool calls (>94% activation, <1% utility loss)	V (Level A)
Prompt worms persist and propagate multi-hop in an unmodified agent framework	V (Level A/B)
Malicious agent skills exist at ecosystem scale (157 of 98,380 audited)	V (Level C)

continues

Evidence ledger, continued

Claim	Grade
Autonomous evaluation agents caused real cross-organization intrusions (Jul. 2026)	V (Level C)
A released official checkpoint contains a destructive latent backdoor	Not established
“Order 66” end-to-end systemic loss	S (fault-tree composition of A-level parts)
Injection resistance varies $\sim 10\times$ across released models	V (configuration-specific)
7. AI for science and national sizing	
AI4S frontier-LLM workload share $\sim$14%; purchased-token premium 20–60$\times$	A/M
Resulting frontier share of expenditure 76–91%	M
Task-weighted AI4S uplift: 3–30% scenario band, central $\sim$10%	M/S (Eq. 20.2)
Fugaku COVID-19 projects returned \$50–75B; successor-return scenarios \$250–600B+	A/M (commissioned, survey-based counterfactual model)
Task-weighted funnel Monte Carlo: median 11.8%, P10–P90 7.7–17.5%	M (reproducible; CSV published)
Consortium feasibility (federated training, financing, continuity)	S
EA1 probe: 443 BGPU-h per active heavy-user day, saturating an $\sim$800-GPU partition	V
BGPU conversion rule; MI355X $\gamma = 1.0$ on published MLPerf evidence	V/P
2030 flagship generation factor of 6	derived from disclosed bandwidth/fleet targets [P]
Master term = 88.7% of token-service capacity at 2^{20} context	M
Per-researcher core $\approx$0.94 BGPU, scale-invariant across three countries	M
Japan 2030 requirement 497–510k BGPU	M (measurement-anchored)
Singapore 55–59k and US 1.09–1.17M BGPU	T (pre-measurement scenarios)
Committed fleets provision 0.02–0.10 BGPU per researcher	V/A

Appendix C

Deployment Control Architecture

The controls below follow directly from the fault tree of Section 15.6 and the trust stack of Chapter 14. They are reproduced here as an operational checklist for sensitive scientific, governmental, or industrial deployments, because the strategic argument of this book—adopt the commons, verify it, own the certification layer—is only actionable if the verification and containment work is specified rather than gestured at [292]. Each control family below maps to a gate of the fault tree: controls (1)–(5) cut the *trigger-success* and *privileged-deployment* gates (preventive); (6)–(8) cut *privileged deployment* and *propagation* (preventive); (9)–(10) are the *detective* layer across all gates; (11) cuts the *supply-chain compromise* disjunct; (12)–(14) cut *containment failure* (preventive, detective, and recovery respectively). The gates with the weakest control coverage—artifact compromise itself, and trigger discovery—are exactly the ones the tree identifies as outside operator control, which is why the checklist concentrates spending elsewhere.

Containment and authority. (1) Separate inference from action execution: run the model in a process or enclave without direct network credentials, and treat every tool call as an untrusted proposal. (2) Use a deterministic tool broker enforcing operation, destination, argument, volume, and rate allow-lists *outside* the model; permit no arbitrary URLs, model-constructed hostnames, or arbitrary message recipients. (3) Separate secret access from egress: no single invocation should hold both unrestricted memory or file reads and unrestricted external transmission. (4) Inspect payloads, not only retrieved text—flag opaque or high-entropy URL parameters, Base64-like fields, secrets copied from memory, and unusual destination changes; never auto-fetch model-generated remote resources. (5) Require independent policy approval, and where appropriate human confirmation, for credential access, external messaging, code execution, purchases, data export, and irreversible operations.

State integrity. (6) Make core policy and configuration immutable to the agent: no email, web content, skill, memory, or peer message may rewrite startup instructions; keep system policy in a separately authenticated control plane. (7) Treat memory writes as security decisions—record origin and derivation, prevent untrusted content from creating policy or authorization memories, expire low-trust entries, and reauthorize consequential actions at retrieval time. (8) Constrain destructive filesystem operations: read-only mounts by default, no recursive or bulk deletion, separate backup credentials, immutable versions, and out-of-band authorization for destructive changes to shared storage.

Observability and supply chain. (9) Preserve complete external logs—model versions, prompts, tool schemas, proposed actions, broker decisions, network destinations, results—in append-only storage unavailable to the model. (10) Freeze and sign tool definitions: hash-pinned schemas, model-visible instructions fully disclosed to reviewers, reapproval required after changes, and no silent transfer of data obtained through one tool into another. (11) Harden the model and agent supply chain: controlled mirrors, signed manifests, pinned cryptographic hashes, tensor-only formats, pinned runtimes, software bills of materials, disabled remote model code and unsafe deserialization, CI credentials isolated from compromised workloads, and verified release provenance.

Evaluation and assurance. (12) Contain evaluations as hostile-code execution: physically deny and independently verify egress, use synthetic credentials and targets, block routes to metadata and package-control planes, monitor outside the agent's control, and terminate on unexpected destinations. (13) Red-team the actual integration—temporal, multilingual, organizational, tool-schema, environmental, and multi-turn triggers; indirect prompt injection; self-replication attempts; destructive-action canaries in memory and files. (14) Do not rely on fine-tuning as sanitization: scanners, differential testing, and controlled post-training reduce risk but do not establish absence; high-assurance workloads should use network isolation and reviewed output release.

For the most sensitive workloads, a hash-pinned model in a network-isolated inference environment with internal-only retrieval and a one-way, reviewed export path provides substantially stronger assurance than an unrestricted "trusted" model of any provenance—which is the operational restatement of this book's position that provenance claims are not a substitute for architecture.

Appendix D

Consortium Feasibility: The Legal and Engineering Homework

Chapter 22 argues the consortium is necessary; necessary is not the same as operable, and the feasibility homework has to be specified rather than gestured at. This appendix names the fourteen problems a founding instrument must solve, with this book's current best answer or its honest absence.

Legal. (1) *Export-control segmentation*: members sit under incompatible regimes (EAR, EU dual-use, and their non-Western counterparts); the workable architecture is compartmented—nationally owned compute enclaves executing a federated protocol, so that no controlled article crosses a border even as gradients do; precedent exists in high-energy physics data policy, not in any AI instrument. (2) *Data localization*: solved by design if raw data never moves (the layered data policy of Chapter 22); unsolved for the preference- and correction-data pools that post-training needs. (3) *Classified and dual-use workloads*: excluded from the shared fabric entirely, run in national enclaves against consortium-published open weights—the model travels, the workload does not. (4) *Liability for defective models*: the hardest open problem in the list; a jointly trained model has no manufacturer in the product-liability sense, and the certification ladder of Chapter 14 (Level 5's contractual, insurable assurance) is currently the only credible carrier; the founding instrument must create a liability-holding entity or the regulated sectors will not deploy. (5) *Ownership of jointly trained weights*: recommend open release under a permissive license with a contribution registry—ownership dissolved rather than allocated, which is both the mission and the only stable equilibrium among sovereign contributors. (6) *Withdrawal of contributed data*: prospective only (future checkpoints), with data bills-of-materials making the boundary auditable (Chapter 12); retroactive unlearning at frontier scale is not a commitment any honest instrument can make. (7) *Incident jurisdiction*: model incidents route to the operator's jurisdiction, artifact incidents to the consortium's seat; the append-only audit substrate of Appendix C is what makes the routing adjudicable. (8) *Antitrust and state aid*: a research-infrastructure joint undertaking (EuroHPC's legal form) survives both regimes; a production token utility would not; the line must be drawn in the charter. (9) *Insolvency and continuity*: mirrors, escrowed artifacts, and multi-party signing keys so that no member's exit—or the consortium's own dissolution—can orphan the certified corpus.

Engineering. (10) *Federated scheduling* across heterogeneous, intermittently available national machines: the scheduling literature exists (grid computing paid this tuition twenty years ago); the missing piece is incentive-compatible accounting, addressed by (13). (11) *Heterogeneous optimizer consistency*: training one model across unlike accelerators requires either synchronous steps at the slowest site's pace, hierarchical/local-update methods (DiLoCo-class) with their convergence penalties, or partitioning by training phase (pretraining centralized per-site, post-training federated)—the last is the current recommendation, because post-training tolerates asynchrony and is where members' data sensitivity lives anyway. (12) *Checkpoint transfer* *and cross-site bandwidth*: a frontier checkpoint at full optimizer state is tens of terabytes; at research-network rates this is hours per sync, which bounds the federation granularity and is why (11) recommends phase partitioning. (13) *Accounting for unlike hardware*: the BGPU vector of Section 21.2.1 is the designed answer—contributions metered in workload-weighted capability, not device counts. (14) *The conformance instrument*: the AI-HPC lifecycle benchmark of Section 9.7 and the certification ladder give the consortium its two deliverables that no national program can credibly produce alone—neutral measurement and neutral assurance. The honest summary: nine of the fourteen have engineering answers on the shelf; (1), (4), and (5) require legal invention; and none of the fourteen is a reason to wait, because every one of them is also unsolved for every national program that will otherwise duplicate this work seven times.

Appendix E

Living Data Appendix: Flagship Model Cards

Chapter 8's release table mixes vendor-published and independent results, different reasoning budgets, tool harnesses, attempt budgets, and evaluation dates, and that mixture is a methodological problem this book should not leave standing. The remedy is a normalized card per flagship, reported to a fixed schema and maintained as the flagships change. Table E.1 is that schema in use; empty fields are honest gaps rather than omissions, and the schema itself is the contribution, because it is what any serious comparison requires and what almost no public comparison supplies.

The ten fields: (1) total and active parameters; (2) native precision and quantization-aware-training status; (3) context and maximum output length; (4) license; (5) disclosed training hardware, with confidence grade; (6) independent capability score under a common date and harness; (7) a software-engineering benchmark under a stated tool environment and attempt budget; (8) input, cached-input, and output prices; (9) tokens and wall-clock consumed per successfully completed task; (10) measured latency, throughput, and serving hardware. Fields (9) and (10) are the ones that decide procurement and the ones no vendor publishes; until they are routinely reported, "ten times cheaper per token" remains an unfinished sentence, because a model that spends ten times the reasoning tokens per solved task has delivered no saving at all.

Table E.1: Normalized flagship cards, mid-2026. Vendor-reported values [P]; independent index values [V]; "—" denotes not publicly disclosed. Prices in USD per million tokens (input/output).

Model	Params tot./act.	Precision	Context	License	Train HW	SWE-bench (protocol)	Price in/out	Tok/task; latency
Kimi K3	2.8T / ∼104B	MXFP4 native	1M	modified MIT	H200 + L20 + alt. GPGPU [A]	— (vendor tables only)	3.00 / 15.00	—
DeepSeek V4-Pro	1.6T / 49B	FP8 native	1M	MIT	undisclosed	80.6% (vendor)	0.435 / 0.87	—
GLM-5.2	∼753B / ∼40B	FP8 variant	1M var.	MIT	Ascend [P]	77.8% (GLM-5, vendor)	1.00 / 3.20	—
MiniMax M3	∼428B / ∼23B	—	1M	open weights	—	80.2% (M2.5, vendor)	0.15 / 1.20 (M2.5)	—
Kimi K2 Think.	1T / 32B	INT4 QAT	256K	modified MIT	—	65.8% single-attempt; 71.6% parallel TTC	—	—
Qwen3.6 family	27B dense; 35B/A3B	—	262K	Apache 2.0	—	—	—	—

Two disciplines travel with the table. *Protocol disclosure*: the Kimi row shows why—the same model, the same benchmark, and a 5.8-point spread between single-attempt and parallel test-time-compute settings, which is larger than most inter-model gaps reported in the press [87]. *Task-normalized cost*: with reasoning-model output lengths inflating roughly fivefold per year [255], price-per-token comparisons decay in meaning within a single release cycle, and only cost-per-completed-task is stable enough to plan a budget against—which is precisely the quantity Chapter 22's expenditure model needs and Section 22.1 had to estimate.

Appendix F

Current Cycle: The Eighteen-Day Barrage

This is the living appendix doing its job. The stable chapters are current as of 4 August 2026—this edition's date—and this appendix records the most recent development cycle in concentrated form, so that the fastest-moving material sits in one place that the next edition can replace wholesale rather than being threaded through twenty chapters. The first entry covers 16 July–3 August 2026, which compressed more frontier activity than any comparable window in the field's history.

F.1 The chronology

Four releases in eighteen days, each responding to the last [403]: **16 July**, Moonshot releases Kimi K3 (2.8T/104B) via API; **27 July**, K3's weights are open-sourced under its custom commercial licence—the largest open-weight model ever released; **31 July**, DeepSeek ships the official V4-Flash checkpoint (∼280B/13B, MIT, weights on Hugging Face, \$0.14/\$0.28 per million tokens) *and*, the same day, OpenAI cuts GPT-5.6 Luna pricing by 80% (\$1.00→\$0.20 input, \$6.00→\$1.20 output) with Terra down 20% [404]; **3 August**, Alibaba makes Qwen3.8-Max generally available (2.4T total, ∼95B active by press consensus though never officially confirmed, 1M context, multimodal in), API-only, at \$2/\$6 per million tokens [397].

The sequencing carries the analytical content, and it is not the sequencing the headlines implied. OpenAI's price cut came *before* the Qwen release, not after it, and contemporaneous analysis attributed the pressure to Kimi K3 and DeepSeek V4 rather than to Alibaba [404]. That is the first documented instance in this book's evidence base of a Western frontier laboratory repricing its mainline product in visible response to Chinese open-weight competition—the transmission mechanism of Proposition P3, observed rather than modelled. The company attributed the cut to "system efficiency," which may be entirely true and is also exactly what a firm says when it is defending share.

F.2 Qwen3.8-Max: what is claimed, what is verified

On benchmarks the discipline of Section 8.4 applies: *the headline numbers are Alibaba's own*, published in the release blog. The table reports SWE-bench Pro 67.7 (Claude Fable 5 leading at 80.0), Terminal-Bench 2.1 86.6 (Fable 5 84.6, GPT-5.6 Sol 88.8), PaperBench 93.0 (best in table), FrontierSWE 73.5, QwenReactBench 1,724 (best), CoWorkBench 74.8, JobBench 53.4, Agents' Last Exam 52.4, GPQA Diamond 92.6, IFBench 82.8, HLE 43.6, plus a multimodal sweep (BabyVision 91.3, CharXiv 93.5, ERQA 77.8, PerceptionBench 63.5) [399, 394]. The shape is consistent and worth naming: Fable 5 leads on the hardest software-engineering and

Table F.1: Qwen3.8-Max as of this edition's date. Vendor claims are extensive and partly auditable; independent verification is thin. Both halves matter.

Item	Reported	Status
Total parameters	2.4T sparse MoE	consistent across all sources [P]
Active parameters	∼95B	press consensus; not stated in the announcement [A]
Expert count, routing	—	not disclosed
Context	1M (991K in / 131K out / 262K reasoning budget)	vendor [P]
Attention	possibly gated-linear (Gated DeltaNet-class)	speculation; unpublished
Training tokens, precision	—	not disclosed
Training hardware	—	not disclosed; family reportedly trained on leased offshore NVIDIA [405]
Weights	**publicly committed by Alibaba: "next week, the open weights of Qwen3.8-Max will be released, and Qwen3.8-27B is also going open-weights"**	**[V] as a commitment**; repository pending at the bulletin date [394]
Licence	—	*unstated*—the live question (Apache-class vs revenue-threshold)
Documentation	release blog with full benchmark table; GitHub project trace for the autonomous-coding run	[V]; no formal model card or architecture report
Price	$2.00 / $6.00 per Mtok, $0.25 implicit cache, flat across the full 1M window	vendor [V] [394]

reasoning rows; Qwen leads on multimodal reasoning, document and office intelligence, real-world and spatial understanding, visual perception, and research reproduction. Absences remain notable—no SWE-bench Verified, no AIME, no Kimi K3 or DeepSeek V4 column despite those being the nearest competitors, and no hallucination-rate disclosure of the kind Qwen3.7-Max carried.

The autonomy claims deserve separate treatment because their auditability differs. The autonomous-coding demonstration—"10+ days of self-evolving development, from empty folder to production without hand-holding"—ships with *a complete project trace on GitHub* [394], which is more verification apparatus than most Western frontier autonomy claims carry and should be credited as such; the standing question of how many human interventions occurred is answerable from the trace rather than merely rhetorical [401]. The chip-design claim (500-plus turns of optimization; autonomous execution of the silicon design flow) has no comparable artifact, which is why Section 8.3.2 treats it as strategically decisive *if* verified and flags the verification event explicitly.

The independent record is thin and worth stating precisely. Crowdsourced Arena voting places the model #5 overall in text (highest-ranked Chinese model, behind Claude variants), #2 in vision, and #4 on frontend code at 1,668 Elo—eight points behind Kimi K3 and roughly 37 behind the top Claude configuration [400]. Artificial Analysis had not scored it. One small third-party head-to-head put it at 80 against Kimi K3's 83. Set against the vendor table, the honest summary is that Qwen3.8-Max is a genuinely frontier-competitive model whose exact placement is unsettled—which is the same thing that is true of every closed Western flagship, none of which discloses its parameter count at all.

F.3 The Pareto observation

The single most strategically significant datum of the barrage is not any model's score but the shape of the cost-performance frontier it produced: of the five models on the current Pareto frontier, *four are Chinese*—Kimi K3, Qwen3.8-Max, GLM-5.2, and DeepSeek V4-Flash—with Claude Opus 5 the lone American entry, holding its position by roughly 37 Elo points [403]. Read against the five-frontier framework of Section 8.4, this is the *economic frontier* passing decisively into Chinese hands while the *absolute frontier* remains contested, which is precisely the configuration this book has argued decides industrial outcomes. The cost spread that produces it: DeepSeek V4-Flash runs a benchmark suite for about three cents against Claude Fable 5's $3.15 and GPT-5.6 Sol's $1.86—a hundredfold gap at the low end, with Kimi K3 at 86 cents in between.

Two qualifications keep the observation honest. Cross-vendor cost comparisons at fixed capability are only as good as the task-normalization behind them (Appendix E, fields 9–10), and reasoning-effort settings move scores enormously—V4-Flash's HLE score ranges from 8.1 with thinking disabled to 34.8 at maximum effort, which is larger than most inter-model gaps anyone reports. And V4-Flash's own release note contains the field's most useful piece of self-knowledge: its entire generation-over-generation gain came from post-training, not architecture, with Terminal-Bench 2.1 moving 61.8→82.7 on an unchanged model [402]. The frontier is currently moving through the post-training layer, which is cheap, fast, and exactly where a fast-follower has the advantage.

One further pricing development belongs in the ledger because it runs *against* the commoditization current and is the first of its kind: DeepSeek announced dynamic peak pricing—a 2× multiplier during seven daily hours—for V4-Flash. A Chinese laboratory introducing surge pricing on the cheapest frontier-adjacent model in the world is rent recapture appearing at the price layer itself, and Section 19.5's recommendation that Chinese labs move from below-cost tokens to at-cost tokens plus paid complements now has a datapoint in its favour that arrived without waiting for the advice.

F.4 What this changes, and what it does not

Unchanged: every structural claim in the monograph. The four propositions, the cost stack, the rent-migration map, the architecture argument, and the AI4S analysis are all indifferent to which laboratory leads in a given fortnight—which is the point of freezing the data and stating the mechanisms separately.

Strengthened: three things, each recorded in the ledger and register. First, and most importantly, the open-weight argument acquires the *ratchet* of Section 8.3.1: a Max tier that had been proprietary through four generations was publicly committed to open weights within seven days of a rival opening at comparable scale, which upgrades openness from a state policy that could reverse to a competitive equilibrium from which no participant profits by defecting. Second, P3's transmission mechanism has its first direct observation in the OpenAI price cut. Third—and this is the datum that most shortens the book's own timelines—the autonomous silicon-design claim of Section 8.3.2 identifies a concrete mechanism by which the compute dependence that the offshore-leasing arrangement currently reflects becomes transitional rather than structural: the recursive loop applied to the one input China has never been able to buy.

The counter-argument, at its strongest. The same evidence supports a serious rebuttal—that recursive self-improvement compounds fastest where compute is most abundant, which is not China—and Section 23.2.1 develops it as the book's most consequential falsification branch, along with the reply that two recursive loops are running on different substrates.

Newly falsifiable, on a short clock: the licence under which Qwen3.8-Max's weights ship (Apache-class or revenue-threshold), and whether any AI-assisted design flow produces an independently verified, manufacturable part. Few strategic questions in this book resolve within a quarter. The first of these does.

Appendix G

Chronology

1954–2007	Bell Labs silicon cell (1954). German EEG feed-in tariffs (2004) create global solar demand. Sharp then Q-Cells lead production. Suntech founded (2001), NYSE listing (2005). China's 863 programme adds EV powertrains (2001); Wan Gang appointed minister (2007).
2008–2013	Polysilicon peaks at $475/kg (2008) then collapses. "Ten Cities, Thousand Vehicles" (2009). CDB extends ∼$47B credit lines (2010); NEVs and new energy designated Strategic Emerging Industries (2010). CATL founded (2011). Solyndra (2011), Q-Cells (2012), A123 (2012), Suntech (2013) fail. US and EU impose solar duties (2012–13).
2014–2019	Big Fund I (2014). Battery "white list" excludes Korean cells (2015–19). Top Runner programme (2015). NEV dual-credit mandate (2017). Solar "531" shock (2018). EUV denied to China (2019). SVE (2016) and A64FX (2018) establish the CPU-plus-HBM lineage.
2020–2022	Fugaku sweeps the benchmark lists (2020–21). BYD Blade LFP (2020); Tesla adopts CATL LFP (2020). SME specified (2021). China NEV penetration passes 25% (2022). US October 2022 export controls.
2023	Mate 60 ships SMIC 7 nm (Aug.). A800/H800 banned (Oct.). China passes Japan as largest auto exporter. Android RISC-V support announced; RISE founded.
2024	DeepSeek V2 triggers the LLM price war (May). Big Fund III, RMB 344B (May). CXMT scales DRAM; Northvolt files Chapter 11 (Nov.). BIS controls HBM (Dec.). DeepSeek V3 in native FP8 (Dec.). China installs 277 GW of solar; adds ∼429 GW of generation.
2025	R1 released (Jan.); NVIDIA loses $589B in a day. Eight-agency RISC-V guidance (Mar.). H20 banned (Apr.), unbanned for a 15% revenue share (Aug.). Kimi K2 opens at 1T parameters (Jul.). WAIC Global AI Governance Action Plan and "AI+" plan (Jul.–Aug.). CANN open-sourced (Aug.); CUDA ported to RISC-V hosts, announced in Shanghai (Jul.). Huawei discloses the Ascend 950/960/970 roadmap and opens UnifiedBus 2.0 (Sep.). CAC bars major platforms from NVIDIA purchases (Sep.); state-funded data centres restricted to domestic chips and given up-to-50% power discounts (Nov.). K2 Thinking ships INT4 QAT (Nov.). China adds ∼540 GW of generation; deploys ∼65% of global grid storage.
2026 H1	Zhipu and MiniMax list in Hong Kong (Jan.). SiFive integrates NVLink Fusion (Jan.). GLM-5 trained on Ascend (Feb.); Anthropic alleges distillation campaigns (Feb.). Stanford AI Index puts the US–China gap at 2.7% (Mar.). NVIDIA Vera CPU announced at 1.2 TB/s LPDDR5X (Mar.). DeepSeek V4 (Apr.); OpenAI raises at $852B (Mar.); Anthropic at $965B (May). Semiconductor selloff sheds $1.3T (Jun.). **LineShine takes No. 1 on HPL and HPCG with no GPUs** (Jun. 24).
2026 Jul–Aug	Kimi K3 opens at 2.8T parameters (Jul. 27). CXMT lists at +466% (Jul. 27), prospectus disclosing no commercial HBM. CXMT LPDDR6 clears verification at 12.8 Gb/s (Aug.). OpenAI–Hugging Face cross-boundary agent intrusion disclosed (Jul.); Anthropic discloses three evaluation-boundary incidents (Jul. 30). Memory-led chip rout; Nasdaq-100 enters correction (Jul.). WAICO formalized in Shanghai with 29 states (Jul.).

Appendix H

Claim Register and Falsification Dashboard

Appendix B grades the headline claims. This appendix does two further things: it gives the register a machine-readable schema, so that the ledger can be maintained as data rather than as prose; and it states the quarterly dashboard by which a reader can check this book against reality without re-reading it.

H.1 Register schema

Each claim in the maintained register carries: `claim_id`; `text` (one sentence, falsifiable); `chapter`; `grade` $\in$ {V, P, A, M, R, S}; `source_type` $\in$ {benchmark submission, filing, government rule, peer-reviewed, vendor statement, analyst estimate, author model, discussion record}; `as_of` (date); `geographic_scope`; `uncertainty` (range or band); and `next_verification_event`—the specific publication, filing, benchmark round, or disclosure that would update it. The last field is the one that makes the register useful: a claim with no identified verification event is a claim this book cannot keep honest, and there are several.

Table H.1: Register extract: the twelve claims on which the argument most depends.

ID	Claim	Grade	Uncertainty	As of / scope	Next verification event
CR-01	Chinese-origin models carry a majority of tokens on neutral routers	V	platform-specific	Jun 2026, OpenRouter	monthly router reports
CR-02	Top US–China model gap $\approx$2.7%; closed-over-open gap $\approx$3.3%	V	harness-dependent	Mar 2026, global	AI Index 2027
CR-03	Open-weight share of enterprise *spend* fell 19%$\to$11% in 2025	A	survey selection	2025, US enterprise	next enterprise survey round
CR-04	LineShine leads HPL and HPCG with no discrete GPU	V	none material	Jun 2026	Nov 2026 TOP500
CR-05	LX2-class serving is competitive per TB/s	M	delivered-bandwidth fraction η (§9.2.1) swept 0.53–0.70	modelled	MLPerf Inference submission
CR-06	LPDDR6X socket: 2.3 TB, $\sim$7 TB/s, 67% MFU ceiling	M	$\pm$ knee position unmeasured	modelled	memory-controller simulation; 5 TB/s knee test
CR-07	CXMT LPDDR6 mass production in 2H26	A/R	schedule risk; no primary announcement	analyst/roadmap	official product announcement or customer qualification
CR-08	Domestic HBM $\sim$2M stacks in 2026	A	2.5–18.6M in published range	analyst	Ascend shipment teardowns
CR-09	A frontier-class model trained end-to-end on domestic silicon	—	not yet observed	—	**the Mate 60 moment**: independent confirmation of an end-to-end domestic run
CR-10	AI4S frontier share of expenditure 76–91%	M	f and r both estimates	discussion record	national probe with published f, r
CR-11	Announced fleets provision 0.02–0.10 BGPU/researcher vs $\sim$1.0 required	M/A	core $\pm$40% pre-measurement	3 countries	second national demand probe
CR-12	Broad ($\geq$30%) US AI repricing by 2029–30	S	60–70% subjective	global	OpenAI financing event; DC credit spreads

H.2 Probabilistic forecasts

The register states grades; this table states *bets*. Each load-bearing proposition carries a probability, a horizon, a next verification event, and an explicit falsifier. The purpose is not false precision—the probabilities are subjective judgements [S]—but to prevent confidence in one part of the thesis from leaking into another, and to let a reader in 2029 mechanically score the book.

H.3 Quarterly falsification dashboard

Ten indicators, each with the value at the time of writing, the threshold that would move the argument, and where to look. A reader who checks these quarterly does not need to re-read the book to know whether it is aging well.

Table H.2: Load-bearing propositions as dated forecasts [S]. Probabilities are the author's; where the strongest skeptical case the author can construct yields a different figure, it is given in brackets.

Proposition	Probability	Horizon	Next verification event	Explicit falsifier
Chinese models dominate the global open-weight ecosystem	80% [70%]	1–2 yrs	derivative-model share, neutral-router token share, production-deployment surveys	sustained routed-token share below 45% for four quarters
Frontier-adjacent model trained end-to-end on a domestic Chinese stack	65% [50%]	2–4 yrs	independently documented run: domestic accelerator, memory, toolchain	continued reversion to foreign silicon for flagship pretraining past 2028
LPDDR-dominant or hybrid frontier pretraining becomes production-competitive	45%	3–6 yrs	cluster-scale run with package-complete power, reliability, cost	measured MFU below ∼45% at scale, or knee above 8 TB/s
An LX2-class part posts competitive AI benchmark results	55%	2–4 yrs	MLPerf Inference or Training submission	no submission by 2029, or >2× deficit at matched precision
Broad (≥30%) repricing of the US AI complex	70% [60%]	1–3 yrs	utilization, margin, financing, depreciation deterioration	AI revenue growth closing the capex gap through 2028
US closed models retain a valuable premium enterprise tier through 2030	50% [65%]	4 yrs	enterprise spend share; agent-platform revenue	open-weight enterprise spend share passing 40%
Complete Chinese autonomy across advanced semiconductor tooling	25%	5–10 yrs	verified production across lithography, metrology, EDA, packaging, memory	domestic EUV-class litho absent past 2032
A neutral certification authority for open weights is established	30%	3–5 yrs	founding instrument with ≥3 states and operating evaluations	the role occupied by a single bloc, or by nobody, past 2030
AI4S delivers measurable national research-output uplift (≥5%)	45%	5–8 yrs	bibliometric and patent series; sector productivity	no detectable uplift in the domains with best conversion (weather, structure, screening)
A systemic agentic-security incident traceable to a widely deployed derivative	20%	5 yrs	incident disclosures; national CERT reporting	(asymmetric: absence is weak evidence)
The integrated-CPU corner reduces lifecycle cost of a *changing* workload portfolio faster than the discrete-accelerator corner (§9.5.1)	40%	4–8 yrs	time-to-competitive-kernel per new mechanism; architectures served within N months; operator-hours per delivered PF-month	the accelerator corner matches new-mechanism kernel latency while the CPU corner's porting tax persists
A production-metric scoreboard for scientific AI (Eq. 20.3-class) is operated by a national ministry or agency	35%	3–5 yrs	a published national portfolio scored on validated value per resource	benchmark-style leaderboards remain the only public measure past 2030
A Chinese-designed accelerator or integrated-CPU system submits MLPerf Training (which now carries a DeepSeek-V3 MoE benchmark)	50%	2–3 yrs	MLPerf Training rounds, twice yearly	no submission by end-2028 while domestic fleets claim training parity
Humanoid/embodied deployment crosses from demonstration to production: ≥1,000 robots in intervention-light productive work at a single operator, metrics published (§13.5)	55%	2–4 yrs	operator disclosures; the embodied proof-suite metrics	teleoperation ratios not declining through 2028; deployments remain demo/education-dominated
Open-weight VLA models commoditize the embodied task-policy layer as LLMs did text	45%	3–6 yrs	open VLA releases matching closed policies on standardized manipulation suites	closed embodied stacks hold a durable capability gap into the 2030s
Qwen3.8-Max weights ship as publicly committed	90%	1 quarter	Hugging Face / ModelScope repository	no weights by Nov 2026 (would break the ratchet argument of §8.3.1)
... under a permissive (Apache/MIT-class) rather than revenue-threshold licence	55%	1 quarter	the licence file	a Kimi-style threshold, which confirms rent relocation *within* openness rather than against it

Table H.3: The dashboard. "Direction" states which way a move cuts for this book's thesis.

Indicator	Current (Aug 2026)	Threshold that matters	Source / cadence
Chinese share of routed tokens	∼61%	sustained fall below 45% weakens P1	neutral routers, monthly
Closed-over-open capability gap	3.3%	>10% sustained two years favours bifurcation	AI Index / arenas, annual
Enterprise open-weight spend share	∼11%	rise past 25% confirms P3's transmission	enterprise surveys, annual
Domestic end-to-end frontier training run	not observed	first credible instance strongly confirms P2	lab technical reports
LX2-class AI benchmark submission	none	MLPerf entry at parity confirms stage 2 (§9.2.1)	MLPerf rounds
CXMT LPDDR6 / HBM3 ramp	verification cleared	2+ year slip weakens the memory arbitrage	qualification news, quarterly
Cost per *solved* task, open vs closed	unpublished	first credible series either confirms or deflates the price gap	vendor or third-party evals
OpenAI financing	IPO slipping	down-round or new backstop raises P4	filings, ad hoc
Data-centre credit spreads	Oracle CDS ∼212 bps	sustained widening raises P4	credit markets, daily
Certification authority for open weights	vacant	occupation by any credible body reshapes Chapters 14–22	standards bodies, ad hoc
Max-tier openness lag (API-to-weights interval for the leading Chinese flagship)	∼1 week committed (Qwen3.8-Max)	a lag exceeding two quarters, or any frontier tier staying closed, would break the ratchet of §8.3.1	model repositories, per release
Recursive-loop disclosures: frontier-model contribution to successor training (US) vs AI-assisted design flow output (China)	both claimed, neither audited	first audited instance either side is the field's most important datapoint (§23.2.1)	lab disclosures, tape-out records
Offshore compute leasing by Chinese labs	permitted; reportedly in use	closure by rule would be the highest-impact tightening available to export policy	BIS/Commerce rulemaking

Methods, Sources, and Versioning

How this book is built

The manuscript is assembled from three kinds of material, and the reader is entitled to know which is which on any given page. *Public record*: benchmark submissions, government rules, company filings and earnings disclosures, national statistical releases, peer-reviewed papers, and specialist technical reporting—cited directly wherever a primary source exists, and flagged in the text when only secondary reporting was available. *Companion analysis*: architectural and performance results from the author's own studies with collaborators, principally the accelerated-CPU analysis with Dongarra and Hoefler [185, 186], the memory-balance feasibility work [134], and the agentic-security survey [292]. Where these are load-bearing, the text says explicitly that it is presenting an author-modeled architecture or analysis rather than a measured production system. *Working documents*: unpublished discussion records, cited as such [307], whose numerical content is discussion estimate rather than measurement.

Every load-bearing claim carries an evidence grade (Section 1.5): **[V]** independently verified, **[P]** primary-source claim, **[A]** analyst estimate, **[M]** author model, **[R]** roadmap, **[S]** scenario judgment. Appendix B consolidates the headline claims in one graded ledger, which is the fastest way for a skeptical reader to locate the weakest link in the argument—and the first thing revised whenever the book is.

Known weaknesses

Six, stated plainly. First, several mid-2026 model and market details still rest on secondary aggregators where primary vendor documentation exists but was not retrieved; these are being replaced as the underlying documents are located. Second, the LX2 attributions—designer, process node, memory supplier—are analyst inference from public teardown-adjacent reporting, not disclosure, and are graded accordingly. Third, the LPDDR6X architecture (Section 9.8, Appendix A) remains a modeled design with a stated experimental program and no measured realization; readers should treat its numbers as a falsifiable proposal, which is how they are offered. Fourth, the flagship model cards of Appendix E are incomplete in exactly the fields that matter most—tokens and wall-clock per completed task, measured serving throughput—because essentially no vendor publishes them. Fifth, the national sizing results of Chapter 21 are measurement-anchored for one country only; the Singaporean and American instantiations are labelled pre-measurement scenarios whose behavioural parameters are transferred, and they should be read as the starting points those countries' own probes would revise. Sixth, the book's architectural thesis—that the CPU corner's breadth advantage compounds faster than the accelerator corner's depth advantage—is a judgement, not a measurement, and it is the judgement most likely to be shown wrong; the proof suite of Section 9.2.2 exists to settle it.

A note on the figures

The figures follow one convention throughout. Categorical colour is assigned in a fixed order from a palette validated for colour-vision deficiency (worst adjacent-pair separation $\Delta E \approx 9$ in deuteranopic simulation), never cycled and never used to encode rank; sequential magnitude uses a single hue; every chart with two or more series carries both a legend and selective direct labels, so identity is never carried by colour alone; grids and axes are recessive; and no chart uses two vertical scales. Every figure's underlying values appear either in an adjacent table or in the caption, which is also the required relief for the one palette slot whose contrast against the page falls below 3:1. Modelled quantities are marked [M] in the caption and plotted with a visibly different mark from measured ones.

Versioning protocol

This is a living document. Each revision increments the version, restates its date on the title page—which is also the book's currency date, so that the cutoff can never contradict the edition—and re-grades Appendix B. Three artifacts travel together and are meant to be revised at different rates: the monograph, which changes slowly and carries the argument; the machine-readable claim register and falsification dashboard of Appendix H, which change at every revision; and the current-cycle appendix, which is replaced wholesale rather than amended, so that the fastest-moving material never has to be threaded back through twenty chapters. Corrections are welcome and will be credited; the quickest way to change this book's conclusions is to falsify an entry in the ledger.

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The argument owes a substantial debt to co-authors and interlocutors on the companion works cited above. Errors of fact, interpretation, and judgment remain the author's own.

AI-assisted writing disclosure. Large language models were used for source retrieval, drafting assistance, and language editing throughout the preparation of this manuscript. The author reviewed and approved the final text and remains solely responsible for its content, analysis, conclusions, and any errors. Given the subject matter, it seems worth stating the obvious: the tools used to write a book about the commoditization of intelligence are themselves an instance of it.

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(Qwen3.7-Max \$1.28 vs GPT-5.6 Sol \$1.23, with Anthropic models most expensive); the model-size gap (US closed frontier rumoured ∼7T+ against 2.4–2.8T Chinese); the enterprise-adoption argument ("95% of the capability at a fraction of the price"); the prediction that "the model will be co-designed with the chip... with extreme co-design between model and hardware it might actually put us, as we're becoming dependent on Chinese open source, highly dependent on Chinese chips as well"; and the recursive-self-improvement counter-thesis, including OpenAI's attribution of its 80% price cut to efficiency gains produced by its own frontier model. https://youtu.be/CVlKp9Ld-Zg

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